



UMURAGE
60 Years of excellence





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Reporting Scope & Boundary

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Reporting Frameworks & Standards





About This Report

Welcome to BK Group Plc’s 2025 Integrated Annual Report—your window into how we’re creating long-term value for shareholders, customers, employees, and the communities we serve.

This report goes beyond the numbers. It’s a clear narrative of where we are, where we are going, and how we are getting there—strategically, financially, and operationally.

Reporting Scope & period

This Integrated Annual Report covers the financial year from 1 January 2025 to 31 December 2025 and includes significant events up to the date of approval by the Board. The report focuses on BK Group Plc (the “Group”), a non-operating holding company listed on the Rwanda Stock Exchange (RSE) and cross-listed on the Nairobi Securities Exchange (NSE). It provides insight into:

- Our strategy and execution progress
- Group and subsidiary performance highlights
- Corporate governance, risk, and sustainability practices
- Outlook and material matters shaping our future growth

The disclosures are based on the consolidated performance of the Group, inclusive of its five subsidiaries: Bank of Kigali Plc, BK General Insurance, BK TechHouse, BK Capital, and BK Foundation. Emphasis is placed on Bank of Kigali, which remains the primary contributor to Group earnings and asset value.

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“BK Group Plc’s 2025 Integrated Annual Report presents a holistic view of the Group’s strategy, performance, governance, and outlook, combining financial and non-financial insights to demonstrate how sustainable long-term value is created for all stakeholders.”

How the Report is Structured

This report is prepared in alignment with the following globally recognized standards and regulatory frameworks:



The International
Integrated Reporting
Framework (IIRC)

To ensure a clear link between
strategy, performance,
governance, and
future outlook



The International
Financial Reporting
Standards (IFRS)

For consistency and
comparability in financial
disclosures



Regulatory and
listing requirements
issued

By the National Bank of
Rwanda (NBR), Capital
Market Authority of Rwanda
(CMA-Rwanda), Capital
Markets Authority of Kenya
(CMA-Kenya), and respective
stock exchanges

Through adherence to these frameworks, we reaffirm our commitment to responsible corporate citizenship and transparent stakeholder engagement.



Materiality and Value Creation

This report is guided by the materiality principle, focusing on those issues that substantively influence the Group's ability to create value over time. The matters discussed herein reflect management's strategic focus areas, stakeholder priorities, market dynamics, and regulatory considerations. We aim to provide a holistic view of the Group's performance and its resilience in an increasingly complex operating environment.

The reporting boundary for non-financial matters extends beyond statutory requirements to include emerging areas of relevance such as sustainability, governance practices, and stakeholder relations.

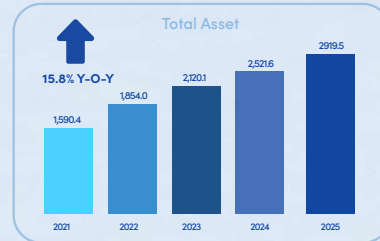
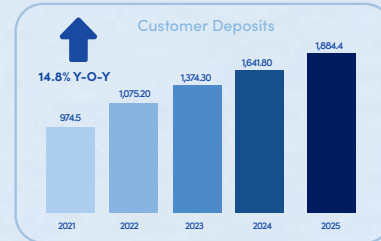
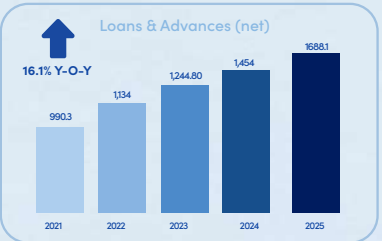
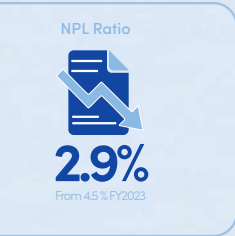
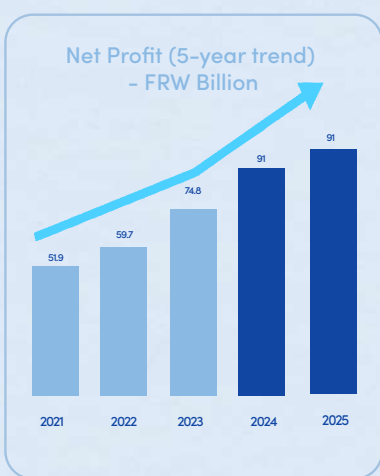
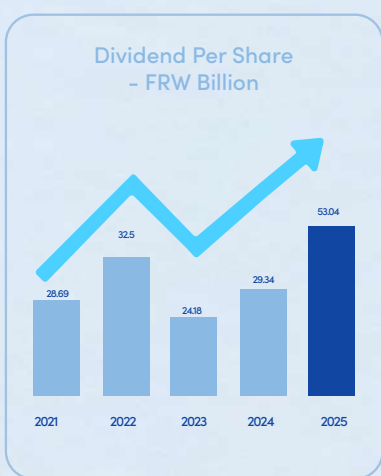
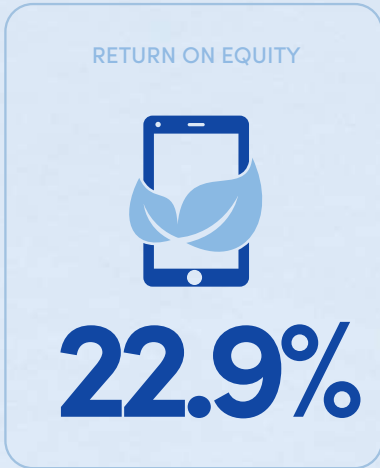
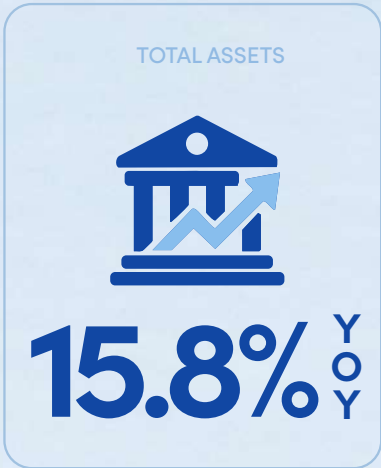


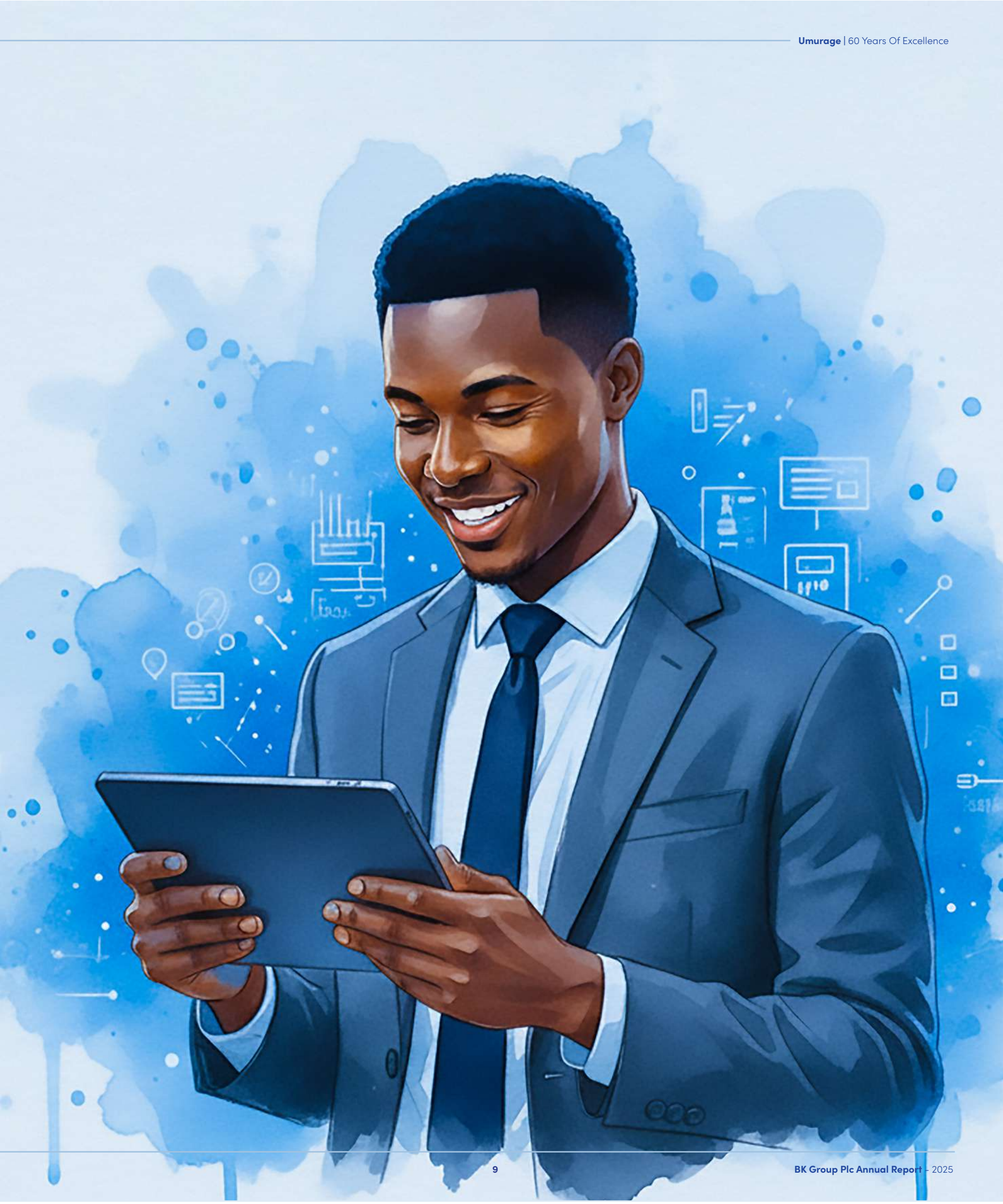
Financial and Non-Financial Reporting

Unless otherwise indicated, all data refers to the consolidated Group. Key performance indicators are disclosed to help investors and stakeholders understand both the financial results and the underlying drivers of performance, including environmental, social, and governance (ESG) metrics.

We continue to expand disclosure on non-financial issues—including customer experience, digitization, sustainability, and corporate governance—as we evolve toward integrated thinking and decision-making.

Key Highlights





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Our Market & Operating Context





Our Corporate Profile

Who Are We

Beyond Numbers: Impact, Innovation, and Sustainable Growth

At BK Group Plc, we believe financial success goes beyond numbers. It is about uplifting lives, empowering businesses, and pioneering innovations that drive sustainable growth. As Rwanda's leading financial services provider, we are committed to creating real-world impact, driving cutting-edge innovation, and championing inclusive, long-term progress while providing top financial returns to our shareholders.

For six decades, BK Group has been a pillar of financial stability and progress. What started in 1966 as a state-owned commercial bank has transformed into a dynamic, publicly traded financial powerhouse.

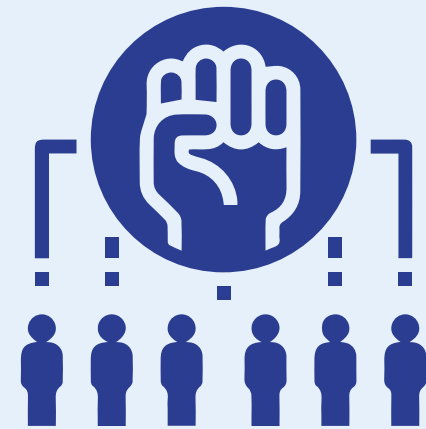
Our operations now span retail and corporate banking, insurance, investment banking, technology solutions, and social impact initiatives. Listed on the Rwanda Stock Exchange (RSE) in 2011 and the Nairobi Securities Exchange (NSE) in 2018, BK Group has consistently set benchmarks for financial excellence, governance, and customer-centric innovation.

As we present our **2025, Annual Report under the theme "UMURAGE/HERITAGE: Building Rwanda's Financial Future"**, we reaffirm our commitment to delivering strong financial performance while creating long-term value for customers, shareholders, employees and communities..

An Integrated Financial Ecosystem: Our Subsidiaries

BK Group operates through five key subsidiaries, forming a connected ecosystem of services designed to empower individuals, businesses, and communities through accessible and innovative financial solutions.

While each subsidiary plays a distinct role in our mission to drive economic and social progress, they also work together to simplify financial journeys, enhance digital access, and create lasting impact:



At BK Group, financial success goes beyond numbers. Under our 2025 theme, **UMURAGE / Heritage: Building Rwanda's Financial Future**, we celebrate a legacy rooted in trust, resilience, and progress. From our origins in 1966 as a state-owned bank to becoming a publicly traded powerhouse, our journey reflects a deep commitment to uplifting lives, empowering businesses, and driving innovation. As we build on this heritage, we remain focused on delivering strong financial performance while creating long-term value for our customers, shareholders, employees, and communities—championing sustainable growth for Rwanda and beyond."





Bank of Kigali is the main subsidiary of BK Group Plc, consolidating its position as the market leader in the banking sector. It delivers a palette of financial products and services across its client segments as follows:

Retail – caters for the day-to-day and lifetime needs of retail customers, through lending, transactional, savings and investment solutions as well as customized account packages across different age and income groups.

Business Banking – Offers tailored solutions to micro, small and medium and mid-market enterprises, facilitating access to new markets and alternative sources of finance.

Agri-Business – Provides dedicated financial solutions to farmers, cooperatives, agri-processors, and value chain participants, supporting Rwanda's agricultural transformation through crop and livestock financing, seasonal lending, warehouse receipt financing, and partnerships with government programmes and development finance institutions to expand access to underserved rural communities.

Corporate and Institutional – Assists local and international corporates as well as institutional clients through tailored financing, transactional and investment solutions as well as syndication offerings.



Insurance – BK General Insurance, Licensed by the National Bank of Rwanda in 2016, BK General Insurance (BKGI) is the non-life insurance subsidiary of BK Group Plc, providing risk protection solutions to individuals, businesses, and institutions across Rwanda. Its product portfolio spans four categories:

Motor – BKGI's highest-volume product line, offering comprehensive and third-party liability vehicle insurance to individual and commercial clients, accessible online and via USSD.

Property & Engineering – Covers fire and allied perils, engineering and machinery breakdown, and home insurance, providing asset protection for residential, commercial, and industrial property owners.

Commercial Lines – Serves corporate and institutional clients through money, bonds, transport and goods-in-transit, liability, fidelity guarantee, and aviation insurance, addressing the risk management needs of businesses operating across Rwanda's growing economy.

Agriculture & Personal – Offers crop and livestock insurance to farming households and cooperatives, alongside personal and group accident, travel, and workers' compensation cover, supporting both individual resilience and Rwanda's agricultural risk management framework.



Fintech – BK TechHouse, Established in 2016, BK TechHouse is BK Group's technology and digital innovation subsidiary, developing scalable technology solutions across three industry verticals – education, agriculture, and financial services. Certified to ISO 27001, ISO 9001, and PCI DSS standards, BK TechHouse partners with government agencies, development finance institutions, and international organisations to advance Rwanda's digital transformation agenda.

EdTech – BK TechHouse delivers the Urubuto Education Management System, a comprehensive platform supporting school administration, student performance tracking, discipline management, and cashless school fees payments via UrubutoPay.

AgTech – Through its Smart Nkuganire System, BK TechHouse provides digital infrastructure for agricultural inputs distribution, farmer financial inclusion, crop traceability, and yield assessment.

FinTech & Digital Payments – BK TechHouse operates UrubutoPay and the Smart Kungahara enterprise financial management system, providing PCI DSS-certified cashless payment infrastructure to merchants, financial institutions, and enterprises. Its digital payment services span card acceptance, mobile money integration, and online payment channels, underpinned by Software as a Service (SaaS), Data as a Service (DaaS), and Internet of Things (IoT) capabilities.



BK Foundation Launched, in 2023, BK Foundation is the philanthropic arm of BK Group Plc, deploying evidence-based grant funding to organisations advancing measurable social progress in Rwanda. Operating through strategic partnerships with civil society, government, and private sector actors, the Foundation structures its investments across three focus areas:

Education – BK Foundation supports improved educational outcomes through scholarship programmes, financial literacy initiatives, early childhood development, and technical and vocational education (TVET). Its programming equips Rwandan students and young people with the academic foundations and practical skills required for regional and global competitiveness.

Innovation & Entrepreneurship – Through its flagship BK Urumuri Initiative, BK Foundation provides grants and structured support to entrepreneurs developing creative solutions to financial, social, and environmental challenges. It backs incubation centres and innovation programmes that nurture early-stage ventures and strengthen Rwanda's entrepreneurial ecosystem.

Environmental Conservation – BK Foundation funds projects contributing to sustainable environmental management, including tree planting, water pollution abatement, urban green space development, and renewable energy access in rural communities. Its environmental programming integrates Environmental, Social and Governance (ESG) principles as a cross-cutting framework across all grant-making activity.



BK Capital Established in 2012 as a securities brokerage firm, BK Capital has evolved into BK Group's full-service investment and advisory subsidiary, offering institutional and individual client's access to local, regional, and international capital markets. Its service offering is organised across three core lines:

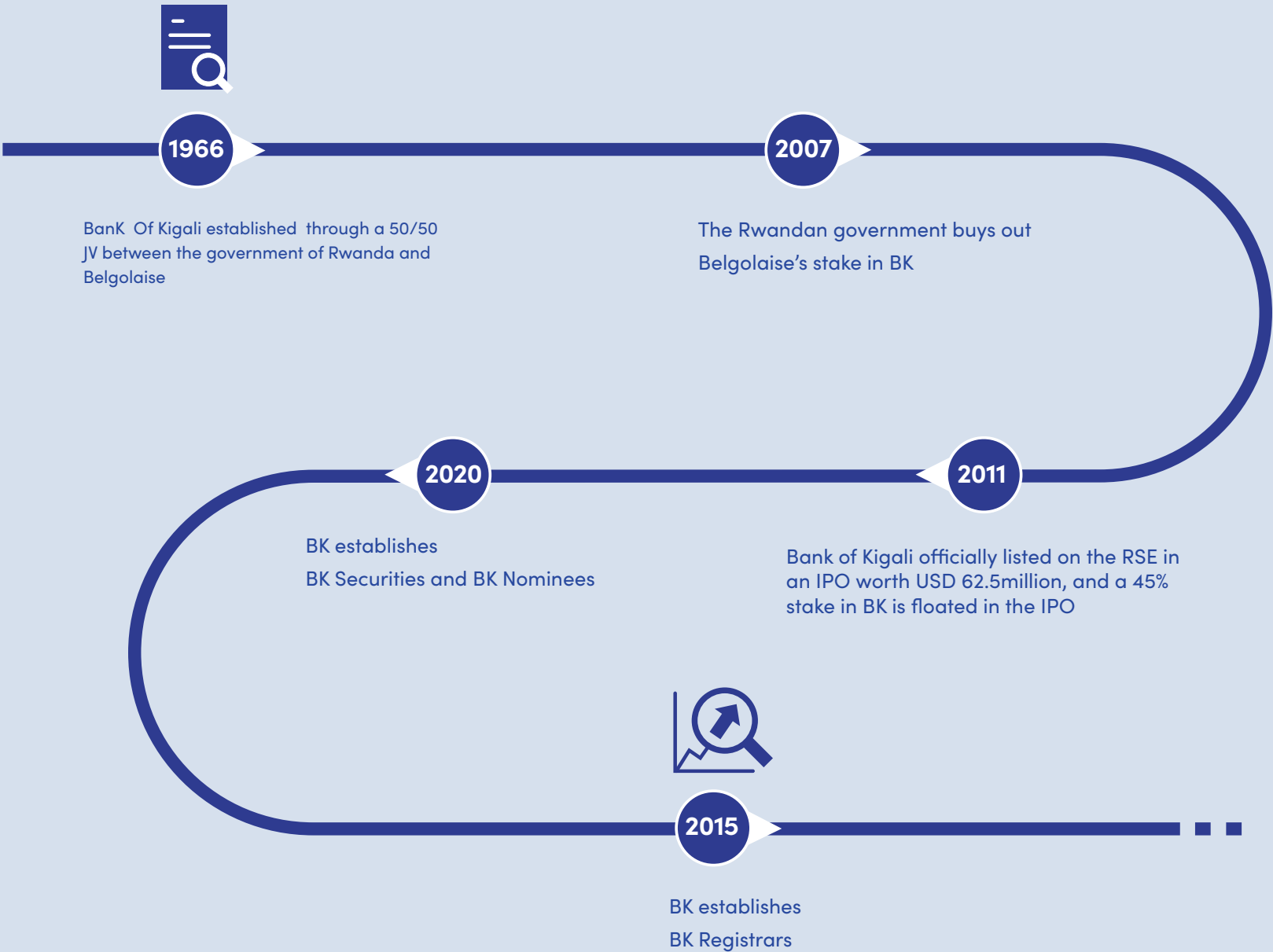
Investment & Wealth Management – provides bespoke portfolio management, unit trust, and pension solutions to individual and institutional investors. Its flagship products – the AGUKA Unit Trust Fund and the TEKANA Personal Pension – are designed to deepen capital market participation among Rwandan savers and investors.

Corporate Finance & Advisory – advises corporates, government entities, and development finance institutions on capital raising, mergers and acquisitions, and transaction structuring. It co-invests alongside DFIs, regional funds, and international advisory firms on select transactions, serving as a bridge between Rwanda's growth opportunities and global capital.

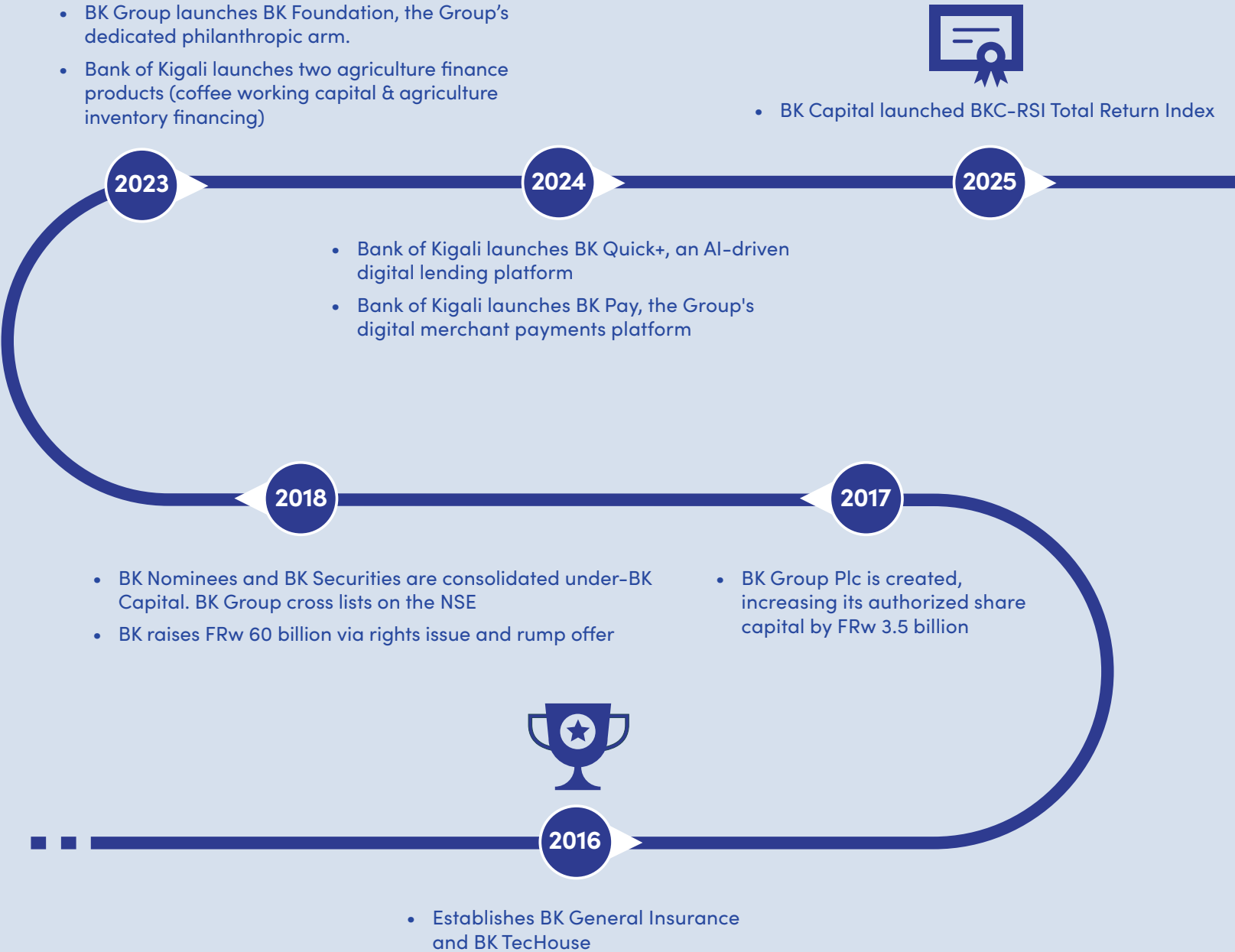
Securities Brokerage & Market Research – As Rwanda's leading specialist stockbroker and a member of the Rwanda Stock Exchange (RSE), BK Capital provides equity and fixed income execution services alongside proprietary market research and periodic publications, supporting informed investment decision-making for its diverse client base.

Together, these subsidiaries form an integrated financial ecosystem that not only drives profitability but also supports Rwanda's long-term development goals. We are more than a financial institution; we are an engine of growth, inclusion, and transformation.

60 Years of Heritage



From a state-owned commercial bank to Rwanda’s largest,
fully integrated financial ecosystem.



What Drives Us



Our Vision

Transform the lives of our stakeholders by offering state-of-the-art, customer-centric financial services.

- Stakeholder Impact**

Focusing our success on the tangible betterment of the people and communities we serve.
- State-of-the-Art Solutions**

Committing to top-tier, modern systems and services.
- Customer-Centricity**

Building every financial product around the specific needs of the end-user.



Our Mission

Delight our customers via deep knowledge of our region, cultivating engaged talent, & ground-breaking innovation.

- Deep Regional Knowledge**

Leveraging local expertise to understand and anticipate our market’s unique dynamics.
- Engaged Talent**

Building teams that are passionate, invested, & empowered to execute.
- Ground-Breaking Innovation**

Continually pushing boundaries to deliver unparalleled financial solutions.

DRIVE: The Heart of BK Group’s Culture

At BK Group, our success is powered by a culture that goes beyond numbers, shaping an organization that is agile, customer-centric, and purpose-driven. At the core of this culture lies our DRIVE value; a set of guiding principles that fuel our growth, inspire innovation, and foster a workplace where talent thrives. Each letter in **DRIVE** embodies a fundamental belief that defines who we are and how we operate:

DRIVE

The Ubudasa DRIVE: A set of guiding principles that fuel our growth, inspire innovation, and foster a workplace where talent thrives.



Devoted to nurturing our people

Our people are our greatest asset, and we are devoted to creating an environment where talent thrives.

- We invest in our people's growth, creating an environment where talent thrives.
- By supporting continuous learning, we empower our team to reach their full potential and drive the company's success.



Redefining the Status Quo

Innovation is at the core of what we do.

- We challenge norms, embrace change, and pioneer solutions that shape the future of financial services.



Inspired by Our Customers

Customers are at the heart of everything we do. We listen, adapt, and co-create solutions.

- We listen to their needs, adapt our solutions, and co-create solutions that enhance their lives. By leveraging data-driven insights and fintech advancements, we create seamless, intuitive, and impactful financial experiences.



Viewing success through the lens of the organization

Collaboration is our strength.

- Collaboration fuels our success, and teamwork drives our ability to create meaningful change. Across our subsidiaries, we work as one BK Group, breaking silos and fostering a culture of unity that amplifies our collective impact.



Empowered and Responsible

We are responsible for our role in our shared purpose, leading with ownership and integrity.

- We listen to their needs, adapt our solutions, and co-create solutions that enhance their lives. By leveraging data-driven insights and fintech advancements, we create seamless, intuitive, and impactful financial experiences.



The Driving Force

At BK Group, DRIVE is more than a set of values; it is a mindset, a philosophy, and a way of doing business. It is the force behind our impact, ensuring that we propel beyond expectations, and that our success is measured not just in figures, but in the lives we transform.

“DRIVE: Where innovation, collaboration, and purpose fuel our growth and transform lives.”

Our Strategy

At BK Group, our strategy is anchored in the belief that true financial success is about more than just numbers. It's about creating tangible impact empowering individuals, communities, and businesses to grow sustainably. As Rwanda's leading financial services provider, we remain committed to driving innovation, supporting economic progress, and delivering value to all our stakeholders.

In 2024, we advanced this mission by building on the foundation laid in 2023 making strong progress in digital transformation, financial inclusion, and sustainability. We also cascaded our group strategy across all subsidiaries, reinforcing internal alignment and strengthening our contribution to Rwanda's Vision 2050 and the National Strategy for Transformation (NST2).

In a rapidly evolving landscape, we continue to embrace change, leverage technology, and put customers at the heart of everything we do. Our growth is tied to the success of those we serve, which is why our strategy focuses on inclusive impact fostering economic development, expanding access to finance, and promoting long-term sustainability.

Through our diverse services from banking and insurance to investment advisory and tech we aim to be a catalyst for Rwanda's progress. By innovating for the future and enhancing customer experiences, we are building a strong, sustainable ecosystem that supports economic and social development across the region.

1. Fostering an Innovative and Empowered Workforce

We invest in attracting, developing, and retaining top talent, cultivating a culture where innovation and learning are core.

Impact: Launched Hackathon Earth, an innovation competition platform designed to foster creative solutions set to be rolled out across all Group subsidiaries.

- Implemented group-wide employee engagement surveys to gather insights and strengthen organizational culture.
- Introduced IgaHub, a comprehensive online learning platform to support continuous learning and development across the Group.

2. Delivering Customer-Centric Solutions

By combining data-driven insights with a performance-focused sales approach, we continued to strengthen both customer experience and revenue growth across the Group..

Impact: Leveraged advanced analytics to deepen customer understanding and satisfaction, with practical use cases implemented across subsidiaries.

- Trained sales teams on data-driven engagement strategies, enabling more effective cross-selling and personalized service delivery.
- Attained a Net Promoter Score (NPS) of 68, indicating improved customer loyalty and advocacy.

3. Streamlining Operations for Greater Efficiency

We focus on process optimization and automation to reduce costs, enhance speed, and deliver superior service.

Impact: Introduced Group-wide ERP and automation tools, cutting operational time by 40%.

4. Building a Seamless Financial Ecosystem

We continue integrating our services across banking, insurance, investment, and technology, offering a one-stop financial solution for our customers.

Impact: Rolled out the Finteco platform, unifying our offerings into a single digital ecosystem for greater convenience.

5. Promoting Financial Inclusion and Sustainability

We are committed to making financial services more accessible and driving inclusive growth.

Impact: Developed tailored products for underserved segments such as microloans and green finance drawing on insights from Techouse, the Bank, and Insurance arms.

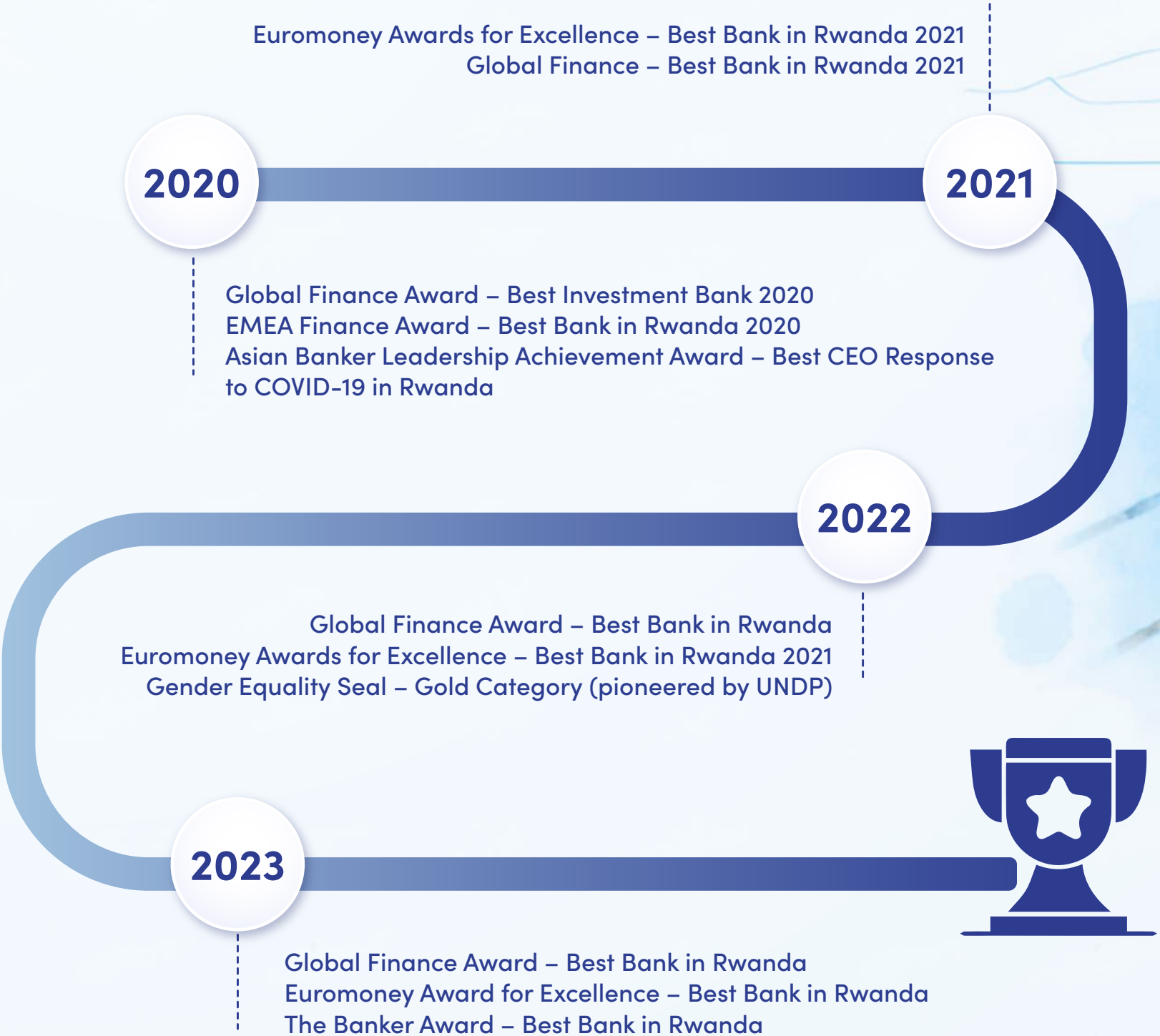
- Launched ecosystem initiatives targeting key sectors, including agriculture, and education through the Urubuto Parent Loan.

The group has outlined five cultural ambitions that serve as guiding principles for its operations:



Awards & Accolades : A Timeline of Achievements

As we continue on our journey to redefine the financial landscape, BK Group has been recognized for its efforts in innovation, operational excellence, and social impact. Below is a timeline showcasing some of our key achievements and accolades over the years.





Understand our operating environment

Macro-Economic and Socio-Political Environment

• Rwanda's Growth Trajectory

Rwanda's economy delivered 9.4% real GDP growth in full year 2025, according to the National Institute of Statistics of Rwanda — with momentum strengthening progressively through the year, from 6.5% in Q1 through 8.9% in Q2, 11.8% in Q3, and 11.2% in Q4. This acceleration through the year reflects not merely favourable base effects but genuine structural expansion: gross capital formation grew 22% in Q4, household consumption 18%, and merchandise exports 29.9% in the same period. Rwanda's GDP at current prices reached RWF 23.4 trillion in 2025, up from RWF 19.9 trillion in 2024 — a nominal expansion of RWF 3.5 trillion in a single year.

Growth was broad-based in sectoral terms. Industry was the standout performer at +16% for the full year, driven by construction activity, an expanding mining and quarrying sector, and continued momentum in manufacturing. Construction growth of 20% in Q3 2025 reflects the sustained pace of infrastructure investment that has characterised Rwanda's development agenda, while the 14% expansion in manufacturing signals the early stages of value-added industrial capacity emerging alongside the services economy. Agriculture grew 10% — a significant contribution given the sector's role as both an economic and food security anchor — while services expanded 10%, with information and communication (+17%), wholesale and retail trade (+20%), and transport services (+10%) the leading contributors within the segment.

This breadth of growth matters for BK Group's business model. A financial institution that serves households, SMEs, agribusinesses, corporate clients, and institutional depositors simultaneously is directly exposed to the health of every sector of the economy. The 2025 expansion provided a supportive backdrop for loan book growth, deposit mobilisation, and asset quality — and the sectoral distribution of that growth created specific opportunities in agriculture, infrastructure financing, and digital commerce that BK Group was positioned to serve.

• Labour Market and Social Indicators

Rwanda's labour market continued to improve in 2025. The unemployment rate stood at 13.4% in Q3 2025, a 1.9 percentage point improvement from the same period in 2024. The rate was higher among females at 15.9% compared to 11.2% for males, and more pronounced

among youth at 15.5% compared to 11.2% for adults — structural dynamics that underscore the importance of financial inclusion initiatives targeting women-led enterprises and youth entrepreneurs. Labour underutilisation, which captures unemployment alongside time-related underemployment and the potential labour force, was estimated at 56.7% — a figure that contextualises the continued importance of financial services in enabling productive economic participation.

• Socio-Political Stability and Investment Climate

Rwanda's socio-political environment remained stable throughout 2025, with the government maintaining its commitment to infrastructure investment, macroeconomic discipline, and an enabling environment for private sector growth. Rwanda's strategic positioning as East Africa's premier hub for conferences, diplomacy, and regional headquarters — reinforced by Kigali's status as host to multiple continental and international institutions — continued to support demand for financial services catering to the institutional and diplomatic community. This environment directly informed Bank of Kigali's decision to launch a dedicated Institutional Banking vertical in 2025.

Rwanda's commitment to the African Continental Free Trade Area and its active participation in regional economic integration provided a structural tailwind for financial services firms with pan-African ambitions. Fitch Ratings affirmed Rwanda's sovereign credit rating at B+ with a Stable outlook during 2025, reinforcing the country's macroeconomic credibility with international investors and supporting continued access to external capital markets on favourable terms. At the Group level, BK Group's own long-term credit rating of AA (RW) and short-term rating of A1+ (RW), both with stable outlooks from Global Credit Rating, were maintained throughout the year — providing an independent institutional endorsement that complements the sovereign signal.

• Global Headwinds and External Risks

Rwanda's macroeconomic performance in 2025 was achieved against a backdrop of significant external uncertainty. Policy turbulence in major advanced economies — particularly the United States, where aggressive tariff announcements in April 2025 contributed to dollar weakness and heightened market volatility — created spillover effects for emerging market economies reliant on dollar-denominated trade.



9.4% GDP growth in 2025 driven by government investments and favorable macroeconomic policies despite global headwinds.

and financing. Rwanda, with a merchandise trade deficit that widened 2.7% in 2025, is not insulated from these dynamics, though the moderation of franc depreciation to 4.4% from 5.4% in 2024 suggests that domestic policy adjustments and export growth are providing meaningful buffers.

Commodity price volatility, driven by geopolitical tensions and the accelerating physical effects of climate change, remains a structural risk for an economy where agriculture constitutes a meaningful share of output and employment. The continued elevation of energy costs — reflected in the electricity tariff increases of October 2025 — illustrates how global energy market dynamics translate into domestic cost pressures that affect both businesses and households. BK Group's climate agriculture financing programme, supported by the European Investment Bank facility, is partly a response to this risk: building the financial resilience of Rwanda's agricultural sector against climate-related shocks is both a commercial and a systemic responsibility.



Inflation, Currency and Monetary Policy

• Inflation Dynamics

Headline inflation averaged 6.9% in 2025, within the central bank's 2–8% target band for the full year. This aggregate masks a significant intra-year trajectory: urban CPI annual change moved from 6.3% in April 2025 through 7.3% in the middle of the year before accelerating to 8.0% in December 2025 and 8.9% year-on-year in January 2026. The drivers of this late-year acceleration were identifiable and specific: core inflation rose to 9% in Q4 2025, energy inflation reached 12.4%, and housing, restaurant, and hotel costs rose materially. The October 2025 electricity tariff revision and upward revisions to charcoal and fuel pump prices in November 2025 were the proximate causes of the Q4 acceleration. Fresh food inflation, by contrast, declined to 1.4% — suggesting that agricultural production remained adequate to contain food price pressures even as energy and service costs rose.

Headline inflation is projected to remain slightly above 8% in the first half of 2026 before gradually easing toward the 2–8% target range by end-2026. This projection is contingent on global energy market stability, the pass-through effects of recent tariff changes moderating, and continued agricultural sector performance. For BK Group, the inflationary environment has two-directional implications: on the asset side, higher nominal activity supports loan demand and deposit mobilisation; on the liability side, sustained above-target inflation creates pressure on deposit rates and the cost of funds that must be carefully managed.

• Monetary Policy

The Central Bank Rate was maintained at 6.75% through November 2025 — a stance that reflected the central bank's judgement that inflation, while elevated in absolute terms, remained within the target band and that a tighter policy stance was not yet warranted given the growth momentum of the economy. The 50-basis-point increase to 7.25% in February 2026, in response to the year-end inflationary acceleration, represents a measured tightening rather than an aggressive policy pivot. The interbank rate moved correspondingly from 6.78% in Q4 2024 to 6.87% in Q4 2025.

Market lending rates declined during 2025, with the sector-wide lending rate falling from 15.85% in Q4 2024 to 15.72% in Q4 2025 — a modest 13-basis-point reduction that reflects competitive dynamics and targeted credit support initiatives across the banking sector. Deposit rates fell more significantly, from 10.50% in Q4 2024 to 8.98% in Q4 2025 — a 152-basis-point reduction that is consistent with the banking sector's active reduction of term deposit costs and the structural shift toward CASA-led funding that Bank of Kigali executed during 2025. This policy and market rate environment directly enabled the 70-basis-point reduction in BK Group's cost of funds, from 3.4% to 2.7%, that was a primary driver of net interest income expansion during the year.

Looking ahead, the February 2026 CBR increase introduces a degree of monetary policy tightening into the 2026 operating environment. BK Group's balance sheet is positioned to manage this: a predominantly fixed-rate loan book provides some insulation against rate movements on the asset side, while the CASA-heavy deposit base limits repricing

pressure on the liability side. The net interest sensitivity will be managed actively within the Group's treasury framework.

• Currency and Foreign Exchange

The Rwandan franc depreciated 4.4% against the US dollar in 2025 — a meaningful improvement from the 5.4% depreciation recorded in 2024. This moderation was supported by a combination of factors: stronger export performance, with merchandise exports growing 29.9% in Q4 2025; increased tourism receipts as Rwanda's conference and hospitality sectors continued to recover and grow; rising remittance inflows; and the domestic foreign exchange market reforms implemented by the central bank during the year. A broader weakening of the US dollar on global markets — driven by policy uncertainty and trade tensions in the United States — also provided a favourable external tailwind for emerging market currencies including the franc.

The FRW/KES exchange rate moved from 10.7 at end-2024 to 11.3 at end-2025, reflecting the relative performance of the Rwandan franc against the Kenyan shilling — a bilateral rate of particular relevance to BK Group given its dual listing on the Nairobi Securities Exchange and the East African cross-border investor base that listing is designed to serve.

For BK Group's balance sheet, foreign currency risk is actively managed within a Net Open Position limit of -5%. At 31 December 2025, the Bank's NOP improved to +2.2% — a shift from the -4.4% position at end-2024 — driven by deliberate accumulation of a foreign currency position through market purchases. The USD loan portfolio grew from \$173.1 million at end-2024 to \$222.7 million at end-2025, reflecting increased medium-term foreign currency lending to qualified borrowers. Total deposits in USD grew from \$497.8 million to \$586 million over the same period. The Bank's forex assets to forex liabilities ratio stood at 100.9% at year-end, reflecting a near-balanced foreign currency book.

• Financial Sector Stability

The financial sector as a whole demonstrated resilience throughout 2025. The central bank's Financial Stability Committee confirmed the soundness of the system as at December 2025: the sector-wide Capital Adequacy Ratio stood at 21.9% against a 15% regulatory minimum; the NPL ratio at 2.5%, below the 5% benchmark; and the Liquidity Coverage Ratio at 358.8%, well above the 100% requirement. New credit extended by banks grew 19% to RWF 2.7 trillion, and total financial sector assets expanded 23.7% to RWF 15.9 trillion — confirming a well-capitalised, liquid, and actively intermediating banking sector.

BK Group's own capital position is consistent with and superior to this sector-wide strength, with the Bank's Total Capital Adequacy Ratio at 21.1% and Tier 1 Capital at 19.8% — both comfortably above regulatory minimums and providing buffers that support continued balance sheet expansion into 2026.

Industry Trends

• The Digital Transformation Imperative

Digital transformation is no longer a trend within Rwanda's financial services sector — it is the central organising principle of competitive strategy. Customers across all segments increasingly expect seamless, secure, and always-available financial experiences, and the institutions that are building the infrastructure to deliver those experiences at scale are winning market share, reducing their cost-to-serve, and generating proprietary data assets that compound over time.

The scale of Rwanda's digital payments ecosystem in 2025 underscores the pace of this transition. Retail digital payments reached RWF 77.6 trillion in value in Q4 2025 alone, with e-payments representing 336% of GDP — up from 302% a year earlier. The volume of digital transactions intermediated by the financial system has grown at a pace that is structurally changing how businesses manage working capital, how households access credit, and how the government collects taxes and distributes transfers. Payment systems remained stable throughout 2025 with no major disruptions, while fraud cases declined overall — a reflection of coordinated investment by regulators, financial institutions, and government stakeholders in digital security infrastructure.

For BK Group, this environment is both an opportunity and a baseline expectation. Bank of Kigali's total digital transaction volumes reached 22.4 million for the full year 2025, with a value of RWF 13.7 trillion. The share of retail clients who are digitally active reached 53.3% at year-end, up from 49.0% in 2024 — a direction of travel that is consistent with the broader sector but which BK Group is actively accelerating through product investment, channel expansion, and behavioural incentives.

The mobile banking revolution is compressing the relevance of physical branch networks while simultaneously creating demand for more sophisticated digital products. Bank of Kigali's continuous investment in the BK Mobile App — with overdraft management, savings target-setting, and BK-to-MoMo transfer functionality added in 2025 — reflects a product philosophy that treats digital channels not as a cost-reduction mechanism but as a primary relationship and revenue-generating infrastructure. The Bank's self-onboarding capability, extended to the diaspora segment in 2025, demonstrates that physical presence is no longer a prerequisite for customer acquisition — a structural shift with profound implications for the addressable market of any digital-first financial institution.

• Interoperability and Pan-African Payment Integration

One of the most consequential industry developments of 2025 was the expanding operationalisation of the Pan-African Payment and Settlement System — PAPSS — which enables real-time cross-border payments across African currencies without correspondent bank routing or US dollar conversion. Bank of Kigali became the first commercial bank in Rwanda to go live on PAPSS in February 2025, with 15 central bank networks now connected to the system. This development is strategically significant beyond its immediate operational utility: as the African Continental Free Trade Area scales and intra-African trade — currently representing only 16% of Africa's total trade — grows toward its structural potential, institutions that are PAPSS-connected will have a structural advantage in serving the corridor payment needs of businesses operating across the continent.

The eKash interoperability platform, in which BK Group participates as a core infrastructure member, further deepens the interconnection between Rwanda's financial institutions and the broader digital payments ecosystem. These interoperability investments are not merely technical integrations — they are the building blocks of a financial infrastructure that makes Rwanda a natural hub for East African commerce and capital flows.

“Digital transformation is no longer a trend within Rwanda's financial services sector, it is the central organising principle of competitive strategy, shaping how institutions win market share, reduce cost-to-serve, and build data assets that compound over time.”

“The institutions investing in AI-driven credit scoring, predictive customer analytics, fraud detection, and automated compliance monitoring are fundamentally changing their cost structures and their ability to serve customers at scale without proportional increases in headcount or operational risk.”

• Artificial Intelligence and Data-Driven Banking

Artificial intelligence and advanced data analytics are increasingly separating the financial institutions that are building genuine competitive moats from those that are merely digitalising existing processes. The institutions investing in AI-driven credit scoring, predictive customer analytics, fraud detection, and automated compliance monitoring are fundamentally changing their cost structures and their ability to serve customers at scale without proportional increases in headcount or operational risk.

BK Group made substantive investments in this capability during 2025. BK TechHouse’s AI strategy delivered USD 115,000 in savings through internally developed solutions that would otherwise have been outsourced, including a customer-facing chatbot, a next-best-offer model on digital channels, an Xsell tool that equips relationship managers with targeted customer insights and 360-degree behavioural profiles, and an AI-driven customer onboarding and matching system deployed at the Milestone 1 go-live of the Data Warehouse. The BK Hackathon, held in June 2025, represents an institutional commitment to sourcing innovation from within – building an internal capability for technology development that reduces dependency on external vendors over time. The Mastercard and Visa billing data review during the year – which identified overbilling issues related to cross-border fees and generated conservative estimated savings of approximately USD 200,000 – illustrates how data analytics applied to vendor relationships can generate material financial value alongside its customer-facing applications.

Rwanda’s banking sector generated a 22.7% share of total financial sector assets in Q4 2025, and the sector’s NPL ratio of 2.5% confirms that credit quality has been maintained through the growth phase. Within this context, institutions with superior data capabilities – enabling better credit underwriting, more precise provisioning, and earlier identification of portfolio risk – will compound their advantage over time.

• Sustainability and Climate Finance as Competitive Differentiation

Sustainability has transitioned from a reporting obligation to a strategic differentiator in Rwanda’s financial services sector. The convergence of regulatory expectation, investor scrutiny, and customer preference is creating a two-tier market: institutions that can demonstrate

credible, measurable ESG commitments attract a different quality of capital, a different calibre of institutional partnership, and access to concessional funding sources that are increasingly material to balance sheet economics.

BK Group’s €100 million European Investment Bank climate agriculture facility – the largest EIB private sector investment in Rwanda – is the clearest expression of this dynamic. The facility provides concessional, long-term funding that directly enables BK Group to price agricultural credit more competitively than purely commercially funded alternatives, creating a genuine product advantage in a segment that grew 49% in 2025. This is sustainability and commercial strategy converging in a single financing structure – not a trade-off between the two.

The global shift toward mandatory climate disclosure – driven by IFRS S2 adoption, TCFD frameworks, and the growing requirements of international institutional investors – is accelerating the need for Rwandan financial institutions to build credible climate risk measurement and reporting capabilities. BK Group’s IFRS S2 climate disclosure readiness assessment, completed in 2024, established the baseline from which its multi-year Climate Action Plan is being executed. The institutions that build these capabilities early will not only meet regulatory requirements – they will access the growing pool of climate-aligned institutional capital that is increasingly choosing counterparties on the basis of climate governance quality.

Gender-lens investing and women’s financial inclusion are similarly moving from peripheral programmes to mainstream credit strategies. BK Group’s structured lending programme for women-led businesses – expanded in 2025 with limits raised to RWF 75 million and three unsecured facility types – reflects both the commercial opportunity in a historically underserved segment and the growing expectation from development finance partners that institutions demonstrate measurable gender impact alongside financial returns.

• Financial Inclusion and Productive Sector Deepening

Rwanda's financial inclusion agenda continues to provide a structural growth backdrop for institutions with the distribution reach, product innovation, and risk appetite to serve segments that formal financial systems have historically underserved. The agency banking model — in which Bank of Kigali's 5,438-agent network is a leading example — remains the primary mechanism for extending financial access beyond Rwanda's urban centres. These agents serve not merely as transaction points but as the primary financial relationship for a large proportion of Rwanda's rural and peri-urban population, creating deposit mobilisation, credit assessment, and insurance distribution opportunities that are invisible to institutions without comparable last-mile infrastructure.

The agriculture sector's emergence as a high-growth credit segment — reflecting Rwanda's Vision 2050 productive sector priorities, the government's agricultural modernisation agenda, and the availability of blended finance instruments like the EIB facility — is creating a new frontier for institutions with sector-specific underwriting capability. BK TechHouse's Smart Nkunganire System, which registered 3.4 million farmers by early 2025 and serves as the data backbone for agricultural credit underwriting at Bank of Kigali, illustrates how technology and financial services can be integrated to serve this frontier at scale.

The energy sector's continued expansion — with BK Group having deployed over RWF 61 billion across hydropower, methane gas, solar, and clean energy distribution — similarly reflects the productive sector financing opportunity created by Rwanda's infrastructure investment programme. Institutions capable of structuring and underwriting complex, long-tenor energy project finance are positioned to capture a disproportionate share of the capital requirements of Rwanda's energy transition.

• Competitive Dynamics and Market Structure

Rwanda's banking sector remained competitive in 2025, with ten banks reporting across a range of asset sizes, business models, and ownership structures. BK Group maintained its position as the market leader across all principal metrics: 33.2% total asset market share, 41.7% net loan market share, and 31.7% deposit market share as at Q3 2025. Return on Equity of 26.9% and Return on Assets of 4.3% placed Bank of Kigali in the top tier of the peer group on earnings quality. The cost-to-income ratio of 35.4% compares favourably against a sector average of 47.3% — a gap that reflects years of sustained investment in automation, digital infrastructure, and process efficiency.

Competition for top-tier corporate and SME clients intensified in 2025, as evidenced by the compression of loan-related fees and the pricing concessions required to retain quality borrowers. This dynamic is structural, not cyclical — as the sector's capital adequacy improves and credit appetite among peers increases, pricing discipline on fees and margins will require active management. BK Group's competitive response is to differentiate on breadth of offering, quality of service, and ecosystem depth rather than on price — a strategy that requires sustained investment in product, technology, and distribution infrastructure but that creates more durable competitive advantages than margin-led approaches.

On the Nairobi Securities Exchange, where BK Group trades under the ticker BKG, the dual-listing continues to provide access to a broader East African institutional investor base and serves as an important signal of Rwanda's capital market integration with the region. The cross-listing arbitrage between the RSE (BOK) and NSE (BKG) is monitored actively, and BK Group's investor relations programme is designed to ensure that both markets receive consistent, high-quality information that supports rational price discovery on both exchanges.

Regulatory Changes

Rwanda's regulatory environment continued to evolve in 2025 in ways that directly affected BK Group's operating model. The most significant development was the introduction of a regulatory cap on foreign exchange bid-offer margins in May 2025, which compressed FX trading income across the banking sector and required institutions to adapt their FX revenue models. Bank of Kigali responded with revised tariff structures in Q4 2025.

The central bank's Financial Stability Committee, convening in February 2026, confirmed the soundness of Rwanda's financial system as at December 2025. The sector-wide Capital Adequacy Ratio stood at 21.9% against a 15% regulatory minimum, the NPL ratio at 2.5% — below the 5% benchmark — and the Liquidity Coverage Ratio at 358.8%, well above the 100% requirement. These sector-level indicators confirm that Rwanda's banking system is well-capitalised, liquid, and resilient.

New VAT legislation, introduced through Ministerial Order in April 2025, extended VAT applicability to specific banking products and services effective May 2025. BK Group has been systematically implementing the required system and process changes across all 33 identified service categories, with full deployment targeted for completion by end of Q1 2026. The integration of banking systems with Rwanda Revenue Authority's EBM and VSDC platforms a regulatory requirement for large taxpayers is also in progress, with completion expected by Q3 2026.

BK Group remains committed to full compliance with Rwanda's evolving regulatory framework, including strengthened anti-money laundering obligations, enhanced cybersecurity standards, climate risk reporting requirements, and sustainability-aligned disclosure obligations. These frameworks are not constraints on our business model they are the architecture within which durable, trusted financial institutions are built.

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Our Governance



Reflections from the Board Chairman

Dear Shareholders,

As I present the 2025 BK Group Integrated Annual Report, I do so with a sense of profound responsibility. This year, we mark the 60th anniversary of the Group's largest subsidiary, Bank of Kigali — six decades of financial intermediation, economic partnership, and nation-building that have shaped Rwanda's financial landscape in ways few institutions can claim. Against this backdrop, 2025 was not only a year of continued financial progress but also a year of transformative strategic action. Net Income for the Group grew to RWF 110.1 billion, representing a 20.9% increase year-on-year, while Return on Equity strengthened to 22.9%, reflecting the compounding effect of disciplined capital allocation and sustained operational execution. These results confirm that BK Group's integrated financial ecosystem model is a proven, working reality.

A Year of Strategic Delivery

Total Assets reached RWF 2.9 trillion, growing 15.8% year-on-year, reflecting broad-based growth across the Group's subsidiaries. Across the Group, we maintained portfolio quality while growing. At Bank of Kigali, loan book growth of 16.1% was achieved while maintaining disciplined credit standards, with the non-performing loan ratio improving to 2.9% from 3.2% in 2024. At BK General Insurance, gross written premiums grew 18.8% to RWF 19.04 billion while the combined ratio held at a highly disciplined 73% — significantly outperforming the private sector average — demonstrating that growth and quality are not in tension at BK Group: they are managed together.

These results reflect the compounding effect of our five strategic pillars, which have guided every investment and allocation decision across the Group: **(1) fostering an innovative culture;** **(2) building a customer-centric organisation;** **(3) driving automation and process efficiency;** **(4) developing customer-centric products and ecosystem;** and **(5) deploying an aggressive customer sales force.** Each pillar is designed not as a standalone objective but as an interdependent lever



“2025 marked 60 years of Bank of Kigali, with strong financial performance and steady strategic progress. Growth across the business, expansion of our ecosystem, and continued digital advancement reinforce the strength of our model. With a clear direction and a legacy of trust, BK Group is well positioned to shape the future of financial services in Rwanda.”

— innovation enabling better products, automation freeing capacity for deeper customer engagement, and a sharpened sales force converting that engagement into measurable revenue growth. The consistency of this framework across the 2025–2027 strategy period is itself a source of competitive advantage, allowing the Group to build depth rather than pivot reactively.

At BK Group, financial inclusion is not a programme — it is the architecture of our business model. Bank of Kigali extended its reach to 782,838 customers through 67 branches, 5,438 active agents, and a digital banking platform that processed 22.4 million transactions worth RWF 13.7 trillion in 2025. The SME portfolio grew to represent 19.8% of the loan book — up from 13.6% — while agricultural lending expanded 50% to RWF 93.4 billion, four times the sector average. BK General Insurance deepened its coverage to 30,050 policyholders, with micro-insurance products reaching smallholder farmers as the Group’s first insurer dedicated to Rwanda’s agricultural sector.

BK Capital’s Aguka Unit Trust Fund, distributed through Bank of Kigali’s branch network, reached RWF 36.1 billion in Assets Under Management

— democratising access to investment products for Rwandans who previously had no vehicle for long-term savings beyond the banking system.

BK TechHouse’s Smart Nkunganire System serves 3.3 million registered farmers with digital inputs and market linkage, while the Urubuto Education platform connected 58 new schools to cashless payment infrastructure in the fourth quarter alone,

and BK Foundation trained 13,490 farmers and certified 10,245 young Rwandans in digital skills.

Inclusion, in 2025, was operational.

Across our subsidiaries, the Group’s diversification thesis continued to gain validation. BK Capital’s Assets Under Management grew to RWF 154.7 billion — more than doubling (+111%) year-on-year from RWF 73.2 billion in 2024 — as institutional and retail demand for structured investment products in Rwanda continues to outpace market supply. BK General Insurance expanded its customer base to 30,050, deepening its integration with Bank of Kigali’s distribution infrastructure to capture cross-sell opportunities at scale. BK TechHouse sustained its position as the technology backbone of the Group, supporting approximately 5.7 million unique digital users — up 54% year-on-year — and continuing to build the data and automation capabilities that will define our competitive advantage in the decade ahead.

Expanding the Ecosystem: Private Equity and Digital Leadership

Two strategic developments in 2025 deserve particular attention, as they represent the Group’s most consequential expansion of its financial ecosystem since listing.

First, following shareholder approval at our May 2025 Annual General Meeting, BK Group initiated the formation of Rwanda’s first institutionally structured Private Equity Fund, through a joint venture with the Advanced Finance and Investment Group (AFIG).

This marks a defining moment. For years, Rwanda’s SME sector — the engine of employment and economic diversification — has faced a structural financing gap between commercial bank credit and the equity capital required to scale. Our Private Equity Fund is designed precisely to bridge that gap, providing growth capital to medium-sized enterprises that are too large for microfinance and too early for public markets. Subject to requisite regulatory approvals, we expect to make meaningful progress in establishing and deploying this fund in 2026–2027, and I look forward to reporting substantively on this initiative in next year’s Annual Report.

Second, our digital ecosystem continued its upward trajectory in 2025. BK Pay gained significant adoption as Rwanda’s cashless economy initiative accelerated, with the merchant base reaching 830 by year-end — exceeding original targets — and onboarding 725 new merchants in Q1 2025 alone. year-on-year.

“Strong governance, a clear sustainability agenda, and six decades of earned trust continue to anchor BK Group’s growth. As we build on this heritage, we remain focused on scaling our impact and shaping Rwanda’s financial future with confidence and purpose.”

The Group’s participation in the national eKash interoperability platform further cemented BK’s role as the infrastructure layer of Rwanda’s digital financial system. These are not peripheral innovations — they are strategic moats that deepen customer relationships, generate proprietary data, and lower the long-term cost of financial service delivery across the Group.

Governance, Sustainability, and Institutional Confidence

The Board continues to operate with stability and clarity of purpose. There were no changes to the composition of the Board or the Executive Leadership Team in 2025, enabling continuity of strategic direction and sustained momentum on our 2025–2027 corporate strategy. We believe leadership continuity, underpinned by robust governance frameworks, is itself a source of investor confidence and competitive advantage.

On sustainability, 2024 marked BK Group’s inaugural year of formal ESG reporting, structured in accordance with GRI 2021 standards – a deliberate signal that our sustainability commitments are subject to the same transparency and accountability standards as our financial disclosures. Our inaugural materiality assessment, independently facilitated, identified environmental stewardship and climate action as the highest-priority ESG issue among our stakeholder base, directly shaping our investment decisions. In response, Bank of Kigali completed an IFRS S2 climate disclosure readiness assessment during 2024, establishing the baseline from which our multi-year Climate Action Plan will be executed. Concurrently, a partnership with EIB Global secured €100 million to finance climate-smart agriculture and women-led enterprises – a transaction that demonstrates how sustainability and commercial growth reinforce rather than constrain one another.

Our social commitments advanced with equal purpose. BK Foundation, established in 2023, deepened its impact across education, innovation, and environmental conservation in 2024: over 2,200 individuals benefited from financial literacy programmes, 26 Village Savings and Loan Associations were established mobilising more than RWF 31.6 million in community savings, and 25,000 trees were planted in Kayanza District as part of our ecosystem restoration agenda. Internally, BK Academy delivered 193,000 learning hours

across the Group – averaging 168.7 hours per employee – and 30 ESG Champions were trained and deployed across all subsidiaries to embed environmental and governance consciousness into daily operations. These figures represent not only social responsibility but the deliberate construction of a workforce and community ecosystem capable of sustaining BK Group’s growth over the long term.

Six Decades, One Vision

The theme of this Annual Report is a strategic lens. BK Group exists today because, for sixty years, Bank of Kigali has earned the trust of Rwandans by doing the fundamentals well: mobilising savings, extending credit responsibly, financing trade, and enabling investment. That foundation of earned trust is our most durable competitive asset — one that no new entrant can replicate through technology or capital alone.

As we look to the next decade, the question before us is not whether BK Group has the heritage to lead — that is settled. The question is whether we will deploy that heritage boldly enough to build Rwanda’s integrated financial ecosystem at a scale commensurate with the country’s ambitions. With a Private Equity Fund entering formation, a digital platform approaching mass adoption, and a capital markets arm growing Assets Under Management at pace, I believe the answer is yes.

On behalf of the Board, I extend my sincere appreciation to our shareholders for their continued confidence, to our customers for the trust they place in us every day, and to our employees and executive management for their disciplined execution of a strategy that is genuinely transforming Rwanda’s financial sector. The heritage we carry is only meaningful if we deploy it in the service of the future we are building together.

Murakoze cyane!

Jean Philippe Prosper

Chairman, BK Group Plc

Board of Directors



Jean Philippe Prosper
Chairman



Sonia K. Masimbi
Vice Chairperson



Darren K. Smith
Board Member



Ulrich Kayinamura
Board Member



Francis Gatare
Board Member



Roselyne Uwamahoro
Board Member



Achumile 'Ace' Majija
Board Member

Our Governance Framework

a. Risk Management Approach

A Culture of Risk Awareness and Resilience

At BK Group, risk management is more than a function, it is a shared responsibility embedded across the organization. Our risk culture is built on an all-encompassing approach, ensuring that every employee, from leadership to frontline teams, plays an active role in safeguarding the Group’s financial strength and long-term sustainability.

We continuously engage employees at all managerial levels across our operations and business divisions, equipping them with the knowledge and tools needed to navigate risks effectively and uphold the highest standards of compliance. By fostering a risk-aware culture, we ensure that governance is not confined to a single team or committee but is woven into every decision we make.

A Robust and Adaptive Risk Framework

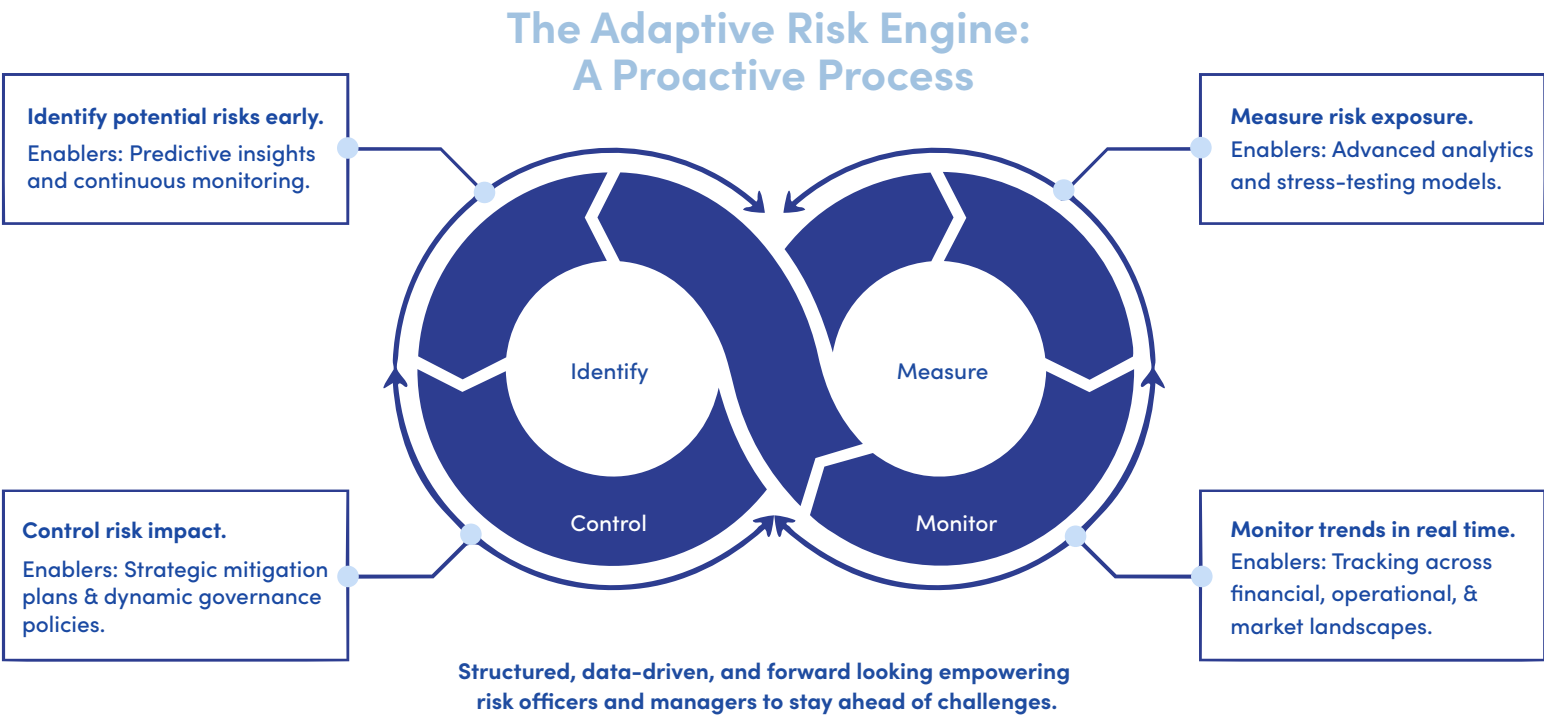
BK Group operates within a comprehensive risk and compliance framework that adheres to global best practices, regulatory requirements, and industry-leading standards. This framework is the driving force behind our ability to identify, assess, and balance financial and non-financial risks, allowing us to adapt swiftly to evolving challenges while seizing opportunities for innovation and growth.

Proactive Risk Management for Sustainable Growth

Our risk management process is structured, data-driven, and forward-looking, empowering our risk officers and managers to to:

- Identify potential risks early through predictive insights and continuous monitoring
- Measure risk exposure using advanced analytics and stress-testing models.
- Monitor financial, operational, and market trends in real time to stay ahead of challenges
- Control risk impact through strategic mitigation plans and dynamic governance policies

Guided by a robust regulatory framework, our risk management program covers key areas, including:





Risk Management for Banks



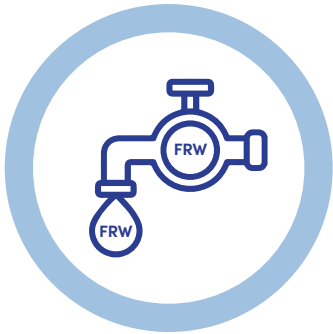
Credit Classification & Provisioning



Corporate Governance



**Management of Related Parties
and Credit Concentration Risk**

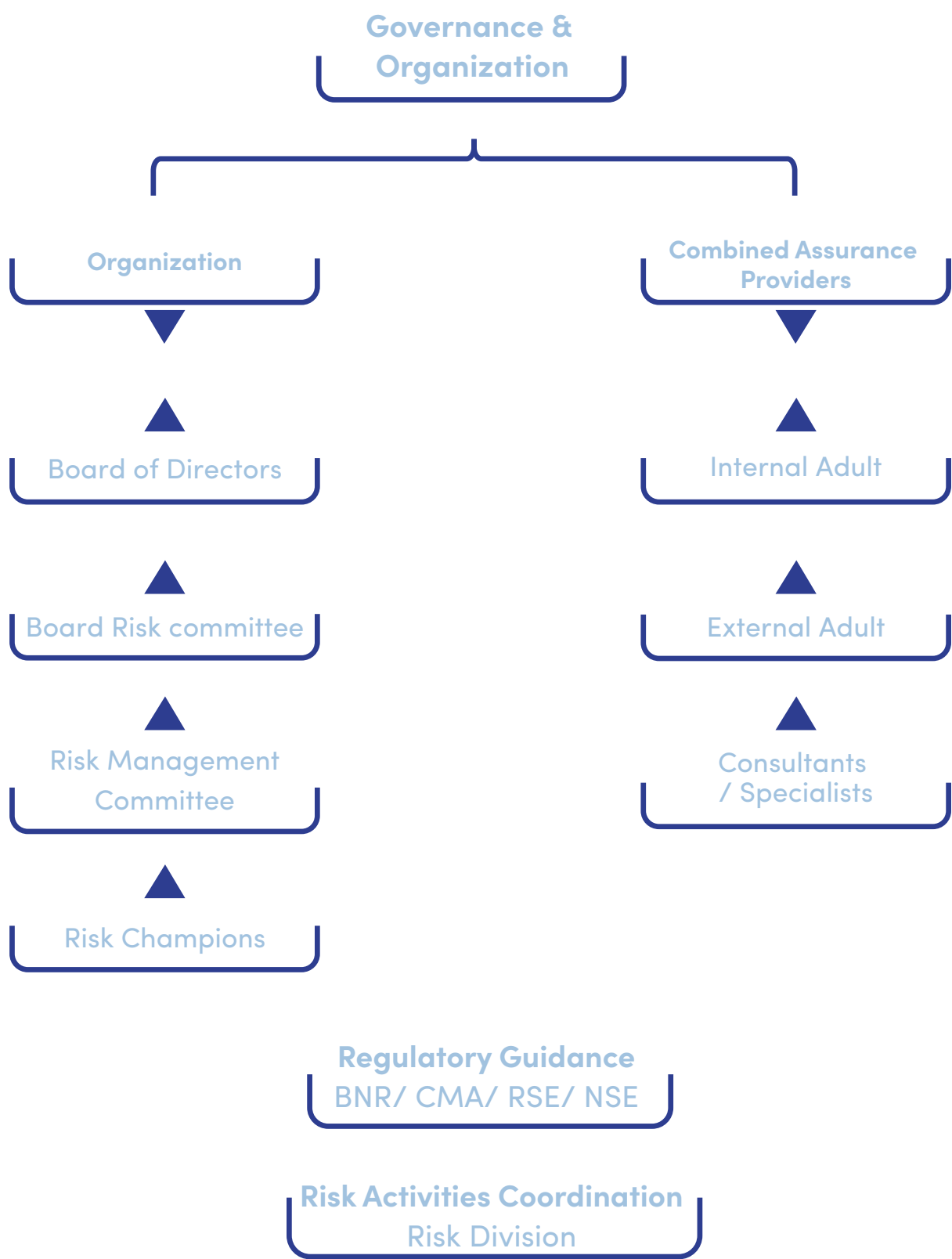


**Capital and Liquidity
Requirements for Banks**



**Capital and Liquidity
Requirements for Banks**

Our Risk Organization's Structure



BK Group operates within a robust and well-structured risk governance framework, ensuring compliance, resilience, and strategic alignment with regulatory standards. As a regulated financial institution under the National Bank of Rwanda (BNR), we uphold the highest standards of risk oversight and management.

To reinforce this commitment, the Board of Directors established the Board Risk Committee (BRC), which plays a pivotal role in shaping risk management policies, defining risk appetite, and ensuring proactive risk oversight. Working in coordination with the Group's four lines of defense, the BRC ensures that risk governance is integrated into every aspect of the organization, fostering a culture of accountability and informed decision-making.

In a dynamic regulatory landscape, the BRC ensures that risk policies remain agile and aligned with the Group's evolving strategy, BNR's regulatory requirements, and international best practices. By continuously reviewing and enhancing our risk framework, we create a resilient and forward-thinking financial institution, equipped to navigate complexities while driving sustainable growth.

Risk Outline and Policies

Risk	Risk Management Approach	Outcomes in 2025
Credit Risk	Policies and procedures, including credit approval matrices and a credit review system that utilizes standardized measures and ratios to monitor the health of the Group's portfolio, are in place.	The Group's policies and procedures have allowed the Group to maintain a healthy loan portfolio. Regular monitoring of loan portfolio metrics enables the identification of early warning indicators of distress, allowing the Group to take proactive measures in developing recovery strategies.
Market Risk	The Group manages market risk by monitoring currency risk and interest rate risk. The Board of Directors sets limits on the level of exposure by currency and in total for both overnight and intra-day positions, which are monitored daily. Moreover, hedging strategies are used to ensure that positions are maintained within the established limits.	The Group closely monitored foreign exchange positions and interest rate fluctuations to mitigate revaluation risks. Key metrics (LCR, NSFR, NOP) remained well within regulatory and internal limits, ensuring financial stability amid market volatility.
Operational Risk	An operational risk management program that manages behavioral risk, cyber risk, credit risk, and compliance risk. The Bank utilizes the Basic Indicator Approach to measure and maintain operational risks across the Group's divisions	The Group maintained regular monitoring and reporting of its operational risk profile and continued to train its employees to prepare for any and all potential risks that may arise
Concentration Risk	Controls and measures to minimize Risk undue concentration of exposure in the Group's two client segments. These include portfolio and counterparty limits, as well as approval and review controls.	The concentration risk per name and group concentration, economic sector, and business segment was closely monitored, and efforts were deployed to minimize the concentration risk to the maximum allowable limits. Notable efforts were made by the Bank of Kigali to maintain a more strategically diverse portfolio by promoting lending services to retail and SME clients.
Capital and Solvency Risk	An actively managed capital base to cover risks inherent in the businesses through its Asset-Liability Committee (ALCO). The adequacy of the Group's capital is monitored using, among other measures, the rules and ratios established by the National Bank of Rwanda	Maintained a strong capital base and maintained investor, creditor, and market confidence, and successfully continued to sustain the future development of the business. As at the end of 2025, the Bank's CAR stood at 22.5%, quite above both internal and regulatory limits financial soundness.
Funding Risk	A multitude of ratios are used as essential indicators for the risks associated with project cashflows.	Maintained a strong capital base and maintained investor, creditor, and market confidence, and successfully continued to sustain the future development of the business.
Liquidity Risk	The key measure used by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers. The daily liquidity position is monitored, and regular liquidity stress testing is conducted under a variety of scenarios covering both normal and more severe market conditions.	Maintained sufficient liquidity to meet its liabilities when due under both normal and stressed conditions without incurring unacceptable losses or risking damage to the Group's reputation. The liquidity coverage ratio was maintained at 424% and net stable funding ratio at 125% as at the end of 2025.

Anti-Corruption

BK Group Plc (The Group) is fully committed to preventing corruption by maintaining ethical behavior among its staff, customers, suppliers, contractors, other providers of our sourced activities, representatives, and agents.

Corruption has both financial and reputational costs, not only on the Group but the entire country. In this respect, the Group has a zero-tolerance philosophy toward actual or attempted bribery.

Risks

Incidences of corruption and other unethical behavior are taken into account in any assessment. Corruption cases are investigated as part of fraud investigations, which are conducted whenever a suspicious or detected fraud act occurs.

Training

The anti-corruption initiatives have been approved by the Board of Directors of BK Group Plc Plc. These initiatives are cascaded to the executive management, heads of departments, and 100% of the entire staff. All business partners, including suppliers and agents, have been informed of our initiatives

Compliance

The Group is fully committed to complying with the highest standards associated with banking and financial regulatory frameworks and policies. It is constantly aiming to set the bar for sound and ethical business practices to ensure the best interest of the Group's stakeholders and align with international best practices.

The Group is committed to implementing all regulations, including Regulation n° 55/2022 of 27/10/2022 relating to financial service consumer protection and Law N° 058/2021 of 13/10/2021 relating to the protection of personal data and privacy.

The Board is responsible for putting in place policies that align with the regulations. It maintains oversight on regulatory compliance by receiving and assessing, on a quarterly basis and whenever required, various reports from management, including compliance, risk, and internal and external audit reports, all of which allow it to make an informed decision and take measures that ensure. The Group is subjected to regulatory audits through onsite inspections and offsite reviews. These audits by the regulator complement the work done by the Group's three lines of defense, namely the compliance, risk, and internal audit functions. These internal control functions are an essential component of the Group's compliance framework, as they bolster its ability to identify, measure, and mitigate significant risks to the Group's operations.

Tax Compliance

The income tax expense for the period is the tax payable on the current period's taxable income, based on the income tax rate applicable for Rwanda and adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax charge is calculated on the basis of the tax laws enacted at the end of the reporting period in Rwanda. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to tax authorities.

The Group complies with tax law to ensure automation is implemented in core banking to collect taxes automatically where applicable and proper tax set-up is executed in ERP to ensure that taxes are correctly captured during payment processes. Monthly tax returns are prepared by a tax accountant and reviewed by direct supervisors within the Finance department (Group Finance Manager and Group Head of Finance), and the payment is completed within the specified timelines stipulated by tax law.

The tax health check is conducted annually by an external advisor with experience in applicable tax laws in Rwanda. They provide guidance on compliance as needed. Additionally, we engage tax authority directly in case of guidance or any dispute regarding tax. The Group also uses Rwanda Banker's Association (RBA), BNR, MINECOFIN, and other tax practitioners, including professional audit firms, for collecting and considering the views and concerns of stakeholders, including external stakeholders.



Shareholder Relations And Communication

How we communicate	Who we engage with:	How we engage
- Annual Report - Sustainability Report - Earnings releases - Website - External events and conferences	- Retail Shareholders - Institutional investors - Financial Analysts - Brokers	- Quarterly earnings calls - Roadshows - Annual Meeting - Institutional Investors' queries to the Investor Relation Office - Conference calls and on-to-one meetings.

The Board is committed to promoting open and transparent communication with shareholders in order to build trust and maintain strong relationships with them. The Group upholds an ongoing dialogue with shareholders and provides them with accurate and relevant information to help them make informed decisions, while providing them with the opportunity to engage with Group Executives through various forums. Shareholders are kept abreast of all material business developments that influence the Group in a transparent and timely manner through various communication channels as highlighted above.

The Group corporate website hosts a dedicated section, the 'Investor Relations', which enables shareholders to have access to a range of corporate documents and publications including quarterly Financial Statements and annual reports as well as earnings presentations, credit rating announcements and annual meeting resolutions. Complementing the 'Investor Relations', an 'Investor Portal' is also available on the Group's corporate website, where shareholders submit their queries or claim for unpaid dividends directly.

Investor engagement

Given the Group's broad range of investors with different information needs, the investor relations engagement programme provides for dedicated teams to attend to the requests of individuals and institutional shareholders of the Group.

Individual & Institutional shareholders

The Group's Head of Investor Relations (IR) oversees communication with retail & institutional shareholders, in collaboration with the Group's Registrar, Image Registrar. The Team caters for the information needs of shareholders that range from sending relevant correspondence to responding to their queries in a timely manner. The Group Head of IR escalates, as and when necessary, feedback from shareholders to the CEO and the Board.

In addition to quarterly interactions with investors through results briefings, half-yearly analyst meetings and online earnings calls, the Group engaged with investors through conference calls and one-to-one meetings arranged outside the preset reporting cycle. The IR Unit keeps the Board up-to-date on key market trends as well as investors' views and sentiment. An outline of the Group's engagement programme during the year in review is set out in the following section

Our engagement with investors during 2025	
Investor conference call and Meetings	- Interacted with 10+ international institutional investors and analysts to discuss the performance and strategy of the Group - Ongoing engagement with international and local institutional investors, brokers and analysts.
Earnings Call and Investor Briefings	Earnings calls are organised on a quarterly basis following the publication of financial statements. the full year calendar of events is published on the Group's website: https://bkgroup.rw/investor-calendar
Annual Meeting of Shareholders	- Annual Meeting of Shareholders held in May 2025 - Shareholders who attended were given the opportunity to express their views, ask questions and receive feedback directly from Board members

Shareholder Information

Shareholding profile

Ordinary shareholders

The Group has a diversified ownership base of around 6,000 shareholders. As at 31 December 2025, outstanding ordinary issued capital of BK Group Plc amounted to RWF 9.5 billion, comprising 934.72 million ordinary shares. The following table sets out the top shareholders holding more than a 5% ownership of ordinary share capital by size and type.

Investor Type/ Name	Total No. of Shares	% in Total Shareholding
Rwanda Social Security Board (RSSB)	310,690,000	33.24%
Regional & International Institutional Investors	307,973,564	32.95%
Agaciro Development Fund	199,159,400	21.31%
Local Institutional Investors	65,538,500	7.01%
Foreign Retail Investors	26,235,936	2.81%
Local Retail Investors	20,882,908	2.23%
Employees	4,236,000	0.45%
TOTAL	934,716,308	100.00%



Corporate Governance Framework

The Group has established a Group Corporate Governance Framework which is now implemented across all subsidiaries

Upholding Excellence in Governance

At BK Group Plc, corporate governance is more than a regulatory requirement, it is the foundation of sustainable growth, stakeholder trust, and long-term value creation. As Rwanda’s leading financial services group, we uphold the highest ethical, legal, and governance standards, ensuring transparency, accountability, and strategic oversight across all our subsidiaries. Our Corporate Governance Framework fosters a culture of responsibility, balancing authority with stewardship to drive sustainable success beyond financial performance.

Governance Framework and Board Oversight

The BK Group Governance Framework provides clear structures for leadership, accountability, and control, ensuring alignment with both local regulatory standards and global best practices. This framework empowers the Board of Directors and senior management with well-defined responsibilities to enhance decision-making, safeguard shareholder interests, and foster an ethical corporate culture.

BK Group Plc Board of Directors and Committees

BK Group Plc Board – As of 31 December 2025, the BK Group Plc Board comprised seven directors:

	Jean Philippe Prosper Chairperson of the Board Independent		Sonia K. Masimbi Vice Chairperson Independent		Roselyne Uwamahoro Board Member Independent		Ulrich Kayinamura Board Member Non-Independent
	Francis Gatare Board Member Non-Independent		Darren K. Smith Board Member Independent		Achumile ‘Ace’ Majija Board Member Independent		

The Board of Directors plays a pivotal role in shaping BK Group’s strategic direction, maintaining financial integrity, and ensuring prudent risk management. With a blend of independent and non-independent directors, the Board fosters a balance between strategic oversight and operational excellence. To reinforce accountability, the Board operates through specialized committees:

Nomination and Governance Committee

The Nomination and Governance Committee is appointed by the Board of Directors, with the Company Secretary serving as its Secretary. The committee plays a pivotal role in overseeing corporate governance across the BK Group, ensuring leadership excellence and compliance with governance frameworks.

Key responsibilities include:

- Leading the selection and appointment process for C-suite executives, senior full-time hires, and Board vacancies across subsidiaries.
- Establishing and reviewing governance policies related to employee retention, diversity, equality, and significant employee relations matters.
- Ensuring compliance with corporate governance requirements across the Group.

In alignment with corporate governance best practices, the committee also oversees the bonus and compensation framework. Bonuses at BK Group Plc are determined through a rigorous performance review process, evaluating both individual and Group performance against predefined targets. The committee is responsible for reviewing and approving Group staff compensation and bonuses to ensure fairness and alignment with strategic objectives.

BK Group Plc adheres to the Law N° 007/2021 Governing Companies in Rwanda, particularly Article 164, which mandates transparency in executive remuneration. This law requires companies to disclose total compensation—including bonuses and incentive schemes—of directors, executives, and key officers at least once annually, ensuring shareholders receive full disclosure. In compliance, BK Group Plc provides detailed remuneration reports for Board Members and Chief Executives of its subsidiaries.

Investment Committee

The Investment Committee is appointed by the Board of Directors, with the Company Secretary serving as its secretary. The committee is responsible for defining, implementing, and reviewing the Group's investment strategy to ensure alignment with its long-term objectives.

Key responsibilities include:

- Evaluating and recommending significant internal and external investments to the Board.
- Assessing the appropriateness of investment strategies, ensuring they align with risk tolerance and projected performance.
- Reviewing investment performance against expectations and strategic objectives.
- Monitoring risk exposure across various asset classes and providing guidance on corrective actions when necessary.

Through rigorous oversight and strategic foresight, the Investment Committee ensures that BK Group Plc maintains a resilient and high-performing investment portfolio, supporting sustainable growth and long-term value creation.

BK Group Plc Board Total Annual Remuneration in FRw'000

Name	Title	2025	2024
Jean Philippe Prosper(Chairman)	Chairperson of the Board	162,267	151,363
Mrs. Sonia Masimbi Kubwimana	Vice Chairperson	75,550	49,228
Mr. Darren Smith	Board Member	89,398	45,355
Roselyne Uwamahoro	Board Member	69,604	45,345
Francis Gatara Kabera	Board Member	75,550	47,335
Majija Achumile	Board Member	74,211	46,459
Ulrich Kayinamura	Board Member	79,650	9,786

BK Group Plc Subsidiaries CEO/MD - Total Annual Remuneration in FRw'000

Name		2025	2024
Dr Uzziel Ndagijimana	BK Group Plc	368,908	145,268
Dr. Diane Karusisi	Bank of Kigali Plc	540,197	525,815
Alex Bahizi	BK General Insurance Ltd	265,131	253,454
Deogratius Stephen Massawe	BK TecHouse Ltd	321,232	188,238
Siongo Kisoso	BK Capital Ltd	81,838	119,277
Ingrid Karangwayire	BK Foundation Ltd	108,541	69,317

Bank of Kigali Plc Board

The Bank of Kigali Plc Board of Directors is elected by the Bank’s shareholders and is collectively responsible for the institution’s long-term success. The Board is accountable for the Bank’s overall performance, ensuring that strategic objectives align with sustainable growth and shareholder value.

Key responsibilities include:

- Setting the Bank’s strategic direction within a framework of incentives, rewards, and governance controls.
- Balancing long-term growth with short-term objectives to drive financial performance and operational excellence.
- Overseeing risk management, financial reporting, and regulatory compliance.

The Board is currently structured with two non-independent directors and five independent directors, including the Chairman. Its composition and size are determined in accordance with the Bank’s Articles of Association, Board Charter, and applicable laws.

By upholding the highest corporate governance standards, the Bank of Kigali Plc Board ensures resilience, transparency, and strategic foresight, reinforcing its position as a leading financial institution in Rwanda.

As of 31 December 2025, the Bank of Kigali Plc Board comprised seven directors:



Eugene Ubalijoro
Chairperson of the Board
Independent



Regis Rugemanshuro
Vice Chairperson
Non- Independent



Angela Wamola
Board Member
Independent



Winnie Ouko
Board Member
Independent



Dr. Pie Habimana
Board Member
Independent



Laban Bayingana
Board Member
Non- Independent



William Juma Arogo
Board Member
Independent

Board Operations and Control

The Board of Directors, composed of both executive and non-executive members, operates in full compliance with the Companies Law of Rwanda, the Bank’s Memorandum and Articles of Association, the Board Charter, and the BNR Regulation on Corporate Governance for Banks. The Board is committed to promoting the Bank’s success for the benefit of all stakeholders.

Directors are appointed by shareholders through a shareholders’ resolution, following a rigorous selection process based on financial literacy, leadership qualities, technical expertise, and diversity. To uphold the Bank’s commitment to inclusivity, factors such as academic qualifications, industry knowledge, nationality, age, and gender are also considered.

The Board is responsible for creating and delivering sustainable stakeholder value by setting the Bank’s strategic objectives and policies. It ensures management strikes an appropriate balance between long-term growth and short-term performance. As the decision-making body, the Board oversees:

- Financial oversight, including approval of quarterly, half-yearly, and annual financial statements.
- Corporate actions, such as changes in capital structure, major mergers, acquisitions, and capital expenditures.
- Governance matters, including the appointment or removal of directors and the company secretary.
- Executive performance, including the review of the Chief Executive Officer’s leadership.
- Dividend approvals and the annual budget.

The Board convenes at least once per quarter, with directors required to attend at least 75% of meetings annually. Members who fail to meet this requirement must resign. In 2024, the Board held four Ordinary Meetings and one Extraordinary Meeting.

Board Committees

To enhance its oversight function, the Board establishes committees as needed, ensuring they operate within clearly defined mandates. Each committee must adhere to Board regulations, report quarterly, and meet regularly under delegated terms of reference. Currently, the Board oversees five key committees, each playing a vital role in governance and decision-making.

As of 31 December 2025, the Bank of Kigali Plc Board comprised seven directors:

Board Committees	Directorship	Board meeting	extraordinary meeting	Audit Committee	Risk Committee	Credit Committee	Nomination & remuneration committee	IT Committee
Ubalijoro Eugene	Independent	4/4	3/3	N/A	N/A	N/A	N/A	N/A
Regis Rugemanshuro	Non-Independent	4/4	3/3	N/A	N/A	7/7	4/4	4/4
William Juma Arogo	Non-Independent	4/4	3/3	N/A	4/4	6/7	N/A	4/4
Angela W. Wamola	Independent	4/4	1/3	N/A	4/4	N/A	N/A	4/4
Bayingana Laban	Independent	4/4	3/3	4/4	4/4	7/7	N/A	N/A
Pie Habimana	Independent	4/4	3/3	4/4	N/A	N/A	4/4	N/A
Winnie Ouko	Independent	4/4	3/3	4/4	N/A	N/A	4/4	N/A
Angela Wamola	Independent	4/4	4/4	4/4	4/4	4/4	4/4	4/4

Nomination and Remuneration Committee

The Nomination and Remuneration Committee oversees 20 strategic people-related matters, including employee retention, equality, diversity, and significant employee relations issues. It advises the Board on Board appointments, ensuring an appropriate balance of skills, experience, independence, and availability across the Board and its committees.

The Committee also leads the development of a comprehensive remuneration policy aligned with the Company's business strategy, risk appetite, and long-term objectives. This includes advising on salaries, bonuses, employment contracts, severance and retirement benefits, and long-term incentive schemes. The Committee is chaired by an Independent Director.

Remuneration

NAME	2025	2024
Ubalijoro Eugene	151,754	86,046
Regis Rugemanshuro	87,737	82,210
William Juma Arogo	86,700	94,514
Angela Wabosha Wamola	81,614	86,036
Bayingana Laban	87,760	84,970
Pie Habimana	81,614	48,030
Winnie Ouko	72,721	-
Reynolds Rod Michael	15,753	169,917
Risper Alaro	-	86,045

Credit Committee

The Credit Committee is responsible for approving the Bank's credit facilities. It reviews all credit transactions and approves loans that exceed the Management Credit Committee's authority limit, as determined by the Board.

Additionally, the Committee ensures that the Bank maintains high standards of internal control in managing risk assets. Given the volume of transactions requiring Credit Committee approval, urgent credit decisions may be made between meetings, following a structured process to ensure all members receive comprehensive information before approval.

Audit Committee

The Audit Committee ensures the Bank's compliance with regulatory policies and internal governance standards. Its key responsibilities include:

- Approving the internal audit plan and reviewing external auditors' scope and audit plans.
- Assessing audit reports and identifying internal control weaknesses.
- Ensuring financial reporting integrity by reviewing annual and interim financial statements.
- Overseeing external auditors to maintain their independence and objectivity.

The Committee has unrestricted access to external auditors for additional information and explanations. The Chairman of the Board is not a member of the Audit Committee but may attend meetings as necessary.

Board Risk Committee

The Board Risk Committee ensures the Bank has a robust risk management framework to effectively identify, measure, control, and monitor risks. The Committee is responsible for:

- Reviewing the Bank's risk control systems and ensuring effective risk policies and strategies.
- Overseeing the risk management function, including the Asset and Liability Committee (ALCO) at the management level.
- Assessing risk exposure and issuing recommendations to the Board.
- Advising on risk appetite and overseeing its implementation.

The Committee provides independent oversight of corporate risk management, integrating risk concerns raised in Audit Committee and Asset and Liability Committee discussions.

Board IT Committee

The Board IT Committee oversees the IT Steering Committee and ensures compliance with cybersecurity laws and regulations. The Committee has the authority to investigate IT-related matters, seek internal and external expertise, and collaborate with other Board Committees and senior management to align corporate and IT strategies.

Company Secretary Mandate

As outlined in the Board Charter, the Company Secretary provides guidance and administrative support to the Board. Responsibilities include:

- Serving as a point of reference for all directors and ensuring they receive relevant information.
- Coordinating orientation and ongoing education for Board members.
- Assisting the Chairman and Chief Executive Officer in formulating the annual Board Plan and other strategic matters.
- Organizing Board meetings and ensuring accurate documentation of discussions and decisions.

Directors can obtain information from external consultants and advisors through the Company Secretary when needed.

External Auditor

The external audit function, overseen by the Audit Committee, provides an additional layer of assurance regarding the integrity of financial statements. Key responsibilities include:

- Reviewing and approving the external audit plan and engagement.
- Assessing the performance and independence of the external auditor.
- Ensuring financial statements present a balanced and fair view of the Bank's financial position.

The external auditor, Ernst & Young, independently examines the reasonableness of the Bank's financial statements. The auditor meets with the Audit Committee quarterly for interim results and reports directly to the Board at the end-of-year meetings.

BK Capital : Board Attendance

Name	Designation	Meetings Attended
Moses KIIZA	Independent	4/4
Flora NSINGA	Non-Independent	4/4
Christian BUGABO	Independent	4/4
Kedibone IMATHIU	Independent	4/4

Remuneration

Name	2025	2024
Moses KIIZA	28,798	26,504
Flora NSINGA	-	-
Christian BUGABO	20,567	18,929
Kedibone IMATHIU	25,731	14,173

BK General Insurance : Board Attendance

Name	Designation	2025	2024
Chantal Habiyakare	Chairperson	Resigned, 2/4	4/4
Jean Enoch Habiyambere	Vice chairman	Resigned	4/4
Athanase Rutabingwa	Chairman	4/4	4/4
Achumile Majija	Director	4/4	4/4
Shehzad Noordally	Director	4/4	4/4
Patrice Bastide M.G.M	Director	4/4	4/4
Nicolas Murimi	Director	4/4	4/4

Remuneration

Name	Designation	2025	2024
Chantal Habiyakare	chairperson	4,286	10,714
Jean Enoch Habiyambere	Vice chairman	-	7,143
Achumile Majija	Director	7,429	5,857
Athanase Rutabingwa	Chairman	8,571	10,714
Shehzad Noordally	Director	9,429	9,857
Patrice Bastide M.G.M	Director	7,857	8,143
Nicolas Murimi	Director	-	-

BK TechHouse Board Attendance

Name	Title	Meeting Attended
Nathalie MUNYAMPENDA	Independent	4/4
Dr. Diane KARUSISI	Non-Independent	3/4
Samuel NSHIMIYIMANA	Independent	4/4
Didier K. NKURIKIYIMFURA	Independent	4/4
Philip GASAATURA	Independent	4/4
Jean Aime Cliff MULIGANDE	Non-Independent	4/4

Remuneration

NAME	2025	2024
Nathalie MUNYAMPENDA	4,571	5,714
Dr. Diane KARUSISI	-	-
Samuel NSHIMIYIMANA	2,857	3,571
Didier K. NKURIKIYIMFURA	-	-
Philip GASAATURA	2,857	2,142
Jean Aime Cliff MULIGANDE	-	-

Bank of Kigali Board of Directors



Eugene Ubalijoro
Chairman



Regis Rugemanshuro
Vice Chairperson



Angela Wamola
Board Member



Dr. Pie Habimana
Board Member



Winnie Ouko
Board Member



Laban Bayingana
Board Member



William Juma Arogo
Board Member

BK General Insurance Board of Directors



Chantal Habiyakare
Chairperson



Jean E Habiyambere
Board Member



Patrice Bastide
Board Member



Shehzad Noordally
Board Member



Athanase Rutabingwa
Board Member



Nicholas Murimi
Board Member



Achumile Majija
Board Member

BK Capital Board of Directors



Moses Kiiza
Chairman



Flora Nsinga
Board Member



Kedibone Imathiu
Board Member



Patrice Bastide
Vice Chairperson

BK TechHouse Board of Directors



Nathalie Munyampenda
Chairperson



Dr. Diane Karusisi
Board Member



Didier Nkurikiyimfura
Board Member



Samuel Nshimiyimana
Board Member



Philip Gasaatura
Board Member



Jean Aime Muligande
Board Member

BK Foundation of Directors



Mrs. Yvette Ingabire
Chairperson



Dr. Michel Masozera
Board Member



Lydie Hakizimana
Board Member



Liana Nsengimana
Board Member



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Our Business

At BK Group, leadership is more than strategy, it's about delivering impact that transforms lives. Our leadership team leads with vision, expertise, and an unwavering commitment to innovation and sustainable growth.

Together, they steer Bank of Kigali, BK Insurance, BK Capital, BK TecHouse and BK Foundation ensuring that each subsidiary not only achieves financial success but also delivers real-world impact.

Under their guidance, BK Group has not only achieved financial milestones but also championed inclusive economic growth, digital transformation, and community empowerment. Their collective efforts go beyond numbers to create lasting value for shareholders, customers, and communities.

Each member of our leadership team brings deep expertise and a shared commitment to progress. Together, they drive BK Group's financial strength, digital evolution, risk resilience, and social impact.

Message from the Group Chief Executive Officer

Dear Valued Stakeholders,

Six Decades, One Vision

In 1966, Bank of Kigali opened its doors with a straightforward conviction: that Rwandans deserved a financial institution built for them, committed to growing with them across generations. That conviction has not dimmed in the years since. It has compounded — first into an institution, then into an ecosystem.

As BK Group marks six decades of Bank of Kigali's service to Rwanda, we account for what has been entrusted to us and make the case, in the language of strategy and results, for what this institution becomes next.

One of the most consequential outcomes of those six decades is the breadth of the institution that banking built. Beyond the Bank, BK Group today spans insurance, investment management, technology, and philanthropy: BK General Insurance and BK TecHouse, both established in 2016, extended the Group's reach into risk protection and digital infrastructure; BK Capital, incorporated in 2018 through the consolidation of BK Securities and BK Nominees, deepened our capital markets capabilities; and BK Foundation, launched in 2023, formalised our community development commitment into a dedicated philanthropic arm. Each entity was created in deliberate response to what Rwanda's economy needed at a particular stage of its growth — and each is now a productive contributor to the integrated ecosystem that defines BK Group today.

The sub-theme anchoring this report, "Six Decades, One Vision: Rwanda's Integrated Financial Ecosystem", is a strategic thesis — not a commemorative phrase. Our five subsidiaries do not operate in parallel; they operate in concert, each reinforcing the others, each extending the Group's reach and deepening its impact across banking, insurance, investment, technology, and community development. In 2025, that ecosystem thesis continued to move from aspiration to measurable reality — and the financial results, operational milestones, and market confidence we report this year are the evidence.

Financial Performance: Compounding Discipline, Expanding Returns

BK Group delivered net profit attributable to shareholders of RWF 110.1 billion for the year ended 31 December 2025 — a 20.9% increase on the prior year — on operating income of RWF 281.1 billion (+8.7% year-on-year). Profit before tax reached RWF 157.5 billion (+24.9%), with earnings per share advancing to RWF 117.8 from RWF 97.8 in 2024. These results reflect the compounding effect of strategic investments in balance sheet growth, credit quality, and operational discipline — gains that materialised simultaneously across the income statement.

Net interest income was the primary engine of growth, expanding 15.6% to RWF 220.5 billion — driven by a 16.1% increase in net loans to RWF 1,688.1 billion and growth in the deposit base to RWF 1,884.4 billion (+14.8%). NII now represents 78% of operating income, reflecting BK Group's core lending franchise and disciplined funding mix. Fee and commission income and foreign exchange income moderated during the year — declining to RWF 36.6 billion and RWF 16.8 billion respectively — a dynamic the Group is actively managing through transaction volume growth and digital platform expansion.

Dr. Uzziel Ndagijimana

Chief Executive Officer BK Group

The most consequential driver of profit growth was the structural improvement in credit quality. Credit impairment charges on loans fell 49.9% to RWF 17.1 billion from RWF 34.0 billion in 2024 – a saving of RWF 16.9 billion that flowed directly to the bottom line. The cost of risk on the loan book compressed significantly from 2.34% in the prior year. This is not a one-cycle release; it reflects sustained underwriting discipline, proactive portfolio management, and the progressive resolution of legacy credit stress that has been a consistent management priority. The NPL ratio improved to 2.9% from 3.2% in 2024.

Operational efficiency held firm despite an 8.1% increase in total operating expenses to RWF 106.6 billion – driven primarily by a 14.3% rise in employee costs as the Group invested in people capacity across its subsidiaries. The cost-to-income ratio improved to 37.9% from 38.1% in 2024, demonstrating that revenue growth continued to outpace cost expansion. Return on Average Equity reached 22.9% and Return on Average Assets 4.0%, with total assets crossing RWF 2.9 trillion (+15.8%). The Group's Capital Adequacy Ratio strengthened to 22.5% from 20.9% in 2024, well above regulatory minima and confirming the balance sheet capacity to sustain strategic execution.

For shareholders, the financial performance supported a total proposed dividend of RWF 53.04 per share – an 80% increase year-on-year – reflecting the Board's decision to structurally elevate the payout ratio from 30% to 45% of attributable earnings. The Board had earlier declared an interim dividend of RWF 11.20 per share during the year, with the proposed final dividend of RWF 41.84 per share returning significant value ahead of the year-end results. Total equity strengthened to RWF 524.2 billion (+19.5%), underpinning the balance sheet capacity for continued strategic execution.

Market Re-Rating: Investor Confidence Validated

Perhaps the most unambiguous external validation of BK Group's strategic progress in 2025 came not from our own reporting but from the market. Our share price rose 27.4% on the Rwanda Stock Exchange (RWF 310 to RWF 395) and 30.5% on the Nairobi Securities Exchange (KES 32.55 to KES 42.50) – a genuine re-rating that reflects growing investor confidence in the performance of the Group. Our dual-listed structure connects the region's deepest institutional capital pools to BK Group's fundamentals, and we are committed to sustaining the analytical quality of investor communications that this level of scrutiny demands.

The Ecosystem Thesis: From Strategy to Operational Reality

What distinguishes BK Group from a bank with affiliated subsidiaries is the intentional design of our ecosystem – built so that each entity creates compounding value through its interaction with the others, not merely alongside them. In 2025, three strategic initiatives brought this architecture to life in ways that will define our competitive positioning for the decade ahead.

The ecosystem commercial logic is already demonstrable. BK Capital's Aguka Unit Trust Fund reached RWF 36.1 billion in Assets Under Management in 2025, well ahead of target, driven materially by collaboration and distribution through Bank of Kigali's channels and branch footprint – a result neither entity could have achieved independently. BK Pay, our merchant payments platform, reached 4,745 active merchants by year-end – a growth of over 1,000% year-on-year –

positioning BK Group at the centre of Rwanda's growing digital commerce infrastructure.

The Digital Finance System and Ejo Heza micro-lending product address the two dimensions of Rwanda's financial inclusion frontier. The DFS programme – a dedicated loan management system built by BK TechHouse, integrated with MTN's infrastructure – responds directly to the expansion of telecom-led financial services by combining the Bank's regulatory strength and product depth with mobile-first reach. Ejo Heza extends that logic to pension savers: RSSB scheme members will be able to access micro-loans against their accumulated savings, converting previously inert capital into productive credit. Both initiatives are designed not to respond to market trends, but to shape them.

Subsidiary Performance: Five Engines, One Direction

The Group's consolidated performance is the aggregate of five subsidiaries that in 2025 each advanced their individual mandates while contributing measurably to collective capability.

Bank of Kigali sustained its position as Rwanda's most significant financial institution, serving 782,838 customers as at 31 December 2025 through 67 branches, 103 ATMs, and an agency banking network that expanded to 5,438 active agents. Net loans grew to RWF 1,688.1 billion, underpinned by diversified portfolio composition across corporate, retail, SME, and agricultural segments. The Bank's sustained cost discipline and improving asset quality metrics continued to define the Group's financial character.

BK General Insurance grew gross written premiums 18.8% year-on-year to RWF 19.04 billion across motor, fire, marine, and agricultural lines, with its active customer base surpassing 30,050 policyholders. The combined ratio of 73% – comprising a claims ratio of 36% and an expense ratio of 37% – remained significantly below regulatory thresholds, demonstrating underwriting quality that outperformed the private sector average in an increasingly competitive market.

BK Capital delivered a standout performance, with assets under management reaching RWF 154.7 billion – a 111% year-on-year increase – driven by strong institutional mandates and the continued growth of the Aguka Unit Trust Fund to RWF 36.1 billion. Total income grew 20% year-on-year, and the business strengthened its position across M&A advisory, structured finance, and capital markets mandates, reinforcing Rwanda's investment ecosystem.

BK TechHouse posted revenue growth of 32% year-on-year, with digital sales contributing 59% of total revenue. Digital users expanded to approximately 5.7 million – up 54% year-on-year – while SaaS revenues grew 154% and Software Development on Demand revenues grew 132%, reflecting the division's evolution from internal service provider to a technology platform with commercial scale.

BK Foundation deepened its community development mandate across three strategic pillars. In education, 620 scholarships were awarded – 420 in STEM (76% girls) and 200 in TVET (71% girls) – alongside support for 510 health students through the Government's 4x4 Reform in higher learning and the completion of two Early Childhood Development centres serving 200 children. In empowerment, 13,490 farmers were trained in smart agribusiness, 10,245 digital skills certifications were issued through the Smart Ibiruhuko programme, and 20 MSMEs received RWF 425.5 million in interest-free financing through the Urumuri Green and Circular Business Initiative in partnership with GIZ. 3,560 youth were connected to career pathways, and 2,500 students across 25 schools were reached through the Money Makeover financial literacy programme.

Leadership and Governance

Sound governance is not a constraint on BK Group's ambition – it is its foundation. In 2025, our governance framework continued to evolve in response to the Group's growing complexity, regulatory expectations across our dual-listed structure, and the standards our institutional investors rightly demand.

Driving financial inclusion at scale, BK Group’s integrated digital ecosystem has enabled seamless services, processed over 3 million transactions, and reduced costs by 40%—bringing thousands into the formal economy. As we look to 2025, our commitment remains clear: empower SMEs, expand access through innovation, and deliver sustainable, inclusive growth for all Rwandans.

At subsidiary level, BK Capital saw a leadership transition in 2025 with the departure of Siongo Kisoso as Managing Director. Following an interim period, Pacific Tuyishime was appointed Managing Director of BK Capital — bringing commercial leadership to a business that had delivered a 111% increase in Assets Under Management during the transition period, a testament to the institution’s depth and the continuity provided by its leadership team.

At Group executive level, 2025 brought deliberate renewal. Gedeon Rukundo joined the Group Executive Committee as General Counsel and Group Company Secretary — a lateral appointment from Bank of Kigali that brings institutional continuity alongside legal and governance expertise suited to a dual-listed holding company. Flora Nsinga moved in the complementary direction: transitioning from the Group to Bank of Kigali as Chief People and Culture Officer, embedding the Group’s Ubudasa DRIVE principles into the Bank’s people leadership. Both transitions reflect the same principle: that leadership changes at BK Group are managed as opportunities for talent deployment, not gap-filling.

Sustainable Finance: Building Rwanda’s Climate-Resilient Future

Our commitment to Rwanda’s environmental and social development is structural to BK Group’s business model, not peripheral to it. The €100 million EIB Global partnership secured in 2024, directed toward climate-smart agriculture and women entrepreneurs, positions BK Group as the primary intermediary for international green capital entering Rwanda’s economy. Underpinning that commitment: an IFRS S2 climate disclosure readiness assessment was completed in 2024, a three-year Climate Action Plan launched in 2025 that embeds climate risk into credit underwriting and governance, and GRI 2021-aligned sustainability reporting that we continue to strengthen as global disclosure expectations evolve.

At the operational level, our ESG commitment was translated into concrete actions: training 486 staff and equipping 30 ESG Champions with sustainability competencies; transitioning fleet vehicles to electric options in partnership with leading providers; adopting LED lighting across operational facilities generating RWF 272 million in cumulative energy savings; establishing a circular economy partnership for e-waste management with Enviroserve Rwanda Green Park; and investing RWF 30 million in the planting of 55,000 indigenous trees. These are not isolated initiatives — they are the building blocks of an operational culture that takes its environmental responsibilities as seriously as its financial ones.

The Next Chapter

BK Group is the institution that six decades of deliberate building made possible — a holding company that began as a single bank and grew into an integrated financial services group spanning banking, insurance, investment management, technology, and philanthropy. Bank of Kigali lit that torch in December 1966. BK Group carries it forward. The question before us now is not whether the foundation is strong. It is. The question is how we deploy what it enables — with the discipline, strategic coherence, and long-term conviction that Umurage demands.

In 2026 and beyond, we will complete the rollout of our Digital Finance System, converting a validated pilot into a full-scale platform that extends the Bank’s lending capabilities to customers through mobile-first delivery. We will formalise our Private Banking proposition, serving Rwanda’s high-net-worth segment through the integrated capabilities only our ecosystem can provide. We will grow our ESG-linked financing portfolio with measurable impact targets, deepening BK Group’s position as Rwanda’s leading intermediary for green capital. For our shareholders on both the Rwanda Stock Exchange and the Nairobi Securities Exchange, our commitment is consistent: returns that are sustainable because they are grounded in real economic activity, disciplined risk management, and the long-term growth of a country that continues to demonstrate what deliberate, values-driven development can achieve.

The results in this report belong, above all, to the people across BK Group — at Bank of Kigali, BK Capital, BK General Insurance, BK TechHouse, and BK Foundation — whose professionalism and daily commitment make this institution what it is. I am personally grateful to each of them. I extend equal gratitude to our Board of Directors for their dedication, wise counsel, and unwavering support.

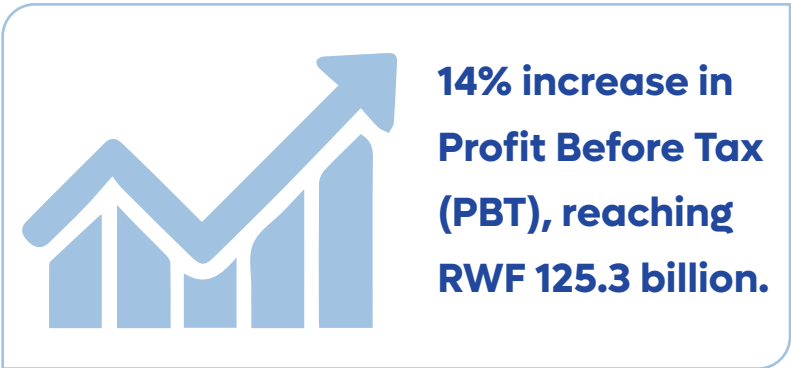
To our customers, shareholders, regulators, and partners — thank you for the trust you place in us. I invite you to read this report not only as a record of what we have done, but also as the opening chapter of what we are building together.

With deep appreciation and renewed commitment,

Murakoze Cyane!

Dr. Uzziel Ndagijimana

Chief executive Officer | BK Group Plc



BK Group & Subsidiary Leadership



Dr. Uzziel Ndagijimana
CEO - BK Group



Dr. Diane Karusisi
CEO - Bank of Kigali



Alex N. Bahizi
Managing Director - BKGI



Deogratius Massawe
Managing Director -BK TechHouse



Ingrid Karangwayire
Executive Secretary - BK Foundation



Pacific Tuyishime
Managing Director - BK Capital

BK Group Executive Team



Dr. Uzziel Ndagijimana
CEO – BK Group



Jean A. Cliff Muligande
Chief Technology Officer



Ange Ntiranyibagirwa
Head of Finance



Nicholas Murimi
Chief Product Development Officer

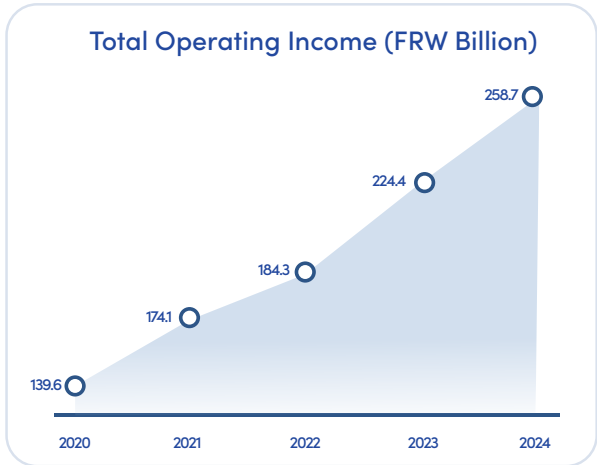
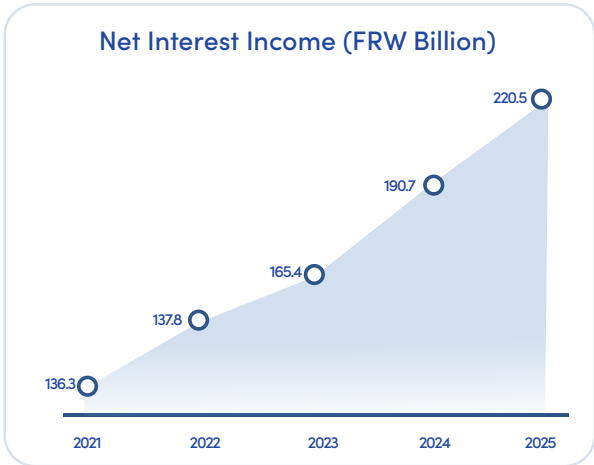


Hugues M. Kayigamba
Head of Investor Relations & Corporate Development

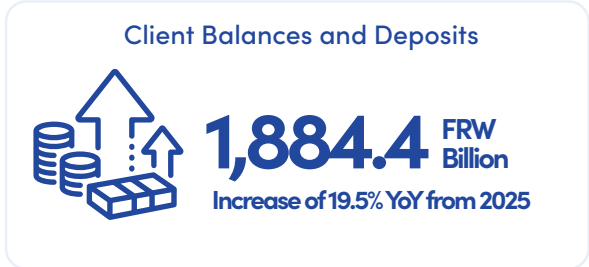


Key Financial Highlights

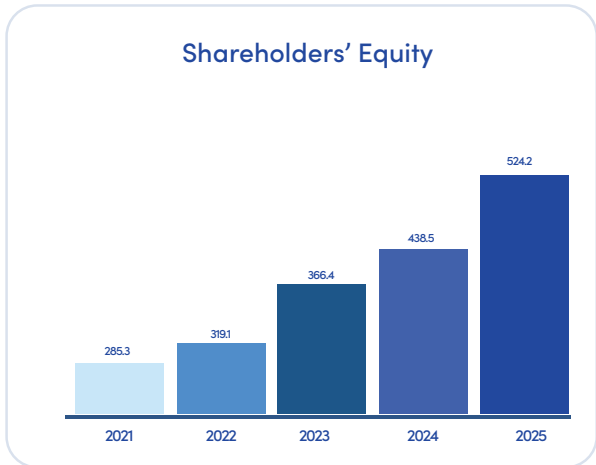
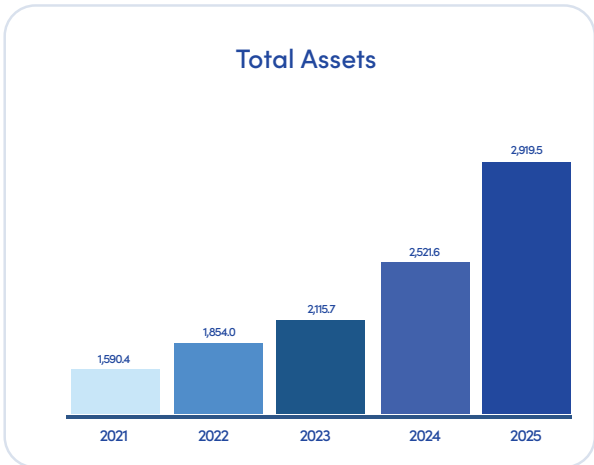
In 2025, BK Group reinforced its role as a catalyst for growth, delivering strong financial results while deepening its impact on businesses, communities, and Rwanda’s economy. More than just numbers, our performance reflects trust, resilience, and a commitment to shaping a more inclusive financial future.



Net interest income rose 15.3% y-o-y to FRw 190.7 billion, driven by strategic lending that fueled entrepreneurship and economic expansion.



Our net loan book grew by 16.8% to FRw 1,454 billion, ensuring access to capital for businesses and individuals. Meanwhile, customer deposits surged by 19.4% to FRw 1,641.8 billion, a testament to the confidence placed in BK Group as a financial partner.



BK Group remains well-capitalized, with total assets reaching FRw 2,521 Billion, growing 19.2% Year-on-Year, while shareholders’ equity rose 19.7% to FRw 438.5 billion.



Business Highlights - 2025



- In 2025, Bank of Kigali served 782,838 customers, with 393,000+ active across all segments
- The Bank operated 67 branches, 105 ATMs, and 2,477 POS terminals accepting major international cards including VISA and Mastercard
- The Agency Banking Network closed the year at 5,438 active agents across the country
- Retail client deposit balances reached RWF 538.4 billion as of 31 December 2025 — +40% year-on-year
- Digital channel transaction volumes reached 22.4 million for the full year, with a value of RWF 13.7 trillion



Clients Served

527,249 retail
208,590 corporate



Branch & ATMs

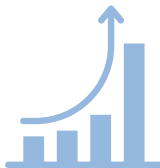
67 branches
103 ATMs



Client Deposits

RWF 383 billion Retail Client
RWF 1,272 billion Corporate

01



Sales Growth

18% increase year-on-year



AgriTech Growth

Farmer registrations grew
3M to 3.3M



Digital Users

Registered users grew
3.9M to 4.5M

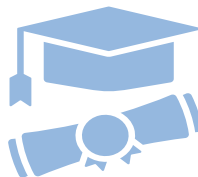
04



- BK TechHouse achieved sales revenue of RWF 2,246.1 million, growing +32% year-on-year
- Digital users expanded to 5.65 million, up 29% from 2024, across AgriTech, EduTech, retail, and UPG platforms
- The UPG (Urubuto Payment Gateway) merchant base grew to 830 merchants including schools, exceeding original targets
- SaaS revenue grew 154% YoY and Software Development on Demand grew 132% YoY
- Net performance remained negative at -RWF 705.5 million, on a narrowing trajectory, reflecting elevated operating expenses for platform scaling and partially delayed revenue recognition from institutional client commitments



Foundation



Total Scholarships

620

Business Highlights - 2025



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02



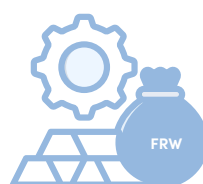
Customer Growth

33.8% increase in active customers



Net Profit

Up 11.6% to RWF 4.8 billion

Total Assets
RWF 31.9 billion

03



Managed Accounts

126% Rose year-on-year

Operating Income
RWF 1.6 billion

Aguka Trust fund

48% Increase to RWF 24.3 billion



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Tree Planted

25,000



Urumuri Green & Circular Business Initiative

425.5Mn

1. Bank of Kigali

a. Retail Banking: Empowering Everyday Aspirations

Bank of Kigali continues to redefine retail banking in Rwanda with a comprehensive suite of financial products tailored to individuals and households. From consumer and auto loans to credit cards, overdrafts, mortgage financing, and asset-backed lending, the Bank addresses evolving customer needs with a focus on meaningful financial impact.



Expanding Access Through Financial Inclusion

Bank of Kigali leads Rwanda’s financial inclusion agenda through a nationwide network of 66 branches and a digital-first approach serving 782,838 customers. Digital channels continue to scale, with the Bank investing in BK Mobile, BK Quick, and BK DigiBank to broaden access and reduce friction in the customer journey. A KYC Data Cleansing Exercise completed in 2025 achieved 90% accuracy on KYC corrections and 88% on loan corrections, strengthening the quality of the customer base. Digital onboarding reached 63% of retail customers in 2025, with 25% active – reflecting continued momentum alongside an acknowledged need to improve digital adoption rates.

Home Equity: Unlocking New Possibilities

The Home Equity Loan continues to empower customers to leverage property for homeownership, renovations, business growth, and education. Offering up to 70% financing of a property’s value with repayment terms of up to 20 years, the product has scaled progressively since its 2022 launch and remains a core pillar of the retail proposition. Mortgage loans grew 20.5% YoY to RWF 159.6 billion by December 2025, with an NPL ratio of 2.6% well below the industry threshold affirming portfolio quality.

Mortgage Banking: Building Foundations for Stability

Bank of Kigali has established itself as Rwanda’s leading mortgage provider, partnering with the Development Bank of Rwanda (BRD) and private developers to expand affordable housing access. The mortgage portfolio reached RWF 159.6 billion (+20.5% YoY), funded increasingly through the Bank’s growing long-tenor FCY loan facilities. The Bank extended partnerships with diaspora-focused investors and realtor networks to continue driving originations. An NPL ratio of 2.6% maintained below the 3% industry benchmark reflects the quality of underwriting and collateral perfection across the portfolio.

Diaspora Banking: Bridging Borders for Prosperity

BK’s Diaspora Banking segment connects Rwandans abroad to financial opportunities at home through tailored USD and RWF accounts, competitive rates, and BK Capital investment access. In 2025, the segment continued to grow its account base, supported by virtual engagement programmes and digital self-onboarding. USD deposits grew from \$497.8 million at end-2024 to \$586 million by December 2025, reflecting an actual growth of \$88 million a portion of which was driven by the Bank’s deliberate CASA mobilisation strategy. The Bank continues to deepen digital access and investment offerings for the Rwandan diaspora globally.



b. Corporate Banking: Fueling Business Growth

The corporate segment's NFI performance reached only 71% of budget, primarily due to the regulatory cap on FX trading margins introduced in May 2025 and pricing concessions on loan-related fees granted to support lending in a competitive market.

Institutional Banking – launched in 2025 – deepened partnerships with international organisations and NGOs, growing market share from 19% to 25% and forging relationships with global institutions including Water for People and GIZ. The segment's deposit book reached RWF 204.1 billion (+25.6% YTD), confirming its structural role as a low-cost funding contributor to the Bank.

 **1.03 FRW Trillion**
Corporate Loans

 **850.8 FRW Billion**
Corporate Deposits

 **+5.8%**
Loan Growth YTD

 **+8.0%**
Deposit Growth YTD



c. SME Banking: Powering Entrepreneurial Success

SMEs are Rwanda's economic engine, and Bank of Kigali's SME segment delivered the most significant portfolio rebalancing of 2025..

SME loan growth of 39.2% outperformed all other segments and exceeded budget by 23.4%, driven by strong Equipment loan disbursements (149.7% of budget) and Treasury loans. SME portfolio share expanded from 13.6% in FY 2024 to 19.8% in FY 2025 – a 620bps shift representing the most significant loan book rebalancing of the year. The SME NPL ratio improved to 5.4% in Q4 2025 from 7.6% at Q3, driven by recoveries from a key hotel sector customer and release of RWF 3.3 billion from NPL exposures. Looking ahead, the Women Business Centre and supply chain financing remain strategic priorities to sustain portfolio quality at scale.

 **285.1 FRW Billion**
SME Loans

 **265 FRW Billion**
SME Deposits

 **5.4%**
SME NPL



c. SME Banking: Powering Entrepreneurial Success

Bank of Kigali strengthens Rwanda's agricultural sector through targeted financing for farmers, cooperatives, and agro-processors

The agribusiness portfolio delivered 117% of its profit budget, supported by strong net interest income (137% of budget) and continued disbursements through the EIB facility and IFAD/AfDB partnerships. Asset quality remained resilient, with cost of risk at 0.1% and NPL at 1.8% – a slight increase from 0.7% at Q3 2025 due to two exposures in seed production and agro-processing. Digital lending integration through the Smart Nkunganire System continues to deepen data-to-credit capabilities for smallholder borrowers.

Key Metrics:

- Agri Loans: RWF 93.4 billion (+50% YTD)
- Agri Deposits: RWF 38.4 billion (+35.2% YTD)
- Agri NPL 1.8%

e. Institutional Banking

Officially launched in 2025, the Institutional Banking segment grew its market share among international organisations from 19% to 25%, forging partnerships with institutions including Water for People, GIZ, and Water Equity.

The unit's primary mandate is deposit mobilisation, not loan origination — the negative pre-FTP result is structurally offset by FTP remuneration of RWF 5.2 billion, reflecting the value of low-cost deposits contributed to the Bank's overall funding and liquidity position. Looking ahead, the Bank targets deposit share expansion to 30%+ and deeper integration with universities, NGOs, and multilateral payment infrastructure through PAPSS.

Key Metrics:

- Institutional Loans: RWF 2.2 billion
- Institutional Deposits: RWF 204.1 billion (+25.6% YTD)

Enhancing Customer Experience

In 2025, digital adoption accelerated across the customer base. 63% of retail customers onboarded digitally, with 25% active, driven by BK Pay, PAPSS, and Agent Float Financing.

The Bank launched Internet Banking 2.0 to improve digital service quality, and a Voice of ALICE programme was introduced to enhance accountability throughout the customer journey. Data-driven personalisation — enabled by AI integration and the Smart Nkunganire credit intelligence system — is deepening the Bank's customer-centric approach..

Outlook: Shaping a Transformative Future

Bank of Kigali remains Rwanda's most capitalised and profitable commercial bank, entering 2026 with an ROE of 26.2%, NPL ratio of 2.9%, CIR of 36.8%, and a CASA ratio of 88% — all among the strongest metrics in the market. Strategic priorities for 2026 include: disciplined loan growth with continued SME and agriculture portfolio deepening; CASA optimisation to sustain the structural NIM advantage; scaling the Institutional Banking franchise; continued digital infrastructure investment through in-house card processing (expected full go-live July 2026), BK Pay expansion, and AI-powered customer personalisation. A Work Motion Study covering 400+ processes and 1,800+ tasks is underway to drive further operational efficiency and headcount optimisation.



In 2025, Bank of Kigali's SME loan book grew by 39%, agriculture loans surpassed RWF 93 billion at four times the sector average, and Institutional Banking expanded its share of international organisation relationships from 19% to 25%. With retail deposits growing nearly 28% and a CASA ratio of 88%, we are funding Rwanda's growth with the right liabilities and deploying that capital to where it matters most.





2. BK General Insurance

An innovative insurance provider in Rwanda

Since its inception in 2016, BK General Insurance (BKGI) has been a cornerstone of BK Group's mission to foster prosperity through innovative, high-quality insurance solutions.

Serving Rwanda and beyond, BKGI offers a comprehensive range of non-life insurance products spanning motor, agriculture, fire, engineering, marine, liability, bond, aviation, and accident coverage, as well as group accident and goods-in-transit solutions. These offerings are tailored to meet the evolving needs of stakeholders, ensuring protection and peace of mind across individuals, SMEs, large corporations, and government institutions alike.

Expanding Reach and Impact

In 2025, BKGI continued to deepen its nationwide presence, growing its agent network from 105 agents in 2021 to 139 agents by end-2025, with a presence across all districts of Rwanda. The agent channel generated RWF 4.7 billion in GWP — the single largest channel by volume — reflecting the strategic importance of the agency network to premium mobilisation. The direct channel contributed RWF 8.5 billion, while bancassurance generated RWF 1.5 billion and brokerage RWF 1.8 billion.

BKGI's retail portfolio continued its steady ascent, growing individual clients from 4,921 in 2021 to 30,050 by end-2025 — a sixfold increase over five years. The Company serves individuals, SMEs, large corporations, and government institutions, maintaining a market-leading position with key institutional relationships including MTN and REG. Agriculture and fire insurance remain strategic growth anchors alongside the dominant motor segment.

Innovating for the Future

BKGI's 2025 performance reflects deliberate investment in the capabilities that will sustain its next phase of growth. Two digital distribution channels — a USSD platform and a web application — were launched in 2025, onboarding 206 policies and generating approximately RWF 30 million in GWP through the year. While still nascent, the digital channel establishes the distribution infrastructure for the significant growth planned in motor and fire insurance online sales in 2026.

Governance was also strengthened materially: two new hires reinforced risk, compliance, and audit functions; the data protection policy was rolled out; and a management-level ESG Committee was integrated into the governance structure. The three-lines-of-defence model was formally adopted, and professional certification programmes were implemented across core underwriting and claims functions.

BKGI's investment portfolio of RWF 2.46 billion in income (FY 2025) is anchored in government securities (51%), fixed deposits (40%), and domestic corporate bonds (9%), delivering an average portfolio return of 11% over the 2021–2025 period — a stable and predictable return profile appropriate to the liability structure of a non-life insurer. Investment income growth of 7% YoY reflects portfolio expansion even as high receivables continued to constrain full income realisation.

Looking into 2026, BKGI targets GWP of RWF 21.9 billion (+15%), underwriting profit of RWF 3.8 billion (+5%), investment income of RWF 3.3 billion (+26%), and net income of RWF 5.2 billion (+12%), underpinned by a four-lever strategic agenda: sustained growth, productivity and technical skills, trusted customer centricity, and digital and data agility.

BK Insurance complied with Key Prudential Ratios in 2024 as follows:



“Since 2015, BK General Insurance has safeguarded over 56,000 lives and livelihoods with innovative non-life insurance across Rwanda. In 2024, GWP hit FRw 16.0 billion, net profit rose to FRw 4.5 billion, and our claims ratio dropped to a record low of 33%. With trusted coverage in motor, fire, and agriculture, and a growing agent network, BKGI continues to turn insurance into a powerful driver of prosperity and resilience.”

BK TechHouse

Pioneering Technology for Prosperity

Since its establishment in 2016 as a BK Group subsidiary, BK TechHouse has emerged as a trailblazer in Rwanda's digital and financial services landscape. Renowned for its innovative platforms, BK TechHouse delivers solutions across EdTech, AgriTech, Retail, FinTech, Internet of Things (IoT), and broadband connectivity (fiber optic and 4G LTE). Serving a diverse clientele — enterprises, educational institutions, residences, government agencies, and commercial entities — the company enhances everyday experiences with holistic, technology-driven offerings. From bolstering enterprise security to transforming education and agriculture, BK TechHouse ensures robust protection through enterprise-grade cybersecurity and compliance with standards including PCI DSS certification and ISO certifications (ISO 27001 and 9001, initially achieved in 2023 and successfully re-audited in 2025). In 2025, BK TechHouse also acquired a Payment Service Provider (PSP) Level 1 licence from the National Bank of Rwanda, enabling it to offer e-wallet and remittance services — a regulatory milestone that materially broadens its addressable market. By expanding BK Group's reach through connectivity, digitalisation, automation, and data insights, BK TechHouse is a vital force in fostering prosperity beyond numbers.

Spearheading Financial Inclusion

Aligned with Rwanda's national push for financial inclusion, BK TechHouse leads the charge in creating a digital ecosystem that empowers individuals and businesses. Its flagship payment platform, UrubutoPay — a universal payment gateway — has become a cornerstone of this mission, offering seamless, secure transactions. In 2025, BK TechHouse achieved a 32% revenue increase to RWF 2.25 billion, maintaining strong momentum on its multi-year growth trajectory. Digital services now constitute 59% of total sales — up from 45% in 2024 and just 26% in 2022 — reflecting a fundamental and deliberate shift in the business model from broadband infrastructure toward higher-margin digital platforms. Broadband and IoT together account for the remaining 41% of revenue. By year-end, BK TechHouse served ~5.7 million unique digital users across all platforms — a 54% increase from the prior year — reinforcing its role as Rwanda's most expansive technology-for-inclusion platform.

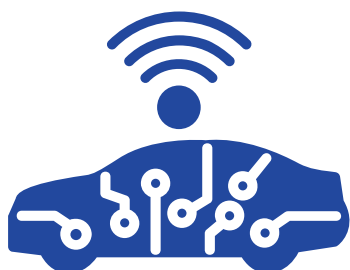
Education: Empowering Learning Communities

In EdTech, the Urubuto Education System stands out as a comprehensive school management platform connecting administrators, teachers, students, and parents. With features including academic tracking, attendance monitoring, and tuition collection via UrubutoPay, it streamlines education delivery across Rwanda's school network. In 2025, BK TechHouse accelerated school recruitment under a bank-led commercialisation model, onboarding 58 schools in Q4 2025 alone — with the Urubuto platform targeting a minimum of 200 schools in 2026. Education payment collections processed through the platform reached RWF 54.1 billion (+40% YoY), confirming education as the platform's largest single payment segment. The bank-led commercialisation model demonstrated early strength: Urubuto school transaction amounts in January 2026 were 130% higher than January 2025, with total commission growing 128% over the same period — signalling a step-change in platform monetisation as the model scales.

FinTech: Transforming Transactions

Since securing its first Payment Service Provider licence, BK TechHouse has continuously expanded UrubutoPay into one of Rwanda's most versatile payment platforms. In 2025, BK TechHouse achieved a significant regulatory milestone by acquiring a PSP Level 1 licence from the National Bank of Rwanda, enabling the provision of e-wallet and remittance services — meaningfully broadening the platform's addressable market. The year was defined above all by scale: total merchants on the platform reached ~5,689 (+436% YoY), driven principally by BK Pay, which grew its merchant base to ~4,745 (+1,080% YoY) through a bank-led commercial acquisition strategy. Retail merchants grew to ~356 (+146% YoY) and school merchants to ~575 (+18% YoY).

Platform performance reflected this scale. Total payment collections reached RWF 85.8 billion (+53% YoY) across 6.6 million transactions (+230% YoY) — a step-change in throughput. BK Pay collections alone reached RWF 8.9 billion (+218% YoY), retail collections RWF 22.7 billion (+30%), and education collections RWF 54.1 billion (+40%). UrubutoPay user accounts grew to 1,324,308 (+71% YoY), cementing the platform's position as Rwanda's leading community payment gateway. Key 2025 partnerships deepened the platform's infrastructure: a restructured MoU with RAB authorised payment and EBM integration in the agricultural supply chain for 2026; a bank-led commercialisation agreement with Bank of Kigali accelerated school recruitment and merchant acquisition; and a joint credit scoring partnership with TransUnion was signed, enabling data-driven lending for agriculture and education customers. All systems maintained ~99.8% uptime across the year.



“BK TechHouse is driving Rwanda’s digital future, **serving 4.6 million** users with smart EdTech, FinTech, IoT, and broadband solutions. In 2024, it turned innovation into inclusion, security, and real impact.”

Agriculture: Cultivating Resilience

The Smart Nkunganire System (SNS), a public-private partnership with the Rwanda Agriculture and Animal Resources Development Board (RAB), digitises the agricultural input supply chain, connecting farmers, agro-dealers, and input suppliers on a single platform. By end-2025, SNS served 3,326,968 registered farmers and ~2,000 active agro-dealers across Rwanda. A landmark development in 2025 was the restructuring of the RAB MoU to include a RWF 4 per kg sustainability margin on agricultural inputs distributed through the platform — effective from July 2025 — providing a recurring revenue stream that generated approximately RWF 195 million in H2 2025 and is expected to contribute approximately RWF 350 million in full-year 2026. RAB also formally authorised payment and EBM integration in SNS, creating the foundation for full agricultural payment digitalisation in 2026, with an estimated RWF 72 billion in MTN-enabled collections in the pipeline. A joint credit scoring model developed with TransUnion will further enable data-to-credit capabilities for smallholder farmers through Bank of Kigali.

The Smart Kungahara System (SKS), the NAEB-mandated platform for coffee cooperative management, served 402,011 registered farmers by end-2025. Long-term sustainability funding from NAEB remains under active negotiation — a priority for resolution in 2026, with a KOICA-funded horticulture digitalisation project representing an additional near-term revenue opportunity pending disbursement.

Retail: Streamlining Community Services

Kiliziya Yacu, developed in partnership with the Catholic Church (Butare Diocese), digitises cooperative and community operations — managing members, facilitating payments, and streamlining communication across parishes and savings groups. By end-2025, the platform served 210,016 members, growing steadily from its initial pilot. Looking ahead, BK TechHouse's partnership with BK Foundation and World Vision to digitalise savings groups — with a contract in final stages of signing — represents the next phase of expansion for community financial services, targeting broader cooperative and savings group ecosystems beyond the church network.

2025 in Review: Delivering Prosperity

BK TechHouse's 2025 performance validates its strategic pivot toward a platform-driven, digitally-led business model. Revenue grew 32% to RWF 2.25 billion, digital sales reached 59% of total revenue, and the platform ecosystem expanded to serve ~5.7 million unique users across all products. Digital Financial Services achieved strong early traction: DFS loan disbursements grew from RWF 1.6 million in Q4 2024 to RWF 57.6 million in Q4 2025, with loan applications surging to 9,912 in Q4 2025 from just 64 in Q4 2024 — reflecting accelerating adoption of the Aguka Fund and Digital Insurance (Tuza na BK) products piloted in partnership with BKGI and Bank of Kigali. Ten new Software Development on Demand projects were delivered, three new DFS solutions launched, and six intellectual properties were registered, with three trademarked. With a focus on cross-selling within BK Group and deepening strategic partnerships across agriculture, education, and government, BK TechHouse solidified its role as the Group's technology and FinTech engine — driving prosperity through innovation and scale.

Outlook: Innovating for Tomorrow

Looking ahead, BK TechHouse targets revenue of RWF 2.97 billion in 2026 (+32% YoY), with profitability projected by FY 2027. The 2026 agenda is anchored on four priorities: scaling PaaS revenue through UrubutoPay tariff restructuring, eKash/RSwitch interoperability, and SNS agricultural payment integration; completing major SoD contracts with WASAC, UNCDF, BK Foundation/World Vision, and Inyange; resolving SKS sustainability funding; and targeting a minimum of 200 schools under the Urubuto bank-led commercialisation model. By optimising its cost structure — including migrating platform infrastructure to Bank of Kigali data centres and transferring USSD costs to RAB — and deepening Rwanda's digital transformation through agriculture, education, and payments, BK TechHouse is positioned to reach break-even and deliver long-term, self-sustaining value to BK Group and to the communities it serves..



BK Capital

Empowering Wealth and Growth

Originally launched in 2012 as BK Group's securities brokerage arm, BK Capital has evolved into a full-fledged investment bank, delivering tailored financial solutions that drive prosperity for clients and stakeholders. Leveraging a team with deep expertise and a proven track record, BK Capital offers insights and strategies designed to maximise returns and create lasting value. From wealth management to corporate advisory, BK Capital empowers individuals, businesses, and institutions to thrive in Rwanda's dynamic financial landscape, contributing to BK Group's mission of banking for prosperity beyond numbers.

Investment and Wealth Management

BK Capital's Investment and Wealth Management division provides access to a diverse portfolio of investment products and global opportunities across multiple asset classes. With competitive pricing, a transparent fee structure, and a robust risk management approach, the division ensures seamless execution and settlement for its growing client base. Serving affluent individuals, pension funds, trust funds, and clients seeking transactional, advisory, or discretionary services, BK Capital maintains strict compliance with regulatory standards.

In 2025, assets under management reached RWF 154.7 billion — more than doubling from RWF 73.2 billion in FY 2024, a +111% YoY increase. This exceptional growth was driven primarily by robust pension inflows, strong uptake of flagship funds including Aguka — whose AUM grew 48% YoY — and the addition of new institutional managed accounts. Managed Accounts AUM grew 126% YoY, confirming BK Capital's ability to attract and retain sophisticated institutional mandates. The AUM growth was delivered against a backdrop of industry-wide collective investment scheme growth, with the total CIS industry reaching RWF 127.6 billion in 2025 — BK Capital commanding a 33% unit trust market share. BK Capital manages four licensed private pension schemes with a combined fund size of RWF 13.8 billion, representing a 12% share of Rwanda's private pension industry. Fund management revenue surged +66% YoY to RWF 1,245 million, cementing it as the primary income engine, contributing 56% of total revenues in 2025.

Securities Brokerage and Market Research

As a licensed market intermediary and depository participant, BK Capital leverages an extensive network of regional and global partnerships to provide securities brokerage and market research services. Its research team delivers in-depth reports offering macroeconomic insights and equity analyses of publicly listed companies, cementing BK Capital's position as Rwanda's leading licensed stockbroker.

In 2025, BK Capital retained its position as Rwanda's number one equity broker on the Rwanda Stock Exchange and ranked second in bond trading by value. The RSE bond market recorded a significant increase in 2025, with total bond market turnover reaching RWF 246.6 billion — BK Capital intermediating RWF 91.2 billion (37%) of total market volume. Equity market activity moderated relative to FY 2024, which had been materially boosted by a one-off large transaction; adjusting for that base effect, BK Capital's underlying equity brokerage performance remained resilient, with brokerage revenue growing +7% YoY to RWF 315 million against a softer market backdrop. Q4 2025 saw a notable recovery in both bond and equity trading volumes, closing the year with strong momentum.

Corporate Finance Advisory

The Corporate Finance and Advisory Services division specialises in structured products and alternative financing solutions, covering capital budgeting, financial restructuring, valuations, and deal advisory in mergers and acquisitions (M&A), equity, and debt capital markets. Building on the landmark 2023 milestone of Rwanda's inaugural Sustainability-Linked Bond — awarded "ESG Bond of the Year" at the 2024 Bonds, Loans, and ESG Capital Markets Africa Awards — BK Capital continued to deepen Rwanda's capital markets in 2025 through the listing of three corporate bonds: AMS, IFC, and ECTL, reinforcing its role as the country's preeminent debt capital markets arranger.

Corporate advisory revenue moderated to RWF 398 million (-31% YoY), reflecting longer deal cycles and project delays that pushed certain transactions into 2026. The deal pipeline remains active, with ongoing mandates spanning M&A advisory, capital raises, and additional corporate bond issuances providing a foundation for revenue recovery in the year ahead.

2025 in Review: Transformative AuM Growth, Investment Phase Continues

FY 2025 was a year of structural transformation for BK Capital. Total revenue grew +20% YoY to RWF 2.5 billion, with fund management emerging unambiguously as the dominant and fastest-growing revenue stream — a deliberate repositioning from a brokerage-centric business toward a full-service wealth and asset management platform. The strong revenue growth was, however, offset by elevated operating expenses associated with the ongoing investment in people, technology, and platform capabilities required to sustain BK Capital's growth ambitions. As a result, BK Capital recorded a pre-tax loss for the year — an expected outcome of a business in deliberate investment phase — with management focused on translating the exceptional AUM growth into sustainable earnings as the platform scales. The underlying earnings quality of the fund management franchise, demonstrated by 66% revenue growth on a 111% AUM expansion, confirms the structural opportunity ahead.

Outlook: Building a Prosperous Future

Looking ahead, BK Capital enters 2026 with clear strategic priorities: growing AUM toward a target of RWF 196 billion, launching the BKC Africa Equity Fund, completing the acquisition of the RNIT Iterambere Fund to consolidate its CIS leadership, closing an SLB tranche in partnership with BRD, and completing an M&A transaction alongside several capital raise and corporate bond issuances. The division aims to expand its investor base across retail, corporate, and offshore segments, deepen regional network integration to increase market visibility, and build on its AUM foundation to generate improved profitability as revenues scale ahead of a largely fixed operating cost base. Committed to navigating market conditions with agility, BK Capital will continue to deliver wealth management excellence that creates lasting value for clients and BK Group shareholders alike..



BK Foundation

Catalyzing Prosperity Through Impact

Launched in January 2023, the BK Foundation embodies BK Group's commitment to driving positive change across Rwanda. Rooted in the belief that purposeful investment sparks transformation, the Foundation has established itself as a pillar of philanthropy, aligning with Rwanda's National Strategy for Transformation (NST 2050), The Africa We Want 2063 Goals, and the Sustainable Development Goals (SDGs). Operating across three strategic pillars – Education, Empowerment, and Environmental Sustainability – BK Foundation delivers evidence-based funding and fosters collaboration with partners to create measurable, lasting impact. As a common benefit foundation, it provides grants to national and local NGOs, amplifying prosperity that extends beyond financial contributions to uplift Rwandan communities.

Early Childhood Development and Family

BK Foundation's Early Childhood Development and Family (ECD&F) programme continues to transform young lives by addressing infrastructure and systemic gaps, ensuring equitable opportunities for growth and well-being. In 2025, the Foundation completed construction of two ECD centres – one community-based and one centre of excellence – now serving 200 children, of whom 42.5% are girls, 39.5% boys, and 4% children with disabilities. These centres integrate health, education, nutrition, hygiene, and positive parenting, providing safe, inclusive spaces that build resilient foundations for lifelong learning. Water access facilities, trained caregivers, and community workshops extend impact to surrounding families, prioritising gender equity and inclusion at every stage.

Scholarship Programme

BK Foundation shapes Rwanda's future by investing in education that empowers youth for employment and innovation. In 2025, the scholarship programme awarded 620 scholarships in total – 420 in STEM (76% girls, 24% boys) and 200 in TVET (71% girls, 29% boys). These scholarships equip students with practical and technical skills, fostering inclusive economic growth and enhancing workforce diversity. In addition, 510 health students are currently enrolled in higher learning institutions under the 4x4 Reform programme, pursuing courses in Midwifery, Pharmacy, Dental Therapy, and Non-Physician Anesthesia – out of 789 targeted – further extending BK Foundation's education investment into Rwanda's critical healthcare workforce pipeline.

Financial Literacy and Entrepreneurship Programme

BK Foundation equips Rwandans with tools for financial resilience and independence. The Money Makeover Challenge trained 2,500 students across 25 schools in budgeting, saving, and investing – sparking community leadership and financial confidence among Rwanda's next generation. The Next Gen Youth Mentorship Programme, implemented in partnership with JA Rwanda, engaged 80 BK Group mentors supporting students in financial literacy and entrepreneurship. Three innovators were recognised for outstanding solutions in agriculture, health innovation, and AI-driven business growth, with awards of USD 10,000, USD 5,000, and USD 3,000 respectively. Award recipients also engaged in a mentorship session with Bank of Kigali CEO Dr. Diane Karusisi on building sustainable and impactful enterprises.

Small and Medium Enterprises: Urumuri Green and Circular Business Initiative

The Urumuri Green and Circular Business Initiative, delivered in partnership with GIZ, empowers MSMEs advancing climate action and the circular economy. In 2025, 20 MSMEs received RWF 425.5 million in interest-free financing, alongside six months of acceleration, training, and mentorship, driving economic activity with an environmental consciousness. The programme's focus on green business models reinforces BK Foundation's commitment to prosperity that is sustainable in both social and environmental terms.

Digital Skills and Career Development

Recognising the transformative potential of digital inclusion, BK Foundation's Smart Ibiruhuko Digital Skills Programme certified 10,245 participants, including 131 girls trained in AI and web development – equipping Rwanda's youth with future-ready competencies. The Career Development Programme, delivered in partnership with the University of Rwanda, connected 3,560 youth to career pathways and mentorship opportunities, preparing them for Rwanda's evolving labour market. Construction of the Ejo Space – the Career Development Hub at the University of Rwanda – is underway, with one Smart Classroom already completed.

Integrated Agribusiness Programme

BK Foundation's Integrated Agribusiness Programme trained 17 master trainers who in turn delivered capacity building in smart agriculture techniques, financial literacy, and market linkage support to 13,490 farmers across Rwanda. This cascade model maximises reach and sustainability, connecting agricultural communities to knowledge and resources that improve livelihoods and build climate resilience. Supporting persons with disabilities, the Foundation also backed 18 self-help groups and cooperatives – comprising 25 to 30 members each – through a train-the-trainer approach, strengthening economic inclusion for Rwanda's most vulnerable communities.

Environmental and Sustainability Pillar

In 2025, BK Foundation took a significant step in its environmental leadership by publishing the BK Group's inaugural ESG report – available at bkgroup.rw/reporting-center – strengthening organisational transparency and capacity in sustainability matters. Through a competitive Call for Proposals, two environmental projects were selected, with a combined target of planting 120,000 trees and establishing 10 environmental



school clubs across Rwanda, contributing to climate resilience and environmental awareness in communities and classrooms. A Breast Cancer Awareness Campaign reached 300 participants, with dozens receiving screening and 18 vulnerable individuals supported with diagnostic services in hospital settings — reflecting BK Foundation’s holistic view of community well-being.

2025 in Review: Deepening Impact

In 2025, BK Foundation advanced all three of its strategic pillars simultaneously — delivering 620 scholarships plus 510 health bursaries, certifying over 10,000 digital skills participants, training nearly 13,500 farmers, financing 20 MSMEs, connecting 3,560 youth to career opportunities, and publishing Rwanda’s first Group ESG report. These results represent a step-change in both the scale and the depth of the Foundation’s impact, demonstrating the compounding effect of sustained, evidence-based philanthropy anchored in Rwanda’s national development priorities.

Outlook: A Legacy of Change

Looking to 2026, BK Foundation will deepen and expand its impact across all three pillars. In education, the scholarship programme will extend beyond STEM and TVET to include Sports Scholarships in partnership with MINISPORTS and the creative industry through The BKreative and the Sherrie Silver Foundation, supporting 100 creatives. The Money Makeover Challenge will scale to reach 10,000 direct beneficiaries through an in-person, virtual, and mobile app platform developed with iDebate Rwanda. A new Ibuka Youth Survivors Revolving Fund will provide loans and start-up kits for 800 youth survivors to support their entrepreneurship journeys. In empowerment, the BLOOM Africa Project — in partnership with World Vision Rwanda — will support 8,000 youth through skills development, financial access, and employment opportunities, while also digitising savings groups. The Ejo Space Career Hub at the University of Rwanda will be fully equipped and operationalised. By strengthening partnerships, leveraging technology through the BK TechHouse Data Management Information System, and expanding programmes, BK Foundation will continue to build a Rwanda where every community thrives..

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Our Approach to ESG



Our Approach to Sustainability

VISIBILITY

Environmental Footprint Baseline



Advanced environmental monitoring and resource efficiency tracking to understand the true operational footprint.

DISCIPLINE

ESG Integration In Finance



Deepening risk management, credit discipline, and sustainable finance classification to reinforce responsible capital allocation.

IMPACT

Social & Economic Inclusion



Expanding systemic outcomes through women and youth participation, MSME entrepreneurship (Urumuri), and targeted community investment.

Our 2025 mandate: Report only what the data supports, avoid overstatement, and build a precise baseline to guide deeper operational integration in 2026.

1. Background/Introduction: “Responsible Growth with Clearer Measurement

In 2025, BK Group sustained to strengthen ESG as an integral part of how it governs, allocates capital, manages risk, serves customers, and contributes to communities. Rather than treating ESG as a standalone reporting exercise, the Group focused on making it more practical, measurable, and connected to day-to-day decision-making across its subsidiaries.

The year marked an important step in building a more reliable ESG performance baseline. Through improved data collection and internal coordination, BK Group enhanced its ability to track operational environmental indicators, including fuel consumption, electricity use, paper consumption, and water consumption. This strengthened the Group’s understanding of its operational footprint and created a clearer foundation for future efficiency and reduction initiatives.

BK Group’s 2025 ESG progress is reflected across three connected dimensions. First, the Group advanced environmental monitoring and resource-efficiency tracking, supporting better visibility of operational impacts. Second, it deepened ESG integration in financing, risk management, and sustainable finance classification, reinforcing the role of responsible finance in long-term value creation. Third, it expanded social and inclusion outcomes through women and youth participation, MSME support, customer-service improvements, and targeted community investment.

The 2025 reporting process also provided a clearer view of ESG maturity across the Group. Some indicators are now strong enough to support annual report disclosure, while others are being treated as important baselines for future strengthening. This disciplined approach reflects BK Group’s commitment to report what the data supports, avoid overstatement, and use the 2025 baseline to guide more robust ESG implementation in 2026.

Looking ahead, the Group’s focus will be on strengthening facility-level environmental data coverage, deepening implementation of the Board-approved ESMS, improving portfolio-level climate and environmental risk assessment, expanding green and sustainable finance, and progressively enhancing Scope 3 and financed-emissions data coverage. Through this approach, BK Group aims to move from ESG baseline-building toward stronger measurement, accountability, and impact.

2. ESG Governance and Integration: The ESMS as the Group's Responsible-Financing Backbone

A stronger ESG baseline is only useful when it is supported by clear governance and practical operating controls. In 2025, ESG governance continued to become more structured, documented and connected to decision-making across the Group.

At the centre of this approach is the Board-approved Environmental and Social Management System. The ESMS serves as the Bank's core operating framework for responsible financing. It supports environmental and social risk identification, due diligence, documentation, escalation, monitoring and follow-up across relevant financing activities. In practice, the ESMS helps translate ESG expectations into credit discipline by guiding teams on how to identify risks, document findings, determine when enhanced review is needed, and monitor commitments over time.

This is important because ESG is not a separate reporting exercise. ESG and climate-related risks can affect credit quality, operational resilience, compliance, reputation, client relationships and long-term value creation. Through the ESMS, ESG considerations are increasingly connected to credit processes, risk review, approval documentation and portfolio monitoring.

BK Commercial Bank reported RWF 205.488 billion, or 12.2%, of loans screened for ESG risks in 2025. This figure is reported as evidence of ESG risk-screening implementation. It is not classified as green finance.

The same direction was visible across subsidiaries, although the level of maturity differs by entity. BK Insurance established a management-level ESG Committee reporting to the Managing Director. BK Capital reported Board oversight of sustainability, ESG, climate and ethics matters. BK Foundation strengthened programme governance through review mechanisms, safeguards, partner due diligence and monitoring. BK Techouse contributed through technology governance and operational resilience, maintaining 98% critical system uptime and reporting zero material cybersecurity or privacy incidents based on internal reporting thresholds.

The 2025 position is more accurately described as a year of consolidation, baseline-building and improved control discipline. In 2026, the Group will focus on deeper ESMS implementation, stronger process ownership, improved ESG data governance, and better portfolio-level ESG and climate-risk assessment.

3. Environmental Performance and Resource Efficiency: Measuring the Footprint, Managing the Transition

With governance and process discipline becoming stronger, the Group also improved how it measures its operational environmental footprint. In 2025, Scope 1 and Scope 2 operational emissions were calculated using the approved automated annual trend template. Fuel consumption was reported in litres and calculated using the approved diesel emission factor of 2.66155 kgCO₂e/litre where fuel type was not separately specified. Diesel and petrol are treated as 100% mineral fuels unless otherwise evidenced. Purchased electricity emissions were calculated using the Rwanda grid factor of 0.604 kgCO₂/kWh.

Across BK Commercial Bank, BK Insurance, BK Techouse and BK Capital, available 2025 Scope 1 and Scope 2 operational emissions amounted to 1,751.235 tCO₂e. This included 348.892 tCO₂e from Scope 1 fuel emissions and 1,402.343 tCO₂e from Scope 2 purchased electricity emissions.

The figures presented above relate to operational emissions only. They exclude financed emissions, avoided emissions, and non-emissions resource indicators such as paper, water, and waste. It should also be noted that BK Foundation operates through BK Commercial Bank facilities; therefore, any related facility-level consumption is captured under BK Commercial Bank where applicable, rather than reported separately under BK Foundation.



Responsible growth, grounded in data.
In 2025, BK Group strengthened ESG by building clear baselines, improving measurement, and embedding responsible practices across governance, operations, and finance.



Data Maturity Spectrum

Not presented as fully mature in 2025. Progressive expansion prioritized for 2026–2027.

ZONE 1

Ready for Disclosure

Scope 1 & 2 Emissions

Green Loans & Securities

ESG-Screened Loans

Workforce Gender

Urumuri Program Outcomes

ZONE 2

Baseline Building

Paper & Water Consumption

Electricity Coverage

Facility-Level Fuel Use

ZONE 3

Progressive Build-Out

Scope 3 / Financed Emissions

Refrigerant Leakage Data

Standardized Training Hours

Full Climate-Risk Modeling

Transparent data maturity maps our progress toward complete integration

Fuel-related emissions provide the clearest comparable operational improvement in 2025. Available Scope 1 fuel emissions decreased from 427.643 tCO₂e in 2024 to 348.892 tCO₂e in 2025, an 18.4% reduction across entities with validated fuel data. This reduction was supported by lower fuel consumption in key operations, particularly BK Commercial Bank and BK Capital.

At BK Commercial Bank, the reduction in fuel use is consistent with the Bank's increasing prioritisation of electric vehicles and logistics-efficiency practices. The Bank's reported fleet included 8 electric vehicles and 10 diesel vehicles, with EVs representing 44.4% of the reported fleet. The Bank has set a target to reach at least 50% EV representation. This transition is expected to reduce reliance on hydrocarbon fuel over time, while also requiring closer monitoring of electricity demand as more activities shift from diesel-powered mobility to electric mobility.

Purchased electricity remains the largest component of the available 2025 operational emissions baseline. Available 2025 electricity consumption across BK Commercial Bank, BK Insurance, BK Techouse and BK Capital was 2,321,760 kWh, resulting in 1,402.343 tCO₂e of Scope 2 emissions. Because BK Commercial Bank's 2024 electricity comparator was not retained for trend reporting, the Group treats 2025 electricity as a baseline for strengthened future comparison.

Paper and water are tracked as internal resource-efficiency indicators and are not included in Scope 1 or Scope 2 emissions. Available 2025 paper consumption across BK Commercial Bank, BK Insurance, BK Techouse and BK Capital was 2,903 reams. Water data was available for BK Commercial Bank and BK Techouse, with combined 2025 consumption of 28,164 m³.

The 2025 resource-efficiency data gives the Group a more practical basis for action. Where consumption pressures are visible, the response will be operational and targeted: better route planning, combined field visits, greater prioritisation of EVs, after-hours electricity controls, AC efficiency, leak checks, digital approvals, reduced printing, stronger procurement controls and staff awareness. These are realistic banking-sector actions that can support measurable efficiency gains without overstating progress before results are achieved.

Waste management will also receive stronger attention in 2026–2027. The Group plans to strengthen waste segregation at source, weigh waste before collection, work with authorised waste collectors, verify disposal at approved public dumpsites, and include waste-management requirements in supplier contracts through Procurement.

Tracking the footprint, driving efficiency.

In 2025, BK Group strengthened environmental measurement, reduced fuel emissions by 18.4%, and set a clearer baseline to improve energy use, resource efficiency, and operational impact.

Governance controls are adapting to the specific operational realities of each subsidiary

	BK Bank	BK Insurance	BK Capital	BK Foundation	BK Techouse
Governance Structure	ESMS Integration	Management-level ESG Committee	Board oversight of sustainability	Program governance & partner due diligence	Technology governance & resilience
Key 2025 Proof Point	ESG integration into credit documentation	Digital customer feedback platform launched	ESG-related advisory protocol	Safeguards applied to Urumuri program	Zero material cybersecurity/privacy
Operational Resilience	N/A	N/A	N/A	N/A	98% Critical System Uptime Maintained.

4. Sustainable Finance and Climate-Risk Management: Financing the Transition with Discipline

The same discipline applied to operational ESG data is also being extended to financing, capital markets, insurance and enterprise-support activities. In 2025, BK Group continued building sustainable finance and climate-risk capabilities while maintaining a clear distinction between green finance, ESG-screened finance, sustainable capital-market activity, climate-risk exposure and financed emissions.

BK Commercial Bank reported RWF 11.637 billion in green loans and RWF 16.388 billion in green securities exposure in 2025. The share of green loans in total loans issued stood at 0.7%. This figure reflects only projects currently classified as inherently green. It does not yet capture all potentially green-financed projects still being screened against the Rwanda Green Taxonomy, including energy efficiency, housing and other activities where green-impact ratios must be assessed and confirmed.

Bank of Kigali also reported RWF 205.488 billion, or 12.2%, of loans screened for ESG risks. This is one of the strongest indicators of ESG integration in the financing process. It should be understood as ESG risk screening, not green lending.

BK Capital reported RWF 31 billion in ESG- or sustainability-related advisory and brokerage activity. This demonstrates the growing relevance of sustainability themes in capital markets. The Group will continue to apply careful wording and classification discipline, avoiding the automatic labelling of ESG-related transactions as green finance unless the classification basis is formally confirmed.

BK Insurance provided initial climate-sensitive insurance indicators, including climate-sensitive exposure and weather- or climate-related claims, subject to final unit and perimeter confirmation. These indicators are not a complete climate-risk model, but they provide a practical starting point for strengthening underwriting insight and climate-risk monitoring.

BK Foundation contributed to the Group's sustainable finance and green enterprise agenda through Urumuri, its flagship entrepreneurship programme. In 2025, through a strategic partnership with GIZ Rwanda, Urumuri focused on MSMEs operating in circular economy, climate-smart and environmentally sustainable sectors such as waste management, sustainable agriculture, renewable energy, green manufacturing, clean cooking and sustainable production. The programme received 427 applications, admitted 138 MSMEs, trained 104 MSMEs, and disbursed RWF 425.5 million in interest-free loans to 20 high-impact MSMEs.

Scope 3 and financed emissions remain a progressive build-out area. The Group is not presenting financed-emissions reporting as fully mature in 2025. The next stage will focus on clearer portfolio boundaries, sector classification, exposure data, methodology, baseline-setting and data-quality controls.

In 2026, the Group will deepen portfolio environmental and climate-risk assessment through physical-risk mapping, transition-risk classification, climate stress testing and scenario analysis. These activities will support stronger exposure calibration, portfolio resilience assessment and future alignment with risk appetite and capital-planning considerations.



BK Group advanced sustainable finance through green lending, ESG risk screening, and climate-risk integration building a clear, structured foundation for responsible investment and portfolio resilience.

5. Social Impact, Youth and Women Inclusion: Inclusion Through People, Enterprise and Access

ESG performance is also a human story. For BK Group, inclusion is reflected not only in employee numbers, but also in leadership participation, enterprise support, customer service, digital access and community investment.

In 2025, validated workforce data across BK Commercial Bank, BK Insurance, BK Techouse and BK Capital covered 1,684 employees, including 775 women, representing 46.0% of the available workforce baseline. Women's participation was also visible in leadership and entrepreneurship. BK Commercial Bank reported 50% women in leadership roles and 28.6% female Board representation, with a target to reach at least 30% by 2027 or earlier.

Through Urumuri, women-led MSMEs represented 60% of supported enterprises, exceeding the programme's 50% target. Urumuri-supported enterprises reported 369 jobs supported, including 206 jobs for women and 163 jobs for men.

The strongest quantified 2025 community and enterprise-support data came from BK Foundation's Urumuri programme. The programme received 427 applications, exceeding its target of 300, and admitted 138 MSMEs, above its target of 135. A total of 104 MSMEs completed training in financial literacy, business planning, financial management and green business practices. In addition, RWF 425.5 million in interest-free loans was disbursed to 20 high-impact MSMEs.

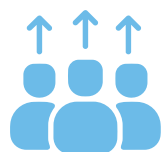
BK Foundation also disbursed RWF 3,791,036,361 in community investment during the reporting period. This figure should be presented as disbursed community investment, while Urumuri financing should be described within its programme perimeter to avoid double-counting.

Youth inclusion was supported through employment and entrepreneurship pathways, although the Group will continue improving youth-disaggregated data. Several subsidiaries tracked new hires under 30, while Urumuri supported entrepreneurs and MSMEs through training, financing and ecosystem support. In future reporting, the Group will strengthen youth-specific measurement across employment, enterprise support and financial inclusion.

Customer and service inclusion also progressed. BK Insurance improved claims settled within service standard from 90% in 2024 to 95% in 2025. BK Techouse maintained 98% critical system uptime, supporting reliable digital service access. BK Commercial Bank reported customer satisfaction assessment through surveys, while BK Insurance implemented a digital customer feedback platform.

These indicators show the Group's inclusion agenda moving through different channels: people, leadership, customers, MSMEs and communities. The next step is to strengthen outcome measurement, so that future reporting can go beyond activity levels and provide deeper insight into reach, access, enterprise resilience, customer experience and long-term social impact.

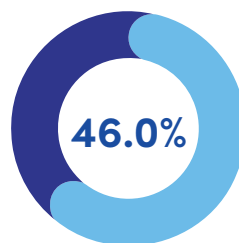
WORKFORCE & LEADERSHIP



1,684
Total Employees

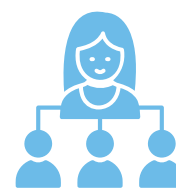


775
Women



Women
representation
in workforce

WOMEN'S LEADERSHIP



50%
Women in
leadership roles



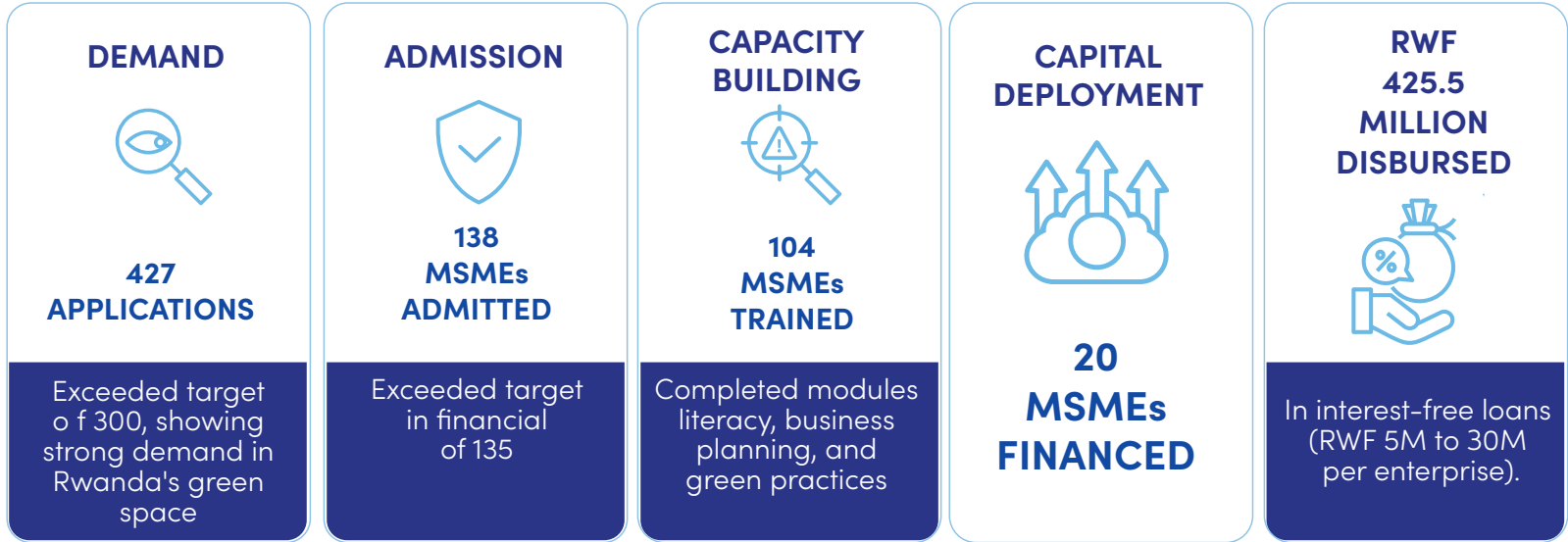
28.6%
Female Board
representation



Across BK Commercial Bank,
BK Insurance, BK Techouse and BK Capital

Target: at least 30% by 2027 or earlier

The Urumuri impact funnel: From application to high-impact financing



6. Human Capital and Workplace Development: Building Capability for Responsible Growth

Human capital remained central to BK Group’s ESG performance in 2025. The Group’s available workforce baseline shows a diverse employee base, with women representing 46.0% of employees across entities with validated workforce data. BK Insurance reported women representing 51.0% of its workforce, while BK Capital remained close to gender balance with 15 female employees and 16 male employees. BK Techouse improved female workforce representation from 15.9% in 2024 to 18.6% in 2025.

Training and employee development were reported across subsidiaries, although measurement consistency will be strengthened in future periods. BK Capital reported an increase from 460 training hours in 2024 to an estimated 1,656 training hours in 2025. BK Techouse reported an increase from 300 training hours to an estimated 1,200 training hours. Because some training values are estimated and BK Insurance’s training unit requires clarification, the Group will not present a fully consolidated training total at this stage.

Employee welfare and workplace inclusion were also supported by subsidiary-level policies and initiatives. BK Commercial Bank reported an Occupational Safety and Health policy, DEI actions, employee well-being measures and no discrimination incidents resulting in sanctions. These indicators reflect a growing focus on employee experience, inclusion and responsible workplace practices.

The 2026 priority is to make human-capital data more consistent and more connected to ESG implementation. Planned ESG training and capacity-building activities will support Heads of Departments, key staff and branches on ESG relevance, IFRS S1 and S2, ESMS implementation, ESG screening and practical integration into daily operations. This will help employees understand not only what ESG means, but how it affects lending, risk management, procurement, operations, customer service and reporting.

Building people, strengthening performance.

In 2025, BK Group advanced workforce diversity, expanded training, and reinforced employee well-being laying the foundation for stronger skills, inclusion, and ESG integration across operations.

ESG Data Coverage & Reporting Maturity

Reporting Area	2025 ESG Reporting Status
Scope 1 & 2 Emissions	Approved calculation logic applied
Resource Efficiency	Paper and water tracked separately
Green Finance	Green loans and green securities disclosed
ESG-Screened Loans	Integrated into annual reporting
Workforce Indicators	Gender representation disclosed
Claims Performance	Claims settlement performance reported
Waste Measurement	Needs stronger segregation and verification
Refrigerant Data	Not yet available
Scope 3 Emissions	Planned progressive expansion
Training Data	Future standardization planned

The 2025 ESG reporting process improved BK Group's visibility into data quality, supporting better decision-making and stronger accountability. Future priorities include improved facility-level resource tracking, expanded financed-emissions reporting, stronger waste management controls and standardized ESG training metrics.

7. ESG Data Coverage and Reporting Maturity: Better Data, Better Decisions

Before highlighting achievements, it is important to recognise the foundation that made the 2025 ESG section more useful: better visibility over data quality. The reporting process gave BK Group a clearer understanding of where data is strong, where it is baseline-building and where further controls are needed. This is part of the Group's ESG maturity journey. Better ESG data does not only improve reporting; it helps management identify trends earlier, assign responsibility more clearly and make decisions based on evidence.

The Group applied approved calculation logic for Scope 1 and Scope 2 emissions and clearly separated operational emissions from financed emissions, sustainable finance and resource-efficiency indicators. Paper and water were confirmed as internal resource-efficiency indicators and are not included in Scope 1 or Scope 2 emissions.

Several areas are now ready for annual report disclosure, including available Scope 1 and Scope 2 operational emissions, fuel consumption, electricity consumption, selected paper and water indicators, green loans, green securities, ESG-screened loans, Urumuri programme performance, workforce gender representation, claims settlement performance, ESG governance and ESMS implementation.

The reporting process also identified areas where stronger data will improve future disclosure and management action. Refrigerant data was not available because actual refrigerant type and refill or leakage quantities were not yet captured. Waste measurement remains limited, and the Group will improve segregation, weighing, authorised collector oversight and disposal verification. Water and electricity coverage will be strengthened at facility level. Scope 3 and financed-emissions reporting will be expanded progressively. Training data will also be standardised so that future reporting can better distinguish training hours, staff trained, topics and coverage.

In 2026, the Group plans to strengthen ESG data governance through automated templates, clearer data ownership and stronger evidence trails. The approved 2026 plan includes standardised ESG reporting templates for Scope 1, Scope 2 and water-consumption data, baseline-setting for key ESG and climate indicators, climate-risk mapping, transition-risk classification, climate stress testing and ESG capacity building.

The purpose is practical: better data should support better decisions, clearer accountability and stronger risk visibility

8.2025 Achievements and SDG Alignment: Progress with a Clear Contribution Lens

With stronger data discipline in place, BK Group is better positioned to explain not only what it did in 2025, but why those actions matter. The Group's achievements are aligned with selected Sustainable Development Goals where there is clear evidence and a direct connection to the Group's role as a financial institution, employer, service provider and community-impact partner. These links are presented as areas of contribution and alignment, not as claims that BK Group achieves the SDGs.

The Group's environmental progress contributes to SDG 12: Responsible Consumption and Production and SDG 13: Climate Action through improved measurement of operational emissions, fuel use, electricity, paper and water. Available Scope 1 fuel emissions decreased by 18.4% across entities with validated fuel data, while the Group established an available 2025 Scope 1 and Scope 2 operational emissions baseline of 1,751.235 tCO₂e. Paper and water are tracked separately as resource-efficiency indicators, strengthening the Group's ability to manage consumption more consistently over time.

BK Commercial Bank's green mobility transition also supports the Group's contribution to responsible resource use and climate action. With 8 electric vehicles and 10 diesel vehicles, EVs represented 44.4% of the reported fleet in 2025, moving the Bank closer to its target of at least 50% EV representation.

The Group's sustainable finance activities are aligned with SDG 7: Affordable and Clean Energy, SDG 9: Industry, Innovation and Infrastructure, and SDG 13: Climate Action, where the underlying activity supports green, climate-smart or sustainability-related outcomes. BK Commercial Bank reported RWF 11.637 billion in green loans and RWF 16.388 billion in green securities exposure, while also screening RWF 205.488 billion, or 12.2%, of loans for ESG risks. The green-loan share of 0.7% should be read carefully: it reflects only projects currently classified as inherently green, while other potentially eligible projects are still being screened against the Rwanda Green Taxonomy.

BK Capital's RWF 31 billion in ESG- or sustainability-related advisory and brokerage activity supports the Group's broader alignment with sustainable capital-market development. This activity should be described carefully and not automatically labelled as green finance unless the classification basis is formally confirmed.

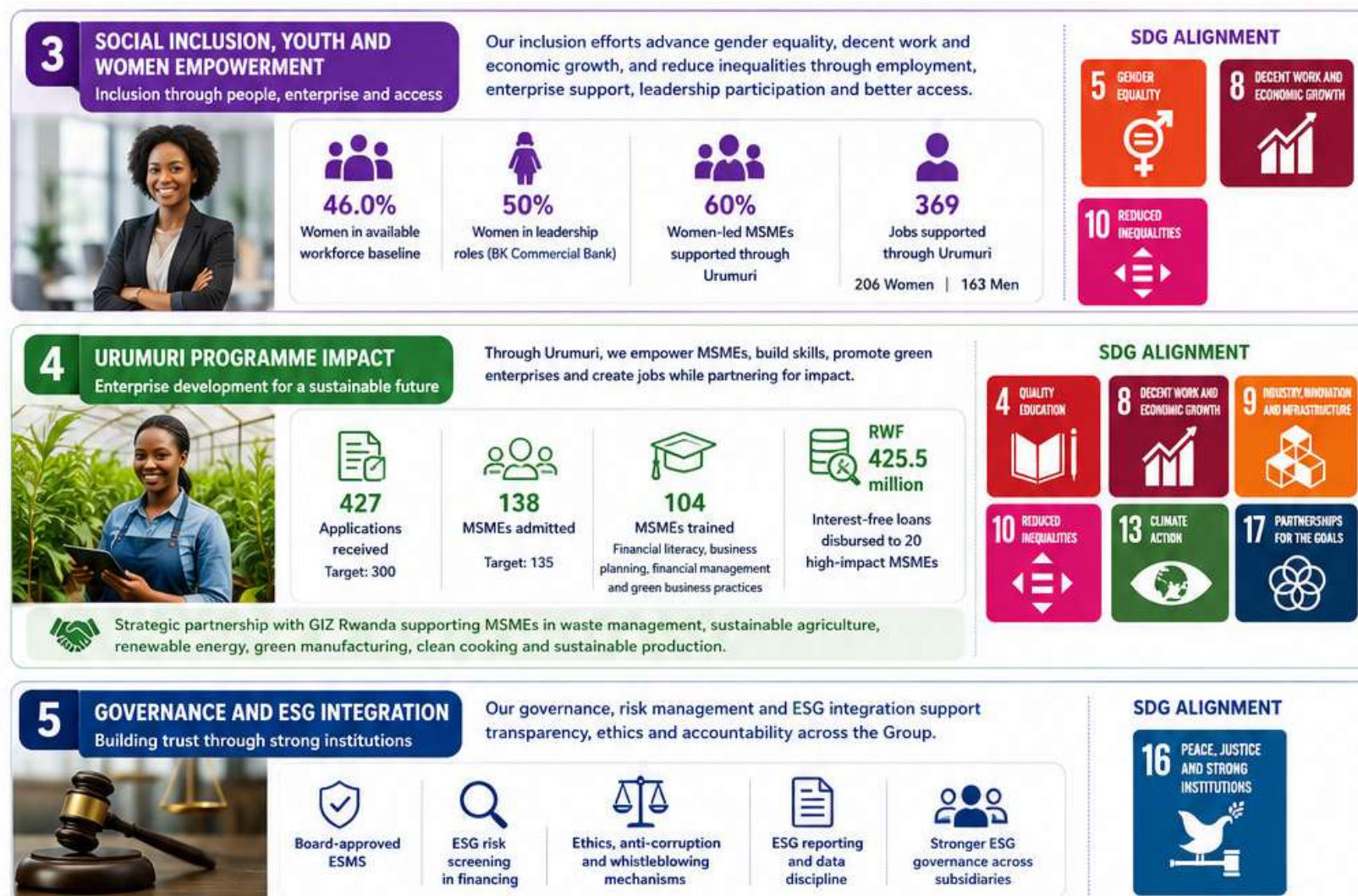
The Group's inclusion work contributes to SDG 5: Gender Equality, SDG 8: Decent Work and Economic Growth, and SDG 10: Reduced Inequalities. Women represented 46.0% of the available workforce baseline, BK Commercial Bank reported 50% women in leadership roles, and the Bank has set a target to reach at least 30% female Board representation by 2027 or earlier. Through Urumuri, women-led MSMEs represented 60% of supported enterprises, exceeding the programme's 50% target. Urumuri-supported enterprises reported 369 jobs supported, including 206 jobs for women.

BK Foundation's Urumuri programme also contributes to SDG 4: Quality Education, SDG 8, SDG 9, SDG 10, SDG 13, and SDG 17: Partnerships for the Goals through enterprise training, interest-free financing, partnership-based implementation and support for MSMEs in circular economy, climate-smart and environmentally sustainable sectors. In 2025, Urumuri received 427 applications, admitted 138 MSMEs, trained 104 MSMEs, and disbursed RWF 425.5 million in interest-free loans to 20 high-impact MSMEs. Its strategic partnership with GIZ Rwanda helped focus support on enterprises in areas such as waste management, sustainable agriculture, renewable energy, green manufacturing, clean cooking and sustainable production.

Governance and ESG integration contribute most directly to SDG 16: Peace, Justice and Strong Institutions. The Board-approved ESMS, ESG risk screening, ethics controls, whistleblowing mechanisms, anti-corruption controls and ESG reporting discipline all support stronger institutional accountability. ESG governance became more visible across subsidiaries in 2025, while the Group continued strengthening the link between ESG, responsible financing, risk management and reporting.

The Group's SDG alignment is therefore strongest where it is supported by clear data: gender inclusion, MSME support, jobs supported, green enterprise support, ESG risk screening, sustainable finance, operational emissions measurement, responsible resource use, governance controls and partnership-based delivery. Where data is still developing, such as Scope 3, financed emissions, waste measurement and full climate-risk modelling, the Group will treat SDG links carefully and avoid broad unsupported claims.





9. 2026 ESG Priorities: From Baseline-Building to Deeper Implementation

The 2025 baseline gives the Group a clearer starting point for 2026. The next step is to turn that baseline into deeper implementation, stronger ownership and more decision-useful ESG management.

The Board-approved ESMS will remain the operating backbone for responsible financing. In 2026, implementation will focus on more consistent ESG screening, due diligence, monitoring, escalation and documentation, supported by clearer process ownership and stronger evidence trails.

Facility-level data will also be strengthened. The Group will improve tracking of fuel, electricity, water and refrigerants through standard automated templates and clearer ownership across Operations, Procurement and subsidiaries. This will help make Scope 1 and Scope 2 reporting more consistent, comparable and auditable over time.

Scope 3 and financed-emissions coverage will be expanded progressively. The work will begin with clearer portfolio boundaries, sector classification, data-quality controls and baseline-setting, before moving toward more advanced measurement and reporting.

Sustainable finance will remain a key growth area, but with continued classification discipline. The Group will continue screening potentially green projects against the Rwanda Green Taxonomy, including energy efficiency, housing and other activities where green-impact ratios must be confirmed. It will also support credible sustainability bond structuring, eligibility criteria and investor-facing ESG quality.

Portfolio environmental and climate-risk exposure will be strengthened through physical-risk mapping, transition-risk classification, climate-sensitive exposure monitoring, climate stress testing and scenario analysis. These activities will help the Group move from general climate-risk awareness toward more decision-useful portfolio insight.

Inclusion will also remain central to the Group's ESG agenda. The Group will continue strengthening gender and youth-disaggregated data, supporting women-led and youth-led enterprises, and progressing toward BK Commercial Bank's target of at least 30% female Board representation by 2027 or earlier.

Resource efficiency will be pursued through practical operational action. The Group will use the 2025 baseline to guide reductions in fuel, electricity, water and paper consumption, while improving waste management through source segregation, weighing, authorised collection and disposal verification.

2025 was a year of consolidation and baseline-building. 2026–2027 will be a period of deeper implementation, stronger ownership and more integrated ESG management.



1. Strengthen ESMS Implementation

The Board-approved ESMS remains the backbone for responsible financing. Focus in 2026 will be on more consistent ESG screening, due diligence, monitoring, escalation and documentation, supported by clearer process ownership and stronger evidence trails.



5. Sustainable Finance with Discipline

Continue screening potentially green projects against the Rwanda Green Taxonomy, including energy efficiency, housing and other activities where green-impact ratios must be confirmed. Support credible sustainability bond structuring and investor-facing ESG quality.



2. Strengthen Facility-Level Data

Improve tracking of fuel, electricity, water and refrigerants through standard automated templates and clearer ownership across Operations, Procurement and subsidiaries to ensure more consistent, comparable and auditable Scope 1 and Scope 2 reporting.



6. Strengthen Portfolio Climate-Risk Insight

Advance physical-risk mapping, transition-risk classification, climate-sensitive exposure monitoring, climate stress testing and scenario analysis to deliver more decision-useful portfolio insight and support resilience.



3. Expand Scope 3 and Financed Emissions Coverage

Begin with clearer portfolio boundaries, sector classification, data-quality controls and baseline-setting before progressing to more advanced measurement and reporting.



7. Advance Inclusion and Representation

Strengthen gender and youth-disaggregated data, support women-led and youth-led enterprises, and progress toward BK Commercial Bank's target of at least 30% female Board representation by 2027 or earlier.



4. Deepen ESG Integration in Operations

Embed ESG across lending, risk management, procurement, operations and customer service through capacity-building, practical tools and stronger internal coordination.



8. Drive Resource Efficiency & Waste Management

Use the 2025 baseline to guide reductions in fuel, electricity, water and paper consumption, while improving waste management through source segregation, weighing, authorised collection and disposal verification.



2025 was a year of consolidation and baseline-building.
2026–2027 will be a period of deeper implementation,
stronger ownership and more integrated ESG management.



10. Urumuri Entrepreneurship Program

Urumuri is BK Foundation's flagship entrepreneurship program, designed to support the growth and resilience of MSMEs in Rwanda. The program reflects BK Foundation's commitment to inclusive economic empowerment — helping entrepreneurs strengthen their business capacity, improve financial readiness, and access appropriate support to scale sustainably.

In 2025, through a strategic partnership with GIZ Rwanda, Urumuri placed a specific focus on MSMEs operating in the circular economy, climate-smart, and environmentally sustainable sectors. This focus responded to the growing need to support enterprises that contribute to Rwanda's green growth ambitions, while addressing practical barriers that continue to limit MSME development, including limited financial literacy, weak business systems, constrained access to finance, and low integration into formal financial systems. These enterprises focused on waste management, sustainable agriculture, renewable energy, green manufacturing, clean cooking, and sustainable production.

The program adopted an integrated support model combining financial literacy and business development training, interest-free financing, and ecosystem support. Through this approach, Urumuri aimed not only to provide short-term support, but also to strengthen enterprise performance, sustainability, and readiness to scale. A key objective was to enable participating MSMEs to build the capacity and credibility required to eventually access finance independently through formal financial institutions.

Program Reach

During the reporting period, the program received 427 applications, exceeding the initial target of 300 and demonstrating strong demand for tailored entrepreneurship support within Rwanda's green and circular economy space. Following the selection process, 138 MSMEs were admitted into the program, surpassing the target of 135.

427 applications received — vs. target of 300

138 MSMEs admitted — vs. target of 135

104 MSMEs completed training

Training & Capacity Building

A total of 104 MSMEs completed training in financial literacy, business planning, financial management, and green business practices across Kigali and Musanze. The training provided entrepreneurs with practical tools to improve business discipline, strengthen decision-making, and better position their enterprises for growth and investment readiness.

Interest-Free Financing

As part of the financing component, RWF 425.5 million in interest-free loans was disbursed to 20 high-impact MSMEs, with loan amounts ranging from RWF 5 million to RWF 30 million. These enterprises were selected based on their potential to absorb financing effectively, strengthen operations, and contribute to sustainable economic activity.

RWF 425.5 million disbursed

20 MSMEs financed — loans ranging from RWF 5M to RWF 30M

Inclusion & Jobs

The 2025 cohort reflected Urumuri's deliberate inclusion lens, targeting women, youth, and persons with disabilities-led enterprises. Women-led MSMEs represented 60% of supported enterprises, exceeding the program's 50% target and demonstrating the effectiveness of its inclusion strategy. Across participating enterprises, the program supported 369 jobs, reinforcing the role of MSMEs as drivers of both inclusive economic development and environmental sustainability.

60% women-led MSMEs — vs. target of 50%

369 jobs supported (206 jobs for women, 163 for men.)

Overall, Urumuri this year demonstrated BK Foundation's practical commitment to entrepreneurship as a pathway for empowerment, resilience, and sustainable growth. By combining capacity building, patient financing, and ecosystem support, the program helps MSMEs move from early-stage potential toward stronger performance, greater formalization, and long-term access to finance.

FOCUS AREAS: BUILDING A GREENER, INCLUSIVE ECONOMY

Urumuri 2025 focused on MSMEs operating in the circular economy, climate-smart and environmentally sustainable sectors:



Waste management



Sustainable agriculture



Renewable energy



Green manufacturing



Clean cooking



Sustainable production



Addressing key barriers:

Limited financial literacy

- ✓ Weak business systems
- ✓ Constrained access to finance
- ✓ Low integration into formal financial systems

PROGRAM REACH



427

Applications received
vs. target of 300



138

MSMEs admitted
vs. target of 135



104

MSMEs completed training

TRAINING & CAPACITY BUILDING



104 MSMEs completed training in financial literacy, business planning, financial management, and green business practices across Kigali and Musanze.

Training areas

- Financial literacy
- Business planning
- Financial management
- Green business practices

Equipping entrepreneurs with practical tools to strengthen business discipline, improve decision-making, and boost investment readiness.

INTEREST-FREE FINANCING



RWF 425.5 MILLION
disbursed



20 MSMEs financed
Loans ranging from
RWF 5M to RWF 30M



Supporting high-impact enterprises to strengthen operations and drive sustainable economic growth.

INCLUSION & JOBS



60%
Women-led MSMEs
vs. target of 50%



369
Jobs supported

206
Jobs for Women

163
Jobs for Men

Driving inclusion by supporting women, youth and persons with disabilities-led enterprises and creating decent jobs.



DRIVING IMPACT

Urumuri strengthens MSMEs, creates jobs, empowers communities, and advances Rwanda's green growth ambitions. By building capacity and improving access to finance, we help entrepreneurs build businesses that are resilient, inclusive and environmentally responsible.



CONTRIBUTING TO A SUSTAINABLE FUTURE



Economic growth through strong MSMEs



Inclusive and equitable economic opportunities



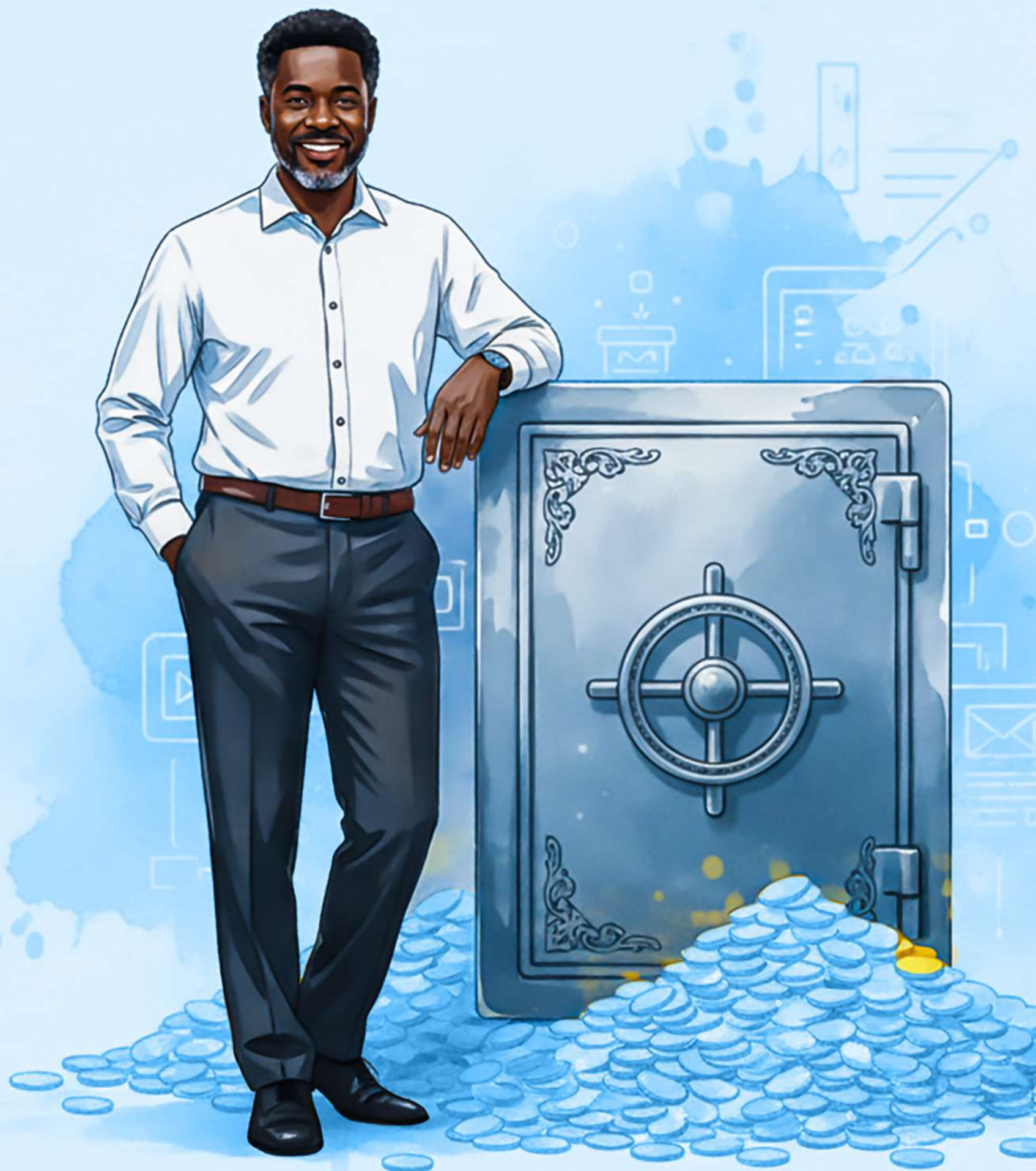
Environmental sustainability and climate action



Stronger pathways to finance and long-term resilience







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Notes to the financial statements





Directors And Statutory Information For the Year Ended 31 December 2025

DIRECTORS

Non-Executive and Independent Directors

Mr. Jean Philippe Prosper Chairman
Mrs. Sonia Masimbi Kubwimana
Mrs. Roselyne Uwamahoro
Mr. Majija Achumile

Non-Executive and Non-Independent Directors

Mr. Darren Keith Smith
Mr. Francis Gatare
Mr. Ulrich Kayinamura

GROUP CHIEF EXECUTIVE OFFICER

Dr Uzziel Ndagijimana

SECRETARY

Rukundo Gedeon
9 KN 3 Ave, Kigali
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Kigali-Rwanda

AUDITOR

Ernst & Young Rwanda Limited
Certified Public Accountants
M-Peace Plaza Executive Wing, 6th Floor
KN 4 Avenue 72 St
PO Box 3638
Kigali - Rwanda

REGISTERED OFFICE & PRINCIPAL PLACE OF BUSINESS

Old I&M Bank Building
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P.O Box 175
Kigali-Rwanda

ADVOCATES

Mr. Athanase Rutabingwa
P.O Box 6886
Kigali-Rwanda

BK Group Plc

Corporate Governance Statement

For The Year Ended 31 December 2025

The directors have the pleasure of submitting their report together with the audited consolidated financial statements for the year ended 31 December 2025 which disclose the state of affairs of BK Group Plc and its subsidiaries (together, the “Group”).

Principal activities

The principal activities of the Group are provision of retail and corporate banking services, insurance services, brokerage services, internet and digital services.

Results

The results for the year are set out on page 11.

Dividends

The Proposed dividend for the year ended 2025 is Frw 49,585,926,746 (2024: Declared dividend was Frw 32,200,345,487)

Reserves

The reserves of BK Group Plc are set out in note 35.

Directors

The Directors who served during the year and up to the date of this report are set out on page 1.

Auditors

The Group’s auditor, Ernst & Young Rwanda Limited has expressed willingness to continue in office.

Approval of the financial statements

The consolidated financial statements which appear on pages 11 to 81 were authorised for issue by the Directors have the power to amend and reissue the financial statements.

BY ORDER OF THE BOARD

Rukundo Gedeon

Company Secretary

Date: 2026

BK Group Plc

Statement Of The Directors' Responsibilities

For The Year Ended 31 December 2025

The Group's directors are responsible for the preparation and fair presentation of the consolidated financial statements, comprising the consolidated statement of financial position at 31 December 2025 the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the twelve months period then ended, and the notes to the consolidated financial statements, which include a summary of material accounting policies and other explanatory notes, in accordance with IFRS Accounting Standards as issued by the International Accounting Standard Board and Law No. 007/2021 of 05/02/2021 Governing Companies as amended by Law No. 019/2023 of 30 March 2023 and for such internal control as the Directors determine is necessary to enable the preparation of the consolidated financial statements that are free from material misstatement whether due to fraud or error.

The directors' responsibilities include designing, implementing and maintaining internal control relevant to the preparation and fair presentation of these consolidated financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances. They are also responsible for safeguarding the assets of the Group.

The directors accept responsibility for the consolidated financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with IFRS Accounting Standards as issued by the International Accounting Standard Board and the requirements No. 007/2021 of 05/02/2021 Governing Companies as amended by Law No. 019/2023 of 30 March 2023. The Directors are of the opinion that the consolidated financial statements give a true and fair view of the state of the financial affairs and the profit and cash flow for the year ended 31 December 2025.

The directors have made an assessment of the Group's ability to continue as a going concern and have no reason to believe the Group will not be a going concern for at least the next twelve months from the date of this statement.

The auditor is responsible for reporting on whether the annual consolidated financial statements are fairly presented in accordance with the IFRS Accounting Standards as issued by the International Accounting Standard Board and Law No. 007/2021 of 05/02/2021 Governing Companies as amended by Law No. 019/2023 of 30 March 2023.

The Consolidated financial statements which appear on pages 11 to 81 were approved by the Board of Directors and signed on its behalf by:

.....
Director

Dr Uzziel Ndagijimana

.....
Group Chief Executive Officer

.....
Director

BK Group Plc

Corporate Governance Statement

For The Year Ended 31 December 2025

BK Group plc is committed to world class corporate governance standards as set from time to time by the National Bank of Rwanda, Capital Market Authority, Rwanda Stock Exchange and by itself in accordance with international best practise. The Board of Directors are responsible for the long-term strategic direction for profitable growth of the Group whilst being accountable to the shareholders for compliance and maintenance of the highest corporate governance standards and business ethics.

The Board of Directors

The Board is made up of four Non-Executive and Independent Directors, Three Non-Executive and Non-Independent Director. The Board is provided with full, appropriate and timely information to enable them to maintain full and effective control over the strategic, financial, operational and compliance issues of the Group. The day to day running of the business of the Group is delegated to the Group Chief Executive Officer but the Board is responsible for establishing and maintaining the Group's system of internal controls so that the objective of profitable and sustainable growth and shareholders' values are realised. The Board also makes recommendations to the shareholders on Board succession planning and annual financial statements.

Board Meetings

The Board of Directors meet quarterly or as required in order to monitor the implementation of the Group's planned strategy, review it in conjunction with its financial performance and approves issues of strategic nature. Specific reviews are also undertaken on operational issues and future planning. At the end of each financial year, the Board reviews itself, Board Committees, Senior Management and the Group Chief Executive Officer against targets agreed at the beginning of the year. The Board held four meetings during the year.

Board attendance

The following table gives the record of attendance of the directors of the board for the Financial Year 2025.

Structure	Category	Board Quarterly Main Meetings	Extraordinary Main Board Meetings	Investment Committee	Nomination and Remuneration Committee
Mr Jean Philippe Prosper	Independent	4/4	3/3	N/A	N/A
Mrs. Roselyne Uwamahoro	Independent	4/4	3/3	4/4	N/A
Mrs. Sonia Masimbi Kubwimana	Independent	4/4	3/3	N/A	2/2
Mr. Majija Achumile	Independent	4/4	3/3	N/A	2/2
Mr Francis Gatare	Non- Independent	4/4	3/3	N/A	2/2
Mr. Darren Keith Smith	Non- Independent	4/4	3/3	4/4	N/A
Mr. Ulrich Kayinamura	Non- Independent	4/4	3/3	4/4	N/A

Management committees

The Board has delegated the management of the business to the Chief Executive Officer of each subsidiary together with their respective Management Committees. The following management committees are in place at the subsidiary level to ensure that the Group carries out its obligation efficiently and effectively.

Bank of Kigali Plc	BK General Insurance Ltd	Other subsidiaries
Management Committee	Management Committee	Management Committee
Assets And Liability Committee	Assets, Liabilities and Investments Committee	Audit Committee
Credit Committee	Risk and Compliance Committee	
Debt Recovery Committee	Underwriting and Claim strategy committee	
Human Resource Committee		
Product Development Committee		
Information & Communication Technology Committee		
Procurement Committee		
Branch Expansion Committee		

Report Of The Independent Auditor To The Members Of BK Group Plc

Report of the Independent Auditor on the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of BK Group PLC and its subsidiaries ('the group') set out on pages 11 to 81, which comprise of the consolidated statements of financial position as at 31 December 2025, and the consolidated statements of profit or loss and other comprehensive income, the consolidated statements of changes in equity and the consolidated statements of cash flows for the year then ended, and notes to the consolidated consolidated financial statements including a summary of material accounting policy information.

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2025, and its consolidated financial performance and consolidated cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standard Board and the requirements of the Law No. 007/2021 of 05/02/2021 governing companies as amended by Law No. 019/2023 of 30 March 2023.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) as applicable to audits of consolidated financial statements of public interest entities, and other independence requirements applicable to performing audits of consolidated financial statements of the Group and in Rwanda. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code and in accordance with other ethical requirements applicable to performing audits of the Group and in Rwanda. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. Our description below, of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the Consolidated financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Corporate Governance Statement

For the Year Ended 31 December 2025

Report of the Independent Auditor on the Consolidated Financial Statements (continued)

KEY AUDIT MATTERS	HOW THE MATTER WAS ADDRESSED IN OUR AUDIT
IFRS 9. Expected Credit Losses As disclosed in Note 21 to the consolidated financial statements, as at 31 December 2025, the Group has an allowance for expected credit losses of RWF 70,990 million (2024: RWF 68, 533 million) charged on gross loans and advances to customers of RWF 1,759,125 million (2024: RWF 1,522,516 million). The related charge for the year to the income statement was RWF 19,441 million (2024: RWF 37,587 million) as disclosed in Note 14 and Note 21 to the consolidated financial statements. The expected credit losses are based on a forward-looking approach that recognises impairment loss allowances in accordance with IFRS 9 Financial Instruments. The estimation of expected credit losses requires the Group to make significant judgements in the consideration of the following variables: • Stratification of loans and advances to customers under different credit portfolio on the basis of the associated credit risk. • Application of historical and forward-looking information, including macro-economic factors in the assessment of the PD. • Assessing and forecasting expected future cash flows from impaired (stage 3) loans and advances to customers and assessing the financial condition of the counterparty, estimated recoverable amounts and collateral realisation. • Assessment of Probability of Default (PD) and Loss Given Default (LGD). • Expected utilisation of overdraft and other lending commitments over the lifetime of the commitments. • Allocation of loans due from customers to stages 1, 2 and 3 in accordance with IFRS 9 based on: • Credit exposures for which there has been no significant increase in credit risk, and for which a loss allowance is recognised for default events that are possible within the next 12-months (12-month ECL). • Credit exposures for which there has been a significant increase in credit risk since initial recognition, and for which a loss allowance is recognised over the remaining life of the exposure (life-time ECL); and • Application of additional overlay adjustments to reflect factors that are not considered in the applied expected credit loss model. • Due to the significance of the amounts and significant judgements and related estimation uncertainty involved, the assessment of ECLs has been considered a key audit matter. Management is required to disclose the key judgments and the key inputs into the ECL computations. The disclosures in Notes 2, Note 4, and Note 21 to the consolidated financial statements provide information about the Group's ECL models and the related accounting policies, key assumptions and judgements.	Our audit procedures included, but were not limited to: • Obtained an understanding of management's process and controls over credit origination, credit monitoring, credit remediation and expected credit loss modelling. This included understanding the governance over the credit models and related management overlay adjustments and evaluating that the ECL models were in accordance with the IFRS 9 principles. • Specific for non-performing loans (NPLs or Stage 3) ECL models: • Reviewed the allocation of loans and advances to customers to stages 1, 2 and 3 for compliance with IFRS 9 basing on the performance of the loans and the available information. • Tested the completeness of the NPLs identified by management by inspecting the loan register that all loans meeting the NPL criteria are included in the schedule of NPLs. For credit classifications based on subjective criteria, we evaluated the appropriateness of the factors considered by management. • Obtained understanding of the ECL models and the key inputs and selected a sample for testing, taking into consideration both quantitative and qualitative factors. The quantitative factors were primarily based on our performance materiality while the qualitative factors considered aspects such as facilities watch-listed by management and/or the regulator, nonperforming borrowers known from publicly available information and borrowers in sectors that are not performing as expected. • For the selected sample of NPLs, inspected the related loan files and evaluated that the inputs in the ECL models agreed to the supporting documentation in the files. Inputs considered included interest rates which are used as the discount factors, outstanding loan balances which are the basis for determining the LGD, value of the collateral held which is the basis for expected cash flows from loans to be recovered through foreclosure. • Evaluated whether the basis for determining the expected net cash flows from the loans was reasonable in the circumstances. This included evaluating that expected cash flows based on foreclosure are based on the collateral Forced Sale Values as determined by the external valuer and as adjusted by appropriate haircuts, or as otherwise justified by management, including reflecting available supportable information which reflects borrower specific and/or current market conditions. For cash flows expected from repayments by the borrowers, we evaluated that they were supported by enforceable commitments and evidence of source of cash to be used by the borrower to repay the loans. • For the selected sample of NPLs, inspected the related loan files and evaluated that the inputs in the ECL models agreed to the supporting documentation in the files. Inputs considered included interest rates which are used as the discount factors, outstanding loan balances which are the basis for determining the LGD and value of the collateral held which is the basis for expected cash flows from loans to be recovered through foreclosure. • Evaluated whether the basis for determining the expected net cash flows from the loans was reasonable. This included evaluating that expected cash flows based on foreclosure are based on the collateral Forced Sale Values as determined by the external valuer and as adjusted by appropriate haircuts, or as otherwise justified by management, including reflecting available supportable information which reflects borrower specific and/or current market conditions. Evaluated whether necessary adjustments to the expected cash flows were considered including a reasonable estimate of the costs expected to be incurred to recover the expected cash flows..

Report of the Independent Auditor on the Consolidated Financial Statements (continued)

KEY AUDIT MATTERS	HOW THE MATTER WAS ADDRESSED IN OUR AUDIT
Determination of insurance contract liabilities	
The insurance contract liabilities disclosed on Note 30(i) of the consolidated financial statements amounting to RWF 5,884 million is made up of the liabilities for remaining coverage and liabilities for incurred claims. The valuation of these liabilities requires a comprehensive transformation involving accounting standards, systems, and actuarial processes to achieve compliance. The valuation of insurance contract liabilities has a significant risk of misstatement due to the complexity associated with the underlying assumptions and the sensitivity to assumptions and actuarial judgment applied. The key actuarial assumptions relate to the calculation of the Liability for Incurred Claims (LIC), Liability for Remaining Coverage (LRC), Reinsurance assets, and the Risk Adjustment (RA). Additionally, the valuation of outstanding claims relies on the quality of underlying data. It involves complex and subjective judgements about future events for which small changes in assumptions can result in material impacts to the estimates. We identified this as a key audit matter due to the significance of the balances to the consolidated financial statements and the high degree of estimation uncertainty and significant judgement applied by management in the determination of the value of these liabilities. We also consider that the following disclosures on insurance contract liabilities are critical to the understanding of the consolidated financial statements: Note 2(v) on the accounting policies on insurance contracts Note 2(c) on the critical accounting estimates and judgments Note 6 on insurance risk management disclosures Note 30(i) on the insurance contract liabilities balances	For Stage 1 and 2 ECL models, the ECL balances determined by management were evaluated by assessing whether they were within the range of estimates recomputed using available inputs and validated information produced by the Bank. This included evaluating that inputs into the ECL models like the loan balances used agreed to the general ledger and that there were no duplicated or omitted loan facilities and management overlay adjustments like technical arrears were in line with the Bank's policy. We assessed whether disclosures made in the consolidated financial statements agreed to the audited balances and information, and whether they were in accordance with IFRS 9. Our audit procedures included, but were not limited to: Understanding the Company's claims handling and reserve setting processes and evaluating whether they are in accordance with IFRS 17. Comparing, for a sample of claims, the amounts as recorded in the claims systems to source documents. Testing the appropriateness of the inputs into the reserving models and calculations including testing contracts and relevant reserving attributes to evaluate whether the data was appropriately sourced, input and interpreted. Involving our actuarial specialists to evaluate the actuarial valuation process, reasonableness of assumptions applied, and appropriateness of the methodologies used. This included reviewing the model results to determine if they were compliant with the IFRS 17 requirements and recomputing the insurance contract reserves. Evaluating the overall adequacy of the Company's disclosures in terms of IFRS 17.

OTHER INFORMATION

The other information consists of the information included on pages 1 to 5 of the document titled "Annual Report and Audited Consolidated Financial Statements for the year ended 31 December 2025", which includes the Directors and Statutory Information, Report of the Directors, Statement of Directors' Responsibilities and the Corporate Governance Statement as required by Law No 007/2021 of 05/02/2021 governing companies in Rwanda as amended by Law No 019/2023 of 30 March 2023. The other information does not include the consolidated financial statements and our auditor's report thereon. The Directors are responsible for other information.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Report of the Independent Auditor on the Consolidated Financial Statements (continued)

RESPONSIBILITIES OF THE DIRECTORS FOR THE CONSOLIDATED FINANCIAL STATEMENTS

The directors are responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standard Board, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the directors ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

As required by the Law No. 007/2021 of 05/02/2021 governing Companies as amended by Law No. 019/2023 of 30 March 2023,

We confirm that:

1. We have no relationship, interests and debts in the Group.
2. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit.
3. In our opinion, proper books of account have been kept by the Group, so far as appears from our examination of those books.
4. We have communicated to you through the management letter, internal control weaknesses identified in the course of our audit including our recommendations with regard to those matters.

Stephen K Sang

For Ernst & Young Rwanda Limited

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Financial Statements For The Year Ended 31 December 2025

Consolidated statement of Profit or loss and other comprehensive income

	Note	2025 Frw'000	2024 Frw'000
Interest revenue calculated using the effective interest	7	277,876,258	251,118,890
Interest expense calculated using the effective interest method	8	(57,416,955)	(60,458,536)
Net interest income		220,459,303	190,660,354
Fee and commission income	9(i)	44,409,362	46,873,790
Fee and commission expense	9(ii)	(7,784,439)	(6,844,005)
Net fee and commission income		36,624,923	40,029,785
Insurance revenue	11	17,412,691	14,863,420
Insurance service expenses	12(i)	(9,931,212)	(7,489,980)
Insurance service result before reinsurance contracts held		7,481,479	7,373,440
Net insurance finance income	12 (iii)	33,593	50,691
Net income from reinsurance contract held	12(iv)	(819,688)	(1,418,663)
Insurance service result		6,695,384	6,005,468
Operating income before impairment losses and claims		263,779,610	236,695,607
Credit impairment losses for-loans	14(a)	(15,783,004)	(33,214,061)
Credit impairment losses -Other assets	14(b)	(382,251)	(2,167,520)
Net operating income		247,614,355	201,314,026
Foreign exchange related income	10	16,757,448	20,810,705
Other operating income	13	4,163,754	4,015,292
Total Income		268,535,557	226,140,023
Employee benefits expense	15(i)	(52,857,221)	(46,667,715)
Depreciation and amortisation	15(ii)	(12,488,263)	(10,908,667)
Administration and general expenses	15(iii)	(42,097,814)	(39,542,036)
Non attributable expenses	12(ii)	(3,463,919)	(2,831,511)
Interest on lease liabilities	15(iv)	(216,286)	(86,396)
Total operating expenses		(111,123,503)	(100,036,325)
Profit before income tax		157,412,054	126,103,698
Income tax expense	16(i)	(47,359,380)	(35,072,668)
Profit for the year		110,052,674	91,031,030
Other comprehensive income			
<i>Other comprehensive income that will not be reclassified to profit or loss in subsequent periods:</i>			
Revaluation gain on revaluation gain		-	279,159
Deferred tax charge on revaluation gain		-	(78,165)
Fair value gain on equity investments		53,683	-
Deferred tax charge on the fair value gain		(8,052)	-
		45,631	200,994
Total comprehensive income for the year		110,098,305	91,232,024
Attributable to:			
Equity holders of the parent		108,687,389	89,893,974
Non-controlling interests		1,410,916	1,338,050
Basic and diluted earnings per share in FRw	17	117.8	97.8

The notes set out on pages 14 to 81 form an integral part of these financial statements.

Financial Statements For The Year Ended 31 December 2025

Consolidated statement of financial position

ASSETS	Note	2025 Frw'000	2023 Frw'000
Cash in hand	18(a)	28,196,928	21,663,033
Balances with the National Bank of Rwanda	18 (b)	276,102,250	257,489,419
Due from other banks	19	542,825,367	399,117,340
Investments in securities at amortised cost	20(a)	262,820,219	270,754,543
Investment in corporate bond	20(b)	15,831,910	23,883,206
Investment in specialized fund	20(c)	15,729,656	12,890,491
Reinsurance contract asset	22	3,358,680	2,857,410
Loans and advances to customers	21	1,688,134,854	1,453,983,641
Other assets	23	21,161,597	21,472,751
Right of use assets	27(iii)	3,031,878	2,694,903
Property and equipment	26(i)	30,887,316	31,734,374
Deferred tax asset	24	17,105,853	7,857,130
Intangible assets	26(ii)	14,233,369	14,610,397
		2,919,419,877	2,521,108,638
Assets classified as held for sale	25	100,000	100,000
TOTAL ASSETS		2,919,519,877	2,521,108,638
LIABILITIES			
Due to banks	27	264,889,279	223,300,626
Deposits and balances from customers	28	1,884,428,321	1,641,839,621
Income tax payable	16(ii)	15,118,282	8,989,032
Dividends payable	29	50,230,603	18,395,258
Insurance Contract liabilities	30(i)	5,884,721	3,028,210
Reinsurance premiums payable	30(ii)	419,596	1,656,810
Other liabilities	31	68,419,656	70,484,738
Lease liabilities	32	3,255,631	2,935,409
Long-term finance	33	118,693,731	111,951,300
Total liabilities		2,411,339,820	2,082,581,004
CAPITAL AND RESERVES			
Share capital	35(i)	9,347,166	9,305,314
Share premium	35(ii)	84,326,286	83,074,911
Revaluation reserves	35(iii)	246,624	13,217,601
Statutory reserves	35(v)	-	2,321,973
Retained earnings	35(iv)	407,938,909	325,344,951
Equity attributable to the owners of the parent		501,858,985	433,264,750
Non-controlling interests		6,321,071	5,262,884
TOTAL EQUITY		508,180,057	438,527,634
TOTAL LIABILITIES AND EQUITY		2,919,519,877	2,521,108,638

These financial statements were approved by the Board of Directors and were signed on its behalf by:

Director

Director

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The notes set out on pages 14 to 81 form an integral part of these financial statement

Financial Statements For
The Year Ended 31 December 2025
Statement of Changes in Equity

Year ended 31 December 2024	Issued capital Frw'000	Share premium Frw'000	Revaluation Frw'000	Statutory reserves Frw'000	Retained earnings Frw'000	Non-controlling interests FRw'000	Total Frw'000
As at 1 January 2024	9,305,314	83,074,911	13,217,601	2,321,973	325,344,951	5,262,884	438,527,634
DRIP Shares issued	41,852	1,251,375	-	-	(1,940)	-	1,291,287
Deferred tax laib. transfer To R/E					8,225,089		8,225,089
Revaluation Transfer to R/E			(13,099,994)		13,099,994		-
Transfer to retained earnings				(2,321,973)	2,321,973		-
OCI revaluation			129,017				129,017
Returned dividend					(20,128)		(20,128)
Prior year profit adjustments	-	-	-	-	(86,861)		(86,861)
Profit for the year					108,641,758	1,410,916	110,052,674
Dividend Proposed					(49,585,927)	(352,728)	(49,938,655)
	9,347,166	84,326,286	246,624	-	407,938,909	6,321,072	508,180,057

Year ended 31 December 2024	Issued capital Frw'000	Share premium Frw'000	Revaluation Frw'000	Statutory reserves Frw'000	Retained earnings FRw'000	Non-controlling interests FRw'000	Total Frw'000
As at 1 January 2024	9,281,625	82,423,448	13,099,993	2,321,973	254,971,032	4,259,347	366,357,418
DRIP Shares issued	23,689	651,463	-	-	(1013)	-	674,139
Revaluation			117,608				117,608
Profit for the year	-	-	-	-	89,692,980	1,338,050	91,031,030
Transaction with owners:							
Returned dividend					12,882,438		1,2882,438
Dividend Proposed					(32,200,486)	(334,513)	(32,534,999)
	9,305,314	83,074,911	13,217,601	2,321,973	325,344,951	5,262,884	438,527,634



Consolidated Statement of Cash Flows For the year ended 31 December 2025

Cash flows from operating activities	Note	2025 Frw'000	2024 Frw'000
Profit before income tax		157,412,054	126,103,698
Adjusted for:			
Depreciation of property and equipment	26(i)	6,320,407	7,061,088
Amortization of intangible assets	26(ii)	5,082,346	3,519,449
Write off of Property and Equipment	26(i)	1,703	613
Gain on disposal of property and equipment	13	(338,067)	(141,647)
Depreciation on right of use assets	26(iii)	1,339,558	543,259
Gain or loss of lease modification	32	(98,943)	-
Interest expenses on lease liabilities	32	242,519	173,477
Interest on long-term financing	34	7,975,712	8,546,556
Revaluation loss on long-term financing	34	683,374	1,002,302
Changes in expected credit losses on financial assets	14(a)	19,633,467	38,063,958
Dividend income	13	-	(42,029)
Writeback of prior year impairment on balances with other Banks	19	(735,069)	-
Changes in expected credit losses on Other assets, balances with BNR and balances with other banks	14(b)	(408,048)	1,020,149
impairment on investments in Specialized fund	20(c)	930,824	-
Changes in impairment on Investment	20(b)	(140,525)	(1,147,370)
Accrued interests on investments on bonds	20(b)	(955,965)	(1,413,399)
Accrued interest income on investments in Specialized fund	20(c)	(50,258)	(111,771)
Cash flows before changes in working capital		196,895,089	183,178,333
Changes in working capital			
Increase in loans and advances	4.1.8	(253,593,156)	(246,728,005)
Increase in Contract Assets	22	(501,270)	(341,897)
Decrease in other assets	23	960,868	(13,267,188)
Increase in cash reserve requirement	18(b)	3,599,785	(14,828,100)
Increase in deposits and balances from customers	28	242,588,700	267,496,740
Decrease in due to banks	27	(52,200,208)	63,138,515
Increase in insurance liabilities	30(i)	2,856,509	(2,804,874)
Decrease in reinsurance premiums payable	30(ii)	(1,237,214)	630,321
Increase in other liabilities	31	(2,256,605)	27,349,475
Decrease in assets held for sale	26	-	466,145
		137,097,498	264,289,465
Income tax paid	16(ii)	(42,320,320)	(29,668,715)
Net cash generated/(used in) from operating activities		94,777,178	234,620,750
Investing Activities			
Purchase of property and equipment	26(i)	(5,891,114)	(6,864,113)
Purchase of intangible assets	26(ii)	(4,705,318)	(7,847,089)
Proceeds from sale of fixed assets		754,129	562,371
Investment securities:			
Additions in investment in securities	20(a)	(376,087,672)	(426,298,314)
Receipts on investment maturities	20(a)	392,067,422	341,970,472
Corporate bond			
Additions in corporate bond	20(b)	(187,926)	(6,175,300)
Receipts in corporate bond	20(b)	1,290,287	1,204,648
Investment in specialised fund	20(c)	(4,220,489)	(70,643)
Receipts in specialized fund	20(c)	500,758	547,595
Dividend Received	13	-	42,029
Net cash flows used investing activities		3,520,077	(102,928,344)
Financing Activities			
Dividends paid	29	(18,123,433)	(23,677,180)
Payment of interest portion on lease liabilities	32	(242,519)	(173,477)
Repayment of interests on long-term finance	33	(8,111,221)	(7,923,749)
Drawdown of long-term finance	33	26,292,893	22,003,979
Repayment of long-term finance	33	(20,098,327)	(15,399,850)
Payment of principal portion on lease liability	33	(1,257,369)	(745,816)
Proceeds from issue of new shares	34(i)	41,852	23,689
Increase in share premium on new shares	34(ii)	1,251,375	651,463
Net cash flows (used in)/generated from financing activities		20,246,749	(25,240,941)
Net increase/(in cash and cash equivalents		78,065,506	106,451,465
Cash and cash equivalents at 1 January		463,323,414	356,871,949
Cash and cash equivalents at 31 December	18(c)	541,388,920	463,323,414
Additional information on operational cashflows from;			
Interest paid	9(i)	44,287,861	46,873,790
Interest received	7	278,572,433	251,118,890
Dividend received	13	-	42,029

Notes To The Financial Statements For The Year Ended 31 December 2025

1. CORPORATE INFORMATION

BK Group Plc is a non-operating holding company registered with Rwanda Development Board (RDB) under Law No. No. 007/2021 of 05/02/2021 Governing Companies as amended by Law No. 019/2023 of 30 March 2023

The Group provides corporate and retail banking services, insurance services, brokerage and management services, internet and digital services.

The Group Plc is incorporated in Rwanda and is publicly traded on the Rwanda Stock and cross listed in the Nairobi Securities Exchange. The address of its registered office is as follows:

Old I&M Bank Building
KN4 Ave No 12 Plot No 790
P.O Box 175
Kigali-Rwanda

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below, these policies have been consistently applied to all years presented, unless otherwise stated.

a) Basis of preparation

The consolidated financial statements comprise the financial statements of the Group and its subsidiaries as at 31 December 2025 including controlled structured entities. Thwe Group consolidates a subsidiary when it controls it. Control is achieved when the Bank is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group 's accounting policies. All intra-group assets, liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation

The group presents its consolidated statement of financial position in order of liquidity based on the group's intention and perceived ability to recover/settle the majority of assets /liabilities of the corresponding financial statement line item. Analysis regarding recovery or settlement with 12 months after the reporting(current)and more than 12 months after the reporting date (non-current assets) is presented in note 2.

The measurement basis applied is the historical cost basis. The preparation of consolidated financial statements in conformity with IFRS accounting standards requires the use of certain critical accounting estimates. It also requires the directors to exercise judgement in the process of applying the Group accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are material to the consolidated financial statements.

The group presents its consolidated financial statements in Rwandan Francs (RWF) which is the group's functional and presentation currency.

The consolidated financial statements of the group have been prepared in accordance with IFRS Accounting Standards as issued by International Accounting Standards Board (IASB) and in the manner required by Law No. 007/2021 of 05/02/2021 governing companies in Rwanda and Regulation No. 28/2019 of 09/09/2019 on publication of financial statements and other disclosures by listed companies in Rwanda. The consolidated financial statements are represented in Rwanda Francs (FRw) and all values are rounded to nearest Rwanda Francs "000", except where otherwise stated.

The preparation of consolidated financial statements in conformity with IFRS requires the use of certain critical accounting estimates, It also requires the directors to exercise judgement in the process of applying the Group's accounting policies, The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the consolidated financial statements , are disclosed in Note 3.

Changes in accounting policy and disclosures

BK Group applied for the first-time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2023. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

- (i) **New and amended standards adopted by BK Group Plc**
- i) **Standards issued but not yet effective**

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Group's consolidated financial statements are disclosed below. The Group intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

Notes To The Financial Statements For The Year Ended 31 December 2025

2. Summary of material accounting policies (continued)

2.1. New and amended standards and interpretations (continued)

Classification of Liabilities as Current or Non-current – Amendments to IAS 1

Standards issued but not yet effective that are expected to have a material impact on the Bank's financial statements

IFRS 18 Presentation and Disclosure in Financial Statements

In April 2024, the IASB issued IFRS 18 Presentation and Disclosure in Financial Statements, which replaces IAS 1 Presentation of Financial Statements. IFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Furthermore, entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new.

It also requires disclosure of newly defined management-defined performance measures, which are subtotals of income and expenses, and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements and the notes.

Narrow-scope amendments have been made to IAS 7 Statement of Cash Flows, which include changing the starting point for determining cash flows from operations under the indirect method, from 'profit or loss' to 'operating profit or loss' and removing the optionality around classification of cash flows from dividends and interest. In addition, there are consequential amendments to several other standards.

IFRS 18, and the amendments to the other standards, are effective for reporting periods beginning on or after 1 January 2027, but earlier application is permitted and must be disclosed. IFRS 18 will apply retrospectively.

The Group is currently working to identify all impacts the amendments will have on the primary financial statements and notes to the financial statements.

ii) Standards issued but not yet effective

Standards issued but not yet effective that are not expected to have a material impact on the Group's financial statements

- Lack of exchangeability – Amendments to IAS 21 (Effective for annual periods beginning on or after 01 January 2025)
- Classification and Measurement of Financial Instruments – Amendments to IFRS 9 and IFRS 7 (Effective for annual periods beginning on or after 01 January 2026)
- Annual Improvements to IFRS Accounting Standards—Volume 11 (Effective for annual periods beginning on or after 01 January 2026)
- Power Purchase Agreements – Amendments to IFRS 9 and IFRS 7 (Effective for annual periods beginning on or after 01 January 2026)
- Amendments to the Classification and Measurement of Financial Instruments—Amendments to IFRS 9 and IFRS 7 (Effective for annual periods beginning on or after 01 January 2026)
- IFRS 19 Subsidiaries without Public Accountability: Disclosures (Effective for annual periods beginning on or after 01 January 2027)

b) Going concern

BK Group Plc's directors have made an assessment of BK Group Plc's ability to continue as a going concern and is satisfied that BK Group Plc has the resources to continue in business for the foreseeable future. Furthermore, the management is not aware of any material uncertainties that may cast significant doubt upon BK Group Plc's ability to continue as a going concern. Therefore, the financial statements have been prepared on the going concern basis.

c) Use of estimates and judgments

The preparation of BK Group Plc's consolidated financial statements is in conformity with IFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the BK Group Plc's Consolidated financial statements and the reported amounts of revenues and expenses during the reporting period,

The estimates and assumptions are based on the Directors' best knowledge of current events, actions, historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgments about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates,

The estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods. In particular, information about significant areas of estimation and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are described in Note 3.

Notes To The Financial Statements For The Year Ended 31 December 2025

2. Summary of material accounting policies (continued)

2.1. New and amended standards and interpretations (continued)

Classification of Liabilities as Current or Non- current – Amendments to IAS 1

In the process of applying the Group 's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the financial statements:

i) Measurement of the expected credit loss allowance

The measurement of the expected credit loss allowance for financial assets measured at amortised cost is an area that requires the use of complex models and material assumptions about future economic conditions and credit behaviour (e.g. the likelihood of customers defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation techniques used in measuring ECL is further detailed in note 4.1.2.3, which also sets out key sensitivities of the ECL to changes in these elements.

A number of material judgements are also required in applying the accounting requirements for measuring ECL, such as:

Determining criteria for significant increase in credit risk;

Choosing appropriate models and assumptions for the measurement of ECL;

Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and the associated ECL;

ii) Determination of insurance contract liabilities

Insurance contract liabilities are made up the liabilities for remaining coverage and liabilities for incurred claims. The estimation of the insurance contract liabilities involves significant judgement given the inherent uncertainty in estimating expected future cash outflows in relation to claims incurred.

The valuation of outstanding claims relies on the quality of underlying data. It involves complex and subjective judgements about future events both internal and external to the business for which small changes in assumptions can result in material impacts to the estimates.

d) Principles of consolidation

i) Subsidiaries

Subsidiaries are all entities (including structured entities) over which BK Group plc has control, BK Group plc controls an entity when BK Group plc is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity, Subsidiaries are fully consolidated from the date on which control is transferred to BK Group plc, They are deconsolidated from the date that control ceases,

The acquisition method of accounting is used to account for business combinations by BK Group plc,

Intercompany transactions, balances and unrealised gains on transactions between group companies are eliminated, Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset, Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by BK Group plc.

Non-controlling interest in the results and equity of subsidiaries are shown separately in the consolidated statement of profit and loss and other comprehensive income, statement of changes in equity and statement of financial position respectively.

The Group assesses control in accordance with IFRS 10 by evaluating whether it has power over an investee, exposure or rights to variable returns, and the ability to use that power to affect those returns. In determining de facto control, the Group considers the size and dispersion of other shareholdings, voting patterns at previous shareholder meetings, and any practical ability to direct relevant activities. For structured entities, the Group assesses the purpose and design of the entity, the nature of its risks and rewards, and whether decision making rights confer power. In evaluating principal agent relationships, the Group analyses whether decision makers act primarily on its behalf or for the benefit of others, considering factors such as scope of authority, remuneration, and exposure to variable returns. These assessments inform the Group's consolidation conclusions and the related disclosures required under IFRS 12.

ii) Changes in ownership interest

BK Group treats transaction with non-controlling that do not result in a loss of control as transactions with equity owners of BK Group plc, A change in ownership interest results in an adjustment between the carrying amount of the controlling and non-controlling interests to reflect their relative interests in the subsidiary, Any difference between the amount of the adjustment to non-controlling interests and any consideration paid or received is recognised in a separate reserve within equity attributable to owners of BK Group Plc.

When BK Group plc ceases to consolidate because of loss of control any retained interest in the entity is measured at fair value with changes in carrying amount recognised in profit and loss.

Notes To The Financial Statements

For The Year Ended 31 December 2025

2. Summary of material accounting policies (continued)

2.1. New and amended standards and interpretations (continued)

Deferred Tax related to Assets and Liabilities arising from a Single Transaction – Amendments to IAS 12 (continued)

e) Revenue recognition

(i) Interest income

Interest income on financial assets measured at amortised cost and at fair value through other comprehensive income is recognised using the effective interest method.

The effective interest rate (EIR) is the rate that exactly discounts the estimated future cash receipts over the expected life of the financial asset to the asset's gross carrying amount at initial recognition. In calculating the EIR, the Group estimates expected future cash flows considering all contractual terms of the instrument but excluding expected credit losses. The calculation includes transaction costs, fees and points paid or received that are an integral part of the effective interest rate, as well as any discount or premium on acquisition.

Interest income is recognised by applying the EIR to the gross carrying amount of financial assets, except for credit-impaired financial assets for which interest income is recognised by applying the EIR to the amortised cost (i.e. the gross carrying amount net of loss allowance).

Where estimates of future cash flows are revised for reasons related to credit risk, the carrying amount of the financial asset is adjusted to reflect actual and revised estimated contractual cash flows discounted at the original effective interest rate. The resulting adjustment is recognised in profit or loss as part of interest income. For floating-rate financial assets, periodic changes in contractual cash flows arising from movements in market interest rates are reflected prospectively in interest income in accordance with the original effective interest rate.

Where the interest rate of a financial asset is modified as a direct consequence of interest rate benchmark reform, and the modification is economically equivalent and required by the reform, the Group updates the effective interest rate to reflect the change in the benchmark rate without recognising a modification gain or loss. This re-measurement is applied prospectively in accordance with the applicable IFRS 9 reliefs.

(ii) Fees and commission

The Group earns fee and commission income from a diverse range of financial services it provides to its customers. Fee and commission income is recognised at an amount that reflects the consideration to which the Group expects to be entitled in exchange for providing the services.

The performance obligations, as well as the timing of their satisfaction, are identified, and determined, at the inception of the contract. When the Group provides a service to its customers, consideration is invoiced and generally due immediately upon satisfaction of a service provided at a point in time or at the end of the contract period for a service provided over time.

The Group has generally concluded that it is the principal in its revenue arrangements because it typically controls the services before transferring them to the customer.

Fee and commission income from services where performance obligations are satisfied over time

Performance obligations satisfied over time include commission on payment facility and commission on loan services, where the customer simultaneously receives and consumes the benefits provided by the Group's performance as the Group performs. The Group's fee and commission income from services where performance obligations are satisfied over time include the following:

Loan commitment fees: These are fixed annual fees paid by customers for loan and other credit facilities with the Group, but where it is unlikely that a specific lending arrangement will be entered into with the customer and the loan commitment is not measured at fair value. The Group promises to provide a loan facility for a specified period. As the benefit of the services is transferred to the customer evenly over the period of entitlement, the fees are recognised as revenue on a straight-line basis. Payment of the fees is due and received monthly in arrears.

Interchange fees: The Group provides its customers with credit card processing services (i.e., authorisation and settlement of transactions executed with the Group's credit cards) where it is entitled to an interchange fee for each transaction (i.e., when a credit cardholder purchases goods and services from merchants using the Group's credit card). The fees vary based on the number of transactions processed and are structured as either a fixed rate per transaction processed or at a fixed percentage of the underlying cardholder transaction. The variable interchange fees are allocated to each distinct day, based on the number and value of transactions processed that day, and the allocated revenue is recognised as the entity performs.

Fee and commission income from providing services where performance obligations are satisfied at a point in time

Notes To The Financial Statements For The Year Ended 31 December 2025

2. Summary of material accounting policies (continued)

2.1. New and amended standards and interpretations (continued)

Deferred Tax related to Assets and Liabilities arising from a Single Transaction – Amendments to IAS 12 (continued)

Services provided where the Group's performance obligations are satisfied at a point in time are recognised once control of the services is transferred to the customer. This is typically on completion of the underlying transaction or service or, for fees or components of fees that are linked to a certain performance, after fulfilling the corresponding performance criteria. The Custody service is the most common service that is offered under this category.

(i) Insurance revenue

The insurance revenue for the period is the amount of expected premium receipts (excluding any investment component) allocated to the period. The Group allocates the expected premium receipts to each period of insurance contract services on the basis of the passage of time. But if the expected pattern of release of risk during the coverage period differs significantly from the passage of time, then the allocation is made on the basis of the expected timing of incurred insurance service expenses. The Group changes the basis of allocation between the two methods above as necessary, if facts and circumstances change. The change is accounted for prospectively as a change in accounting estimate. For the periods presented, all revenue has been recognized on the basis of the passage of time.

(ii) Techouse Revenue

a) Sale of software as a service

BK Techouse offers its software as a service hosted in the cloud. Under terms of the contract with the customer, the customer receives the right to access the software for an agreed period. A contract liability for the provision of the software as a service is recognized at the time of sale. Management considers that revenue is recognized over time as the service is delivered until the point that the agreement expires.

Revenue invoiced at the end of the reporting period which relates to future periods is classified as deferred income on the balance sheet.

The software comprises several different modules which can be sold as a bundle at the outset or separately if a customer chooses to take a subscription at a later date. Additional modules will continue to be developed and offered as part of the initial product offering or sold separately to existing customers who have not subscribed to that module.

b) Sale of software licenses

BK Techouse sells software licences which allow customers to use the software in their own environment which results in a transfer of control to the customer at a point in time, usually when the software has been installed in the customer's environment and the customer has signed an acceptance to say the delivery of the software has taken place.

Revenue is recognized in full at the point of delivery to the customer as the risks and rewards have transferred at that point to the buyer and BK Techouse does not retain managerial involvement or effective control over the software of the licenses.

(iii) Interest income and similar income/expense

Insurance contracts

Insurance contracts – initial measurement

The Group applies the premium allocation approach (PAA) to all the insurance contracts that it issues and reinsurance contracts that it holds, as:

- The coverage period of each contract in the Group is one year or less, including insurance contract services arising from all premiums within the contract boundary Or
- For contracts longer than one year, the Group has modelled possible future scenarios and reasonably expects that the measurement of the liability for remaining coverage for the group containing those contracts under the PAA does not differ materially from the measurement that would be produced applying the general model. In assessing materiality, the Company has also considered qualitative factors such as the nature of the risk and types of its lines of business.

The Group does not apply the PAA if, at the inception of the group of contracts, it expects significant variability in the fulfilment cash flows that would affect the measurement of the liability for the remaining coverage during the period before a claim is incurred. Variability in the fulfilment cash flows increases with, for example:

- The extent of future cash flows related to any derivatives embedded in the contracts
- The length of the coverage period of the group of contracts

For a group of contracts that is not onerous at initial recognition, the Group measures the liability for remaining coverage as:

- The premiums, if any, received at initial recognition
- Minus any insurance acquisition cash flows at that date.
- Any other asset or liability previously recognised for cash flows related to the group of contracts that the Group pays or receives before the group of insurance contracts is recognised.

Notes To The Financial Statements

For The Year Ended 31 December 2025

Where facts and circumstances indicate that contracts are onerous at initial recognition, the Group performs additional analysis to determine if a net outflow is expected from the contract. Such onerous contracts are separately grouped from other contracts and the Group recognises a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows. A loss component is established by the Group for the liability for remaining coverage for such onerous group depicting the losses recognised.

f) Property and equipment

Land and buildings are recognised at fair value based on periodic, but at least every 3-5 years, valuations by external independent valuers, less subsequent depreciation for buildings. A revaluation surplus is credited to revaluation reserves in shareholders' equity. All other property and equipment is stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items. Cost may also include transfers from equity of any gains or losses on qualifying cash flow hedges of foreign currency purchases of property, plant and equipment.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to BK Group plc and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to profit or loss during the reporting period in which they are incurred.

Increases in the carrying amounts arising on revaluation of land and buildings are recognised, net of tax, in other comprehensive income and accumulated in reserves in shareholders' equity. To the extent that the increase reverses a decrease previously recognised in profit or loss, the increase is first recognised in profit or loss, decreases that reverse previous increases of the same asset are first recognised in other comprehensive income to the extent of the remaining surplus attributable to the asset; all other decreases are charged to profit or loss.

Depreciation is calculated using the straight-line method to allocate their cost or revalued amounts, net of their residual values, over their estimated useful lives or, in the case of leasehold improvements and certain leased plant and equipment, the shorter lease term as follows:

• Buildings	5%
• Motor vehicles	25%
• Furniture and fittings	25%
• Office equipment	25%
• Computers	33%
• IT equipment including servers	20%

Freehold land is not depreciated as it is deemed to have an indefinite life.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposals are determined by comparing proceeds with carrying amount, these are included in profit or loss. When revalued assets are sold, it is group policy to transfer any amounts included in other reserves in respect of those assets to retained earnings.

Provisions

Provisions are recognised when BK Group Plc has a present legal or constructive obligation as a result of past events, for which it is probable that an outflow of economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to that liability. The expense relating to any provision is presented in the statement of profit or loss and other comprehensive income net of any disbursement.

a) Financial assets and liabilities

This policy applies to provisions and contingent liabilities within the scope of IAS 37. Expected credit losses on financial assets are accounted for in accordance with IFRS 9 and are disclosed separately under credit risk. Insurance contract liabilities, including onerous contract assessments, are accounted for under IFRS 17 and disclosed in the insurance accounting notes. *Refer to Notes 6 for more details.* Financial instruments are classified and measured at fair value through profit or loss (FVPL) where they are either held for trading or where the contractual cash flows do not meet the solely payments of principal and interest (SPPI) criterion under IFRS 9. In certain circumstances, the Group may also designate financial assets at FVPL at initial recognition where doing so eliminates or significantly reduces an accounting mismatch. Instruments typically measured at FVPL include derivative contracts and certain structured investments. The classification reflects the Group's business model for managing these assets and the nature of their contractual cash flows.

The Group may grant forbearance to borrowers experiencing temporary financial difficulty in order to maximize the likelihood of recovery and minimize credit losses. Forbearance measures may include restructuring of repayment schedules, temporary payment holidays, interest rate reductions, or extension of maturities. Exposures subject to such modifications are monitored as forbore exposures and assessed to determine whether the modification results in derecognition of the original asset or continuation with modification accounting under IFRS 9.

Further information on the Group's credit risk management practices, including policies for identifying credit deterioration, monitoring modified exposures, and managing credit risk concentrations, is provided in the credit risk section of the financial statements in accordance with the disclosure requirements of IFRS 7.

Notes To The Financial Statements For The Year Ended 31 December 2025

2. Summary of material accounting policies (continued)

Based on these factors, BK Group Plc classifies its debt instruments into one of the following two measurement categories:

Amortised cost: Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest ('SPPI'), and that are not designated at FVPL, are measured at amortised cost, the carrying amount of these assets is adjusted by any expected credit loss allowance recognised and measured, Interest income from these financial assets is included in 'Interest and similar income' using the effective interest rate method.

Fair value through other comprehensive income (FVOCI): Financial assets that are held for collection of contractual cash flows and for selling the assets, where the assets' cash flows represent solely payments of principal and interest, and that are not designated at FVPL, are measured at fair value through other comprehensive income (FVOCI), Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses on the instrument's amortised cost which are recognised in profit or loss, When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in Net Investment income', Interest income from these financial assets is included in 'Interest income' using the effective interest rate method.

Business model: the business model reflects how BK Group plc manages the assets in order to generate cash flows, That is, whether BK Group plc's objective is solely to collect the contractual cash flows from the assets or is to collect both the contractual cash flows and cash flows arising from the sale of assets, If neither of these is applicable (e.g, financial assets are held for trading purposes), then the financial assets are classified as part of 'other' business model and measured at FVPL, Factors considered by BK Group plc in determining the business model for a group of assets include past experience on how the cash flows for these assets were collected, how the asset's performance is evaluated and reported to key management personnel, how risks are assessed and managed and how managers are compensated.

SPPI: Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, BK Group plc assesses whether the financial instruments' cash flows represent solely payments of principal and interest (the 'SPPI test'), In making this assessment, BK Group plc considers whether the contractual cash flows are consistent with a basic lending arrangement i.e, interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement, Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

Financial assets and liabilities. BK Group Plc reclassifies debt investments when and only when its business model for managing those assets changes, The reclassification takes place from the start of the first reporting period following the change, Such changes are expected to be very infrequent and none occurred during the period.

Equity instruments

Equity instruments are instruments that meet the definition of equity from the issuer's perspective; that is, instruments that do not contain a contractual obligation to pay and that evidence a residual interest in the issuer's net assets.

BK Group plc subsequently measures all equity investments at fair value through profit or loss, except where BK Group plc's management has elected, at initial recognition, to irrevocably designate an equity investment at fair value through other comprehensive income, BK Group plc's policy is to designate equity investments as FVOCI when those investments are held for purposes other than to generate investment returns, When this election is used, fair value gains and losses are recognised in OCI and are not subsequently reclassified to profit or loss, including on disposal, Impairment losses (and reversal of impairment losses) are not reported separately from other changes in fair value, Dividends, when representing a return on such investments, continue to be recognised in profit or loss as other income when BK Group plc's right to receive payments is established.

Gains and losses on equity investments at FVPL are included in the Net trading income' line in the statement of profit or loss.

(ii) Impairment

BK Group Plc assesses on a forward-looking basis the expected credit loss ('ECL') associated with its debt instrument assets carried at amortised cost and FVOCI and with the exposure arising from loan commitments and financial guarantee contracts, BK Group plc recognises a loss allowance for such losses at each reporting date, the measurement of ECL reflects:

- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes.
- The time value of money; and
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions,

Note 4.1.4 provides more detail of how the expected credit loss allowance is measured.

Notes To The Financial Statements

For The Year Ended 31 December 2025

2. Summary of material accounting policies (continued) Financial assets and liabilities

(iii) Modification of loans

BK Group Plc sometimes renegotiates or otherwise modifies the contractual cash flows of loans to

customers, when this happens, BK Group plc assesses whether or not the new terms are substantially different to the original terms, BK Group plc does this by considering, among others, the following factors:

- If the borrower is in financial difficulty, whether the modification merely reduces the contractual cash flows to amounts the borrower is expected to be able to pay,
- Whether any substantial new terms are introduced, such as a profit share/equity-based return that substantially affects the risk profile of the loan.
- Significant extension of the loan term when the borrower is not in financial difficulty,
- Significant change in the interest rate.
- Change in the currency the loan is denominated in
- Insertion of collateral, other security or credit enhancements that significantly affect the credit risk associated with the loan.

If the terms are substantially different, BK Group Plc derecognises the original financial asset and recognises a 'new' asset at fair value and recalculates a new effective interest rate for the asset, the date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation purposes, including for the purpose of determining whether a significant increase in credit risk has occurred.

However, BK Group Pls also assesses whether the new financial asset recognised is deemed to be credit-impaired at initial recognition, especially in circumstances where the renegotiation was driven by the debtor being unable to make the originally agreed payments, Differences in the carrying amount are also recognised in profit or loss as a gain or loss on derecognition.

If the terms are not substantially different, the renegotiation or modification does not result in

derecognition, and BK Group plc recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss, the new gross carrying amount is recalculated by discounting the modified cash flows at the original effective interest rate (or credit-adjusted effective interest rate for purchased or originated credit-impaired financial assets).

(iv) Derecognition other than on a modification

Financial assets, or a portion thereof, are derecognised when the contractual rights to receive the cash flows from the assets have expired, or when they have been transferred and either (i) BK Group plc transfers substantially all the risks and rewards of ownership, or (ii) BK Group plc neither transfers nor retains substantially all the risks and rewards of ownership and BK Group plc has not retained control.

BK Group Plc enters into transactions where it retains the contractual rights to receive cash flows from assets but assumes a contractual obligation to pay those cash flows to other entities and transfers substantially all of the risks and rewards, these transactions are accounted for as 'pass through' transfers that result in derecognition if BK Group plc:

- (i) Has no obligation to make payments unless it collects equivalent amounts from the assets.
- (ii) Is prohibited from selling or pledging the assets; and
- (iii) Has an obligation to remit any cash it collects from the assets without material delay.

Collateral (shares and bonds) furnished by BK Group plc under standard repurchase agreements and securities lending and borrowing transactions are not derecognised because BK Group plc retains substantially all the risks and rewards on the basis of the predetermined repurchase price, and the criteria for derecognition are therefore not met, This also applies to certain securitisation transactions in which BK Group plc retains a subordinated residual interest.

Financial liabilities

(i) Classification and subsequent measurement

In both the current and prior period, financial liabilities are classified as subsequently measured at amortised cost, except for:

Notes To The Financial Statements For The Year Ended 31 December 2025

2. Summary of material accounting policies (continued)

- Financial liabilities at fair value through profit or loss: this classification is applied to derivatives, Gains or losses on derivatives are recognised in profit or loss,;
- Financial liabilities arising from the transfer of financial assets which did not qualify for derecognition, whereby a financial liability is recognised for the consideration received for the transfer, In subsequent periods, BK Group plc recognises any expense incurred on the financial liability; and
- Financial guarantee contracts and loan commitments.

(ii) Derecognition

Financial liabilities are derecognised when they are extinguished (i.e, when the obligation specified in the contract is discharged, cancelled or expires), The exchange between BK Group plc and its original lenders of debt instruments with substantially different terms, as well as substantial modifications of the terms of existing financial liabilities, are accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability, The terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability.

In addition, other qualitative factors, such as the currency that the instrument is denominated in, changes in the type of interest rate, new conversion features attached to the instrument and change in covenants are also taken into consideration, If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment, If the exchange or modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carrying amount of the liability and are amortised over the remaining term of the modified liability.

The Group establishes explicit criteria for the write-off of financial assets when there is no reasonable expectation of recovery, such as when the borrower has been placed in liquidation, legal recovery procedures have been exhausted, or the exposure has been past due for a prolonged period with no repayment prospects. Write-offs constitute a derecognition event for accounting purposes but do not automatically extinguish the Group's right to pursue recovery actions.

Financial guarantee contracts and loan commitments

Financial guarantee contracts are contracts that require the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due, in accordance with the terms of a debt instrument, Such financial guarantees are given to banks, financial institutions and others on behalf of customers to secure loans, overdrafts and other banking facilities.

Financial guarantee contracts are initially measured at fair value and subsequently measured at the higher of:

- The amount of the loss allowance; and
- The premium received on initial recognition less income recognised in accordance with the principles of IFRS 15.

Loan commitments provided by BK Group plc are measured as the amount of the loss allowance, BK Group plc has not provided any commitment to provide loans at a below-market interest rate, or that can be settled net in cash or by delivering or issuing another financial instrument.

For loan commitments and financial guarantee contracts, the loss allowance is recognised as a provision, However, for contracts that include both a loan and an undrawn commitment and BK Group plc cannot separately identify the expected credit losses on the undrawn commitment component from those on the loan component, the expected credit losses on the undrawn commitment are recognised together with the loss allowance for the loan, To the extent that the combined expected credit losses exceed the gross carrying amount of the loan, the expected credit losses are recognised as a provision

Notes To The Financial Statements

For The Year Ended 31 December 2025

2. Summary of material accounting policies (continued)

b) Cash and cash equivalents

Cash and cash equivalents comprise balances with less than three months maturity from the date of acquisition, including: notes and coins on hand, unrestricted balances deposited with the National Bank of Rwanda and highly liquid assets, subject to insignificant risk of changes in their fair value.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

c) Income tax expense

The income tax expense or credit for the period is the tax payable on the current period's taxable income based on the applicable income tax rate for each jurisdiction adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period in the countries where the company and its subsidiaries and associates operate and generate taxable income. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the BK Group plc's financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill. Deferred income tax is also not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

The deferred tax liability in relation to investment property that is measured at fair value is determined assuming the property will be recovered entirely through sale.

Deferred tax assets are recognised only if it is probable that future taxable amounts will be available to utilise those temporary differences and losses,

Deferred tax liabilities and assets are not recognised for temporary differences between the carrying amount and tax bases of investments in foreign operations where the company is able to control the timing of the reversal of the temporary differences and it is probable that the differences will not reverse in the foreseeable future.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Current and deferred tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

Notes To The Financial Statements For The Year Ended 31 December 2025

2. Summary of material accounting policies (continued)

d) Fiduciary assets

BK Group plc provides trust and other fiduciary services such as nominee or agent that result in the holding or investing of assets on behalf of its clients. Assets held in a fiduciary capacity and income arising from related undertakings to return such assets to customers are not reported in the financial statements, as they are not the assets of BK Group plc. Bk Capital manages funds on behalf of customers and earns management fees.

e) Intangible assets

BK Group intangible assets currently only comprise computer software,

An intangible asset is recognised only when its cost can be measured reliably, and it is probable that the expected future economic benefits that are attributable to it will flow to BK Group plc.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end.

Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates and accounted for prospectively. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit or loss and other comprehensive income in the expense category consistent with the function of the intangible asset.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

Computer software	5 years
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There are no intangible assets with indefinite useful lives.

Development costs that are directly associated with the production of identifiable and unique software products controlled by the company, and that will probably generate economic benefits exceeding costs beyond one year, are recognized as intangible assets if:

- It is technically feasible to complete the software product so that it will be available for use;
- Management intends to complete the software product and use or sell it;
- There is an ability to use or sell the software product.
- It can be demonstrated how the software product will generate probable future economic benefits.
- Adequate technical, financial and other resources to complete the development and use or sell it are available; and,
- The expenditure attributable to the software product during its development can be reliably measured.

Direct costs include the software development, employee costs and an appropriate portion of relevant overheads. Other development expenditure that do not meet these criteria are recognized as an expense as incurred. Development costs that have been expensed are not recognized as an asset in a subsequent period.

Computer software development costs recognised as assets are amortised over their estimated useful lives on a straight-line basis. The existing intangible assets have a remaining useful life of two years.

Costs associated with maintaining computer software programmes are recognised as an expense as incurred.

An intangible asset shall be derecognized on disposal or when no future economic benefits are expected from its use or disposal.

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For The Year Ended 31 December 2025



Notes To The Financial Statements For The Year Ended 31 December 2025



Notes To The Financial Statements

For The Year Ended 31 December 2025

f) Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by BK Group plc shareholders, Interim dividends are deducted from equity when they are declared and no longer at the discretion of BK Group plc, Dividends for the year that are approved after the statement of financial position date are disclosed as an event after the reporting date.

In line with the requirements of IAS 10 – Events after the Reporting Period, dividends declared after the reporting date but before the financial statements are authorised for issue are not recognised as a liability at the end of the reporting period. This is because the obligation to pay the dividend does not exist at that date. Instead, these dividends are disclosed in the notes to the financial statements as non-adjusting events occurring after the reporting period.

g) Employee benefits

Retirement benefit costs

BK Group plc contributes to a statutory defined contribution pension scheme, the Rwanda Social Security Board (RSSB), Contributions are determined by local statute and are currently limited to 5% of the employees' gross salary, the company's RSSB contributions are charged to the statement of profit or loss and other comprehensive income in the period to which they relate.

Short-term benefits

Short term benefits consist of salaries, bonuses and any non-monetary benefits such as medical aid contributions and transport allowance, Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided,

A provision is recognised for the amount expected to be paid under short-term cash bonus if BK Group plc has a present obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

h) Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds are disclosed as contingent liabilities, Estimates of the outcome and the financial effect of contingent liabilities is made by management based on the information available up to the date that the financial statements are approved for issue by the directors.

i) Earnings per share

Basic and diluted earnings per share (EPS) data for ordinary shares are presented in the financial statements, Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of BK Group by the weighted average number of ordinary shares outstanding during the period, Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, if any.

p) Non-current assets held for sale and discontinued operations

Non-current assets and disposal groups are classified as held for sale when their carrying amount is expected to be recovered principally through a sale transaction rather than through continuing use. Classification is made when the asset or disposal group is available for immediate sale in its present condition and the sale is highly probable

Assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Depreciation ceases on classification as held for sale

An impairment loss is recognised for any initial or subsequent write-down to fair value less costs to sell. If the fair value less costs to sell increases in a later period, a previously recognised impairment loss may be reversed, but not in excess of the cumulative impairment losses previously recognised

The results of discontinued operations are presented separately in the statement of comprehensive income, showing the post-tax profit or loss of the discontinued operation and any post-tax gain or loss recognised on measurement or disposal. Comparative information is restated accordingly.

Overheads and interest are allocated to discontinued operations only to the extent they are directly attributable to the disposal group or would be allocated on a reasonable and consistent basis if the operation had continued

If a plan to sell ceases to meet the classification criteria, the asset or disposal group is reclassified as held for use and measured at the lower of (i) the carrying amount before classification adjusted for depreciation or amortisation and (ii) its recoverable amount at the date of the subsequent decision not to sell.

Measurement of Discontinued Operations

Upon classification as held for sale, assets and liabilities of the disposal group are measured at **the lower of carrying amount and fair value less costs to sell in accordance with IFRS 5 – Non current Assets Held for Sale and Discontinued Operations**

Depreciation and amortisation on non-current assets cease once they are classified as held for sale

The Group classifies non-current assets and disposal groups as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Costs to sell are the incremental costs directly attributable to the disposal of an asset (disposal group), excluding finance costs and income tax expense.

The criteria for held for sale classification is regarded as met only when the sale is highly probable, and the asset or disposal group is available for immediate sale in its present condition. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the plan to sell the asset and the sale expected to be completed within one year from the date of the classification. Property, plant and equipment and intangible assets are not depreciated or amortized once classified as held for sale.

Assets and liabilities classified as held for sale are presented separately in the statement of financial position. Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as profit or loss after tax from discontinued operations in the statement of profit or loss.

Notes To The Financial Statements For The Year Ended 31 December 2025

3. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

The preparation of financial statements requires the use of accounting estimates which, by definition, will seldom equal the actual results, the directors also need to exercise judgement in applying BK Group plc's accounting policies.

This note provides an overview of the areas that involve a higher degree of judgement or complexity, and major sources of estimation uncertainty that have a significant risk of resulting in a material adjustment within the next financial year. Detailed information about each of these estimates and judgements is included in the related notes together with information about the basis of calculation for each affected line item in the financial statements.

Judgements

In the process of applying the Group's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the financial statements:

i) Critical judgements in determining the lease term

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

ii) Measurement of the expected credit loss allowance

The measurement of the expected credit loss allowance for financial assets measured at amortised cost is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour (e.g, the likelihood of customers defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation techniques used in measuring ECL is further detailed in note 4.1.2.3 which also sets out key sensitivities of the ECL to changes in these elements.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Determining criteria for significant increase in credit risk;
- Choosing appropriate models and assumptions for the measurement of ECL;
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and the associated ECL; and
- Establishing groups of similar financial assets for the purposes of measuring ECL

Detailed information about the judgements and estimates made by BK Group in the above areas is set out in note 3

iii) Determination of Insurance and Reinsurance contracts

The Company applies the PAA to simplify the measurement of insurance contracts. When measuring liabilities for remaining coverage, the PAA is broadly similar to the Company's previous accounting treatment under IFRS 4. However, when measuring liabilities for incurred claims, the Company now discounts cash flows that are expected to occur more than one year after the date on which the claims are incurred and includes an explicit risk adjustment for non-financial risk

iv) Liability of remaining coverage

Premium income is recognized on assumption of risks and includes estimates of premiums due but not yet received less unexpired portion of the coverage period. The liability for remaining coverage is the Company's obligation to:

(a) investigate and pay valid claims under existing insurance contracts for insured events that have not yet occurred (i.e., the obligation that relates to the unexpired portion of the coverage period); and

(b) pay amounts under existing insurance contracts that are not included in (a) and that related to:

- a. insurance contract services not yet provided (i.e., the obligation that relates to future provision of insurance contract services); or
- b. any investment component or other amounts that are not related to the provision of insurance contract services and that have not been transferred to the liability for incurred claims.

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Reinsurance assets or liabilities are derecognized when the contractual rights are extinguished or expire or when the contract is transferred to another party.

For groups of contracts measured under the Premium Allocation Approach, the liability for remaining coverage at any point in time is calculated as the sum of the liability for the remaining coverage excluding any loss component. Using the premium allocation approach, the Company measures the liability for remaining coverage as follows:

a) On initial recognition, the carrying amount of the liability is:

1. The premiums, if any, received at initial recognition.
2. Minus any insurance acquisition cash flows at that date
3. Plus, or minus any amount arising from the derecognition at that date of;
 - Any asset for insurance acquisition cashflows and
 - Any other asset or liability previously recognizes for cash flows

At the end of each subsequent reporting period, the carrying amount of the liability is the carrying amount at the start of the reporting period:

1. plus the premiums received in the period
2. minus insurance acquisition cash flows;
3. plus any amounts relating to the amortisation of insurance acquisition cash flows recognised as an expense in the reporting period; unless the entity chooses to recognise insurance acquisition cash flows as an expense;
4. minus the amount recognised as insurance revenue for insurance contract services coverage provided in that period.

v) Liability for incurred claim

The ultimate cost of outstanding claims is estimated by using a range of standard actuarial claims projection techniques, such as Chain Ladder and Bereuter-Ferguson methods. The main assumption underlying these techniques is that a Company's past claims development experience can be used to project future claims development and hence ultimate claims costs. These methods extrapolate the development of paid and incurred losses, average costs per claim (including claims handling costs), and claim numbers based on the observed development of earlier years and expected loss ratios. Historical claims development is mainly analyzed by accident years, but can also be further analyzed by geographical area, as well as by significant business lines and claim types.

Large claims are usually separately addressed, either by being reserved at the face value of loss adjuster estimates or separately projected in order to reflect their future development. In most cases, no explicit assumptions are made regarding future rates of claims inflation or loss ratios. Instead, the assumptions used are those implicit in the historical claims' development data on which the projections are based.

Additional qualitative judgement is used to assess the extent to which past trends may not apply in future, (e.g., to reflect one-off occurrences, changes in external or market factors such as public attitudes to claiming, economic conditions, levels of claims inflation, judicial decisions and legislation, as well as internal factors such as portfolio mix, policy features and claims handling procedures) in order to arrive at the estimated ultimate cost of claims that present the probability weighted expected value outcome from the range of possible outcomes, taking account of all the uncertainties involved.

Some of the insurance contracts that have been written in the property line of business permit the Company to sell property acquired in settling a claim. The Company also has the right to pursue third parties for payment of some or all costs. Estimates of salvage recoveries and subrogation reimbursements are considered as an allowance in the measurement of ultimate claims costs. Other key circumstances affecting the reliability of assumptions include variation in interest rates, delays in settlement and changes in foreign currency exchange rates. The subrogation is recognized as receivable after the related claims has been paid and the counterparty insurer is in agreement with the notified amount.

vi) Onerous group

An insurance contract group is onerous at the date of initial recognition if the fulfilment cash flows allocated to the group, together with any previously recognised insurance acquisition cash flows and cash flows arising from the contracts at that date, result in a net outflow.

Management has assessed groups of insurance contracts for onerousness at initial recognition based on expected profitability. As at 31 December 2025, the Group did not identify or recognise any onerous groups of insurance contracts, and accordingly no loss component has been recognised.

This is reflected in the roll-forward of insurance contract liabilities in Note 7, which shows no loss component balance.

Notes To The Financial Statements For The Year Ended 31 December 2025

vii) Risk Judgement

The Company has estimated the risk adjustment using a confidence level (probability of sufficiency) approach at the 75th percentile. That is, the Company has assessed its indifference to uncertainty for all portfolios (as an indication of the compensation that it requires for bearing non-financial risk) as being equivalent to the 75th percentile confidence level less the mean of an estimated probability distribution of the future cash flows. The Company has estimated the probability distribution of the future cash flows, and the additional amount above the expected present value of future cash flows required to meet the target percentiles.

The risk adjustment for non-financial risk is the compensation that the Company requires for bearing the uncertainty about the amount and timing of the cash flows of groups of insurance contracts. The risk adjustment reflects an amount that an insurer would rationally pay to remove the uncertainty that future cash flows will exceed the expected value amount.

The Company has estimated the risk adjustment using a confidence level (probability of sufficiency) approach at the 75th percentile. That is, the Company has assessed its indifference to uncertainty for all product lines (as an indication of the compensation that it requires for bearing non-financial risk) as being equivalent to the 75th percentile confidence level less the mean of an estimated probability distribution of the future cash flows. The Company has estimated the probability distribution of the future cash flows, and the additional amount above the expected present value of future cash flows required to meet the target percentiles.

viii) Discount rate

Insurance contract liabilities are calculated by discounting expected future cash flows at a risk-free rate, plus an illiquidity premium where applicable. Risk free rates are determined by reference to the yields of highly liquid AAA-rated sovereign securities in the currency of the insurance contract liabilities.

The illiquidity premium is determined by reference to observable market rates. Discount rates applied for discounting of future cash flows are listed below:

Years	1	2	3	4	5	6	7	8	9	10
Yield	8.29	9.40	10.50	10.65	11.80	11.15	11.50	11.72	11.93	12.15

Source: National Bank of Rwanda (BNR)

ix) Assets for insurance acquisition cashflow

The asset for insurance acquisition cashflow is derecognized when the contractual rights are extinguished or expire or when the contract is transferred to another party.

x) Fair value financial instruments

Fair values of certain financial assets recognized in the financial statements may be determined in whole or part using valuation techniques based on assumptions that are not supported by prices from current market transactions or observable market data.

The fair values of financial instruments that are not quoted in active markets are determined by using valuation techniques. Where valuation techniques (for example models) are used to determine fair values, they are validated and periodically independently reviewed by qualified senior personnel. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use observable data, however, areas such as credit risk (both own and counterparty), volatilities and correlations require management to make estimate.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the company considers quantitative and qualitative information, based on the company's historical experience, credit assessment and including forward-looking information.

When making a quantitative assessment, the company uses the change in the probability of default occurring over the expected life of the financial instrument. This requires a measurement of the probability of default at initial recognition and at the reporting date.

Notes To The Financial Statements

For The Year Ended 31 December 2025

4. FINANCIAL RISK MANAGEMENT

The following section discusses BK Group Plc' risk management policies, The measurement of ECL under IFRS 9 uses the information and approaches that BK Group plc uses to manage credit risk, though certain adjustments are made in order to comply with the requirements of IFRS 9, The approach taken for IFRS 9 measurement purposes is discussed separately in note 4.1.2

4.1 Credit risk

Credit risk is the risk of suffering financial loss, should any of BK Group plc's customers, clients or market counterparties fail to fulfil their contractual obligations to BK Group plc, Credit risk arises mainly from interbank, commercial and consumer loans and advances, and loan commitments arising from such lending activities, but can also arise from credit enhancement provided, such as credit derivatives (credit default swaps), financial guarantees, letters of credit, endorsements and acceptances.

BK Group Plc is also exposed to other credit risks arising from investments in debt securities and other exposures arising from its trading activities ('trading exposures') including non-equity trading portfolio assets and derivatives as well as settlement balances with market counterparties and reverse repurchase agreements, Credit risk is the single largest risk for BK Group plc's business; the directors therefore carefully manage its exposure to credit risk, The credit risk management and control are centralised in a credit risk management team which reports regularly to the Board of Directors.

(a) Loans and advances (including loan commitments and guarantees)

The estimation of credit exposure for risk management purposes is complex and requires the use of models, as the exposure varies with changes in market conditions, expected cash flows and the passage of time, The assessment of credit risk of a portfolio of assets entails further estimations as to the likelihood of defaults occurring, of the associated loss ratios and of default correlations between counterparties, BK Group plc measures credit risk using Probability of Default (PD), Exposure at Default (EAD) and Loss Given Default (LGD), This is similar to the approach used for the purposes of measuring Expected Credit Loss (ECL) under IFRS 9, Refer to note 4.1.2 for more details.

4.1.1 Credit risk management

Other than the change in credit risk rating for significant corporate exposures, there were no other material changes to the policies and practices for the management of credit risk . We continued to apply the requirements of IFRS 9 'Financial Instruments' within Credit Risk.

We have established Group-wide credit risk management and related IFRS 9 processes. We continue to assess actively the impact of economic developments in key markets on specific customers, customer segments or portfolios, As credit conditions change, we take mitigating action, including the revision of risk appetites or limits, adjustment of interest rates and tenors, as appropriate. In addition, we continue to evaluate the terms under which we provide credit facilities within the context of individual customer requirements, the quality of the relationship, market practices and our local regulatory requirements.

Credit risk grading

BK Group grades its significant corporate exposures based on the internal rating below:

Rating Grid	Rating	Description	Rating score
1	AAA	Exceptional Credit	[90-100]
2	AA	Superior credit	[80-90]
3	A	Minimal Risk	[70-80]
4	BBB	Above Average Risk	[60-70]
5	BB	Average Risk	[55-60]
6	B	Acceptable Risk	[50-55]
7	CCC	Watch list	[40-50]
8	CC	Substandard Risk	[30-40]
9	C	Doubtful Risk	[20-30]
10	D	Loss	[0-20]

For SME and retail exposures BK Group plc uses the National Bank of Rwanda (BNR) credit risk gradings to reflect its assessment of the probability of default of retail counterparties. The facilities are rated as either performing, watch, substandard, doubtful or loss, based on the number of days overdue. The classification criteria are as follows:

Notes To The Financial Statements For The Year Ended 31 December 2025

4. FINANCIAL RISK MANAGEMENT (continued)

4.1.1 Credit risk management (continued)

Performing

These are credit facilities which are up to date in payments. Where there are no fixed payments, these are facilities that are operating within their approval limits and are unexpired.

Watch

These are credit facilities where principal or interest is due and unpaid for 30 days to 89 days, or for facilities with no fixed payments, the approval limit has been exceeded by 30 days to 89 days, or the credit line has expired for more than 30 days to 89 days.

Substandard

These are loan balances due for 90 days but less than 180 days. They are also those credit facilities that display well-defined credit weaknesses that jeopardize the liquidation of the debt such as inadequate cash flow to service the debt, undercapitalized or insufficient working capital, absence of adequate financial information or security documentation and irregular payment of principal or interest.

Doubtful

These are loan balances that are more than 180 days but less than 365 days overdue. They are also those credit facilities which, in addition to the weaknesses existing in substandard credits, have deteriorated to the extent that full repayment is unlikely or that realizable security values will be insufficient to cover the Group's exposure.

Loss

These are loans that are more than 365 days overdue. These are also those credit facilities that are considered uncollectable, or which may have some recovery value, but it is not considered practicable nor desirable to defer write off. They are also accounts classified as "Doubtful" with little or no improvement over the period it has been classified as such.

The credit grades are calibrated such that the risk of default increases exponentially at each higher risk grade. Once a facility is classified as substandard, the probability of default reaches 100%.

The table below shows the link between the regulator risk classifications and the IFRS 9 stage allocation for assets for the Group;

National Bank of Rwanda Guidelines	Days past due	Stage allocation
Normal	0-29	1
Watch	30-89	2
Sub-standard	90-179	3
Doubtful	180-364	3
Loss	Over 364 or considered uncollectible	3

For debt securities in the Treasury portfolio, external rating agency credit grades are used. These published grades are continuously monitored and updated. The PD's associated with each grade are determined based on realised default rates over the prior 12 months, as published by the rating agency.

The rating methods are subject to an annual validation and recalibration so that they reflect the latest projections in the light of all actually observed defaults.

Notes To The Financial Statements
For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)
4.1.2 Expected credit loss measurement

IFRS 9 outlines a ‘three-stage’ model for impairment based on changes in credit quality since initial recognition as summarised below:

- A financial instrument that is not credit-impaired on initial recognition is classified in ‘Stage 1’ and has its credit risk continuously monitored by the Group.
- If a significant increase in credit risk (‘SICR’) since initial recognition is identified, the financial instrument is moved to ‘Stage 2’ but is not yet deemed to be credit impaired. Please refer to note 4.1.2.1 for a description of how the Group determines when a significant increase in credit risk has occurred.
- If the financial instrument is credit-impaired, the financial instrument is then moved to ‘Stage 3’. Please refer to note 4.1.3 for a description of how the Group defines credit-impaired and default.
- Financial instruments in Stage 1 have their ECL measured at an amount equal to the portion of lifetime expected credit losses that result from default events possible within the next 12 months. Instruments in Stages 2 or 3 have their ECL measured based on expected credit losses on a lifetime basis. Please refer to note 4.1.4 for a description of inputs, assumptions and estimation techniques used in measuring the ECL.
- A pervasive concept in measuring ECL in accordance with IFRS 9 is that it should consider forward-looking information. Note 4.1.5 includes an explanation of how the Group has incorporated this in its ECL models.
- Purchased or originated credit-impaired financial assets are those financial assets that are credit-impaired on initial recognition. Their ECL is always measured on a lifetime basis (Stage 3).

The following diagram summarises the impairment requirements under IFRS 9 (other than purchased or originated credit-impaired financial assets):

Change in credit quality since initial recognition

Stage 1	Stage 2	Stage 3
(Initial recognition)	(Significant increase in credit risk since initial recognition)	(Credit-impaired assets)
12-month expected credit losses	Lifetime expected credit losses	Lifetime expected credit losses

The key judgments and assumptions adopted by the Group in addressing the requirements of the standard are discussed below:

4.1.2.1 Significant increase in credit risk (SICR)

The Group in determining whether the credit risk (i.e. risk of default) on a financial instrument has increased significantly since initial recognition considered reasonable and supportable information that is relevant and available without undue cost or effort, including both quantitative and qualitative information and analysis based on the Bank’s historical experience, expert credit assessment and forward-looking information.

Under IFRS 7, entities must disclose **how forward-looking information (including macro-economic variables) is incorporated into expected credit loss (ECL) estimates** used in impairment models under IFRS 9. These disclosures typically explain **which macro variables are used in PD, LGD, and EAD models and how movements in those variables affect credit losses**.

Macroeconomic Variables Incorporated in Credit Risk Models

Financial institutions incorporate forward-looking macroeconomic indicators to capture how changes in the economic environment influence borrower creditworthiness and collateral values.

Common variables include:

1).GDP Growth

Definition: Annual or quarterly growth in real Gross Domestic Product.

Notes To The Financial Statements For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.2.1 Significant increase in credit risk (SICR)

Link to credit losses:

- Strong GDP growth generally reflects **higher economic activity, employment, and business profitability**.
- This improves borrowers' repayment capacity and **reduces probability of default (PD)**.
- Conversely, economic contraction reduces income and business revenues, **increasing default risk and ECL**.

Model impact:

- **PD models:** Higher GDP growth → lower PD.
- **LGD models:** Indirect impact through asset values.
- **EAD models:** Lower utilization of emergency credit lines.

2) Unemployment Rate

Definition: Percentage of the labor force that is unemployed.

Link to credit losses:

- Rising unemployment reduces household income and repayment capacity.
- This particularly affects **retail portfolios (mortgages, credit cards, personal loans)**.
- Higher unemployment leads to **higher PD and potentially higher LGD due to distressed sales**.

Model impact:

- **PD:** Direct positive relationship with defaults.
- **LGD:** Higher unemployment may depress property prices.
- **EAD:** Stressed borrowers may draw more on revolving credit facilities.

3) Interest Rates

Examples include central bank policy rates or interbank benchmark rates

Examples include central bank policy rates or interbank benchmark rates.

Link to credit losses:

- Higher interest rates increase **debt servicing costs**, especially for floating-rate loans.
- Borrowers with high leverage may experience repayment difficulties.

Model impact:

- **PD:** Higher interest rates → higher PD.
- **LGD:** Limited direct effect but may reduce asset prices.
- **EAD:** Borrowers may accelerate credit line usage before further increases.

4) Inflation Rate

Definition: Rate of increase in consumer prices.

Link to credit losses:

- High inflation erodes **real disposable income**.
- For corporates, rising input costs can compress margins.
- Persistent inflation often triggers **monetary tightening**, amplifying credit stress.

Model impact:

- **PD:** Higher inflation may increase PD for income-constrained borrowers.
- **LGD:** Collateral values may adjust depending on asset class.
- **EAD:** Some borrowers increase borrowing to cover operating costs.

Notes To The Financial Statements

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4. Financial Risk Management (Continued)

The Group identifies a significant increase in credit risk where

- Exposures have a regulatory risk rating of **“WATCH”**
- An exposure is 30 days or more days past due. This is in line with the IFRS 9 30 DPD rebuttable presumption;
- an exposure has been restructured in the past due to credit risk related factors or which was NPL and is now regular (subject to the regulatory cooling off period); or
- by comparing an exposure:
 - ▶ credit risk quality at the date of reporting; with
 - ▶ the credit risk quality on initial recognition of the exposure.

The assessment of significant deterioration is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

Generally, restructuring is a qualitative indicator of default and credit impairment and expectations of restructuring are relevant to assessing whether there is a significant increase in credit risk. Following restructuring, a customer needs to demonstrate consistently good payment behaviour over a period of time before the exposure is no longer considered to be in default/credit-impaired or the PD is considered to have decreased such that the loss allowance reverts to being measured at an amount equal to 12-month ECLs.

The assessment of SICR incorporates forward-looking information (refer to note 4.1.5 for further information) and is performed on a monthly basis at a portfolio level for all financial instruments held by the Group. The criteria used to identify SICR are monitored and reviewed periodically for appropriateness by the independent Credit Risk team.

Backstop

A backstop is applied, and the financial instrument considered to have experienced a significant increase in credit risk if the borrower is more than 30 days past due on its contractual payments.

The Group has not used the low credit risk exemption for any financial instruments in the year ended 31 December 2025.

4.1.3 Definition of default and credit-impaired assets

The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

Quantitative criteria

The borrower is more than 90 days past due on its contractual payments.

Quantitative criteria

The borrower meets unlikelihood to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:

- The borrower is in long-term forbearance
- The borrow is decreased
- The borrower is insolvent
- The borrower is in breach of financial covenant(s)
- An active market for that financial asset has disappeared because of financial difficulties
- Concessions have been made by the lender relating to the borrower's financial difficulty
- It is becoming probable that the borrower will enter bankruptcy

The criteria above have been applied to all financial instruments held by the Bank and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to model the Probability of Default (PD), Exposure at Default (EAD) and Loss given Default (LGD) throughout the Bank's expected loss calculations.

Notes To The Financial Statements For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.2 Sensitivity analysis

The most significant assumptions affecting the ECL allowance are as follows:

- (i) Collateral haircuts, and
- (ii) Period to recovery of collateral

Set out below are the changes to the ECL as at 31 December 2024 that would result from reasonably possible changes in these parameters from the actual assumptions used in BK Group plc's economic variable assumptions.

Time to realisation

The directors have assumed a time to realisation of 3 years for commercial properties and 2 years for residential properties.

Collateral haircuts: The directors have assumed collateral haircuts of 50% for commercial and 30% for residential properties. If haircuts were further adjusted by 10% the overall ECL would increase/reduce in the range of The entity has adopted National Bank of Rwanda as a basis of collateral haircuts.

4.1.5 Measuring ECL – Explanation of inputs, assumptions and estimation techniques

The Expected Credit Loss (ECL) is measured on either a 12-month (12M) or Lifetime basis depending on whether a significant increase in credit risk has occurred since initial recognition or whether an asset is considered to be credit-impaired. Expected credit losses are the discounted product of the Probability of Default (PD), Exposure at Default (EAD), and Loss Given Default (LGD), defined as follows:

- The PD represents the likelihood of a borrower defaulting on its financial obligation (as per "Definition of default and credit-impaired" above), either over the next 12 months (12M PD), or over the remaining lifetime (Lifetime PD) of the obligation. PDs have been developed using 36 months of empirical data and to avoid distortions caused by COVID 19 related payment holidays the data used was as at 28 February 2020.
- EAD is based on the amounts the Group expects to be owed at the time of default, over the next 12 months (12M EAD) or over the remaining lifetime (Lifetime EAD). For example, for a revolving commitment, the Group includes the current drawn balance plus any further amount that is expected to be drawn up to the current contractual limit by the time of default, should it occur.
- Loss Given Default (LGD) represents the Group's expectation of the extent of loss on a defaulted exposure. LGD varies by type of counterparty, type and seniority of claim and availability of collateral or other credit support. LGD is expressed as a percentage loss per unit of exposure at the time of default (EAD). LGD is calculated on a 12-month or lifetime basis, where 12-month LGD is the percentage of loss expected to be made if the default occurs in the next 12 months and Lifetime LGD is the percentage of loss expected to be made if the default occurs over the remaining expected lifetime of the loan.
- The ECL is determined by projecting the PD, LGD and EAD for each future month and for each individual exposure or collective segment. These three components are multiplied together and adjusted for the likelihood of survival (i.e. the exposure has not prepaid or defaulted in an earlier month).

This effectively calculates an ECL for each future month, which is then discounted back to the reporting date and summed. The discount rate used in the ECL calculation is the original effective interest rate or an approximation thereof.

The Lifetime PD is developed by applying a maturity profile to the current 12M PD. The maturity profile looks at how defaults develop on a portfolio from the point of initial recognition throughout the lifetime of the loans. The maturity profile is based on historical observed data and is assumed to be the same across all assets within a portfolio and credit grade band. This is supported by historical analysis.

The 12-month and lifetime EADs are determined based on the expected payment profile, which varies by product type.

- For amortising products and bullet repayment loans, this is based on the contractual repayments owed by the borrower over a 12 month or lifetime basis. This will also be adjusted for any expected overpayments made by a borrower.
- For revolving products, the exposure at default is predicted by taking current drawn balance and adding a "credit conversion factor" which allows for the expected drawdown of the remaining limit by the time of default. These assumptions vary by product type and current limit utilisation band, based on analysis of the Group's recent default data. The 12-month and lifetime LGDs are determined based on the factors which impact the recoveries made post default. These vary by product type.
- For secured products, this is primarily based on collateral type and projected collateral values, historical discounts to market/book values due to forced sales, time to repossession and recovery costs observed.
- For unsecured products, LGD's are typically set at product level due to the limited differentiation in recoveries achieved across different borrowers. These LGD's are influenced by collection strategies, including contracted debt sales and price

Forward-looking economic information is also included in determining the 12-month and lifetime PD, EAD and LGD. These assumptions vary by product type. Refer to note 4.1.2.4 for an explanation of forward-looking information and its inclusion in ECL calculations.

The assumptions underlying the ECL calculation – such as how the maturity profile of the PDs and how collateral values change etc. are monitored and reviewed on a quarterly basis.

There have been no significant changes in estimation techniques or significant assumptions made during the reporting period.

Notes To The Financial Statements

For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.6 Forward-looking information incorporated in the ECL models

The assessment of SICR and the calculation of ECL both incorporate forward-looking information. The Group has performed historical analysis and identified the key economic variables impacting credit risk and expected credit losses for each portfolio.

These economic variables and their associated impact on the PD, EAD and LGD vary by financial instrument. Expert judgment has also been applied in this process. Forecasts of these economic variables (the “base economic scenario”).

The impact of these economic variables on the PD, EAD and LGD has been determined by performing statistical regression analysis to understand the impact changes in these variables have had historically on default rates and on the components of LGD and EAD.

In addition to the base economic scenario, the Group’s credit team also provide other possible scenarios along with scenario weightings. The three scenarios and their attributes are reassessed at each reporting date. At 31 December 2021, the Group concluded that three scenarios appropriately captured non-linearities. The scenario weightings are determined by a combination of statistical analysis and expert credit judgement, taking account of the range of possible outcomes each chosen scenario is representative of. The assessment of SICR is performed using the Lifetime PD under each of the base, and the other scenarios, multiplied by the associated scenario weighting, along with qualitative and backstop indicators (see note 4.1.7.1). This determines whether the whole financial instrument is in Stage 1, Stage 2, or Stage 3 and hence whether 12-month or lifetime ECL should be recorded. Following this assessment, the Group measures ECL as either a probability weighted 12-month ECL (Stage 1), or a probability weighted lifetime ECL (Stages 2 and 3). This probability weighted ECLs are determined by running each scenario through the relevant ECL model and multiplying it by the appropriate scenario weighting (as opposed to weighting the inputs).

Economic variable assumptions

The weightings assigned to each economic scenario at 31 December were as follows:

In line with IFRS 9, below are the scenario weightings that concern macroeconomic overlays (these cover all applicable macroeconomic factors: GDP, Inflation, balance of trade, etc.):

- Base scenario: 66%
- Upside scenario: 7%
- Downside scenario: 27%

Below is the y-o-year comparison of scenario weightings:

Scenario	2024	2025
Base	27%	21%
Downside	66%	67%
Upside	7%	12%

Management determines forward-looking macroeconomic scenarios and their associated probability weightings through a structured governance process. Key macroeconomic variables are identified based on their relevance to credit risk and expected credit loss outcomes. Multiple scenarios (including baseline, upside and downside cases) are developed using internally generated forecasts supplemented, where appropriate, by external economic data. The scenarios and their probability weightings are reviewed and approved through the Group’s risk governance framework, including oversight by senior management and relevant risk committees. The assumptions and weightings are calibrated using historical relationships between macroeconomic indicators and credit loss experience, and are updated periodically to reflect current economic conditions and outlook.

The weightings assigned to each economic scenario at 31 December were as follows:

	Base%	Upside%	Downside%
As at 31 December 2025			
Scenario probability weighting	50%	20%	30%
As at 31 December 2024			
Scenario probability weighting	50%	20%	30%

Notes To The Financial Statements For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.6 Forward-looking information incorporated in the ECL models

Other forward-looking considerations not otherwise incorporated within the above scenarios, such as the impact of any regulatory, legislative or political changes, have also been considered, but are not deemed to have a material impact and therefore no adjustment has been made to the ECL for such factors. This is reviewed and monitored for appropriateness on a quarterly basis.

The weights of Base and Upside have decreased/increased slightly reflecting the small change in dispersion in the scenarios. The impact on ECL is immaterial.

4.1.2.7 Credit risk exposure

4.1.7.1 Maximum exposure to credit risk — Financial instruments subject to impairment

The following tables contain an analysis of the credit risk exposure of financial instruments for which an ECL allowance is recognised. The gross carrying amount of financial assets below also represents the Group's maximum exposure to credit risk on these assets.

ECL determination for government securities, due from other banks

Government securities and due from other banks are considered to have low credit risk, and the loss allowance recognised during the period was therefore limited to 12 months' expected losses. Management consider 'low credit risk for these financial assets as they have a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term. The loss rate assigned to these has been determined to be 0.57% and 0.17% respectively which is the probability of default assigned to a B+ sovereign rating and investment grade by Standard & Poors rating agency.

Notes To The Financial Statements

For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.2.7 Credit risk exposure

4.1.7.1 Maximum exposure to credit risk – Financial instruments subject to impairment

Corporate, Small and Agri-business	2025			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Normal	1,255,386,280			1,255,386,280
Watch		112,224,730		112,224,730
Default			46,874,194	46,874,194
Gross carrying amount	1,255,386,280	112,224,730	46,874,194	1,414,485,205
Expected credit loss	(11,333,810)	(13,577,753)	(23,078,497)	(47,990,060)
ERF Discount	(2,013,504)	(1,301,839)	(37,725)	(3,353,067)
Carrying amount	1,242,038,967	97,345,138	23,757,972	1,363,142,078

Corporate, Small and Agri-business	2024			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Normal	1,176,102,727	-	-	1,176,102,727
Watch	-	30,693,690	-	30,693,690
Default	-	-	43,578,812	43,578,812
Gross carrying amount	1,176,102,727	30,693,690	43,578,812	1,250,375,228
Expected credit loss	(18,766,801)	(3,197,087)	(19,535,893)	(41,499,780)
ERF Discount	(3,920,720)	(1,969)	(394,414)	(4,317,103)
Carrying amount	987,816,094	56,520,982	12,552,920	1,204,558,346

Notes To The Financial Statements For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.7.1 Maximum exposure to credit risk

Retail	2025			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Normal	318,106,984	-	-	318,106,984
Watch	-	17,958,286	-	17,958,286
Default	-		21,151,956	21,151,956
Gross carrying amount	318,106,984	17,958,286	21,151,956	357,217,226
Expected credit loss	(4,477,953)	(3,056,513)	(15,466,320)	(23,000,787)
ERF Discount	(8,502,447)	(1,208)	(23,833)	(8,527,488)
Carrying amount	305,126,584	14,900,565	5,661,803	325,688,952

Retail	2024			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Normal	244,935,513	-	-	244,935,513
Watch	-	10,645,200	-	10,645,200
Default	-		27,551,238	27,551,238
Gross carrying amount	244,935,513	10,645,200	27,551,238	283,131,951
Expected credit loss	(3,555,265)	(1,732,612)	(21,745,608)	(27,033,485)
ERF Discount	(6,667,506)	-	(5,664)	(6,673,170)
Carrying amount	234,712,742	8,912,588	5,799,965	249,425,296

*ERF-(Economic Recovery Fund)

ERF stands for the Economic Recovery Fund, which was designed to support businesses, particularly in the hotel industry, that were impacted by the COVID-19 pandemic. The government injected funds to help these businesses access loans at an interest rate of 5%, while banks received the funds at a 0% rate. As a result, the valuation is performed on a monthly basis to assess the impact of the interest rate discount on the loan book, assuming the loans are at the same effective market rate

Notes To The Financial Statements

For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.7.1 Maximum exposure to credit risk – Financial instruments subject to impairment (continued)

Investment securities at amortized costs	2025			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Normal	251,107,602			246,929,642
Gross carrying amount	251,107,602	-	-	251,107,602
Expected credit loss	(1,994,094)	-	-	(1,994,094)
Carrying amount	249,113,508	-	-	249,113,508

Investment securities at amortized costs	2024			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Normal	262,159,425	-	-	262,159,425
Gross carrying amount	262,159,425	-	-	262,159,425
Expected credit loss	(1,156,450)	-	-	(1,156,450)
Carrying amount	261,002,975	-	-	261,002,975

The above are debt securities issued by the Government of the Republic of Rwanda as Treasury bills and bonds.

Bank Guarantees	2025			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Normal	229,304,226	-	-	229,304,226
Watch	-	20,864,517	-	20,864,517
Default	-	-	46,312	46,312
Gross carrying amount	229,304,226	20,864,517	46,312	250,215,054
Expected credit loss	(1,577,489)	(939,827)	(5,882)	(2,523,198)
Carrying amount	227,726,737	19,924,690	40,429	247,691,856

Bank Guarantees	2024			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Normal	231,741,117	-	-	231,741,117
Watch	-	159,702	-	159,702
Default	-	-	169,401	169,401
Gross carrying amount	231,741,117	159,702	169,401	232,070,220
Expected credit loss	(1,986,725)	(8,429)	(79,811)	(2,074,965)
Carrying amount	229,754,392	151,273	89,590	229,995,255

Notes To The Financial Statements For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.7.1 Maximum exposure to credit risk – Financial instruments subject to impairment (continued)

The above are off balance sheet commitments namely letter of credits and Bank guarantees .

Letter of credit commitments	2025			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Normal	312,403,151	-	-	312,403,151
Watch	-	4,935,904	-	4,935,904
Default	-	-	-	-
Gross carrying amount	312,403,151	4,935,904	-	317,339,055
Expected credit loss	(3,386,377)	(276,151)	-	(3,662,528)
Carrying amount	309,016,774	4,659,753	-	313,676,527

Letter of credit commitments	2024			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Normal	432,449,924	-	-	432,449,924
Watch	-	4,013,327	-	4,013,327
Default	-	-	-	-
Gross carrying amount	432,449,924	4,013,327	-	436,463,251
Expected credit loss	(3,707,408)	(211,829)	-	(3,919,237)
Carrying amount	428,742,516	3,801,498	-	432,544,014

1-3 months and balances on NOSTRO accounts.

The Expected Credit Losses (ECL) for cash balances with other banks has been arrived at using the below credit ratings for financial institutions:

AA	Very high credit quality with low credit risk
A	High credit quality with low credit risk
A-	Good credit quality with some credit risk
A+	Strong credit quality with low credit risk
BB-	Speculative with substantial credit risk
B	Highly speculative with high credit risk
B+	Highly speculative with low credit risk

Notes To The Financial Statements

For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.7.1 Maximum exposure to credit risk – Financial instruments subject to impairment (continued)

Balances with National Bank of Rwanda	2025			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Gross amount	276,140,493			276,140,493
Expected credit loss	(38,243)			(38,243)
Carrying amount	276,102,250	-	-	276,102,250

Balances with National Bank of Rwanda	2024			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Gross amount	257,507,878			257,507,878
Expected credit loss	(18,459)			(18,459)
Carrying amount	257,489,419	-	-	257,489,419

Other assets	2025			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Gross amount	21,829,904			21,829,904
Expected credit loss	(663,307)			(663,307)
Carrying amount	21,161,597	-	-	21,161,597

Other assets	2024			
	Stage 1 12 month ECL Frw'000	Stage 2 Lifetime ECL Frw'000	Stage 3 Lifetime ECL Frw'000	Total Frw'000
Gross amount	24,047,351			24,047,351
Expected credit loss	(2,574,600)			(2,574,600)
Carrying amount	21,472,751	-	-	21,472,751

Information on how the Expected Credit Loss (ECL) is measured and how the three stages above are determined is included in note 4.1.4 'Expected credit loss measurement'.

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to external credit ratings (if available) or to historical information about counterparty default rates.

Notes To The Financial Statements

For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.8. Gross loans

Below is a transitional table between stages between 1 January 2025 to 31 December 2025:

31 December 2025	Stage 1 Frw'000	Stage 2 Frw'000	Stage 3 Frw'000	Total Frw'000
Gross loans as at 1 January 2025	1,410,450,014	41,336,922	70,729,971	1,522,516,907
- Transfers from stage 1 to stage 2	(104,083,215)	104,083,215	-	-
- Transfers from stage 2 to stage 1	7,207,467	(7,207,467)	-	-
- Transfers to stage 3	(10,400,315)	(11,589,402)	21,989,717	-
- Transfers from stage 3	3,386,094	4,520,784	(7,906,878)	-
New loans disbursed	408,603,274	4,353,041	5,533,040	418,489,355
Repayments	(152,882,179)	(6,617,124)	(5,396,896)	(164,896,199)
Net movement in gross loans	151,831,126	87,543,047	14,218,983	253,593,156
Financial asset derecognised			(16,984,362)	(16,984,362)
Gross loans as at 31 December 2025	1,562,281,140	128,879,969	67,964,592	1,759,125,701

Below is a transitional table between stages between 1 January 2024 to 31 December 2024:

31 December 2024	Stage 1 Frw'000	Stage 2 Frw'000	Stage 3 Frw'000	Total Frw'000
Gross loans as at 1 January 2024	1,182,182,359	68,086,140	86,197,322	1,336,465,821
- Transfers from stage 1 to stage 2	(27,986,484)	27,986,484	-	-
- Transfers from stage 2 to stage 1	(9,082,823)	9,082,823	-	-
- Transfers to stage 3	(22,013,322)	21,787,609	43,800,931	-
- Transfers from stage 3	5,831,279	4,596,886	(10,428,165)	-
New loans disbursed	476,062,920	12,630,209	15,524,247	504,217,376
Repayments	(212,709,561)	(41,092,365)	(3,687,445)	(257,489,371)
Net movement in gross loans	228,267,655	(26,749,218)	45,209,568	247,728,005
Financial asset derecognised	-	-	(61,590,412)	(61,667,921)
Gross loans as at 31 December 2024	1,410,450,014	41,336,922	70,729,971	1,522,516,905

Notes To The Financial Statements

For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.9 Loss Allowance-Investment securities

They have been no upgrade or downgrade in the investment securities in the year. All these investment securities are performing.

Below is a transitional table between stages between 1 January 2025 to 31 December 2024

31 December 2025	Stage 1 Frw'000	Stage 2 Frw'000	Stage 3 Frw'000	Total Frw'000
Loss allowance as at 1 January 2025	22,322,065	4,929,699	41,281,502	68,533,266
Movements with P&L impact				
Transfers from stage 1 to stage 2	(11,287,607)	11,287,607	-	-
Transfers from stage 2 to stage 1	730,214	(730,214)	-	-
Transfers to stage 3	(5,901,594)	(3,584,898)	9,486,493	-
Transfers from stage 3	1,606,713	1,306,649	(2,913,362)	-
ECL on new exposure raised	15,352,023	5,323,662	13,229,920	33,905,605
Subsequent changes in ECL	(7,010,051)	(1,898,238)	(5,555,372)	(14,463,662)
Net movement in gross loans	(6,510,302)	11,704,567	14,247,678	19,441,943
Provisions for credit operational losses				
Other movements with no P&L impact				
Financial asset derecognised	-	-	(16,984,362)	(16,984,362)
Loss allowance as at 31 December 2025	15,811,763	16,634,266	38,544,817	70,990,847

Below is a transitional table between stages between 1 January 2024 to 31 December 2024:

31 December 2024	Stage 1 Frw'000	Stage 2 Frw'000	Stage 3 Frw'000	Total Frw'000
Loss allowance as at 1 January 2024	16,547,396	4,320,270	70,745,891	91,613,557
Movements with P&L impact				
Transfers from stage 1 to stage 2	(1,518,179)	1,518,179	-	-
Transfers from stage 2 to stage 1	807,262	(807,262)	-	-
Transfers to stage 3	(112,103)	(2,937,983)	3,050,086	-
Transfers from stage 3	1,818,086	2,652,666	(4,470,752)	-
ECL on new exposure raised	10,999,203	3,084,371	27,932,903	42,016,477
Subsequent changes in ECL	(6,219,600)	(2,900,542)	4,691,293	(4,428,849)
Net movement in gross loans	5,774,669	609,429	31,203,530	37,587,628
Provisions for credit operational losses			922,491	922,491
Other movements with no P&L impact				
Financial asset derecognised	-	-	(61,590,410)	(61,590,410)
Loss allowance as at 31 December 2024	22,322,065	4,929,699	41,281,502	68,533,266

Notes To The Financial Statements For The Year Ended 31 December 2025



Notes To The Financial Statements

For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.9 Loss Allowance-Investment securities

Collateral and other credit enhancements

The Group employs a range of policies and practices to mitigate credit risk. The most common of these is accepting collateral for funds advanced. The Bank has internal policies on the acceptability of specific classes of collateral or credit risk mitigation.

The Group prepares a valuation of the collateral obtained as part of the loan origination process. This assessment is reviewed periodically. The principal collateral types for loans and advances are:

- Mortgages over residential and commercial properties;
- Charges over business assets such as premises, inventory and accounts receivable;
- Charges over financial instruments such as debt securities and equities; and
- Commitments and letters of undertaking from the Government of Rwanda.

Longer-term finance and lending to corporate entities are generally secured; revolving individual credit facilities are generally unsecured. Collateral held as security for financial assets other than loans and advances depends on the nature of the instrument. Debt securities, treasury and other eligible bills are generally unsecured. Derivatives are not collateralised. The Bank's policies regarding obtaining collateral have not significantly changed during the reporting period and there has been no significant change in the overall quality of the collateral held by the Bank since the prior period.

The Group adopts a conservative approach in the foreclosure of mortgages and considers the foreclosure as a last resort. After all the recovery options have failed, the bank will seek for approval from the Rwanda Development Board (RDB). Once the permit is given to the Bank, a Bailiff is appointed who in turn will begin the auction process. The auction process is open, and anyone is invited to participate. In the case that there is no outright buyer, the Group normally considers acquiring the asset, in which case it will hold for a maximum of one year, and this is classified as assets held for sale.

The Group closely monitors collateral held for financial assets considered to be credit-impaired, as it becomes more likely that the Group will take possession of collateral to mitigate potential credit losses. In the case of repossession, the group recognises the collateral as asset held for sale and derecognises the financial assets within one year. As at 31 December 2024, the Group did not hold any collaterals repossessed.

Notes To The Financial Statements For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.9 Loss Allowance-Investment securities

Financial assets that are credit-impaired and related collateral held in order to mitigate potential losses are shown below:

As at 31 December 2025

Corporate	Stage 1	Stage 2	Stage 3	Gross Loans	Impairment allowance	Carrying amount	Fair value of collateral	Net exposure/surplus collateral
Overdrafts	258,840,746	17,285,657	4,459,297	280,585,701	(5,078,096)	275,507,604	358,926,633	(83,419,029)
Treasury loans	166,751,067	16,883,345	477,591	184,112,002	(6,485,878)	177,626,124	814,135,325	(636,509,201)
Equipment loans	801,085,562	76,191,547	41,095,033	918,372,142	(35,786,468)	882,585,674	1,334,953,914	(452,368,240)
Consumer loans	733,935	39,363	40,568	813,866	(25,876)	787,990	1,322,205	(534,215)
Mortgage loans	25,961,468	522,978	763,980	27,248,427	(613,741)	26,634,686	26,838,163	(203,477)
	1,253,372,777	110,922,891	46,836,469	1,411,132,137	(47,990,060)	1,363,142,078	2,536,176,240	(1,173,034,162)
Retail								
Overdrafts	1,266,427	120,363	278,342	1,665,132	(1,005,810)	659,322	14,997,357	(14,338,035)
Treasury loans	1,390,148	45,388	41,724	1,477,261	(33,471)	1,443,789	4,573,940	(3,130,151)
Equipment loans	6,551,455	6,937,651	3,580,067	17,069,174	(2,970,799)	14,098,375	15,098,627	(1,000,252)
Consumer loans	169,780,967	3,916,025	13,497,815	187,194,807	(17,037,228)	170,157,580	89,663,839	80,493,741
Mortgage loans	130,615,540	6,937,651	3,730,175	141,283,366	(1,953,480)	139,329,886	161,673,581	(22,343,695)
	309,604,537	17,957,078	21,128,123	348,689,739	(23,000,787)	325,688,952	286,007,345	39,681,607
Overdrafts	260,107,173	17,406,020	4,737,639	282,250,832	(6,083,906)	276,166,926	373,923,990	(97,757,064)
Treasury loans	168,141,214	16,928,733	519,315	185,589,263	(6,519,349)	179,069,913	818,709,265	(639,639,352)
Equipment loans	807,637,017	83,129,199	44,675,100	935,441,315	(38,757,267)	896,684,049	1,350,052,541	(453,368,492)
Consumer loans	170,514,901	3,955,388	13,538,383	188,008,673	(17,063,104)	170,945,569	90,986,044	79,959,525
Mortgage loans	156,577,008	7,460,630	4,494,155	168,531,793	(2,567,221)	165,964,572	188,511,744	(22,547,172)
TOTAL	1,562,977,314	128,879,970	67,964,593	1,759,821,876	(70,990,847)	1,688,831,029	2,822,183,584	(1,133,352,555)

Notes To The Financial Statements For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

As at 31 December 2024

Corporate	Stage 1	Stage 2	Stage 3	Gross Loans	Impairment allowance	Maximum exposure to credit risk	Carrying amount	Fair value of collateral	Net exposure/surplus collateral
Overdrafts	272,440,289	2,254,748	5,459,917	280,154,954	(6,522,506)	273,632,448	282,369,756	(8,737,308)	(8,737,308)
Treasury loans	138,866,679	10,312,284	1,469,539	150,648,503	(8,472,197)	142,176,306	296,350,555	(154,174,249)	(154,174,249)
Equipment loans	726,284,086	17,420,238	33,971,138	777,675,461	(24,603,086)	753,072,375	906,350,095	(153,277,720)	(153,277,720)
Consumer loans	2,804,366	197,065	714,106	3,715,536	(675,470)	3,040,066	-	3,040,066	3,040,066
Mortgage loans	31,786,586	507,387	1,569,698	33,863,670	(1,226,521)	32,637,150	3,949,328	28,687,822	28,687,822
	1,172,182,006	30,691,721	43,184,398	1,246,058,126	(41,499,780)	1,204,558,345	1,489,019,734	(284,461,389)	(284,461,389)
Retail									
Overdrafts	513,106	5,173	4,329,050	4,847,328	(3,757,611)	1,089,718	124,490,488	(123,400,770)	(123,400,770)
Treasury loans	494,181	15,216	21,213	530,611	(17,194)	513,417	135,133,783	(134,620,366)	(134,620,366)
Equipment loans	3,427,018	232,996	788,413	4,448,427	(587,786)	3,860,641	225,072,021	(221,211,380)	(221,211,380)
Consumer loans	135,256,508	5,810,147	20,048,793	161,115,448	(21,221,508)	139,893,940	65,224,820	74,669,120	74,669,120
Mortgage loans	98,577,195	4,581,668	2,358,104	105,516,967	(1,449,387)	104,067,580	160,936,844	(56,869,264)	(56,869,264)
TOTAL	238,268,008	10,645,200	27,545,574	276,458,781	(27,033,486)	249,425,296	710,857,956	(461,432,660)	(461,432,660)
Overdrafts	272,953,395	2,259,921	9,788,967	285,002,283	(10,280,117)	274,722,166	406,860,243	(132,138,077)	(132,138,077)
Treasury loans	139,360,860	10,327,500	1,490,753	151,179,113	(8,489,391)	142,689,723	431,484,338	(288,794,615)	(288,794,615)
Equipment loans	729,711,104	17,653,234	34,759,551	782,123,888	(25,190,872)	756,933,016	1,131,422,116	(374,489,100)	(374,489,100)
Consumer loans	138,060,874	6,007,212	20,762,898	164,830,985	(21,896,979)	142,934,006	65,224,820	77,709,186	77,709,186
Mortgage loans	130,363,781	5,089,055	3,927,802	139,380,637	(2,675,908)	136,704,730	164,886,172	(28,181,442)	(28,181,442)
TOTAL	1,410,450,014	41,336,922	70,729,971	1,522,516,907	(68,533,266)	1,453,983,641	2,199,877,689	(745,894,048)	(745,894,048)

The loss allowance recognised in the year is impacted by a variety of factors, as described below:

- Transfers between Stage 1 and Stages 2 or 3 due to financial instruments experiencing significant increases (or decreases) of credit risk or becoming credit-impaired in the period, and the consequent “step up” (or “step down”) between 12-month and Lifetime ECL;
- Additional allowances for new financial instruments recognised during the period, as well as releases for financial instruments de-recognised in the period;
- Impact on the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular refreshing of inputs to models;
- Impacts on the measurement of ECL due to changes made to models and assumptions;
- Discount unwind within ECL due to the passage of time, as ECL is measured on a present value basis;
- Foreign exchange retranslations for assets denominated in foreign currencies and other movements; and
- Financial assets derecognised during the period and write-offs of allowances related to assets that were written off during the period (see note 5.1.6)

Notes To The Financial Statements For The Year Ended 31 December 2025



Notes To The Financial Statements For The Year Ended 31 December 2025



Notes To The Financial Statements For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.1.10 Write-off policy

The Group writes off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include (i) ceasing enforcement activity and (ii) where the Group's recovery method is foreclosing on collateral and the value of the collateral is such that there is no reasonable expectation of recovering in full.

The Group may write-off financial assets that are still subject to enforcement activity. The outstanding contractual amounts of such assets written off during the year ended 31 December 2024 was FRw 61,590,410,000 (2023: FRw 4,459,663,000) The Group still seeks to recover amounts it is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery.

4.1.11 Modification of financial assets

BK group sometimes modifies the terms of loans provided to customers due to commercial renegotiations, or for distressed loans, with a view to maximising recovery.

Such restructuring activities may include extended payment term arrangements, payment holidays and payment forgiveness. Restructuring policies and practices are based on indicators or criteria which, in the judgement of management, indicate that payment will most likely continue. These policies are kept under continuous review. Restructuring is most commonly applied to term loans.

The risk of default of such assets after modification is assessed at the reporting date and compared with the risk under the original terms at initial recognition, when the modification is not substantial and so does not result in derecognition of the original asset. The Bank monitors the subsequent performance of modified assets. The Bank may determine that the credit risk has significantly improved after restructuring, so that the assets are moved from Stage 3 or Stage 2 (Lifetime ECL) to Stage 1 (12-month ECL). This is only the case for assets which have performed in accordance with the new terms for six consecutive months or more.

4.1.12 Concentration of credit risk

Concentrations of credit risk arise when a number of counterparties or exposures have comparable economic characteristics, or such counterparties are engaged in similar activities or operate in the same geographical areas or industry sectors so that their collective ability to meet contractual obligations is uniformly affected by changes in economic, political or other conditions. We use a number of controls and measures to minimise undue concentration of exposure in our two client segments. These include portfolio and counterparty limits, approval and review controls.

The Group monitors concentrations of credit risk by sector. An analysis of concentrations of credit risk at the reporting date is shown below:

	31 December 2025		31 December 2024	
	FRw'000	%age	FRw'000	%age
Large Corporate	1,032,610,294	58.7%	975,967,670	64.1%
SMEs	285,111,692	16.2%	207,402,671	13.6%
Agri business	93,410,151	5.3%	62,687,785	4.1%
Retail Banking	348,689,739	19.8%	276,458,781	18.2%
Gross loans	1,759,821,876	100.0%	1,522,516,906	100.0%

4.3. Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations from its financial liabilities. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group's treasury maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The daily liquidity position is monitored, and regular liquidity stress testing is conducted under a variety of scenarios covering both normal and more severe market conditions.

Notes To The Financial Statements

For The Year Ended 31 December 2025

4. Financial Risk Management (Continued)

4.3. Liquidity risk (Continued)

The key measure used by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers. Details of the reported Group’s ratio of net liquid assets to deposits from customers at the reporting date and during the reporting year were as follows:

	31 December 2025	31 December 2024
At close of the year	42.9%	42.9%
Average for the year	45.2%	45.2%
Maximum for the year	49.5%	49.5%
Minimum for the year	39.7%	39.7%
Minimum statutory requirement	20.0%	20.0%

The table below summarizes the Group’s liquidity risk as at 31 December 2025 and 31 December 2024, categorized into relevant maturity rankings based on undiscounted contractual cash flows.



Notes To The Financial Statements For The Year Ended 31 December 2025



Notes To The Financial Statements For The Year Ended 31 December 2025

Financial Risk Management (Continued)

4.2. Liquidity risk (continued)

The table below summarizes The Group's liquidity risk as at 31 December 2025, categorized into relevant maturity rankings based on undiscounted cash flows:

ASSETS	Up to 1 month Frw '000	1 - 3 months Frw '000	3 - 12 months Frw '000	1 - 5 years Frw '000	Over 5 years Frw '000	Total Frw '000
Cash in hand	28,196,928	-	-	-	-	28,196,928
Balances with the National Bank of Rwanda	216,295,134	10,372,662	15,410,812	34,023,642	-	276,102,250
Cash balance with other banks	542,825,367	-	-	-	-	542,825,367
Held to maturity investments	161,565,114	26,447,689	43,150,820	7,598,079	24,058,517	262,820,219
Investment in corporate Bond	-	1,272,500	289,273	14,270,137	-	15,831,910
Investment in specialized funds	1,050,258	14,679,398	-	-	-	15,729,656
Loans and advances to customers	402,525,784	87,099,904	59,960,317	556,770,002	581,778,847	1,688,134,854
Other assets	-	4,796,947	16,675,804	-	-	21,472,751
Reinsurance contract Asset	-	-	3,358,680	-	-	3,358,680
Total Assets	1,352,458,458	144,669,100	147,016,372	618,548,597	605,837,364	2,868,530,018
Liabilities And Equity						
Due to banks	202,566,441	13,354,698	28,272,952	1,655,919	19,039,269	264,889,279
Customer deposits	1,665,669,768	23,577,565	91,929,314	90,046,145	13,205,529	1,884,428,321
Dividends payable	10,441,211	-	23,731,950	-	-	34,173,161
Other liabilities	28,461,518	7,000,000	32,958,138	-	-	68,419,656
Lease liabilities	71,890	145,567	905,550	2,132,624	-	3,255,631
Insurance contract Liabilities	-	-	6,304,317	-	-	6,304,317
Long-term Finance	1,007,319	7,596,418	8,289,828	46,583,873	55,216,293	118,693,731
SWAP payables	1,908,218,147	51,674,248	192,392,049	140,418,561	87,461,091	2,380,164,096
Total on-Balance sheet liquidity position	(555,759,562)	92,994,852	(53,546,343)	478,130,036	518,376,273	488,785,518
Off balance sheet items	19,602,531	51,672,746	176,318,923	319,652,085	307,824	567,554,109
Net liquidity gap	(575,362,093)	41,322,106	(229,865,266)	158,477,951	518,068,449	(93,245,590)

Notes To The Financial Statements
For The Year Ended 31 December 2025

Financial Risk Management (Continued)

4.2. Liquidity risk (continued)

The table below summarizes The bank’s liquidity risk as at 31 December 2024, categorized into relevant maturity rankings based on undiscounted cash flows:

ASSETS	Up to 1 month Frw ‘000	1 – 3 months Frw ‘000	3 – 12 months Frw ‘000	1 – 5 years Frw ‘000	Over 5 years Frw ‘000	Total Frw ‘000
Cash in hand	21,663,033	-	-	-	-	21,663,033
Balances with the National Bank of Rwanda	216,295,134	10,372,662	15,410,812	15,410,811	216,295,134	257,489,419
Cash balance with other banks	399,117,340	-	-	-	-	399,117,340
Held to maturity investments	171,316,681	26,447,689	43,150,820	7,598,079	22,241,274	270,754,543
Investment in corporate Bond	-	1,272,500	289,273	22,321,433	-	23,883,206
Investment in specialized funds	1,050,258	11,840,233	-	-	-	12,890,491
Loans and advances to customers	75,586,300	76,764,200	158,095,682	656,930,753	486,606,706	1,453,983,641
Other assets		3,887,120	17,585,631	-	-	21,472,751
Reinsurance contract Asset	-		2,857,410			2,857,410
Total Assets	855,028,746	130,584,404	237,389,628	702,261,076	508,847,980	2,464,111,834
Liabilities And Equity						
Due to banks	103,969,904	9,676,484	63,043,574	46,610,664	-	223,300,626
Customer deposits	1,106,835,583	97,484,604	145,553,619	241,216,393	50,749,422	1,641,839,621
Dividends payable	-	-	18,395,258	-	-	18,395,258
Other liabilities	17,039,731	6,497,650	46,947,357	-	-	70,484,738
Lease liabilities	-	-	209,967	2,725,442	-	2,935,409
Insurance contract Liabilities	-	-	4,685,020	-	-	4,685,020
Long-term Finance	-	2,363,443	16,920,590	66,248,356	26,418,911	111,951,300
SWAP payables	1,227,845,218	116,022,181	295,755,385	356,800,855	77,168,333	2,073,591,972
Total financial liabilities	(342,816,472)	14,562,223	(58,365,757)	345,460,221	431,679,647	390,519,862
Off balance sheet items	7,055,886	139,859,149	376,686,379	135,918,101	1,534,268	662,539,270
Net liquidity gap	(349,872,358)	(125,296,926)	(435,052,136)	209,542,120	430,145,379	(270,533,921)

*Off balance sheet items include Guarantees and commitmen

Notes To The Financial Statements

For The Year Ended 31 December 2025

Financial Risk Management (Continued)

4.3 Liquidity risk (continued)

In managing its liquidity mismatch, the Bank has three sources of funding available namely its natural cash flow, investment securities assets and capacity to borrow additional funds. The Bank borrows from wholesale markets or other financial institutions long-term loans to cover for the short-term maturity gap. In addition, the analysis distinguishes between liquidity held to deal with normal conditions and additional liquidity held as a reserve for unforeseeable disruptions.

4.4. Market risk

(i) Currency risk

BK Group Plc takes on exposure to effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board sets limits on the level of exposure by currency and in total for both overnight and intra-day positions which are monitored daily and hedging strategies used to ensure that positions are maintained within the established limits.

Transactions in foreign currency are recorded at the rate in effect at the date of the transaction. BK group Plc translates monetary assets and liabilities denominated in foreign currencies at the rate of exchange in effect at the reporting date. BK group Plc records all gains or losses on changes in currency exchange rates in profit or loss.

The table below summarises the foreign currency exposure for BK Group Plc as at 31 December 2025 and 31 December 2024

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Assets in foreign currencies	1,029,501,088	793,905,783
Liabilities in foreign currencies	(1,020,051,847)	(808,897,719)
Net foreign currency exposure at the end of the year	9,449,241	(14,991,936)

The following table demonstrates the sensitivity to a reasonably possible change in the below mentioned exchange rates of major transaction currencies, with all other variables held constant, of BK group Plc's profit before tax (due to changes in the fair value of monetary assets and liabilities).

The Bank identify major foreign currency and create hypothetical scenarios to analyse potential impacts. The sensitivity rate considered by management of 5% is within the range recommended by National Bank of Rwanda.

Currency	31 Dec 2025			31 Dec 2024		
	Increase/ decrease in exchange rate	Effect on profit before Tax	Effect on Equity	Increase/ decrease in exchange rate	Effect on profit before Tax	Effect on Equity
USD	5.0%	403,160	290,275	+5%	(857,840)	590,311
	-5.0%	(403,160)	(290,275)	-5%	857,840	(590,311)
GBP	5.0%	(25,657)	(18,473)	+5%	6,915	4,872
	-5.0%	25,657	18,473	-5%	(6,915)	(4,872)
EUR	5.0%	(1,272)	(916)	+5%	(3,324)	115
	-5.0%	1,272	916	-5%	3,324	(115)

Notes To The Financial Statements For The Year Ended 31 December 2025



Notes To The Financial Statements For The Year Ended 31 December 2025

Financial Risk Management (Continued)

4.2 Market risk (continued)

(i) Currency risk (continued)

The various foreign currencies to which BK Group Plc is exposed as at 31 December 2025 are summarised below. All figures are in thousands of Rwandan francs (FRw'000):

	USD	EUR	GBP	Other foreign currencies	Total
Cash in hand	9,934,640	1,477,824	874,917	1,618,487	13,905,868
Balances with the National Bank of Rwanda	109,604,516	27,620,421	424,390	138,917	137,788,243
Cash balances with other banks	497,080,386	29,645,339	1,689,403	1,312,133	529,727,260
Investment securities at amortized costs	22,457,795	-	-	-	22,457,795
Loans and advances to customers	324,499,789	-	4,007	190	324,503,986
Other financial assets	744,235	321,875	247	51,580	1,117,937
At 31 December 2025	964,321,360	59,065,458	2,992,964	3,121,306	1,029,501,088
Liabilities					
Deposits from banks	40,809,508	5,365,482	20,969	11,645	46,207,605
Deposits from customers	854,131,906	53,770,724	2,995,612	1,177,507	912,075,749
Other liabilities	31,166,565	442,396	1,824	7,529	31,618,313
Long-term finance	30,150,182	(0)	-	-	30,150,181
At 31 December 2025	956,258,161	59,578,601	3,018,405	1,196,681	1,020,051,847
Net currency exposure	8,063,199	(513,143)	(25,441)	1,924,625	9,449,241

*Other foreign currencies include minor currencies namely UGX, TZS, CAD, ZAR, CHF, AED, KES, CYN

Notes To The Financial Statements
For The Year Ended 31 December 2025

Financial Risk Management (Continued)

4.4 Market risk (continued)
(i) Currency risk (continued)

The various foreign currencies to which BK Group Plc is exposed as at 31 December 2024 are summarised below. All figures are in thousands of Rwandan francs (FRw'000):

	USD	EUR	GBP	Other foreign currencies	Total
Cash in hand	5,165,519	1,859,692	1,368,698	464,108	8,858,017
Balances with the National Bank of Rwanda	137,713,735	19,129,145	123,241	6,665	156,972,786
Cash balances with other banks	350,896,685	23,448,758	1,163,114	1,454,868	376,963,425
Investment securities at amortized costs	10,823,188	-	-	-	10,823,188
Loans and advances to customers	239,419,900	-	3,593	205	239,423,698
Other financial assets	424,768	110,703	37	329,362	864,869
At 31 December 2024	744,443,795	44,548,298	2,658,683	2,255,208	793,905,783
Liabilities					
Deposits from banks	53,586,292	105,110	92,453	60	53,783,915
Deposits from customers	688,535,114	43,952,643	2,567,684	975,397	736,030,838
Other liabilities	6,681,372	355,205	1,735	6,097	7,044,409
Long-term finance	12,038,557	-	-	-	12,038,557
At 31 December 2024	760,841,335	44,412,958	2,661,872	981,554	808,897,719
Net currency exposure	-16,397,540	135,340	-3,189	1,273,654	-14,991,735

*Other foreign currencies include minor currencies namely UGX, TZS, CAD, ZAR, CHF, AED,KES,CY

Notes To The Financial Statements

For The Year Ended 31 December 2025

Financial Risk Management (Continued)

4.3. Market risk (continued)

4.6 Interest rate risk

Interest rate is the risk that the future cash flows of financial instruments will fluctuate because of changes in the market interest rates. Interest margin may increase as a result of such changes but may reduce losses in the event that unexpected movement arises. BK group Plc closely monitors interest rate movements and seeks to limit its exposure by managing the interest rate and maturity structure of assets and liabilities carried on the statement of financial position.

Analysis interest rate risk

Except for some borrowings that are tagged to Secured Overnight Financing Rate(SOFR) , all financial instruments entered into by The bank are subsequently measured at amortised cost and attract fixed interest rates and therefore not prone to interest rate fluctuations. The impact of fluctuations in the Secured Overnight Financing Rate is not expected to have a significant effect on the results of the group.

The tables below summaries the Group's interest -bearing financial instruments as at 31 December 2025.

ASSETS	Weighted interest rate	On demand Frw'000	Less than 3 months Frw'000	Less than 3 months Frw'000	Less than 3 months Frw'000	Less than 3 months Frw'000	Total Frw'000
Cash balances with other banks	3.1%	281,341,610	248,411,390	-	-	-	529,753,000
Investment securities at amortized costs	9.4%	-	56,383,865	74,644,378	46,446,869	63,011,667	240,486,779
Investment in corporate bond at amortized costs	11.1%	-	10,882,325	-	-	2,255,596	13,137,921
Investment in specialized fund	10.0%	1,050,258	-	-	-	-	1,050,258
Loans and advances – net	14.4%	-	490,321,865	59,960,317	556,770,002	581,778,847	1,688,831,029
Total Assets		282,391,868	805,999,445	134,604,695	603,216,870	647,046,110	2,473,258,987
LIABILITIES							
Due to banks	2.1%	118,287,173	27,922,310	1,527,998	19,855,749		167,593,230
Deposits & balances from customers	5.9%	516,992,697	23,234,482	88,029,749	69,516,430	7,002,000	704,775,358
Lease liabilities	7.5%		214,331	857,325	1,670,787		2,742,444
Long-term finance	8.0%	-	8,447,760	7,819,560	40,145,592	62,280,818	118,693,730
Total liabilities		635,279,870	160,170,740	195,025,339	287,345,370	69,282,818	993,804,761
Total interest sensitivity gap		(352,888,002)	746,180,560	36,370,063	472,028,313	577,763,292	1,479,454,226

Notes To The Financial Statements For The Year Ended 31 December 2025

Financial Risk Management (Continued)

The following is an analysis of BK Group Plc's sensitivity to an increase or decrease in market interest rates, assuming no asymmetrical movement in yield curves and a constant financial position:

The table below summarizes the interest rate risk of Bank of Kigali Plc as at 31 December 2024:

ASSETS	Weighted interest rate	On demand Frw'000	Less than 3 months Frw'000	3-12 months Frw'000	1 to 5 years Frw'000	Over 5 years Frw'000	Total Frw'000
Cash balances with other banks	4.8%	387,510,889	-	-	-	-	387,510,889
Investment securities at amortized costs	10.5%	-	188,012,803	43,150,820	7,598,079	22,241,274	261,002,975
Investment in corporate bond at amortized costs	10.2%	-	1,272,500	289,273	19,816,649	-	21,378,422
Investment in specialized fund	9.8%	1,050,258	-	-	-	-	1,050,258
Loans and advances – net	14.7%	-	152,350,500	158,095,682	656,930,753	486,606,706	1,453,983,641
Total Assets		388,561,147	341,635,803	201,535,774	684,345,481	508,847,979	2,124,926,184
LIABILITIES							
Balances due to other banks	3.6%	30,504,194	61,940,658	39,565,607	-	-	132,010,459
Customer deposits	6.8%	405,159,277	95,866,639	138,539,142	225,961,935	47,540,042	913,067,035
Lease liabilities	7.5%	-	-	209,967	2,006,452	-	2,216,419
Long-term finance	8.1%	-	2,363,443	16,920,590	61,383,435	31,283,831	111,951,299
Total liabilities		435,663,471	160,170,740	195,025,339	287,345,370	78,823,874	1157,028,792
Total interest sensitivity gap		(47,102,324)	181,465,063	6,510,435	397,000,112	430,024,106	967,897,392

Notes To The Financial Statements

For The Year Ended 31 December 2025

Financial Risk Management (Continued)

5 Capital management

The primary objective of the Group's capital management is to ensure that the Group, Bank and Insurance subsidiaries comply with capital requirements and maintain healthy capital ratios in order to support its business and to maximise shareholders' value.

The Group maintains an actively managed capital base to cover risks inherent in the businesses. The adequacy of the Group's capital is monitored using, among other measures, the rules and ratios established by the National Bank of Rwanda. The National Bank of Rwanda sets and monitors capital requirements for the banking and insurance industries.

In implementing current capital requirements, the National Bank of Rwanda requires the Group to maintain a prescribed ratio of total capital to total risk-weighted assets for its banking business and maintaining adequate capital and solvency for the insurance business.

The Group's bank subsidiary regulatory capital is analysed into two tiers:

- Core Capital (Tier 1) capital, which includes ordinary share capital, share premium, retained earnings, after deductions for investments in financial institutions, and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes; and
- Supplementary Capital (Tier 2) includes the regulatory reserve.

Various limits are applied to elements of the capital base.

The Group policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised and the Group recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

The Group Insurance subsidiary capital:

The Group's objectives when managing capital, which is a broader concept than the 'equity' on the Statement of financial position are:

- to comply with the capital requirements as set out in the Insurance Regulations;
- to comply with regulatory solvency requirements as set out in the Insurance Regulations;
- to safeguard the Group's ability to continue as a going concern, so that it can continue to provide returns to shareholders and benefits for other stakeholders; and
- To provide an adequate return to shareholders by pricing insurance and investment contracts commensurately with the level of risk.

The Insurance Law (Law No. 05/2009 of 29/07/2009 on licensing and other requirements for carrying insurance business in Rwanda) requires separation of the life and non-life insurance businesses into separate companies and each of the companies to hold a minimum level of paid up capital of FRw 1 billion.

General insurance businesses are required to maintain a solvency margin (admitted assets less admitted liabilities) equivalent to the higher of FRw 500 million or 20% of the net premium income during the preceding financial year.

The capital and regulatory solvency thresholds were effective from July 2011 and the company was therefore required to comply with them for the period ended 31 December 2021. During the year the Company held the minimum capital required to meet the solvency margins

The Company's paid up Capital at the end of 2021 is presented on the next page. The table below summarises the solvency margin of the Company at 31 December 2025 and 2024:

Notes To The Financial Statements For The Year Ended 31 December 2025

Financial Risk Management (Continued)

4.4 Capital management

Below is the solvency margin status as at 31 December which is the key indicator of company capital adequacy:

	2025	2024
Solvency Margin Required	2,443,114	2,184,605
Admitted Assets	28,975,408	24,971,643
Admitted Liabilities	(17,249,969)	17,662,028
Solvency Margin Available	11,725,438	7,309,615
Excess on Solvency Required	9,282,325	5,125,009
Solvency Ratio	479.9%	334.6%

The Group's capital position was as follows:

	31 Dec 25 FRw'000	31 Dec 24 FRw'000
Capital Strength		
Core capital (Tier 1)	461,137,950	377,388,017
Supplementary capital (Tier 2)	27,163,500	23,959,999
Total Capital	488,301,450	401,348,016
Total risk weighted assets		
Total Credit Risk Weighted Assets	2,173,079,981	1,717,599,056
Total Market Risk Weighted Assets	-	25,625,490
Total Operational Risk Weighted Assets	-	173,575,397
Total Risk weighted assets	2,173,079,981	1,916,799,942
Core capital/ Total risk weighted assets ratio (Tier 1 ratio)	21.2%	21%
Tier 2 ratio	1.25%	1.25%
Total Capital/Total Risk weighted asset ratio	22.5%	20.9%
Leverage ratio	12%	12%

Notes To The Financial Statements For The Year Ended 31 December 2025

6. INSURANCE AND FINANCIAL RISK MANAGEMENT

i). Insurance risk

a. Non-Life insurance contracts and reinsurance contracts

The group principally issues the following types of non-life insurance contracts: personal accident; marine; property; and liability reinsurance. For non-life insurance contracts, the most significant risks arise from climate changes, natural disasters and terrorist activities. For longer tail claims that take some years to settle, there is also inflation risk. The objective of the group is to ensure that sufficient reserves are available to cover the liabilities associated with these insurance and reinsurance contracts that it issues.

The risk exposure is mitigated by diversification across the portfolios of insurance contracts. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of reinsurance held arrangements. Furthermore, strict claim review policies to assess all new and ongoing claims, regular detailed review of claims handling procedures and frequent investigation of possible fraudulent claims are established to reduce the risk exposure of the Company.

The group further enforces a policy of actively managing and promptly settling claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the business. Inflation risk is mitigated by taking expected inflation into account when estimating insurance contract liabilities and pricing appropriately.

The group purchases reinsurance as part of its risk mitigation programmed. Reinsurance held is placed on a proportional basis. Proportional reinsurance is quota-share reinsurance which is taken out to reduce the overall exposure of the Company to its marine business. Amounts recoverable from reinsurers are estimated in a manner consistent with underlying insurance contract liabilities and in accordance with the reinsurance contracts. Although the Company has reinsurance arrangements, it is not relieved of its direct obligations to its policyholders and thus a credit exposure exists with respect to reinsurance held, to the extent that any reinsurer is unable to meet its obligations.

The group's placement of reinsurance is diversified such that it is neither dependent on a single reinsurer nor are the operations of the Company substantially dependent upon any single reinsurance contract. There is no single counterparty exposure that exceeds 5% of total reinsurance assets at the reporting date. The following tables show the concentration of net insurance contract liabilities by type of contract:

Rwf'000	2025			2024		
Class of Business	Insurance	Reinsurance	Net	Insurance	Reinsurance	Net
Accident	91,314	10,903	80,411	83,872	8,811	75,061
Motor	3,014,438	1,151,028	1,863,410	1,138,828	650,652	488,176
Engineering	554,358	386,038	168,320	662,122	500,769	161,352
Property	1,129,597	872,886	256,710	828,609	751,732	76,876
Transportation	55,639	52,903	2,736	6,443	23,320	-16,877
Guarantee	134,968	59,894	75,074	134,114	75,774	58,341
Liability	158,264	66,418	91,846	90,505	90,887	-382
Miscellaneous	717,691	767,119	(49,428)	551,621	755,464	-203,843
Total Net Contracts	5,856,269	3,367,190	2,489,080	3,496,114	2,857,409	638,704

The liability for incurred claims is sensitive to the key assumptions in the table below. It has not been possible to quantify the sensitivity of certain assumptions such as legislative changes or uncertainty in the estimation process. The following sensitivity analysis shows the impact on gross and net liabilities, profit before tax and equity for reasonably possible movements in key assumptions with all other assumptions held constant.

Notes To The Financial Statements For The Year Ended 31 December 2025

i).Insurance risk (Continue)

b. Sensitivities

The correlation of assumptions will have a significant effect in determining the ultimate impacts, but to demonstrate the impact due to changes in each assumption, assumptions have been changed on an individual basis. It should be noted that movements in these assumptions are nonlinear. The method used for deriving sensitivity information did not change. However, the assumption on inflation has been changed considering the projected trend.

Rwf'000 2025	Change in assumptions	Impact on profit before tax gross of Reinsurance	Impact on profit before tax Net of Reinsurance	Impact on Equity tax gross of Reinsurance	Impact on Equity tax Net of Reinsurance
Expected loss	10%	515,876	394,748	371,430	284,219
Inflation rate	5.80%	299,208	228,954	215,430	164,847
Expected loss	-10%	(515,876)	(394,748)	(371,430)	(284,219)
Inflation rate	-5.80%	(299,208)	(228,954)	(215,430)	(164,847)

Rwf'000 2024	Change in assumptions	Impact on profit before tax gross of Reinsurance	Impact on profit before tax Net of Reinsurance	Impact on Equity tax gross of Reinsurance	Impact on Equity tax Net of Reinsurance
Expected loss	10%	462,088	357,463	332,703	257,373
Inflation rate	5.80%	268,011	207,328	192,968	149,277
Expected loss	-10%	-462,088	-357,463	-332,703	-257,373
Inflation rate	-5.80%	-268,011	-207,328	-192,968	-149,277

Notes To The Financial Statements For The Year Ended 31 December 2025

Insurance Risk Management (Continued)

Insurance and reinsurance contracts

The breakdown of groups of insurance contracts issued, that are in an asset position and those in a liability position is set out in the table below:

i. Re-insurance contract assets

Rwf'000	2024			2023		
	Assets	Liabilities	Net	Assets	Liabilities	Net
Reinsurance contract issued						
Accident	8,811	5,109	3,702	6,485	2,646	3,839
Motor	650,652	377,267	273,385	710,179	289,798	420,381
Engineering	500,769	290,361	210,408	701,989	286,456	415,533
Property	751,732	435,876	315,856	485,898	198,277	287,621
Transportation	23,320	13,522	9,798	10,628	4,337	6,291
Guarantee	75,774	43,936	31,838	80,338	32,783	47,555
Liability	90,887	52,699	38,188	67,664	27,611	40,053
Miscellaneous	755,464	438,040	317,424	452,332	184,580	267,752
Total Reinsurance contracts issued	2,857,409	1,656,810	1,200,600	2,515,513	1,026,488	1,489,025

ii. Insurance contract liabilities

Rwf'000	2024			2023		
	Assets	Liabilities	Net	Assets	Liabilities	Net
Insurance contract issued						
Accident	2,309	83,872	81,563	2,509	91,898	89,389
Motor	188,947	1,138,828	949,881	210,930	4,765,092	4,554,163
Engineering	53,554	662,122	608,568	66,957	823,251	756,294
Property	102,164	828,609	726,445	57,569	534,184	476,615
Transportation	1,679	6,443	4,764	2,204	4,880	2,676
Guarantee	17,834	134,114	116,280	2,947	163,155	160,207
Liability	1,893	90,505	88,612	2,599	128,796	126,196
Miscellaneous	99,522	551,621	452,099	52,833	(226,580)	(279,412)
Total Reinsurance contracts issued	467,903	3,496,110	3,028,212	398,548	6,284,675	5,886,127

Notes To The Financial Statements For The Year Ended 31 December 2025

i).Insurance risk(Continue)

C. Claims development table

The following tables show the estimates of cumulative incurred claims, including both claims notified and IBNR for each successive accident year at each reporting date, together with cumulative payments to date. As required by IFRS 17, in setting claims provisions, the Company gives consideration to the probability and magnitude of future experience being more adverse than assumed which is reflected in the risk adjustment. In general, the uncertainty associated with the ultimate cost of settling claims is greatest when the claim is at an early stage of development. As claims develop, the ultimate cost of claims becomes more certain.

Gross undiscounted liabilities for incurred claims for 2025 – Motor

Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	3,210,516	3,016,790	3,365,753	3,876,098	3,680,331	3,265,831	3,870,891	7,223,990	31,510,201
One year later	3,369,841	3,112,249	3,612,543	3,971,005	3,763,428	3,328,726	3,939,089	0	0
Two years later	3,369,841	3,113,084	3,631,821	3,974,012	3,767,673	3,346,489	-	0	0
Three Years Later	3,369,841	3,113,084	3,633,341	3,974,012	3,780,445	-	-	0	0
Four Year Later	3,369,841	3,113,084	3,633,341	3,974,012	-	-	-	0	0
Five year later	3,369,841	3,115,455	3,639,809	-	-	-	-	0	0
Six year later	3,369,841	3,115,455	-	-	-	-	-	0	0
Seven Year Later	3,369,841	-	-	-	-	-	-	0	0
Gross estimates of the undiscounted amount of claims	3,369,841	3,115,455	3,639,809	3,974,012	3,780,445	3,780,445	3,939,089	7,223,990	32,389,130
Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	1,901,333	1,626,212	2,147,616	2,589,072	2,449,135	1,993,691	2,344,979	3,273,658	18,325,697
One year later	2,963,945	2,476,511	3,096,174	3,626,606	3,419,965	3,117,120	3,521,037	0	0
Two years later	3,238,015	2,837,329	3,506,801	3,823,641	3,678,456	3,273,297	-	0	0
Three Years Later	3,297,705	2,988,237	3,573,449	3,903,169	3,770,056	-	-	0	0
Four Year Later	3,350,810	3,042,773	3,597,730	3,970,304	-	-	-	0	0
Five year later	3,364,336	3,113,880	3,628,847	-	-	-	-	0	0
Six Year Later	3,364,836	3,114,985	-	-	-	-	-	0	0
Seven Year later	3,364,836	-	-	-	-	-	-	0	0
Cumulative payments to date	3,364,836	3,114,985	3,628,847	3,970,304	3,770,056	3,273,297	3,521,037	3,273,658	27,917,020
Gross undiscounted liabilities for incurred claims	5	0	11	4	10	73	418	3,950	4,472
Effect of discounting	-	-	-	-	-	-	-	-	389,968
Total gross liabilities for incurred claims	-	-	-	-	-	-	-	-	4,082,142
Note	Estimates of the present value of future cash flows	Risk adjustment	Total						
Total gross liabilities for incurred claims related to Motor	4,082	76,657	4,158,798						

Notes To The Financial Statements For The Year Ended 31 December 2025

i).Insurance risk(Continue)

C. Claims development table

Gross undiscounted liabilities for incurred claims for 2025 – Fire/Property

Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	221,372	1,926	31,762	18,891	165,982	69,743	293,539	238,771	1,041,986
One year later	222,662	5,543	35,257	20,394	171,973	85,967	310,540	0	0
Two years later	222,662	5,543	35,257	20,394	171,973	87,953	-	0	0
Three Years Later	222,662	5,543	35,257	22,395	173,524	-	-	0	0
Four Year Later	222,662	5,543	39,899	22,545	-	-	-	0	0
Five year later	222,662	5,543	39,899	-	-	-	-	0	0
Six year later	222,662	5,543	-	-	-	-	-	0	0
Seven Year Later	222,662	-	-	-	-	-	-	0	0
Gross estimates of the undiscounted amount of claims	222,662	5,543	39,899	22,545	173,524	87,953	310,540	238,771	1,101,437
Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	11,365	1,926	31,762	17,448	158,403	58,002	31,412	105,195	415,514
One year later	23,537	4,870	35,257	20,394	166,973	85,067	54,074	0	0
Two years later	23,797	5,543	35,257	20,394	171,973	87,289	-	0	0
Three Years Later	222,662	5,543	35,257	22,395	173,524	-	-	0	0
Four Year Later	222,662	5,543	39,899	22,545	-	-	-	0	0
Five year later	222,662	5,543	39,899	-	-	-	-	0	0
Six Year Later	222,662	5,543	-	-	-	-	-	0	0
Seven Year later	222,662	-	-	-	-	-	-	0	0
Cumulative payments to date	222,662	5,543	39,899	22,545	173,524	87,289	54,074	105,195	710,732
Gross undiscounted liabilities for incurred claims	0	0	0	0	0	663	256,466	133,575	390,705
Effect of discounting	-	-	-	-	-	-	-	-	- 58,645
Total gross liabilities for incurred claims	-	-	-	-	-	-	-	-	332,060
Note	Estimates of the present value of future cash flows	Risk adjustment	Total						
Total gross liabilities for incurred claims related to Fire	332	29,673	361,733						

Notes To The Financial Statements For The Year Ended 31 December 2025

i).Insurance risk(Continue)

C. Claims development table

Gross undiscounted liabilities for incurred claims for 2025 – Engineering

Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	56,495	36,487	58,290	62,478	89,585	207,745	161,304	146,329	818,714
One year later	56,570	36,487	82,528	98,989	106,782	249,353	210,850	0	0
Two years later	56,570	36,487	86,834	98,989	111,821	267,596	-	0	0
Three Years Later	56,570	36,487	86,834	98,989	111,821	-	-	0	0
Four Year Later	56,570	36,487	86,834	103,903	-	-	-	0	0
Five year later	56,570	36,487	86,834	-	-	-	-	0	0
Six year later	56,570	36,487	-	-	-	-	-	0	0
Seven Year Later	56,570	-	-	-	-	-	-	0	0
Gross estimates of the undiscounted amount of claims	56,570	36,487	86,834	103,903	111,821	267,596	210,850	146,329	1,020,389
Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	7,710	36,487	6,208	44,918	15,888	116,649	65,560	71,208	364,628
One year later	8,057	36,487	77,879	97,603	106,252	236,647	205,209	0	0
Two years later	56,570	36,487	83,888	98,438	111,291	254,890	-	0	0
Three Years Later	56,570	36,487	86,294	98,438	111,291	-	-	0	0
Four Year Later	56,570	36,487	86,834	102,352	-	-	-	0	0
Five year later	56,570	36,487	86,834	-	-	-	-	0	0
Six Year Later	56,570	36,487	-	-	-	-	-	0	0
Seven Year later	56,570	-	-	-	-	-	-	0	0
Cumulative payments to date	56,570	36,487	86,834	102,352	111,291	254,890	205,209	71,208	924,840
Gross undiscounted liabilities for incurred claims	0	0	0	0	0	-	-	-	-
incurred claims	-	-	-	1,551	530	12,707	5,641	75,120	95,549
Effect of discounting	-	-	-	-	-	-	-	-	- 7,472
Total gross liabilities for incurred claims	-	-	-	-	-	-	-	-	88,077
Note	Estimates of the present value of future cash flows	Risk adjustment	Total						
Total gross liabilities for incurred claims related to Engineering	88076.90486	4,181	92,258						

Notes To The Financial Statements For The Year Ended 31 December 2025

i).Insurance risk(Continue)

C. Claims development table

Gross undiscounted liabilities for incurred claims for 2025 – Liability

Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	13,942	2,000	16,730	32,563	1,000	2,476	13,825	35,137	117,672
One year later	18,091	2,000	17,114	34,378	12,649	9,112	35,380	0	0
Two years later	18,091	2,000	22,441	36,572	12,649	22,422	-	0	0
Three Years Later	20,091	2,000	23,441	36,572	12,649	-	-	0	0
Four Year Later	20,091	2,000	23,441	36,572	-	-	-	0	0
Five year later	20,091	2,000	23,515	-	-	-	-	0	0
Six year later	20,091	2,000	-	-	-	-	-	0	0
Seven Year Later	20,091	-	-	-	-	-	-	0	0
Gross estimates of the undiscounted amount of claims	20,091	2,000	23,515	36,572	12,649	22,422	35,380	35,137	187,766
Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	2,628	-	13,558	32,526	-	2,476	13,825	415	65
One year later	17,591	2,000	17,114	34,378	12,615	9,112	35,380	0	0
Two years later	18,091	2,000	22,441	36,572	12,615	22,422	-	0	0
Three Years Later	20,091	2,000	22,941	36,572	12,649	-	-	0	0
Four Year Later	20,091	2,000	23,441	36,572	-	-	-	0	0
Five year later	20,091	2,000	23,515	-	-	-	-	0	0
Six Year Later	20,091	2,000	-	-	-	-	-	0	0
Seven Year later	20,091	-	-	-	-	-	-	0	0
Cumulative payments to date	20,091	2,000	23,515	-	12,649	22,422	35,380	415	153,044
Gross undiscounted liabilities for incurred claims	0	0	-	-	0	-	-	35	35
Effect of discounting	-	-	-	-	-	-	-	-	2,476
Total gross liabilities for incurred claims	-	-	-	-	-	-	-	-	32,246
Note	Estimates of the present value of future cash flows	Risk adjustment	Total						
Total gross liabilities for incurred claims related to Liability	32	647	32,893						

Notes To The Financial Statements For The Year Ended 31 December 2025

i).Insurance risk(Continue)

C. Claims development table

Gross undiscounted liabilities for incurred claims for 2025 – Accident

Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	48,947	223	10,224	1,417	8,047	11,637	26,446	32,512	139,453
One year later	50,697	9,304	10,224	7,010	9,761	14,362	26,946	-	-
Two years later	56,197	9,596	10,639	8,380	9,761	14,541	-	-	-
Three Years Later	56,197	9,596	10,639	8,380	9,761	-	-	-	-
Four Year Later	56,197	9,596	10,639	8,380	-	-	-	-	-
Five year later	56,197	9,596	10,639	-	-	-	-	-	-
Six year later	56,197	9,596	-	-	-	-	-	-	-
Seven Year Later	56,197	-	-	-	-	-	-	-	-
Gross estimates of the undiscounted amount of claims	56,197	9,596	10,639	8,380	9,761	14,541	26,946	32,512	168,572
Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	3,967	55	29	348	128	7,038	3,676	3,492	18,733
One year later	10,105	3,304	29	4,519	5,559	11,462	3,696	-	-
Two years later	56,053	3,304	5,639	8,380	8,759	13,562	-	-	-
Three Years Later	56,053	6,596	5,639	8,380	9,406	-	-	-	-
Four Year Later	56,197	6,596	5,639	8,380	-	-	-	-	-
Five year later	56,197	9,596	5,639	-	-	-	-	-	-
Six Year Later	56,197	9,596	-	-	-	-	-	-	-
Seven Year later	56,197	-	-	-	-	-	-	-	-
Cumulative payments to date	56,197	9,596	5,639	8,380	9,406	13,562	3,696	3,492	109,969
Gross undiscounted liabilities for incurred claims	0	0	5	0	9	1	23	29	59
incurred claims	-	-	-	0	0	0	0	0	(5,772)
Effect of discounting	-	-	-	-	-	-	-	-	52,831
Total gross liabilities for incurred claims	-	-	-	-	-	-	-	-	-
Note	Estimates of the present value of future cash flows	Risk adjustment	Total						
Total gross liabilities for incurred claims related to Accident	53	2,149	54,979						

Notes To The Financial Statements For The Year Ended 31 December 2025

i).Insurance risk(Continue)

C. Claims development table

Gross undiscounted liabilities for incurred claims for 2025– Marine

Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	20,179	36,969	418	-	-	1,337	3,464	120,487	182,854
One year later	22,479	36,969	418	1,088	-	1,337	3,464	0	0
Two years later	22,479	36,969	418	1,088	-	1,337	-	0	0
Three Years Later	22,479	36,969	418	1,088	-	-	-	0	0
Four Year Later	22,479	36,969	418	1,088	-	-	-	0	0
Five year later	22,479	36,969	418	-	-	-	-	0	0
Six year later	22,479	36,969	-	-	-	-	-	0	0
Seven Year Later	22,479	-	-	-	-	-	-	0	0
Gross estimates of the undiscounted amount of claims	22,479	36,969	418	1,088	-	1,337	3,464	120,487	186,242
Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	20,179	36,969	418	-	-	1,337	3,224	96,246	161,811
One year later	22,479	36,969	418	1,088	-	1,337	3,224	0	0
Two years later	22,479	36,969	418	1,088	-	1,337	-	0	0
Three Years Later	22,479	36,969	418	1,088	-	-	-	0	0
Four Year Later	22,479	36,969	418	1,088	-	-	-	0	0
Five year later	22,479	36,969	418	-	-	-	-	0	0
Six Year Later	22,479	36,969	-	-	-	-	-	0	0
Seven Year later	22,479	-	-	-	-	-	-	0	0
Cumulative payments to date	22,479	36,969	418	1,088	-	1,337	3,224	96,246	161,811
Gross undiscounted liabilities for incurred claims	-	-	-	-	-	-	0	24	24
Effect of discounting	-	-	-	-	-	-	-	-	(640)
Total gross liabilities for incurred claims	-	-	-	-	-	-	-	-	23,790
Note	Estimates of the present value of future cash flows	Risk adjustment	Total						
Total gross liabilities for incurred claims related to Marine	24	873	24,664						

Notes To The Financial Statements For The Year Ended 31 December 2025

i).Insurance risk(Continue)

C. Claims development table

Gross undiscounted liabilities for incurred claims for 2025 – Bonds

Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	2,234	10,168	5,836	10,042	26,520	21,600	37,691	33,184	147,274
One year later	2,234	10,168	6,561	10,920	26,520	54,815	63,544	-	-
Two years later	2,234	10,168	6,561	10,920	29,501	66,780	-	-	-
Three Years Later	2,234	10,168	6,561	10,920	29,501	-	-	-	-
Four Year Later	2,234	10,168	6,561	10,920	-	-	-	-	-
Five year later	2,234	10,168	6,561	-	-	-	-	-	-
Six year later	2,234	10,168	-	-	-	-	-	-	-
Seven Year Later	2,234	-	-	-	-	-	-	-	-
Gross estimates of the undiscounted amount of claims	2,234	10,168	6,561	10,920	29,501	66,780	63,544	33,184	222,890
Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	2,234	10,168	5,836	-	26,520	21,600	37,691	18,646	122,695
One year later	2,234	10,168	6,561	878	26,520	54,815	63,544	-	-
Two years later	2,234	10,168	6,561	878	29,501	66,780	-	-	-
Three Years Later	2,234	10,168	6,561	878	29,501	-	-	-	-
Four Year Later	2,234	10,168	6,561	10,920	-	-	-	-	-
Five year later	2,234	10,168	6,561	-	-	-	-	-	-
Six Year Later	2,234	10,168	-	-	-	-	-	-	-
Seven Year later	2,234	-	-	-	-	-	-	-	-
Cumulative payments to date	2,234	10,168	6,561	10,920	29,501	66,780	63,544	18,646	208,353
Gross undiscounted liabilities for incurred claims	0	0	-	0	0	0	0	29	15
incurred claims	-	-	-	0	0	0	0	0	(2,024)
Effect of discounting	-	-	-	-	-	-	-	-	12,514
Total gross liabilities for incurred claims	-	-	-	-	-	-	-	-	-
Note	Estimates of the present value of future cash flows	Risk adjustment	Total						
Total gross liabilities for incurred claims related to Bonds	13	923	13,437						

Notes To The Financial Statements For The Year Ended 31 December 2025

i).Insurance risk(Continue)

C. Claims development table

Gross undiscounted liabilities for incurred claims for 2025- Miscellaneous

Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	29,472	-	-	9,130	405,016	586,358	821,612	1,510,085	3,362
One year later	31,622	-	393	72,212	491,754	823,899	1,047,323	0	0
Two years later	31,622	-	393	73,830	566,014	825,840	-	0	0
Three Years Later	31,622	-	393	73,830	566,921	-	-	0	0
Four Year Later	31,622	-	393	73,830	-	-	-	0	0
Five year later	31,622	-	393	-	-	-	-	0	0
Six year later	31,622	-	-	-	-	-	-	0	0
Seven Year Later	31,622	-	-	-	-	-	-	0	0
Gross estimates of the undiscounted amount of claims	31,622	-	393	73,830	566,921	825,840	1,047,323	1,510,085	4,056
Accident Year	Before 2019	2019	2020	2021	2022	2023	2024	2025	Total
At end of accident year	21,487	-	-	7,200	335,215	504,220	710,660	1,093,953	2,673
One year later	31,622	-	393	69,205	473,417	801,113	1,031,386	0	0
Two years later	31,622	-	393	73,313	540,233	818,350	-	0	0
Three Years Later	31,622	-	393	73,318	565,991	-	-	0	0
Four Year Later	31,622	-	393	73,318	-	-	-	0	0
Five year later	31,622	-	393	-	-	-	-	0	0
Six Year Later	31,622	-	-	-	-	-	-	0	0
Seven Year later	31,622	-	-	-	-	-	-	0	0
Cumulative payments to date	31,622	-	393	73,318	565,991	818,350	1,031,386	1,093,953	3,615,014
Gross undiscounted liabilities for incurred claims	-	-	-	512	930	7,490	15,936	416,132	441,000
Effect of discounting	-	-	-	-	-	-	-	-	28,136
Total gross liabilities for incurred claims	-	-	-	-	-	-	-	-	412,864
Note	Estimates of the present value of future cash flows	Risk adjustment	Total						
Total gross liabilities for incurred claims related to Miscellaneous	412,864	10,510	423,373						

Notes To The Financial Statements For The Year Ended 31 December 2025

iii) Financial risk

i) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with insurance liabilities that are settled by delivering cash or another financial asset. In respect of catastrophic events, there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries. The following policies and procedures are in place to mitigate the Company's exposure to liquidity risk: IFRS 17.124(a),(b) The Company's liquidity risk policy sets out the assessment and determination of what constitutes liquidity risk for the Company. Compliance with the policy is monitored and exposures and breaches are reported to the Company's risk committee. The policy is regularly reviewed for pertinence and for changes in the risk environment. The Company maintains a portfolio of highly marketable and diverse assets that can be easily liquidated in the event of an unforeseeable interruption of cash flow. The Company also has committed lines of credit that it can access to meet liquidity needs.

a) Maturity analysis for financial assets (contractual undiscounted cash flow basis)

The following table summarizes the maturity profile of financial assets of the Company based on remaining undiscounted contractual cash flows, including interest receivable:

2025 In Rwf'000	Up to 1 Year	1-3 Years	3-5 years	More than 5	Total
Financials assets					
Cash and bank balance	311,560	-	-	-	311,560
Term deposits	10,373,546	-	-	-	10,373,546
Debt instruments at amortized cost	4,715,339	3,779,499	2,389,626	4,951,237	15,835,701
Total	15,400,445	3,779,499	2,389,626	4,951,237	26,520,807
2024 In Rwf'000	Up to 1 Year	1-3 Years	3-5 years	More than 5	Total
Financials assets					
Cash and bank balance	801,175	-	-	-	801,175
Term deposits	9,841,962	-	-	-	9,841,962
Debt instruments at amortized cost	2,715,339	1,528,800	2,389,626	4,951,237	11,585,002
Total	13,358,476	1,528,800	2,389,626	4,951,237	22,228,139

Notes To The Financial Statements For The Year Ended 31 December 2025

iii) Financial risk

i) Liquidity risk

b) Maturity analysis for financial liabilities (contractual undiscounted cash flow basis)

2025 In Rwf'000	Up to 1 Year	1-3 Years	3-5 years	More than 5	Total
Financials liabilities					
Lease liabilities		321,154	-	-	321,154
Other payables	1,933,537		-	-	1,933,537
Income tax payable	55,657		-	-	55,657
Total	1,989,194	321,154	-	-	2,310,348
2024 In Rwf'000	Up to 1 Year	1-3 Years	3-5 years	More than 5	Total
Financials liabilities					
Lease liabilities	186,000	242,741	-	-	428,741
Other payables	1,208,439	796,634	-	-	2,005,073
Income tax payable	227,432	-	-	-	227,432
Total	1,621,871	1,039,375	-	-	2,661,246

Current and non-current assets and liabilities

The table below summarizes the expected utilization or settlement of assets and liabilities:

	2025			2024		
In Rwf'000	Not more than 12 months	More than 12 Months	Total	Not more than 12 months	More than 12 Months	Total
Financial Assets						
Cash and bank balance	311,560		311,560	801,175	-	801,175
Term deposits	10,373,546		10,373,546	9,841,962	8,869,663	9,841,962
Debt instruments at amortized cost	4,715,339	11,120,362	15,835,701	2,715,339	8,869,663	11,585,002
Total financial assets	15,400,445	11,120,362	26,520,807	13,358,476	321,154	22,228,139
Insurance contract Assets						
Insurance Issued						
Reinsurance held	3,367,190	-	-	2,857,410	-	2,857,410
Total Insurance contract Assets	3,367,190	-	-	2,857,410	-	2,857,410
Insurance Contract Liability						
Insurance Issued	5,033,143	823,126	5,856,269	3,028,210		3,496,113
Reinsurance held	419,596			1,656,810	-	1,656,810
Total Insurance contracts Liabilities	5,452,739	823,126	5,856,269	5,152,924	-	5,152,924

Notes To The Financial Statements For The Year Ended 31 December 2025

iii) Financial risk (Continue)

ii) Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument, insurance contract issued or reinsurance contract held will fluctuate because of changes in market prices. Market risk comprises three types of risk: foreign exchange rates (currency risk); market interest rates (interest rate risk); and market prices (price risk). The Company's market risk policy sets out the assessment and determination of what constitutes market risk for it. Compliance with the policy is monitored and exposures and breaches are reported to the Company's risk committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.

Guidelines are set for asset allocation and portfolio limit structure, to ensure that assets back specific policyholders' liabilities and that assets are held to deliver income and gains needed to meet the Company's contractual requirements.

The nature of the Company's exposure to market risks and its objectives, policies and processes used to manage and measure the risks have not changed from the previous period.

iii) Currency risk

Currency risk is the risk that the fair value of future cash flows of a financial instrument, insurance contract assets and/or liabilities will fluctuate because of changes in foreign exchange rates.

The Company's principal transactions are carried out in Rwandan Francs and its exposure to foreign exchange risk arises primarily with respect to the US dollar. The Company's financial assets are primarily denominated in the same currencies as its insurance contract liabilities.

The group mitigates some of the foreign currency risk associated with insurance contracts by holding reinsurance contracts denominated in the same currencies as its insurance contract liabilities. Based on the time series of Rwanda exchange rate from past five years, we assumed that the exchange rate can be changed upward or downward at the level of 5%.

The table below indicates the currency sensitivity analysis:

In Rwf'000	2025			2024	
	Change in exchange rate	Impact on profit before tax	Impact on equity	Impact on profit before tax	Impact on equity
Insurance and reinsurance contracts	5%	15,086	10,862	30,117	21,684
Financial assets	5%	79,756	57,424	47,071	33,891
Insurance and reinsurance contracts	-5%	(15,086)	(10,862)	(30,117)	(21,684)
Financial assets	-5%	(79,756)	(57,424)	(47,071)	(33,891)

The tables below summarize the company's financial assets held in USD. The insurance contract liabilities are all held in local currency.

Rwf'000	2025 US Dollar	2025 US Dollar
Financial assets		
Cash and Cash equivalents	500,079	248,090
Debt instruments at amortized cost	600,000	693,337
Total	1,100,079	941,427

Notes To The Financial Statements

For The Year Ended 31 December 2025

iii) Financial risk (Continue)

iv). Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument or insurance contract or reinsurance contract will fluctuate because of changes in market interest rates. Floating rate instruments expose the Company to cash flow interest risk, whereas fixed interest rate instruments expose the Company to fair value interest rate risk. There is no direct contractual relationship between financial assets and insurance contracts.

However, the Company's interest rate risk policy requires it to manage the extent of net interest rate risk by maintaining an appropriate mix of fixed and variable rate instruments to support the insurance contract liabilities. The policy also requires it to manage the maturities of interest-bearing financial assets.

The group has no significant concentration of interest rate risk. IFRS 17.127 IFRS 7.34(c) The Company is exposed to interest rate risk through its debt instruments held and in respect of liabilities or assets for incurred claims where cash flows are not expected to be settled within a year from when claims are incurred.

The following analysis is performed for reasonably possible movements in key variables with all other variables held constant, showing the impact on profit before tax and equity. The correlation of variables will have a significant effect in determining the ultimate impact of interest rate risk, but to demonstrate the impact due to changes in variables, variables have been changed on an individual basis. It should be noted that movements in these variables are non-linear. The method used for deriving sensitivity information and significant variables has not changed from the previous period.

The sensitivity analysis based its estimate from the floating interest rate over past five years and the estimate of central bank with a conclusion that the interest rate can neither increase by more than 5% nor decrease to 5% for next 12 months.

In Rwf'000	2025			2024	
	Change in exchange rate	Impact on profit before tax	Impact on equity	Impact on profit before tax	Impact on equity
Insurance and reinsurance contracts	5%	145,434	104,712	91,381	65,794
Debt instruments	5%	1,310,462	943,533	1,071,348	771,371
Insurance and reinsurance contracts	-5%	(145,434)	(104,712)	(91,381)	(65,794)

v).Price risk

Price risk is the risk that the fair value or future cash flows of financial instruments or insurance contract assets and/or liabilities will fluctuate because of changes in market prices (other than those arising from interest rate or foreign exchange rate risk), whether those changes are caused by factors specific to the individual financial instrument or contract, or by factors affecting all similar contracts or financial instruments traded in the market. The Company's price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The Company does not issue any participating contracts. Therefore, there are no insurance or reinsurance contracts which are exposed to price risk.

The Company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on individual and total equity instruments. The Company has no significant concentration of price risk.

vi) Operational risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial loss. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks. Controls include effective segregation of duties, access controls, authorization and reconciliation procedures, staff education and assessment processes, including the use of internal audit. Business risks such as changes in environment, technology and the industry are monitored through the Company's strategic planning and budgeting process

Notes To The Financial Statements For The Year Ended 31 December 2025

iii) Financial risk (Continue)

vii) Credit risk

Credit risk is the risk that one party to a financial instrument, insurance contract issued in an asset position or reinsurance contract held will cause a financial loss for the other party by failing to discharge an obligation. The following policies and procedures are in place to mitigate the Company's exposure to credit risk. The Company's credit risk policy sets out the assessment and determination of what constitutes credit risk for the Company. Compliance with the policy is monitored and exposures and breaches are reported to the Company's risk committee. The policy is regularly reviewed for pertinence and for changes in the risk environment. Credit risk relating to financial instruments is monitored by the Company's investment team. It is their responsibility to review and manage credit risk, including environmental risk for all counterparties. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and for geographical and industry concentrations, and by monitoring exposures in relation to such limits.

It is the group policy to invest in high quality financial instruments with a low risk of default. If there is a significant increase in credit risk, the policy dictates that the instrument should be sold and amounts recovered reinvested in high quality instruments. Reinsurance is placed with counterparties that have a good credit rating and concentration of risk is avoided by following policy guidelines in respect of counterparties' limits that are set each year by the board of directors and are subject to regular reviews. At each reporting date, management performs an assessment of creditworthiness of reinsurers and updates the reinsurance purchase strategy. The credit risk in respect of customer balances incurred on non-payment of premiums will only persist during the grace period specified in the policy document. Commission paid to intermediaries is netted off against amounts receivable from them to reduce the risk of default. The nature of the Company's exposure to credit risk and its objectives, policies and processes used to manage and measure the risks have not changed from the previous period.

Credit exposure

The table below provides information regarding the credit risk exposure of the Company by classifying Very good+ as the highest possible rating. Assets that fall outside the range of Very good to Good are classified as High grade. The amounts represent the maximum amount exposure to credit risk. The credit risk analysis below is presented in line with how the Company manages the risk.

The Company manages its credit exposure based on the carrying value of the financial instruments and insurance and reinsurance contract assets.

2025 in Rwf'000	Financial service	Gvt	Retails	Construction	Total
Financials assets					
Cash and bank balance	311,560	-	-	-	311,560
Term deposits	10,373,546	-	-	-	10,373,546
Debt instruments at amortized cost	13,435,009	-	2,390,423	-	15,825,432
Insurance contract asset	-	-	591,673	-	591,673
Reinsurance contract asset	3,367,190	-	-	-	3,367,190
Total	27,487,305	-	2,982,096	-	30,469,401

2024 in Rwf'000	Financial service	Gvt	Retails	Construction	Total
Financials assets					
Cash and bank balance	801,175	-	-	-	801,175
Term deposits	9,841,962	-	-	-	9,841,962
Debt instruments at amortized cost	-	9,360,133	1,104,795	1,120,074	11,585,002
Insurance contract asset	-	-	467,903	-	467,903
Reinsurance contract asset	2,857,410	-	-	-	2,857,410
Total	13,500,547	9,360,133	1,572,698	1,120,074	25,553,452

Notes To The Financial Statements For The Year Ended 31 December 2025

iii) Financial risk (Continue)

vii) Credit risk

Credit exposure by credit rating

The table below provides information regarding the credit risk exposure of the Company by classifying assets according to the Company's credit ratings of counterparties:

2025 in Rwf'000	Very Good	High grade	Not Rated	Total
Financials assets				
Cash and bank balance	311,560	-	-	311,560
Term deposits	10,373,546	-	-	10,373,546
Debt instruments at amortized cost	13,205,855	-	2,390,423	15,596,278
Insurance Contract asset	-	-	-	-
Reinsurance contract asset	-	3,367,190	-	3,367,190
Total	23,890,961	3,367,190	2,390,423	29,648,574

2024 in Rwf'000	Very Good	High grade	Not Rated	Total
Financials assets				
Cash and bank balance	801,175	-	-	801,175
Term deposits	9,841,962	-	-	9,841,962
Debt instruments at amortized cost	13,435,009	-	2,224,869	15,659,878
Insurance contract asset	-	-	-	-
Reinsurance contract asset	-	2,857,409	-	2,857,409
Total	24,078,146	2,857,409	2,224,869	29,160,424

The Company's ECL assessment and measurement method is set out below

Notes To The Financial Statements For The Year Ended 31 December 2025

iii) Financial risk (Continue)

ii). Expected credit loss

The group assesses the possible default events within 12 months for the calculation of the 12mECL. Given the investment policy, the probability of default for new instruments acquired is generally determined to be minimal and the expected loss given default ratio assumed to be 100%. In rare cases where a lifetime ECL is required to be calculated, the probability of default is estimated based on economic scenarios.

The table below indicated the ECL financial assets:

2025 class	Cost	Interest accrued	Impairment Cost	Impairment interest accrued	Impairment Total	Impairment Movement
Government Bond	13,092,141	410,380	65,461	2,052	67,513	20,800
Commercial Paper	-	10,365	47,060	2,695	49,755	24,905
Corporate Bond	2,308,000	132,178	-	96	96	(10,118)
Total	15,400,141	552,923	112,521	4,747	117,364	35,587
Term Deposit	9,163,538	526,192	45,818	2,631	48,449	10,576
Term Deposit	700,000	32,486	210	10	220	(472)
Total	9,863,538	558,677	46,028	2,641	48,668	10,103
Bank Balance	171,995	-	860	-	860	(1,915)
Bank Balance	140,467	-	42	-	42	(650)
Total	312,462	-	902	-	902	(2,565)
Premium receivables-Corporate	475,914	-	171,459	-	171,459	(123,888)
Premium receivables-Individual	156,337	-	147,060	-	147,060	35,484
Premium receivables-Government	6,813,984	-	132,841	-	132,841	130,160
Total	7,446,234	-	451,360	-	451,360	41,757
Grand Total	33,022,375	1,111,600	610,810	7,388	618,294	84,882

Notes To The Financial Statements For The Year Ended 31 December 2025

iii) Financial risk (Continue)

ii). Expected credit loss

2024 class	Cost	Interest accrued	Impairment Cost	Impairment interest accrued	Impairment Total	Impairment Movement
Government Bond	9,038,803	303,788	45,194	1,519	46,713	(4,932)
Commercial Paper	1,120,074	98,633	22,838	2,011	24,850	2,453
Corporate Bond	1,000,000	105,479	9,240	975	10,214	6
Total	11,158,878	507,901	77,272	4,505	81,777	(2,473)
Term Deposit	7,100,000	474,620	35,500	2,373	37,873	10,805
Term Deposit	2,200,000	105,907	660	32	692	(149)
Total	9,300,000	580,527	36,160	2,405	38,565	10,656
Bank Balance	554,909	-	2,775	-	2,775	2,166
Bank Balance	249,115	-	75	-	75	46
Total	804,024	-	2,850	-	2,850	2,212
Insurance premium receivables	8,846,172	-	409,603	-	409,603	223,190
Total	8,846,172	-	409,603	-	409,603	223,190
Grand Total	30,109,073	1,088,427	525,884	6,910	532,794	233,585

Notes To The Financial Statements For The Year Ended 31 December 2025

The following tables show reconciliations from the opening balance to the closing balance of the loss allowance by class of financial instrument.

Rwf'000	2025 Expected Credit Loss	2024 Expected Credit Loss
Government bond		
Opening Balance	46,713	51,645
Net remeasurement of loss allowance	(20,800)	(4,932)
New financial assets acquired		
Financial assets derecognised		
Balance at 31 December	67,513	46,713
Commercial paper		
Opening Balance	24,850	22,397
Net remeasurement of loss allowance	(24,754)	2,453
New financial assets acquired		
Financial assets derecognised		
Balance at 31 December	96	24,850
Corporate bond		
Opening Balance	10,214	10,208
Net remeasurement of loss allowance	(39,541)	6
New financial assets acquired		
Financial assets derecognised		
Balance at 31 December	49,755	10,214
Term deposit		
Opening Balance	38,565	10,656
Net remeasurement of loss allowance	10,103	
New financial assets acquired		
Financial assets derecognised		
Balance at 31 December	48,668	38,565
Bank balance		
Opening Balance	2,849	637
Net remeasurement of loss allowance	(1,947)	2,212
New financial assets acquired		
Financial assets derecognised		
Balance at 31 December	902	2,849
Premium Debtors		
Opening Balance	409,603	186,413
Net remeasurement of loss allowance	41,757	223,190
New financial assets acquired		-
Financial assets derecognized		-
Balance at 31 December	451,360	409,603

Notes To The Financial Statements

For The Year Ended 31 December 2025

C) Impairment assessment

Deposits with financial institutions, cash at bank, government securities

Deposits with financial institutions, cash at bank and government securities are considered to have low credit risk, and the loss allowance recognized during the period was therefore limited to 12 months' expected losses. Management considers 'low credit risk' for these financial assets as they have a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term. The loss rate assigned to these has been determined to be 0.27% for deposits with financial institutions and cash at bank which is the probability of default assigned to a B+ investment grade by Standard & Poors Rating Agency. The loss rate assigned to government securities has been determined to be 0.50% which is the probability of default assigned to a B+ sovereign grade by Standard & Poors Rating Agency

Expected Credit loss on financial assets (Excluding premium receivables) 2025

	Cost	Interest accrued	Impairment Cost	Impairment interest accrued	Impairment Total	Impairment Movement
Gov bonds	13,092,141	410,380	65,461	2,052	67,513	20,800
Corp Bonds	2,308,000	132,178	47,060	2,695	49,755	24,906
Hrz com paper	-	10,365	-	96	96	(10,119)
Sub Tot	15,400,141	552,923	112,521	4,843	117,364	35,587
TD in Other Bank	9,163,538	526,192	45,818	2,631	48,449	10,576
TD in BK	700,000	32,486	210	10	220	(472)
Sub Tot	9,863,538	416,206	46,028	2,641	48,668	10,104
Bank Bal Others	171,995	-	860	-	860	(1,915)
Bank balance in BK	140,467	-	42	-	42	(33)
Sub Tot	312,462	-	902	-	902	(1,947)
Grand Total	25,576,141	969,129	159,451	7,483	166,934	43,743

Notes To The Financial Statements For The Year Ended 31 December 2025

7. Insurance and reinsurance contracts

7.1 Re-insurance contract assets and Liabilities

The breakdown of groups of insurance contracts issued, that are in an asset position and those in a liability position is set out in the table below:

7.1 Re-insurance contract assets and Liabilities

In Rwf'000	2025			2024		
	Assets	Liabilities	Net	Assets	Liabilities	Net
Reinsurance contract issued						
Accident	10,903	(1,359)	9,544	8,811	5,109	3,702
Motor	1,151,028	(143,433)	1,007,595	650,652	377,267	273,385
Engineering	386,038	(48,105)	337,933	500,769	290,361	210,408
Property	872,886	(108,773)	764,113	751,732	435,876	315,856
Transportation	52,903	(6,592)	46,310	23,320	13,522	9,798
Guarantee	59,894	(7,464)	52,430	75,774	43,936	31,838
Liability	66,418	(8,277)	58,142	90,887	52,699	38,188
Miscellaneous	767,119	(95,593)	671,526	755,464	438,040	317,424
Total Reinsurance contracts issued	3,367,190	(419,596)	2,947,594	2,857,409	1,656,810	1,200,600

ii. Insurance contract liabilities

In Rwf'000	2025			2024		
	Assets	Liabilities	Net	Assets	Liabilities	Net
Insurance contract issued						
Accident	4,177	95,491	91,314	2,309	83,872	81,563
Motor	258,981	3,273,419	3,014,438	188,947	1,138,828	949,881
Engineering	64,438	618,796	554,358	53,554	662,122	608,568
Property	142,925	1,272,522	1,129,597	102,164	828,609	726,445
Transportation	3,456	59,095	55,639	1,679	6,443	4,764
Guarantee	7,969	142,937	134,968	17,834	134,114	116,280
Liability	7,771	166,035	158,264	1,893	90,505	88,612
Miscellaneous	101,957	819,647	717,691	99,522	551,621	452,099
Total insurance contracts issued	591,673	6,447,942	5,856,269	467,903	3,496,110	3,028,212

Notes To The Financial Statements For The Year Ended 31 December 2025

7. Insurance and reinsurance contracts

Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

The Company disaggregates information to provide disclosure in respect of major product lines separately:

- Motor
- Property
- Engineering
- Transportation/Marine
- Guarantee
- Accident
- Liability, and
- Miscellaneous



Notes To The Financial Statements For The Year Ended 31 December 2025

7.1. a Liabilities for insurance contract year 2025

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims, the risk adjustments on incurred claims and loss component for all class of business for year-end 2025, is disclosed in the table below.

Liabilities for insurance contract year 2025

Name	Liabilities for Incurred Claims-Risk Adjustments	Liabilities for Incurred Claims-Best Estimates	Liabilities for remaining coverage	Loss Component	Total
Insurance Contract Liabilities Bop	140,967	4,620,877	(1,265,731)	-	3,496,113
Insurance Contract Assets Bop	-	-	(467,903)	-	(467,903)
Net Balance Bop	140,967	4,620,877	(1,733,634)	-	3,028,210
Insurance Revenue	-	-	(17,928,694)	-	(17,928,694)
Insurance Service Expense	(15,356)	8,746,705	1,154,797	-	9,886,146
Incurred Claims	-	7,289,851	-	-	7,289,851
Directly Attributable Expenses	-	1,456,854	-	-	1,456,854
Adjustment To Liabilities For Incurred Claims	(15,356)	-	-	-	(15,356)
Losses On Onerous Contracts & Reversal Of Those Losses	-	-	-	-	-
Acquisition Cash Flows Amortization	-	-	1,154,797	-	1,154,797
Insurance Service Result	(15,356)	8,746,705	(16,773,897)	-	(8,042,548)
Insurance Finance Expense Total	-	(51,488)	-	-	(51,488)
Therefore Recognized In Pnl	-	(51,488)	-	-	(51,488)
Cash Flows	-	(8,282,950)	19,205,045	-	10,922,094
Premiums Received	-	-	20,483,612	-	20,483,612
Claims Excl Non Distinct Investment Component Paid	-	(6,826,097)	-	-	(6,826,097)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(1,456,854)	-	-	(1,456,854)
Insurance Acquisition Cash Flows	-	-	(1,278,567)	-	(1,278,567)
Insurance Contract Liabilities Eop	125,612	5,033,143	1,289,187	-	6,447,942
Insurance Contract Assets Eop	-	-	(591,673)	-	(591,673)
Net Balance Eop	125,612	5,033,143	697,514	-	5,856,269

This balance includes the intra-group insurance services whereby one of the group entities provides motor, fire, liability and miscellaneous insurance covers to other entities within the group. See further details in Note 11.

Notes To The Financial Statements

For The Year Ended 31 December 2025

7.1. a Liabilities for insurance contract year 2025

Roll forward of liability of insurance contract (Continued)

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims, the risk adjustments on incurred claims and loss component for all class of business for year-end 2024, is disclosed in the table below.

Liabilities for insurance contract year 2024

Name	Liabilities for Incurred Claims-Risk Adjustments	Liabilities for Incurred Claims-Best Estimates	Liabilities for remaining coverage	Loss Component	Total
Insurance Contract Liabilities Bop	281,464	4,140,538	1,489,174	187,087	6,098,262
Insurance Contract Assets Bop	-	-	(398,548)	-	(398,548)
Net Balance Bop	281,464	4,140,538	1,090,626	187,087	5,699,715
Insurance Revenue	-	-	(15,351,291)	-	(15,351,291)
Insurance Service Expense	(140,496)	6,877,939	939,624	(187,087)	7,489,980
Incurred Claims	-	5,862,276	-	-	5,862,276
Directly Attributable Expenses	-	1,015,663	-	-	1,015,663
Adjustment To Liabilities For Incurred Claims	(140,496)	-	-	-	(140,496)
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	(187,087)	(187,087)
Acquisition Cash Flows Amortization	-	-	939,624	-	939,624
Insurance Service Result	(140,496)	6,877,939	(14,411,667)	(187,087)	(7,861,310)
Insurance Finance Expense Total	-	(67,170)	-	-	(67,170)
Therefore Recognized In Pnl	-	(67,170)	-	-	(67,170)
Cash Flows	-	(6,330,431)	11,587,407	-	5,256,976
Premiums Received	-	-	12,596,386	-	12,596,386
Claims Excl Non Distinct Investment Component Paid	-	(5,314,768)	-	-	(5,314,768)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(1,015,663)	-	-	(1,015,663)
Insurance Acquisition Cash Flows	-	-	(1,008,979)	-	(1,008,979)
Insurance Contract Liabilities Eop	140,967	4,620,877	(1,265,731)	-	3,496,113
Insurance Contract Assets Eop	-	-	(467,903)	-	(467,903)
Net Balance Eop	140,967	4,620,877	(1,733,634)	-	3,028,210

Notes To The Financial Statements For The Year Ended 31 December 2025

Liability for insurance contracts–Motor 2025

Name	Liabilities for Incurred Claims-Risk Adjustments	Liabilities for Incurred Claims-Best Estimates	Liabilities for remaining coverage	Loss Component	Total
Insurance Contract Liabilities Bop	74,644	3,661,199	(2,597,015)	-	1,138,828
Insurance Contract Assets Bop	-	-	(188,947)	-	(188,947)
Net Balance Bop	74,644	3,661,199	(2,785,963)	-	949,881
Insurance Revenue	-	-	(10,794,438)	-	(10,794,438)
Insurance Service Expense	2,012	6,148,359	558,786	-	6,709,158
Incurred Claims	-	5,275,796	-	-	5,275,796
Directly Attributable Expenses	-	872,563	-	-	872,563
Adjustment To Liabilities For Incurred Claims	2,012	-	-	-	2,012
Acquisition Cash Flows Amortization	-	-	558,786	-	558,786
Insurance Service Result	2,012	6,148,359	(10,235,651)	-	(4,085,280)
Insurance Finance Expense Total	-	(33,926)	-	-	(33,926)
Therefore Recognized In Pnl	-	(33,926)	-	-	(33,926)
Cash Flows	-	(5,671,728)	11,880,384	-	6,208,656
Premiums Received	-	-	12,509,204	-	12,509,204
Claims Excl Non Distinct Investment Component Paid	-	(4,799,165)	-	-	(4,799,165)
Directly Attributable Expenses Paid	-	(872,563)	-	-	(872,563)
Insurance Acquisition Cash Flows	-	-	(628,820)	-	(628,820)
Insurance Contract Liabilities Eop	76,657	4,103,904	(882,249)	-	3,298,312
Insurance Contract Assets Eop	-	-	(258,981)	-	(258,981)
Net Balance Eop	76,657	4,103,904	(1,141,230)	-	3,039,331

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Motor Product year end 2025, is disclosed in the table below.

Notes To The Financial Statements

For The Year Ended 31 December 2025

7.1. a Liabilities for insurance contract year 2025

Motor insurance–Liability for insurance contracts 2025

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims, for Motor Product year end 2025, is disclosed in the table below.

Name	Lfic Ra	Lfic Be	Lfrc Excl Loss Component	Loss Component	Total
Insurance Contract Liabilities Bop	74,644	3,661,199	(2,597,015)	-	1,138,828
Insurance Contract Assets Bop	-	-	(188,947)	-	(188,947)
Net Balance Bop	74,644	3,661,199	(2,785,963)	-	949,881
Insurance Revenue	-	-	(10,794,438)	-	(10,794,438)
Insurance Service Expense	2,012	6,148,359	558,786	-	6,709,158
Incurred Claims	-	5,275,796	-	-	5,275,796
Directly Attributable Expenses	-	872,563	-	-	872,563
Adjustment To Liabilities For Incurred Claims	2,012	-	-	-	2,012
Acquisition Cash Flows Amortization	-	-	558,786	-	558,786
Insurance Service Result	2,012	6,148,359	(10,235,651)	-	(4,085,280)
Insurance Finance Expense Total	-	(33,926)	-	-	(33,926)
Therefore Recognized In Pnl	-	(33,926)	-	-	(33,926)
Cash Flows	-	(5,671,728)	11,880,384	-	6,208,656
Premiums Received	-	-	12,509,204	-	12,509,204
Claims Excl Non Distinct Investment Component Paid	-	(4,799,165)	-	-	(4,799,165)
Directly Attributable Expenses Paid	-	(872,563)	-	-	(872,563)
Insurance Acquisition Cash Flows	-	-	(628,820)	-	(628,820)
Insurance Contract Liabilities Eop	76,657	4,103,904	(882,249)	-	3,298,312
Insurance Contract Assets Eop	-	-	(258,981)	-	(258,981)
Net Balance Eop	76,657	4,103,904	(1,141,230)	-	3,039,331



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Notes To The Financial Statements

For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Property (Continued)

Liability for insurance contracts 2024

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Property year end 2024, is disclosed in the table below:

Name	Lfic Ra	Lfic Be	Lfrc Excl Loss Component	Loss Component	Total
Insurance Contract Liabilities Bop	5,446	132,798	395,940	-	534,184
Insurance Contract Assets Bop	-	-	(57,569)	-	(57,569)
Net Balance Bop	5,446	132,798	338,371	-	476,615
Insurance Revenue	-	-	(1,974,806)	-	(1,974,806)
Insurance Service Expense	37,501	352,992	112,277	-	502,770
Incurred Claims	-	256,727	-	-	256,727
Directly Attributable Expenses	-	96,265	-	-	96,265
Adjustment To Liabilities For Incurred Claims	37,501	-	-	-	37,501
Acquisition Cash Flows Amortization	-	-	112,277	-	112,277
Insurance Service Result	37,501	352,992	(1,862,529)	-	(1,472,036)
Insurance Finance Expense Total	-	(34,131)	-	-	(34,131)
Therefore Recognized In Pnl	-	(34,131)	-	-	(34,131)
Therefore Recognized In Oci	-	-	-	-	-
Cash Flows	-	(166,385)	1,922,382	-	1,755,997
Premiums Received	-	-	2,079,253	-	2,079,253
Claims Excl Non Distinct Investment Component Paid	-	(70,121)	-	-	(70,121)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(96,265)	-	-	(96,265)
Insurance Acquisition Cash Flows	-	-	(156,872)	-	(156,872)
Insurance Contract Liabilities Eop	42,947	285,274	500,387	-	828,609
Insurance Contract Assets Eop	-	-	(102,164)	-	(102,164)
Net Balance Eop	42,947	285,274	398,223	-	726,444

Notes To The Financial Statements For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Engineering

Liability for insurance contract year end 2025

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Engineering product line for year end 2025, is disclosed in the table below:

Name	Liabilities for Incurred Claims-Risk Adjustments	Liabilities for Incurred Claims-Best Estimates	Liabilities for remaining coverage	Loss Component	Total
Insurance Contract Liabilities Bop	6,935	111,241	543,945	-	662,122
Insurance Contract Assets Bop	-	-	(53,554)	-	(53,554)
Net Balance Bop	6,935	111,241	490,391	-	608,568
Insurance Revenue	-	-	(935,646)	-	(935,646)
Insurance Service Expense	(2,754)	278,288	54,560	-	330,094
Incurred Claims	-	209,482	-	-	209,482
Directly Attributable Expenses	-	68,806	-	-	68,806
Adjustment To Liabilities For Incurred Claims	(2,754)	-	-	-	(2,754)
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	-	-
Acquisition Cash Flows Amortization	-	-	54,560	-	54,560
Insurance Service Result	(2,754)	278,288	(881,086)	-	(605,552)
Insurance Finance Expense Total	-	734	-	-	734
Therefore Recognized In Pnl	-	734	-	-	734
Therefore Recognized In Oci	-	-	-	-	-
Total Amounts Recognised In Comprehensive Income	-	-	-	-	-
Investment Components	-	-	-	-	-
Other Changes	-	-	-	-	-
Cash Flows	-	(301,833)	852,442	-	550,609
Premiums Received	-	-	917,885	-	917,885
Claims Excl Non Distinct Investment Component Paid	-	(233,027)	-	-	(233,027)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(68,806)	-	-	(68,806)
Insurance Acquisition Cash Flows	-	-	(65,444)	-	(65,444)
Insurance Contract Liabilities Eop	4,181	88,430	526,185	-	618,796
Insurance Contract Assets Eop	-	-	(64,438)	-	(64,438)
Net Balance Eop	4,181	88,430	461,747	-	554,358

Notes To The Financial Statements

For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Engineering (Continued)

Liability for insurance contract year end 2025

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Liability product line for year-end 2024, is disclosed in the table below:

Name	Lfic Ra	Lfic Be	Lfrc Excl Loss Component	Loss Component	Total
Insurance Contract Liabilities Bop	10,339	180,193	583,731	48,988	823,251
Insurance Contract Assets Bop	-	-	(66,957)	-	(66,957)
Net Balance Bop	10,339	180,193	516,774	48,988	756,294
Insurance Revenue	-	-	(862,612)	-	(862,612)
Insurance Service Expense	(3,404)	152,235	31,200	(48,988)	131,043
Incurred Claims	-	114,781	-	-	114,781
Directly Attributable Expenses	-	37,455	-	-	37,455
Adjustment To Liabilities For Incurred Claims	(3,404)	-	-	-	(3,404)
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	(48,988)	(48,988)
Acquisition Cash Flows Amortization	-	-	31,200	-	31,200
Insurance Service Result	(3,404)	152,235	(831,412)	(48,988)	(731,569)
Insurance Finance Expense Total	-	7,405	-	-	7,405
Therefore Recognized In Pnl	-	7,405	-	-	7,405
Cash Flows	-	(228,591)	805,029	-	576,437
Premiums Received	-	-	822,826	-	822,826
Claims Excl Non Distinct Investment Component Paid	-	(191,137)	-	-	(191,137)
Directly Attributable Expenses Paid	-	(37,455)	-	-	(37,455)
Insurance Acquisition Cash Flows	-	-	(17,797)	-	(17,797)
Insurance Contract Liabilities Eop	6,935	111,241	543,945	-	662,122
Insurance Contract Assets Eop	-	-	(53,554)	-	(53,554)
Net Balance Eop	6,935	111,241	490,391	-	608,568

Notes To The Financial Statements For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Liability

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Liability product year end 2025, is disclosed in the table below:

Name	Liabilities for Incurred Claims-Risk Adjustments	Liabilities for Incurred Claims-Best Estimates	Liabilities for remaining coverage	Loss Component	Total
Insurance Contract Liabilities Bop	799	18,581	71,125	-	90,505
Insurance Contract Assets Bop	-	-	(1,893)	-	(1,893)
Net Balance Bop	799	18,581	69,232	-	88,612
Insurance Revenue	-	-	(434,388)	-	(434,388)
Insurance Service Expense	(152)	82,108	11,369	-	93,325
Incurred Claims	-	49,956	-	-	49,956
Directly Attributable Expenses	-	32,152	-	-	32,152
Adjustment To Liabilities For Incurred Claims	(152)	-	-	-	(152)
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	-	-
Acquisition Cash Flows Amortization	-	-	11,369	-	11,369
Insurance Service Result	(152)	82,108	(423,019)	-	(341,063)
Insurance Finance Expense Total	-	(927)	-	-	(927)
Therefore Recognized In Pnl	-	(927)	-	-	(927)
Cash Flows	-	(67,541)	479,183	-	411,642
Premiums Received	-	-	496,430	-	496,430
Claims Excl Non Distinct Investment Component Paid	-	(35,389)	-	-	(35,389)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(32,152)	-	-	(32,152)
Insurance Acquisition Cash Flows	-	-	(17,247)	-	(17,247)
Insurance Contract Liabilities Eop	647	32,222	133,167	-	166,035
Insurance Contract Assets Eop	-	-	(7,771)	-	(7,771)
Net Balance Eop	647	32,222	125,396	-	158,264

Notes To The Financial Statements

For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Liability(Continued)

Liability for insurance contracts -Liability 2024

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Liability product year end 2024, is disclosed in the table below:

Name	Lfic Ra	Lfic Be	Lfic Excl Loss Component	Loss Component	Total
Insurance Contract Liabilities Bop	2,905	33,354	61,945	30,591	128,795
Insurance Contract Assets Bop	-	-	(2,599)	-	(2,599)
Net Balance Bop	2,905	33,354	59,346	30,591	126,196
Insurance Revenue	-	-	(401,581)	-	(401,581)
Insurance Service Expense	(2,106)	16,622	5,892	(30,591)	(10,183)
Incurred Claims	-	969	-	-	969
Directly Attributable Expenses	-	15,654	-	-	15,654
Adjustment To Liabilities For Incurred Claims	(2,106)	-	-	-	(2,106)
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	(30,591)	(30,591)
Acquisition Cash Flows Amortization	-	-	5,892	-	5,892
Insurance Service Result	(2,106)	16,622	(395,689)	(30,591)	(411,764)
Insurance Finance Expense Total	-	5,220	-	-	5,220
Therefore Recognized In Pnl	-	5,220	-	-	5,220
Therefore Recognized In Oci	-	-	-	-	-
Total Amounts Recognised In Comprehensive Income	-	-	-	-	-
Investment Components	-	-	-	-	-
Other Changes	-	-	-	-	-
Cash Flows	-	(36,614)	405,574	-	368,960
Premiums Received	-	-	410,760	-	410,760
Claims Excl Non Distinct Investment Component Paid	-	(20,961)	-	-	(20,961)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(15,654)	-	-	(15,654)
Insurance Acquisition Cash Flows	-	-	(5,186)	-	(5,186)
Insurance Contract Liabilities Eop	799	18,581	71,125	-	90,505
Insurance Contract Assets Eop	-	-	(1,893)	-	(1,893)
Net Balance Eop	799	18,581	69,232	-	88,612

Notes To The Financial Statements For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Liability for insurance contracts –Accident 2025

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for accident insurance product line for year end 2025, is disclosed in the table below:

Name	Liabilities for Incurred Claims-Risk Adjustments	Liabilities for Incurred Claims-Best Estimates	Liabilities for remaining coverage	Loss Component	Total
Insurance Contract Liabilities Bop	2,525	37,970	43,376	-	83,872
Insurance Contract Assets Bop	-	-	(2,309)	-	(2,309)
Net Balance Bop	2,525	37,970	41,067	-	81,562
Insurance Revenue	-	-	(110,745)	-	(110,745)
Insurance Service Expense	(376)	32,401	7,969	-	39,994
Incurred Claims	-	23,203	-	-	23,203
Directly Attributable Expenses	-	9,198	-	-	9,198
Adjustment To Liabilities For Incurred Claims	(376)	-	-	-	(376)
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	-	-
Acquisition Cash Flows Amortization	-	-	7,969	-	7,969
Insurance Service Result	(376)	32,401	(102,775)	-	(70,751)
Insurance Finance Expense Total	-	(2,135)	-	-	(2,135)
Therefore Recognized In Pnl	-	(2,135)	-	-	(2,135)
Cash Flows	-	(15,457)	98,096	-	82,638
Premiums Received	-	-	107,932	-	107,932
Claims Excl Non Distinct Investment Component Paid	-	(6,259)	-	-	(6,259)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(9,198)	-	-	(9,198)
Insurance Acquisition Cash Flows	-	-	(9,837)	-	(9,837)
Insurance Contract Liabilities Eop	2,149	52,778	40,564	-	95,491
Insurance Contract Assets Eop	-	-	(4,177)	-	(4,177)
Net Balance Eop	2,149	52,778	36,387	-	91,314

Notes To The Financial Statements

For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Liability for insurance contracts –Accident 2024

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Accident product year end 2024, is disclosed in the table below:

Name	Lfic Ra	Lfic Be	Lfrc Excl Loss Component	Loss Component	Total
Insurance Contract Liabilities Bop	3,495	51,822	30,993	5,587	91,898
Insurance Contract Assets Bop	-	-	(2,509)	-	(2,509)
Net Balance Bop	3,495	51,822	28,484	5,587	89,388
Insurance Revenue	-	-	(90,059)	-	(90,059)
Insurance Service Expense	(970)	6,098	7,631	(5,587)	7,172
Incurred Claims	-	(1,483)	-	-	(1,483)
Directly Attributable Expenses	-	7,581	-	-	7,581
Adjustment To Liabilities For Incurred Claims	(970)	-	-	-	(970)
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	(5,587)	(5,587)
Acquisition Cash Flows Amortization	-	-	7,631	-	7,631
Insurance Service Result	(970)	6,098	(82,428)	(5,587)	(82,887)
Insurance Finance Expense Total	-	1,931	-	-	1,931
Therefore Recognized In Pnl	-	1,931	-	-	1,931
Therefore Recognized In Oci	-	-	-	-	-
Total Amounts Recognised In Comprehensive Income	-	-	-	-	-
Investment Components	-	-	-	-	-
Other Changes	-	-	-	-	-
Cash Flows	-	(21,881)	95,011	-	73,130
Premiums Received	-	-	102,442	-	102,442
Claims Excl Non Distinct Investment Component Paid	-	(14,300)	-	-	(14,300)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(7,581)	-	-	(7,581)
Insurance Acquisition Cash Flows	-	-	(7,432)	-	(7,432)
Insurance Contract Liabilities Eop	2,525	37,970	43,376	-	83,872
Insurance Contract Assets Eop	-	-	(2,309)	-	(2,309)
Net Balance Eop	2,525	37,970	41,067	-	81,563

Notes To The Financial Statements For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Liability for insurance contracts–Marine 2025

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Marine product year end 2025, is disclosed in the table below:

Name	Liabilities for Incurred Claims-Risk Adjustments	Liabilities for Incurred Claims-Best Estimates	Liabilities for remaining coverage	Loss Component	Total
Insurance Contract Liabilities Bop	45	15,314	(8,917)	-	6,443
Insurance Contract Assets Bop	-	-	(1,679)	-	(1,679)
Net Balance Bop	45	15,314	(10,596)	-	4,763
Insurance Revenue	-	-	(174,412)	-	(174,412)
Insurance Service Expense	828	120,257	18,465	-	139,550
Incurred Claims	-	104,978	-	-	104,978
Directly Attributable Expenses	-	15,279	-	-	15,279
Adjustment To Liabilities For Incurred Claims	828	-	-	-	828
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	-	-
Acquisition Cash Flows Amortization	-	-	18,465	-	18,465
Insurance Service Result	828	120,257	(155,947)	-	(34,862)
Insurance Finance Expense Total	-	(218)	-	-	(218)
Therefore Recognized In Pnl	-	(218)	-	-	(218)
Therefore Recognized In Oci	-	-	-	-	-
Total Amounts Recognised In Comprehensive Income	-	-	-	-	-
Investment Components	-	-	-	-	-
Other Changes	-	-	-	-	-
Cash Flows	-	(111,575)	197,530	-	85,955
Premiums Received	-	-	217,772	-	217,772
Claims Excl Non Distinct Investment Component Paid	-	(96,296)	-	-	(96,296)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(15,279)	-	-	(15,279)
Insurance Acquisition Cash Flows	-	-	(20,242)	-	(20,242)
Insurance Contract Liabilities Eop	873	23,778	34,444	-	59,095
Insurance Contract Assets Eop	-	-	(3,456)	-	(3,456)
Net Balance Eop	873	23,778	30,987	-	55,639

Notes To The Financial Statements

For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Liability for insurance contracts–Marine 2024

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Marine product year end 2024, is disclosed in the table below:

Name	Lfic Ra	Lfic Be	Lfrc Excl Loss Component	Loss Component	Total
Insurance Contract Liabilities Bop	717	4,355	(193)	-	4,879
Insurance Contract Assets Bop	-	-	(2,204)	-	(2,204)
Net Balance Bop	717	4,355	(2,397)	-	2,675
Insurance Revenue	-	-	(86,833)	-	(86,833)
Insurance Service Expense	(672)	19,293	7,762	-	26,383
Incurred Claims	-	14,010	-	-	14,010
Directly Attributable Expenses	-	5,283	-	-	5,283
Adjustment To Liabilities For Incurred Claims	(672)	-	-	-	(672)
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	-	-
Acquisition Cash Flows Amortization	-	-	7,762	-	7,762
Insurance Service Result	(672)	19,293	(79,071)	-	(60,450)
Insurance Finance Expense Total	-	173	-	-	173
Therefore Recognized In Pnl	-	173	-	-	173
Cash Flows	-	(8,508)	70,871	-	62,363
Premiums Received	-	-	78,109	-	78,109
Claims Excl Non Distinct Investment Component Paid	-	(3,224)	-	-	(3,224)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(5,283)	-	-	(5,283)
Insurance Acquisition Cash Flows	-	-	(7,237)	-	(7,237)
Insurance Contract Liabilities Eop	45	15,314	(8,917)	-	6,442
Insurance Contract Assets Eop	-	-	(1,679)	-	(1,679)
Net Balance Eop	45	15,314	(10,596)	-	4,763

Notes To The Financial Statements For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Guarantee

Liability for insurance contracts –Guarantee 2025

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Guarantee product year end 2025, is disclosed in the table below:

Name	Liabilities for Incurred Claims-Risk Adjustments	Liabilities for Incurred Claims-Best Estimates	Liabilities for remaining coverage	Loss Component	Total
Insurance Contract Liabilities Bop	113	7,936	126,065	-	134,114
Insurance Contract Assets Bop	-	-	(17,834)	-	(17,834)
Net Balance Bop	113	7,936	108,231	-	116,280
Insurance Revenue	-	-	(363,858)	-	(363,858)
Insurance Service Expense	809	97,775	25,371	-	123,956
Incurred Claims	-	72,744	-	-	72,744
Directly Attributable Expenses	-	25,032	-	-	25,032
Adjustment To Liabilities For Incurred Claims	809	-	-	-	809
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	-	-
Acquisition Cash Flows Amortization	-	-	25,371	-	25,371
Insurance Service Result	809	97,775	(338,487)	-	(239,902)
Insurance Finance Expense Total	-	(1,670)	-	-	(1,670)
Therefore Recognized In Pnl	-	(1,670)	-	-	(1,670)
Therefore Recognized In Oci	-	-	-	-	-
Total Amounts Recognised In Comprehensive Income	-	-	-	-	-
Investment Components	-	-	-	-	-
Other Changes	-	-	-	-	-
Cash Flows	-	(91,537)	351,797	-	260,260
Premiums Received	-	-	367,303	-	367,303
Claims Excl Non Distinct Investment Component Paid	-	(66,506)	-	-	(66,506)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(25,032)	-	-	(25,032)
Insurance Acquisition Cash Flows	-	-	(15,506)	-	(15,506)
Insurance Contract Liabilities Eop	923	12,504	129,510	-	142,937
Insurance Contract Assets Eop	-	-	(7,969)	-	(7,969)
Net Balance Eop	923	12,504	121,542	-	134,968

Notes To The Financial Statements

For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Liability for insurance contracts–Guarantee 2024

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Guarantee product year end 2024, is disclosed in the table below:

Name	Lfic Ra	Lfic Be	Lfrc Excl Loss Component	Loss Component	Total
Insurance Contract Liabilities Bop	721	18,884	143,550	-	163,155
Insurance Contract Assets Bop	-	-	(2,947)	-	(2,947)
Net Balance Bop	721	18,884	140,603	-	160,208
Insurance Revenue	-	-	(360,240)	-	(360,240)
Insurance Service Expense	(608)	86,924	(5,029)	-	81,287
Incurred Claims	-	62,691	-	-	62,691
Directly Attributable Expenses	-	24,233	-	-	24,233
Adjustment To Liabilities For Incurred Claims	(608)	-	-	-	(608)
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	-	-
Acquisition Cash Flows Amortization	-	-	(5,029)	-	(5,029)
Insurance Service Result	(608)	86,924	(365,269)	-	(278,953)
Insurance Finance Expense Total	-	248	-	-	248
Therefore Recognized In Pnl	-	248	-	-	248
Cash Flows	-	(98,119)	332,898	-	234,779
Premiums Received	-	-	342,755	-	342,755
Claims Excl Non Distinct Investment Component Paid	-	(73,886)	-	-	(73,886)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(24,233)	-	-	(24,233)
Insurance Acquisition Cash Flows	-	-	(9,857)	-	(9,857)
Insurance Contract Liabilities Eop	113	7,936	126,065	-	134,114
Insurance Contract Assets Eop	-	-	(17,834)	-	(17,834)
Net Balance Eop	113	7,936	108,231	-	116,280

Notes To The Financial Statements For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Miscellaneous

Liability for insurance contracts-Miscellaneous 2025

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Miscellaneous product year end 2025, is disclosed in the table below:

Name	Liabilities for Incurred Claims-Risk Adjustments	Liabilities for Incurred Claims-Best Estimates	Liabilities for remaining coverage	Loss Component	Total
Insurance Contract Liabilities Bop	12,958	483,361	55,303	-	551,621
Insurance Contract Assets Bop	-	-	(99,522)	-	(99,522)
Net Balance Bop	12,958	483,361	(44,219)	-	452,100
Insurance Revenue	-	-	(2,849,979)	-	(2,849,979)
Insurance Service Expense	(2,448)	1,623,960	258,495	-	1,880,008
Incurred Claims	-	1,389,964	-	-	1,389,964
Directly Attributable Expenses	-	233,996	-	-	233,996
Adjustment To Liabilities For Incurred Claims	(2,448)	-	-	-	(2,448)
Acquisition Cash Flows Amortization	-	-	258,495	-	258,495
Insurance Service Result	(2,448)	1,623,960	(2,591,483)	-	(969,971)
Insurance Finance Expense Total	-	(3,095)	-	-	(3,095)
Therefore Recognized In Pnl	-	(3,095)	-	-	(3,095)
Cash Flows	-	(1,691,670)	2,930,328	-	1,238,658
Premiums Received	-	-	3,191,258	-	3,191,258
Claims Excl Non Distinct Investment Component Paid	-	(1,457,674)	-	-	(1,457,674)
Directly Attributable Expenses Paid	-	(233,996)	-	-	(233,996)
Insurance Acquisition Cash Flows	-	-	(260,930)	-	(260,930)
Insurance Contract Liabilities Eop	10,510	412,555	396,583	-	819,647
Insurance Contract Assets Eop	-	-	(101,957)	-	(101,957)
Net Balance Eop	10,510	412,555	294,626	-	717,691

Notes To The Financial Statements

For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Miscellaneous(Continued)

Liability for insurance contracts–Miscellaneous 2024

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for Miscellaneous product year end 2024, is disclosed in the table below:

Name	Lfic Ra	Lfic Be	Lfrc Excl Loss Component	Loss Component	Total
Insurance Contract Liabilities Bop	21,338	225,397	(503,563)	30,247	(226,581)
Insurance Contract Assets Bop	-	-	(52,832)	-	(52,832)
Net Balance Bop	21,338	225,397	(556,395)	30,247	(279,412)
Insurance Revenue	-	-	(2,358,208)	-	(2,358,208)
Insurance Service Expense	(8,380)	1,428,214	208,981	(30,247)	1,598,568
Incurred Claims	-	1,337,564	-	-	1,337,564
Directly Attributable Expenses	-	90,650	-	-	90,650
Adjustment To Liabilities For Incurred Claims	(8,380)	-	-	-	(8,380)
Losses On Onerous Contracts And Reversal Of Those Losses	-	-	-	(30,247)	(30,247)
Acquisition Cash Flows Amortization	-	-	208,981	-	208,981
Insurance Service Result	(8,380)	1,428,214	(2,149,226)	(30,247)	(759,639)
Insurance Finance Expense Total	-	(5,226)	-	-	(5,226)
Therefore Recognized In Pnl	-	(5,226)	-	-	(5,226)
Therefore Recognized In Oci	-	-	-	-	-
Total Amounts Recognised In Comprehensive Income	-	-	-	-	-
Investment Components	-	-	-	-	-
Other Changes	-	-	-	-	-
Cash Flows	-	(1,165,025)	2,661,403	-	1,496,378
Premiums Received	-	-	2,917,074	-	2,917,074
Claims Excl Non Distinct Investment Component Paid	-	(1,074,374)	-	-	(1,074,374)
Non Distinct Investment Component Paid	-	-	-	-	-
Directly Attributable Expenses Paid	-	(90,650)	-	-	(90,650)
Insurance Acquisition Cash Flows	-	-	(255,671)	-	(255,671)
Insurance Contract Liabilities Eop	12,958	483,361	55,303	-	551,622
Insurance Contract Assets Eop	-	-	(99,522)	-	(99,522)
Net Balance Eop	12,958	483,361	(44,219)	-	452,100

Notes To The Financial Statements For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward of liability of insurance contract (Continued)

Roll forward for reinsurance contract 2025

The roll-forward of the net asset or liability for insurance contracts issued, showing the liability for remaining coverage and the liability for incurred claims for the company portfolios, is disclosed in the table below:

Name	Re Shares-Li-abilities for Incurred Claims-Risk Adjustments	Re Shares Liabilities for Incurred Claims-Best Estimates	Re shares Liabilities for remain-ing coverage	Re shares -Loss Component	Total
Reinsurance Contract Assets Bop	56,310	1,046,248	2,203,317	-	3,305,875
Reinsurance Contract Liabilities Bop	-	-	(448,465)	-	(448,465)
Net Balance Bop	56,310	1,046,248	1,754,852	-	2,857,410
Allocation Of Reinsurance Premiums Paid	-	-	(4,673,828)	-	(4,673,828)
Amounts Recoverable From Reinsurers	(17,520)	2,477,377	1,394,282	-	3,854,139
Incurred Claims Recovered And Other Reinsurance Service Expenses	-	2,477,377	-	-	2,477,377
Adjustments To Assets For Incurred Claims	(17,520)	-	-	-	(17,520)
Amortization Of Reinsurance Acquisition Cash Flows	-	-	1,394,282	-	1,394,282
Reinsurance Service Result	(17,520)	2,477,377	(3,279,545)	-	(819,688)
Reinsurance Finance Expense Total	-	(34,511)	-	-	(34,511)
Therefore Recognized In Pnl	-	(34,511)	-	-	(34,511)
Cash Flows	-	(2,325,745)	3,681,214	-	1,355,469
Premiums Paid	-	-	5,218,907	-	5,218,907
Claims Excl Non Distinct Investment Component Paid	-	(2,325,745)	-	-	(2,325,745)
Reinsurance Acquisition Cash Flows	-	-	(1,537,693)	-	(1,537,693)
Reinsurance Contract Assets Eop	38,790	1,163,368	2,748,397	-	3,950,555
Reinsurance Contract Liabilities Eop	-	-	(591,876)	-	(591,876)
Net Balance Eop	38,790	1,163,368	2,156,521	-	3,358,680

Notes To The Financial Statements For The Year Ended 31 December 2025

6. INSURANCE RISK MANAGEMENT (continued)

Roll forward for reinsurance contract 2024

Name	Ri Afic Ra	Ri Afic Be	Ri Afrc Excl Loss Component	Ri Loss Recovery	Total
Reinsurance Contract Assets Bop	61,118	899,226	2,070,526	82,342	3,113,212
Reinsurance Contract Liabilities Bop	-	-	(597,699)	-	(597,699)
Net Balance Bop	61,118	899,226	1,472,827	82,342	2,515,513
Allocation Of Reinsurance Premiums Paid	-	-	(4,586,566)	-	(4,586,566)
Amounts Recoverable From Reinsurers	(4,807)	1,871,258	1,383,795	(82,342)	3,167,903
Incurred Claims Recovered And Other Reinsurance Service Expenses	-	1,871,258	-	-	1,871,258
Adjustments To Assets For Incurred Claims	(4,807)	-	-	-	(4,807)
Recovery Of Losses And Reversal On Recovery Of Losses	-	-	-	(82,342)	(82,342)
Amortization Of Reinsurance Acquisition Cash Flows	-	-	1,383,795	-	1,383,795
Reinsurance Service Result	(4,807)	1,871,258	(3,202,771)	(82,342)	(1,418,663)
Reinsurance Finance Expense Total	-	(16,478)	-	-	(16,478)
Therefore Recognized In Pnl	-	(16,478)	-	-	(16,478)
Cash Flows	-	(1,707,759)	3,484,796	-	1,777,037
Premiums Paid	-	-	4,719,357	-	4,719,357
Claims Excl Non Distinct Investment Component Paid	-	(1,707,759)	-	-	(1,707,759)
Reinsurance Acquisition Cash Flows	-	-	(1,234,561)	-	(1,234,561)
Reinsurance Contract Assets Eop	56,310	1,046,248	2,203,317	-	3,305,875
Reinsurance Contract Liabilities Eop	-	-	(448,465)	-	(448,465)
Net Balance Eop	56,310	1,046,248	1,754,852	-	2,857,410

Notes To The Financial Statements For The Year Ended 31 December 2025



Notes To The Financial Statements

For The Year Ended 31 December 2025

7. Interest income

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Interest on overdrawn accounts	31,335,937	25,173,891
Interest on Treasury loans	27,951,671	20,562,993
Interest on equipment loans	122,917,097	121,026,427
Interest on consumer loans	32,729,988	23,947,766
Interest on mortgage loans	21,340,420	18,796,190
Interest on deposits with banks	563,208	948,420
Interest received from interbank placements	15,836,819	16,341,484
Interest on investments in government securities	25,201,118	24,321,719
	277,876,258	251,118,890

8. Interest Expense

Interest on Customer Term deposit	24,366,464	30,294,535
Interest on Saving Accounts	22,566,543	15,282,802
Interest on Long term Credit Lines	7,379,674	8,546,556
Interest on Transactions with other banks	3,104,274	6,334,643
	57,416,955	60,458,536

9. Net Fees And Commission Income

9(i) Fees and commission income		
Commissions on operations of accounts	621,989	152,803
Commissions on payment facilities	13,584,989	11,113,731
Commissions on loan services	16,733,585	18,055,856
Commissions received from financing	10,158,590	10,639,589
Commissions received from guarantees	3,308,596	6,758,180
Income from transactions with other banks	1,613	153,631
	44,409,362	46,873,790
9(ii) Fees and commission income		
Commissions on payment facilities	(7,024,298)	(5,881,566)
commissions on other transactions with banks	(760,141)	(962,439)
	(7,784,439)	(6,844,005)
Net fees and commission	36,624,923	40,029,785

Notes To The Financial Statements For The Year Ended 31 December 2025

9. Net Fees And Commission Income

The fee and commission income of the group is earned at a point in time and over time in compliance with IFRS 15. The breakdown is analysed below.

31 December 2025	Corporate Banking Frw'000	Retail Banking Frw'000	Total Frw'000
Fees and commission earned from the services that are provided over time:			
Commissions on payment facility	9,270,968	4,314,020	13,584,988
Commission on loans services	9,722,293	7,011,416	16,733,709
Total	18,993,261	11,325,436	30,318,697

31 December 2025	Corporate Banking Frw'000	Retail Banking Frw'000	Total Frw'000
Fees and commission earned from the services that are provided at point in time:			
Commissions on operations of accounts	60,665	561,200	621,865
Commissions received from financing commitments	10,133,340	25,250	10,158,590
Commissions received from guarantees commitments	2,055,057	1,253,540	3,308,597
Income from transactions with other banks	97,467	-	97,467
Total	12,346,529	1,839,990	14,186,519
	31,339,790	13,165,426	44,505,216

31 December 2024	Corporate Banking Frw'000	Retail Banking Frw'000	Total Frw'000
Fees and commission earned from the services that are provided over time:			
Commissions on payment facility	9,922,866	1,190,865	11,113,731
Commission on loans services	14,897,503	3,158,353	18,055,856
Total	24,820,369	4,349,217	29,169,586

31 December 2024	Corporate Banking Frw'000	Retail Banking Frw'000	Total Frw'000
Fees and commission earned from the services that are provided at point in time:			
Commissions on operations of accounts	152,803	-	152,803
Commissions received from financing commitments	10,638,503	1,086	10,639,589
Commissions received from guarantees commitments	5,894,633	863,548	6,758,181
Income from transactions with other banks	281,522	16,304	297,826
Other fees from services	-822,070	974,873	152,803
Total	16,967,459.98	880,939	17,848,399
	41,787,828.75	5,230,156	47,017,985

Notes To The Financial Statements

For The Year Ended 31 December 2025

10. Foreign exchange related income

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Net forex trading	10,519,258	16,334,706
Forex commissions	5,850,296	3,929,698
Foreign exchange gain-Other	387,894	546,301
	16,757,448	20,810,705

11. Insurance Revenue

Insurance Revenue-Motor	10,794,438	9,216,953
Insurance Revenue-Fire	2,265,230	1,974,806
Insurance Revenue-Engineering	935,646	862,612
Insurance Revenue-Liability	434,388	401,581
Insurance Revenue-Accident	110,745	90,059
Insurance Revenue-Marine	174,411	86,833
Insurance Revenue-Bond	363,858	360,240
Insurance Revenue-Miscellaneous	2,849,978	2,358,207
Insurance revenue	17,928,694	15,351,291
Inter-group insurance revenue*	(516,003)	(487,871)
	17,412,691	14,863,420

*These are intra-group insurance services whereby one of the group entities provides motor, fire, liability and miscellaneous insurance covers to other entities within the group.

12 (i) Insurance Service Expenses

Incurred Claims	7,334,917	5,862,276
Directly Attributable Expenses	1,456,854	1,015,663
Acquisition Cash Flows Amortization	1,154,797	939,624
Adjustment To Liabilities For Incurred Claims	(15,356)	(142,563)
Losses On Onerous Contracts And Reversal Of Those Losses	-	(185,020)
	9,931,212	7,489,980

Notes To The Financial Statements For The Year Ended 31 December 2025

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
12 (ii) INon attributeable expenses		
Audit Fees	28,000	28,050
Bank charges and Exchange Loss	34,833	39,504
Board of Directors sitting allowances	43,154	54,442
Cleaning and Maintenance Cost	43,539	40,092
Communications Cost	71,183	61,219
Consultancy and Professional fees	165,277	107,037
Depreciations	295,806	438,319
Finance costs on lease	67,731	87,081
Fines and Penalties	10,375	5,118
Insurance expenses	16,610	28,420
IT and related cost	4,907	6,524
Local Taxes	1,000	1,000
Marketing expenses	252,455	199,155
Office supplies	39,875	39,841
Other Expenses	128,800	74,151
Refreshment and receptions	67,649	32,792
Sport and entertainment cost	23,227	20,504
Staff Cost	2,007,572	1,408,285
Charitable donation	24,730	-
Supervision Fees	80,246	73,339
Travel and accommodation cost	10,585	46,718
Vehicle running Cost	33,168	28,321
Water and Electricity	13,197	11,599
	3,463,919	2,831,511

Notes To The Financial Statements

For The Year Ended 31 December 2025

(iii). Net insurance finance expenses:

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Finance expenses from insurance contract issued	68,104	67,169
Finance income from reinsurance contract held	(34,511)	(16,478)
Net insurance finance expenses	33,593	50,691

(iv). Net expenses from reinsurance contracts held

Allocation Of Reinsurance Premiums Paid	4,673,827	4,586,566
Amortization Of Reinsurance Acquisition Cash Flows	(1,394,282)	(1,383,795)
Incurred Claims Recovered And Other Reinsurance Service Expenses	(2,477,377)	(1,871,258)
Adjustments To Assets For Incurred Claims	17,520	4,807
Recovery Of Losses And Reversal On Recovery Of Losses	-	82,343
	819,688	1,418,663

13. Other Operating Income

Cash proceed from sale of fixed assets	754,129	562,371
Net book value of fixed assets	(416,062)	(420,724)
Gain on asset disposal	338,067	141,647
Rental income	12,600	-
Other income	425,018	1,224,506
Dividend income	-	42,029
Policy Fees	112,285	92,771
Broadband Connectivity	472,457	114,056
SaaS- Software as a Service	85,223	101,083
DaaS- Data as a Service	54,757	144,975
PaaS- Payment as a Service	138,246	216,978
Software Development	585,053	306,937
IoT- Internet of Things	72,434	80,139
Brokerage commission	315,116	294,828
Advisory Services Income	397,619	582,450
Fund management and Registrar fees	1,154,879	672,893
	4,163,754	4,015,292

Notes To The Financial Statements For The Year Ended 31 December 2025

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
14. Credit Impairment Losses		
Expected credit loss on loans and advances (Note 21)	19,441,943	39,197,112
Expected credit loss on off balance sheet items (Note 21)	191,524	476,330
Net Credit impairment losses for-loans	19,633,467	38,063,958
Bad debt recovered during the year	(4,201,176)	(5,071,506)
Bad debt recovered costs	350,713	221,609
Net recoveries*	(3,850,463)	(4,849,897)
a) Credit impairment losses for loans	15,783,004	33,214,061
Additional Expected credit loss on other assets (Note 23)	(542,945)	3,894,949
Additional Expected credit loss on balance with BNR (Note 18)	19,784	(2,549,621)
Additional Expected credit loss on balance with other banks (Note 19)	115,113	(325,178)
Additional Expected credit loss on Investments (Note 20)	(106,195)	115,064
Additional Expected credit loss on corporate Bond (Note 20)	(34,330)	1,032,306
Additional expected credit loss on investments in Specialized fund (Note 20)	930,824	-
b) Credit impairment losses -Other assets	382,251	2,167,520
Net Credit impairment losses	15,190,688	35,371,187

*Bad debts recovered during the year relates to recoveries from credit impaired financial asset.

The reduction in credit impairment losses recognised during the year was driven primarily by changes in portfolio composition and credit staging outcomes rather than by a contraction in lending activity. Although gross loans and advances increased materially during the year, new lending was predominantly originated into Stage 1, attracting lower 12 month expected credit losses. At the same time, lifetime expected credit loss exposures remained broadly stable, as transfers out of Stage 3 and derecognition of previously impaired loans offset transfers into higher risk stages. As a result, the overall impairment charge on loans declined despite balance sheet growth.

Credit risk allowances recognised on off balance sheet exposures decreased compared to the prior year. This movement reflects a reduction in the level of guarantees and letters of credit outstanding at the reporting date, with no material deterioration observed in the credit staging of the remaining exposures. Impairment allowances on balances held with the National Bank of Rwanda and other banks remained low during the year, consistent with the continued strong credit quality of these counterparties and the application of low probability of default assumptions under IFRS 9. No material impairment charge was recognised on investment securities during the year. This is consistent with the absence of credit downgrades, defaults or stage migration within the investment portfolio over the reporting period.

Impairment charges on other financial assets increased during the year primarily due to the recognition of expected credit losses on accrued interest and sundry receivable balances that were previously either immaterial or subject to reversals in the prior year. Unlike the prior period, when net reversals were recognised on these balances, the current year reflects a higher stock of receivables subject to impairment assessment. These movements remain immaterial in the context of total credit impairment losses.

Recoveries of previously written off loans declined compared to the prior period. These recoveries partially offset the gross impairment charge recognised during the year but were not a primary driver of the overall reduction in credit impairment losses.

14 Credit Impairment Losses

* The increase in loss allowance during the year is mainly linked to the growth of the loan book which grew by 10% and the full provision taken on one major client in the energy sector who had been assessed to have 100% default risk.

** The increase in credit loss on off balance sheet items was attributed to the increament of off balance sheet portfolio by 68%.

***Bad debts recovered during the year relates to the recoveries from the credit impaired financial assets in the year.

Notes To The Financial Statements

For The Year Ended 31 December 2025

15. Operating Expenses

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
i) Employee benefits expense		
Salaries and wages	44,386,971	39,821,440
Medical expenses	1,876,134	1,707,674
Pension scheme contributions	3,985,595	2,364,305
Other benefits	2,608,521	2,774,296
	52,857,221	46,667,715
ii) Depreciation and amortisation		
Depreciation of property equipment	6,202,287	6,982,341
Depreciation on right to use assets	1,227,177	430,878
Amortisation of intangible assets	5,058,799	3,519,449
	12,488,263	10,908,667
iii) Administration and general expenses		
Directors' remuneration	1,960,534	1,539,819
Audit fees	104,706	85,340
Rent, repairs and maintenance	1,884,690	2,919,676
Utilities	842,889	980,084
Postage, photocopying and printing	506,439	465,593
Travel and accommodation expenses	1,415,851	834,278
Security and cash in transit costs	1,643,445	1,944,288
Marketing and publicity	3,705,671	2,905,757
Statutory fees	1,818,140	2,116,094
Legal and consultancy fees	2,565,209	3,841,874
Unclaimed Input taxes	2,595,707	2,880,317
IT related, Telephone & Internet costs	9,693,222	7,623,118
Charitable donation	1,417,126	1,072,088
Digital filling cost	517,309	591,060
Operational losses	1,321,724	939,613
Account maintenance costs	1,467	1,855
Provision for doubtful receivables	710,019	747,520
Fees on import and export	658,985	938,076
Other general expenses**	1,236,322	1,374,212
Card production & Maintenance	7,498,359	5,741,374
	42,097,814	39,542,036
iv) Interest on lease liabilities(note 33) **	216,286	86,396

*Other general expenses relate to filing and storage expenses, sports and entertainment, SMS banking charges, district taxes and other miscellaneous costs.

Notes To The Financial Statements For The Year Ended 31 December 2025

16. Income Tax Expense

The income tax charge on the Group's profit differs from the theoretical amount that would arise using the basic tax rates as follows:

(i) Income tax charge

	Effective Rate	31 Dec 2025 Frw'000	Effective Rate	31 Dec 2024 Frw'000
Current income tax		47,642,196		37,132,127
Deferred income tax (credit)/charge		(1,031,685)		(3,122,717)
Understatement of prior year/voluntary disclosure*		748,869		1,063,258
		47,359,380		35,072,668
Accounting profit before income tax	30.1%	157,412,054	27.8%	126,103,698

*An understatement of FRw 748 million in 2025 relates to additional tax for the 2019–2020 financial year following the conclusion of an RRA audit in 2025. The FRw 1.0 billion paid in 2024 relates to understatements for the 2021 and 2022 tax periods, which were identified and corrected through an internal tax health check review. The voluntary disclosure was made under an RRA initiative allowing taxpayers to regularize positions without penalties.

The income tax charge on the group's profit differs from the theoretical amount that would arise using the basic tax rates as follows:

(ii) Current Income Tax Payable

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At 1 January	8,989,032	1,079,716
Tax paid during the year	(42,320,320)	(29,668,722)
Tax charge for the year	47,627,006	37,132,127
Adjustments in respect to prior year deferred tax	764,059	1,063,258
Withholding tax paid	(16,633)	(259,164)
Tax credit during the year	75,138	(384,538)
Prior year understatement	-	26,355
At 31 December	15,118,282	8,989,032

The Group's average tax charge was 30.1%(2024: 27.8%)

17. Earnings Per Share

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Profit for the year attributable to equity shareholders	110,100,628	91,031,030
Weighted average number of shares	934,716	930,531
Earnings per share:		
Basic and diluted earnings per share	117.8	97.8

Basic earnings per share is calculated on the profit attributable to ordinary shareholders of FRw 110 billion (2024: FRw 91 billion) and on the weighted average number of ordinary shares outstanding during the year of 934,716,308 (2024: 930,531,108 shares).

Notes To The Financial Statements

For The Year Ended 31 December 2025

18. Analysis Of Cash And Cash Equivalents

Cash and cash equivalents included in the statement of cash flow comprise the following statement of financial position accounts:

a. Cash in hand

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Cash in foreign currency	13,905,868	8,858,017
Cash in local currency	14,291,060	12,805,016
	28,196,928	21,663,033

b. Balances with National Bank of Rwanda

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Unrestricted balances	185,788,358	165,018,229
Write off of long outstanding uncleared balances	-	(1,462,271)
	185,788,358	163,555,958
Impairment	(38,243)	(18,459)
Unrestricted balances	185,750,115	163,537,499
Restricted balances (Cash Reserve Ratio)	90,352,135	93,951,920
	276,102,250	257,489,419

Movement in cash reserve requirement:

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At 01 January	93,951,920	79,123,820
Movement during the year*	(3,599,785)	14,828,100
	90,352,135	93,951,920

Movement in impairment is analysed as below:

At 01 January	(18,459)	(4,030,351)
Expected credit loss during the year*	(19,784)	2,549,621
Write off of long outstanding uncleared balances		1,462,271
At 31 December	(38,243)	(18,459)

The Cash Reserve Ratio is non-interest earning and is based on the value of deposits as adjusted per the National Bank of Rwanda requirements. At 31 December 2025, the Cash Reserve Ratio requirement was 5% (2024: 5%) of all deposits amounting to FRw 2.1 trillion (2024: FRw 1,879 Trillion). Mandatory cash reserve ratio is not available for use in Bank of BK Group Plc's day-to-day operations.

The unrestricted balances include Cash balances on Nostro accounts in BNR FRw. 164 billion available for use in BK Group Plc's day-to-day operations (2024: FRw. 163 billion).

Cash and cash equivalents included in the statement of cash flows comprise the following statement of financial position accounts:

Notes To The Financial Statements For The Year Ended 31 December 2025

c. Cash and Cash Equivalent

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Cash in hand	28,196,928	21,663,033
Unrestricted balances (Note 18.(b))	185,788,358	163,555,958
Cash balances with banks	542,986,856	399,898,784
Due to banks	(215,583,222)	(121,794,361)
	541,388,920	463,323,414

on demand and fluctuates regularly.

Balances with National Bank of Rwanda

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Unrestricted balances	185,788,358	163,555,958
Impairment	(38,243)	(18,459)
	185,788,358	163,537,499
Restricted balances (Cash Reserve Ratio)	90,352,135	93,951,920
	276,102,250	257,489,419

Movement in impairment is analysed as below:

At 01 January	(18,459)	(4,030,351)
Movement during the year*	(19,784)	2,549,621
Write-off	-	1,462,271
At 31 December	(38,243)	(18,459)

19. Cash Balances With Other Banks

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Placements with local banks	13,259,595	11,776,715
Placements with foreign banks	529,727,260	388,122,069
Expected credit losses (note 4.1.7.1)	(161,488)	(781,444)
	542,825,367	399,117,340

The credit ratings of the financial institutions where the Group's placements are held are shown below, where individual bank ratings were not available, the parent bank's rating or country ratings have been adopted, in order of preference:

Notes To The Financial Statements

For The Year Ended 31 December 2025

Credit Ratings

	31 Dec 25 Frw'000	ECL Frw'000	31 Dec 25 Frw'000	ECL Frw'000
A	177,995,524	-	198,318,930	(68,664)
A+	291,129,939	-	121,134,985	(22,589)
AA	111,108	-	78,776,422	(535,474)
B+	160,111	-	724,047	(151,828)
BB-	73,590,173	(161,488)	944,400	(2,889)
	542,986,855	(161,488)	399,898,784	(781,444)

The weighted average effective interest rate on placements and balances with other banks at 31 December 2025 was 3.1 % (2024: 4.7 %).

20. Investment Securities

a) Investment securities

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
a) Investment securities	Amortised cost	Amortised cost
Treasury bills	142,226,459	178,378,212
Treasury bonds	121,644,015	93,532,781
Expected credit losses	(1,050,255)	(1,156,450)
Total	262,820,219	270,754,543
Maturing between 3-12 months	142,960,823	232,320,073
Maturing between 1-5 years	44,191,272	7,598,079
Maturing between >5 years	76,718,380	31,992,841
Expected credit losses	(1,050,255)	(1,156,450)
	262,820,219	270,754,543

(a) Investment securities

31 December 2025	Treasury bills Frw'000	Treasury bonds Frw'000	Other government securities* Frw'000	Total Frw'000
1-Jan-25	182,265,812	36,478,982	52,009,749	270,754,543
Prior-year ECL	803,501	162,865	190,084	1,156,450
Additions	352,182,658	5,340,561	18,564,453	376,087,672
Maturities	(390,369,885)	(1,599,343)	(98,194)	(392,067,422)
Reclassification			7,939,231	7,939,231
Expected credit loss	(623,538)	(173,097)	(253,620)	(1,050,255)
31 December 2025	144,258,548	40,209,968	78,351,703	262,820,219

Notes To The Financial Statements For The Year Ended 31 December 2025

20. Investment Securities

a) Investment securities

31 December 2024	Treasury bills Frw'000	Treasury bonds Frw'000	Other government securities* Frw'000	Total Frw'000
1-Jan-24	102,698,937	30,952,920	52,889,909	186,541,766
Additions	415,842,517	8,404,627	3,092,556	427,339,700
Maturities	(335,472,141)	(2,715,700)	(3,782,632)	(341,970,473)
Expected credit loss	(803,501)	(162,865)	(190,084)	(1,156,450)
31 December 2024	182,265,812	36,478,982	52,009,750	270,754,543

(b) Investment in corporate bond

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At start of year	23,883,206	18,531,462
Additions	187,926	6,175,300
Reclassification	(7,939,230)	-
Accrued interest	955,965	1,413,399
Repayments recieved	(1,290,287)	(1,204,648)
Expected credit losses	34,330	(1,032,307)
At end of year	15,831,910	23,883,206

Treasury bills and bonds are debt securities issued by the Government of the Republic of Rwanda. The bills are categorised as amounts carried at amortised cost. Other government security include six and five-year investment/ infrastructure bond, with coupon rate of 12.4% and 14.5% per annum respectively payable quarterly on outstanding amount. The bonds have maturity dates of 30 September 2028 and 31 March 2028. Additionally, there is one Euro bond valued at \$10 million, maturing on 9th August 2031, with a coupon rate of 5%, payable semi-annually.

The weighted average effective interest rate on government securities held to maturity at 31 December 2025 was 9.4 % (2024: 10.5 %)

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At start of year	2,188,756	1,041,386
Charge for the year Treasury bills and bonds	(106,195)	115,064
Charge for the year corporate bond	(34,330)	1,032,306
At end of year	2,048,231	2,188,756

Treasury bills and bonds are debt securities issued by the Government of the Republic of Rwanda. The bills are categorised as amounts carried at amortised cost. Other government security include six and five-year investment/ infrastructure bond, with coupon rate of 12.4% and 14.5% per annum respectively payable quarterly on outstanding amount. The bonds have maturity dates of 30 September 2028 and 31 March 2028. Additionally, there is one Euro bond valued at \$10 million, maturing on 9th August 2031, with a coupon rate of 5%, payable semi-annually.

(c) Investment in specialized fund

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At start of year	12,890,491	13,255,671
Additions	4,220,489	1,688,589
Accrued interest	50,258	50,258
Maturities	(500,758)	(2,104,027)
Expected credit losses	(930,824)	-
At end of year	15,729,656	12,890,491

Notes To The Financial Statements For The Year Ended 31 December 2025

21. Loans And Advances To Customers

(a) Corporate loans and advances

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Corporate	1,035,267,187	980,284,773
Small and medium enterprises	285,111,692	207,402,671
Agri-business	93,410,151	62,687,785
Total corporate loans	1,413,789,030	1,250,375,228
Discount on economic recovery financing*	(3,353,068)	(4,317,103)
Adjusted Corporate Loans	1,410,435,962	1,246,058,126
Retail loans and advances		
Gross retail loans	357,217,226	283,131,951
Discount on staff loans	(8,527,488)	(6,673,170)
Total retail loan book	348,689,738	276,458,781
Total gross loans	1,759,125,700	1,522,516,907
Loss allowance/credit impairment provision - corporate	(47,990,060)	(41,499,780)
Loss allowance/credit impairment provision - retail	(23,000,787)	(27,033,485)
Total expected credit losses/credit impairment provision	(70,990,847)	(68,533,266)
Net Loans and advances to customers	1,688,134,854	1,453,983,641

(b) Guarantees and commitments

	31 Dec 25 Frw'000	31 Dec 23 Frw'000
Corporate	509,061,503	625,558,592
Small and medium enterprises	58,492,607	42,974,879
Total guarantees and commitments		
Loss allowance	(6,185,726)	(5,994,202)
	68,533,266	91,613,557
(c) At 1 January	19,441,943	37,587,628
Increase in loss allowance in the year	-	922,491
Provisions for credit operational losses	(16,984,362)	(61,590,410)
Loans written off during the year	70,990,847	68,533,266
As at 31 December	70,990,847	68,533,265
Movement in the loss allowance - commitments		
At 1 January	5,994,202	5,517,872
Increase in loss allowance in the year	191,524	476,330
As at 31 December	6,185,726	5,994,202

Notes To The Financial Statements For The Year Ended 31 December 2025

21. Loans And Advances To Customers

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Maturing within 1 month	403,221,961	75,586,300
Maturing after 1 month, but before 3 months	87,099,904	76,764,200
Maturing after 3 months, but within 1 year	59,960,317	158,095,682
Maturing after 1 year, but within 5 years	556,770,002	656,930,753
Maturing after 5 years	581,778,845	486,606,706
	1,688,831,029	1,453,983,641

d. Sectoral analysis of Gross Loans and advances to customers

Private sector and individuals	1,231,078,828	954,157,775
Government and parastatals	457,056,026	499,825,866
	1,688,134,854	1,453,983,641

he weighted average effective interest rate on gross loans and advances as at 31 December 2025 was 14.4% (2024: 14.7%). As at 31 December 2025, the ageing analysis of past due but not impaired loans and advances is as follows:

Less than 60 days	101,541,365	14,282,065
Between 61 – 90 days	28,641,634	9,802,040
	130,182,999	24,084,105

Discount on economic recovery financing relates to the discount given to customers in economic sectors mostly affected by the pandemic COVID 19. These sectors are Hospitality, transport and SMEs. This represents the difference between the market rate and the contractual rate of the facility. The movement in the Discount on economic recovery loans is detailed below;

ERF loan valuation at start of year	4,317,103	5,031,355
Decrease in the ERF valuation on repayments	(964,035)	(714,252)
	3,353,067	4,317,103

22.Reinsurance Contract asset**

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Ri Afrc Excl Loss Component	2,748,397	2,203,317
Ri Afic Be	1,163,368	1,046,248
Ri Afic Ra	38,791	56,310
Unearned Commission	(591,876)	(448,465)
	3,358,680	2,857,410

** For details disclosure refer to note-Roll forward for reinsurance

Notes To The Financial Statements

For The Year Ended 31 December 2025

23. Other Assets

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Due from related parties	102,621	1,015,395
Subsidiaries Investments in Progress	732,854	-
Prepayments	3,393,328	4,064,390
Discount on staff loans	7,069,432	5,540,181
Economic recovery loan valuation	3,353,067	4,317,103
Other receivables	7,178,602	9,110,282
Expected credit loss-other assets	(668,307)	(2,574,600)
Carrying amount	21,161,597	21,472,751

Movement of the impairment was as below:

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At 01 January	(2,574,600)	(3,739,351)
Expected credit losses during the year	542,945	(3,894,949)
Write off of long outstanding	1,363,348	5,059,700
At 31 December	(668,307)	(2,574,600)
Movement of other assets gross amount was as below:		
At 01 January	24,047,349	15,839,861
Movement of other assets during the year	(960,868)	13,267,188
Write off of long outstanding	(1,256,577)	(5,059,700)
At 31 December	21,829,904	24,047,349

Clearing accounts are temporary and transitory accounts pending compensation house clearing including cheques in transit to other banks. Other receivables are current and non-interest bearing and are generally between 30 to 90 days. Other receivables relate to input VAT, debtors account in transit, internal account balances, accrued revenue and deposits.

Notes To The Financial Statements For The Year Ended 31 December 2025



Notes To The Financial Statements For The Year Ended 31 December 2025



Notes To The Financial Statements For The Year Ended 31 December 2025

24. Deferred Income Tax

The following table shows deferred tax recognized in the statement of financial position and changes recorded in the income tax expense:

Deferred tax (assets)/liabilities	31 Dec 25 Frw'000	Charge/(cred- it) to profit or loss Frw'000	Charged to OCI Frw'000	31 Dec 24 Frw'000
Revaluation of assets	-	(5,614,283)	-	5,614,283
Capital allowances*	885,832	(1,524,997)	-	2,410,829
Expected credit losses	(11,799,682)	(1,560,009)	-	(10,239,673)
Other temporary differences*	(5,855,947)	(451,936)	-	(5,404,011)
Staff Bonus	(194,467)	(70,599)	-	(123,868)
Fair value adjustment	8,052	-	8,052	-
Provision for impairments	(126,382)	(11,692)	-	(114,690)
Leave provisions	(23,259)	(23,259)	-	-
	(17,105,853)	(9,256,775)	8,052	(7,857,130)

*Capital allowances include deferred tax between net book value as per tax rates versus accounting net book value

*Other temporary difference includes bonus provisions and general provisions for internal transitory accounts

25. Assets Classified As Held For Sale

These accounts relate to non- current assets held for sale in accordance with IFRS 5 that were transferred from Property, plant and equipment, since the Group has the plan to realize the carrying amount principally through a sale transaction instead of continuing use.

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Nyagatare Residential House	100,000	100,000
	100,000	566,145

These assets held for sale relates to the buildings which the group is looking for potential buyers. The expectation is to sell them within 12 months at the prevailing market rate. No impairment loss has been realized from these assets as they have been assessed to be in good condition.

Notes To The Financial Statements
For The Year Ended 31 December 2025

26 (i). Property And Equipment

	Land and Buildings Frw'000	Computer & IT Equipment Frw'000	Motor vehicles Frw'000	Furniture & Fittings Frw'000	Work in Progress* Frw'000	Total Frw'000
Cost/Valuation						
At 1 January 2025	20,115,276	18,913,800	2,062,051	5,254,172,	7,308,456	53,653,755
Additions	3,109,905	1,757,298	634,975	388,936	-	5,891,114
Disposal	(382,471)	(27,691)	(277,759)	(12,630)	-	(700,551)
Transfer from WIP	27,845	2,763,280	-	2,585,546	(5,376,671)	-
Write off					(1,703)	(1,703)
At 31 December 2025	22,870,555	23,406,687	2,419,267	8,216,024	1,930,082	58,842,615
Depreciation						
At 1 January 2025	3,349,991	13,031,136	1,211,934	4,326,320	-	21,919,381
Charge for the year	924,862	3,931,082	308,660	1,155,803	-	6,320,407
Disposal	(10,792)	(27,691)	(233,376)	(12,630)		(284,489)
At 31 December 2025	4,246,061	16,934,527	1,287,218	5,469,493	-	27,955,299
Carrying Amount	18,606,494	6,472,160	1,132,049	2,746,531	1,930,082	30,887,316

Notes To The Financial Statements
For The Year Ended 31 December 2025

26 (i). Property And Equipment

31 December 2024	Land and Buildings Frw'000	Computer & IT Equipment Frw'000	Motor vehicles Frw'000	Furniture & Fittings Frw'000	Work in Progress* Frw'000	Total Frw'000
Cost/Valuation						
At 1 January 2024	20,375,503	18,241,306	2,411,786	4,810,684	2,393,202	48,232,481
Additions	-	855,669	419,720	325,520	5,353,203	6,954,112
Disposal	(442,274)	-	(785,956)	-	-	(1,228,230)
Write off	-	-	-	-	(163,957)	(163,428)
Transfer from WIP	182,047	-	-	91,945	(273,992)	-
Revaluation	-	(183,175)	16,501	116,023	-	(50,651)
At 31 December 2024	20,115,276	18,913,800	2,062,051	5,254,172	7,308,456	53,653,755
Depreciation						
At 1 January 2024	2,476,817	8,640,872	1,771,966	2,990,140	-	15,879,795
Charge for the year	949,592	4,457,624	328,211	1,325,661	-	7,061,088
Disposal	(76,418)	-	(731,089)	-	-	(807,507)
Revaluation	-	(67,360)	(157,154)	10,519	-	(213,995)
At 31 December 2024	3,349,991	13,031,136	1,211,934	4,326,320	-	21,919,381
Carrying Amount	16,765,285	5,822,664	850,117	927,852	7,308,456	31,734,374

Notes To The Financial Statements
For The Year Ended 31 December 2025



Notes To The Financial Statements For The Year Ended 31 December 2025

26 (ii) Intangible Assets

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At 1 January	29,231,412	21,384,323
Additions	4,705,318	7,847,089
At period end	33,936,730	29,231,412
Amortisation		
At 1 January	14,621,015	11,101,566
Amortisation	5,082,346	3,519,449
At period end	19,703,361	14,621,015
Net book value	14,233,369	14,610,397

26 (iii) Right of use Assets

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At 1 January	7,831,122	5,745,703
Additions	1,676,533	2,085,419
At period end	9,507,655	7,831,122
Amortisation		
At 1 January	5,136,219	4,592,960
Amortisation	1,339,558	543,259
At period end	6,475,777	5,136,219
Net book value	3,031,878	2,694,903

27. Due To Banks

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Deposits and balances from other Banks	133,208,741	108,204,017
Term treasury borrowings	131,680,538	115,096,609
	264,889,279	223,300,626
Maturing as follows:		
Payable within 3 months	215,583,222	121,794,361
Payable after 3 months	49,306,057	101,506,265
Total	264,889,279	223,300,626

The weighted average effective interest rate on deposits and balances from other banks as at 31 December 2025 was 7.8% (2024: 7.8%)

Notes To The Financial Statements For The Year Ended 31 December 2025

28. Deposits And Balances From Customers

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Current accounts	1,560,720,706	1,236,416,798
Fixed deposit accounts	229,788,420	337,648,518
Savings accounts	65,439,195	55,129,659
Collateral and other deposits	28,480,000	12,644,646
	1,884,428,321	1,641,839,621

29. Dividends Payable

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At 1 January	18,395,258	23,145,719
Dividends paid during the year	(18,123,433)	(14,072,123)
Interim dividend paid	-	(9,605,057)
Prior year returned dividend to retained earnings*	(20,128)	(13,608,281)
Proposed dividend payable	49,938,652	32,535,000
At 31 December	50,230,603	18,395,258

*Returned dividend relates to un paid dividend for BK GI

30 (i) Insurance Contract Liabilities

	31 Dec 25 Frw'000	31 Dec 25 Frw'000
Liability for Remaining Coverage	1,289,187	(1,265,731)
Lfic Ra	5,061,594	4,620,877
Loss Component	125,612	140,967
Insurance Contract Assets	(591,672)	(467,903)
	5,884,721	3,028,210

Notes To The Financial Statements

For The Year Ended 31 December 2025

30 (ii) Reinsurance Premiums Payable

Reinsures payables	31 Dec 25 Frw'000	31 Dec 24 Frw'000
ZEP-RE	286,039	969,874
Africa-RE	(23,671)	446,992
Kenya-RE	(12,912)	36,575
GHANA REINSURANCE COMPANY LIMITED	(1,106)	36,658
WAICA REINSURANCE KENYA LIMITED	(1,106)	46,261
MAPFRE	25,860	(7,740)
CONTINENTAL	(2,677)	4,392
SOCIÉTÉ COMMERCIALE GABONAISE DE RÉASSURANCE	3,874	(2)
GRAND RE	307	7,875
SONARWA-COMESA	32,489	31,327
Total Reinsurers	307,097	1,572,212
Coinsurers		
SONARWA-COMESA	15,337	1,770
BRITAM INSURANCE CO (RWANDA) LTD	27,975	33,080
MUA INSURANCE	28,502	13,288
PRIME INSURANCE LTD	20,089	19,996
RADIANT INSURANCE CO LTD	3,810	2,655
OLD MUTUAL Rwanda	4,168	6,294
SANLAM	-	2,809
MAYFAIR	3,959	4,706
Radiant Yacu	8,659	-
Total Coinsurer	112,499	84,598
Total coinsurance and Reinsurance Payables	419,596	1,656,810

Notes To The Financial Statements

For The Year Ended 31 December 2025

31. Other Liabilities

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Clearing accounts	7,493,112	10,142,560
Deferred revenue	12,164,291	10,268,943
Economic recovery grant valuation	2,703,120	3,677,160
Contingent liabilities	6,201,922	6,012,992
Other liabilities	20,410,045	16,602,932
Accrued expenses	19,447,166	23,780,151
	68,419,656	70,484,738

*The amount includes the ECL on guarantees and commitments. The movement of the ECL was as follows:

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At 01 January	5,994,202	5,518,872
Movement during the year	191,523	475,330
At 31 December	6,185,725	5,994,202
Movement of other liabilities was as follows:		
At 01 January	70,484,738	42,658,933
Movement of other assets during the year	(2,256,605)	27,349,475
Write off of long outstanding	191,523	476,330
At 31 December	68,419,656	70,484,738

32. Lease Liabilities

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
As at 1 January	2,935,409	1,653,690
Lease re-assessment	1,676,533	2,027,535
Effect of Modified contract	(98,943)	-
Interest expense	242,519	173,477
Less:		
Payment of interest on lease liabilities	(242,519)	(173,477)
Payment of principal portion of lease liabilities	(1,257,368)	(745,816)
Payment of principal portion of lease liabilities	3,255,631	2,935,409
	3,255,631	2,935,409

Notes To The Financial Statements
For The Year Ended 31 December 2025

33. Long Term Finance

a) Year ended 31 December 2025	01 January 2025 Frw'000	Additional drawdown Frw'000	Interest expense Frw'000	Revaluation loss Frw'000	Principal re- payments Frw'000	Interest repayments Frw'000	31st - Dec-25 Frw'000
Cost/Valuation							
EIB Loan (8.01% - 11.4%)	49,239,949	22,292,893	5,094,615	-	(14,222,560)	(5,120,565)	57,284,332
AFD Loan (Libor +3.74% pa)	12,167,519		821,758	683,374	(4,883,438)	(936,463)	7,852,750
BRD-KFW EGF(8% p.a)	50,543,832	4,000,000	2,059,339	-	(992,329)	(2,054,193)	53,556,649
Total	111,951,300	26,292,893	7,975,712	683,374	(20,098,327)	(8,111,221)	118,693,731

b) Year ended 31 December 2024	01 January 2024 Frw'000	Additional drawdown Frw'000	Interest expense Frw'000	Revaluation loss Frw'000	Principal re- payments Frw'000	Interest repayments Frw'000	31st - Dec-24 Frw'000
Cost/Valuation							
EIB Loan (8.01% - 11.4%)	59,560,585	-	5,480,063		(10,194,560)	(5,606,139)	49,239,949
AFD Loan (Libor +3.74% pa)	15,591,281	-	1,644,308	1,002,302	(4,712,669)	(1,357,703)	12,167,519
BRD-KFW EGF(8% p.a)	28,570,196	22,003,979	1,422,185	-	(492,621)	(959,907)	50,543,832
Total	103,722,062	22,003,979	8,546,556	1,002,302	(15,399,850)	(7,923,749)	111,951,300

1. In 2025, the Bank signed a 7 year loan agreement of US\$ 15 million to finance sustainable agriculture projects
2. In 2019 The bank signed two loan agreement with European Investment Bank (EIB) for a credit of EUR 30 million. The EIB facility was fully drawn down on the 2nd of January 2020 and the repayment terms are in Rwandan Francs. During the year, The bank signed a contract with European Investment Bank (EIB) for a credit of EUR 40 million and the repayment terms are in Rwandan Francs. In 2024 no additional drawdown obtained from EIB.
3. Agence Francaise de Development (AFD) disbursed USD 20 million. As at 31 December 2020, The bank had drawn down USD 15.1m from the AFD line for a 7-year term.
4. iv. The Bank was compliant on all financial covenants on the long-term finance. During the year, The bank signed a contract with Agence Francaise de Development (AFD) disbursed for a credit of USD 4 million. Remediation work on the USD LIBOR exposures will commence in advance of the discontinuation date of 30 June 2023. As at 31 December 2023, the USD LIBOR exposures which had not been transitioned was valued at US\$ 11.9 million dollars. In 2024 no additional drawdown obtained from AFD.
5. In 2022 BRD-KFW signed two loans of RWF 1 Billion and RWF 5 Billion maturing on 30/09/2027 and 30/06/2023 respectively and a line of Credit of Rwf 2.1 Billion on the 14th June 2021. During the year, The bank signed 4 contracts with BRD for a credit of Frw 70 million, Frw 2 billion, Frw 2 billion and 6.1 billion. In 2023 the Bank has signed two contracts with BRD for economic recovery loan of FRw 6.8 Bln and FRw 1 Billion for Commercialization and De-Risking for Agricultural Transformation Project (CDAT) maturing on 30/03/2038 and 30/09/2027.
6. In 2024 BRD approved an additional line of credit amount of 5 billion Francs maturing 2027

Notes To The Financial Statements

For The Year Ended 31 December 2025

34. Capital & Reserves

(i) Share Capital

	31 December 2025		31 December 2024	
	Shares	FRw'000	Shares	FRw'000
Authorised share capital of FRw 10 each	1,050,460,000	1,050,460,000	1,050,460,000	1,050,460,000
Issued and fully paid up				
At 1 January	930,531,108	9,305,314	928,162,208	9,281,625
New issued	4,185,200	41,852	2,368,900	23,689
At 31 December	934,716,308	9,347,166	930,531,108	9,305,314

(ii) Share premium

These reserves arose when the shares of the Group were issued at a price higher than the nominal (par) value, these will be applied towards capital in future,

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At 1 January		
New issued at premium @ FRw 309 (2024 was FRw 285)each	82,423,448	82,423,448
DRIP Share issued	1,251,375	651,463
At 31 December	84,326,286	83,074,911

(iii) Revaluation reserve

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
At 1 January	117,607	13,099,993
Assets revaluation adjustments	129,017	117,608
	246,624	13,217,601

Revaluation reserves represents the periodic revaluation of freehold land and buildings, the carrying amount of these assets is adjusted to the revaluations, Revaluation surpluses are not distributable. BK General insurance has revalued the assets to update assets register in 2024.

Notes To The Financial Statements For The Year Ended 31 December 2025

(iv) Retained earnings

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Opening balance	325,344,951	254,971,032
DRIP Shares issued	(1,940)	(1,013)
Differred tax laibility transfer*	8,225,089	-
Prior year profit adjustments**	(86,861)	-
Returned dividend***	(20,128)	12,882,438
Revaluation reserve****	13,099,994	-
Profit attributable to parent	108,641,758	89,692,980
Dividends declared	(49,585,927)	(32,200,486)
Statutory reserves*****	2,321,973	-
	407,938,909	325,344,951

Differred tax laibility transfer* relates to differred tax liability in the books of BK group holding originated from land and building transferred to the bank of Kigali in 2025.

Prior year profit adjustments** This adjustment derived from the mismatch between BK general insurance 2024 consolidated profit and profit reported in the company's set of financails.

Returned dividend*** This is unpaid dividend by BK General insurance after declaration due to mismatch in the profit reported.

Revaluation reserve**** relates to Revaluation reserves arose from the periodic revaluation of freehold land and buildings by BK Group holding. The balance was transferred to retain earning after transfer of assets to bank of Kigali.

Statutory reserves***** relates to the reserve of the bank Kigali that was transferred to the retained earnings

(v) Statutory reserves

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Statutory credit reserve	2,321,973	2,321,973
Transfer to retained earnings	(2,321,973)	-
	-	2,321,973

The statutory credit risk reserve represents excess of regulatory expected credit losses over IFRS excess of regulatory expected credit losses over IFRS determined credit losses.

Notes To The Financial Statements

For The Year Ended 31 December 2025

35. Maturity Analysis Of Assets And Liabilities

The table below shows an analysis of assets analysed according to when they are expected to be recovered or settled as at reporting date:

At 31 December 2025	Less than 12 months FRw'000	Over 12 months FRw'000	Total FRw'000
ASSETS			
Cash in hand	28,196,928	-	28,196,928
Balances with the National Bank of Rwanda	274,525,308	1,576,942	276,102,250
Balances held with other financial institutions	542,964,050	-	542,964,050
Investment securities	141,910,568	120,909,651	262,820,219
Investment in corporate bond	10,882,325	4,949,585	15,831,910
Investment in specialized fund	15,729,656	-	15,729,656
Loans and advances to customers	550,282,181	1,138,548,848	1,688,831,029
Reinsurance contract asset	3,367,190		3,367,190
Deferred tax asset	-	16,992,784	16,992,784
Other assets	21,169,964	-	21,169,964
Right to use assets	-	3,031,878	3,031,878
Intangible assets	-	14,238,847	14,238,847
Property and equipment	-	308,873,316	30,887,316
Total assets	1,589,028,170	1,331,135,851	2,920,164,021
At 31 December 2025	Less than 12 months FRw'000	Over 12 months FRw'000	Total FRw'000
Liabilities			
Due to banks	245,629,568	19,855,749	265,485,317
Deposits and balances from customers	1,820,287,438	64,142,716	1,884,430,154
Current tax liability	15,262,361	-	15,262,361
Dividends	34,217,906	-	34,217,906
Insurance Contract liabilities	5,856,269		5,856,269
Creditors arising from reinsurance	419,596		419,596
Other liabilities	68,271,491	-	68,271,491
Lease liabilities	1,071,657	2,183,974	3,255,631
Long-term finance	16,267,320	102,426,411	118,693,731
Total Liabilities	1,722,656,622	738,231,844	2,460,888,466
Net asset/(liability) position	(618,155,436)	1,142,527,001	524,371,565

Notes To The Financial Statements For The Year Ended 31 December 2025

35. Maturity Analysis Of Assets And Liabilities

The table below shows an analysis of assets analysed according to when they are expected to be recovered or settled as at reporting date:

At 31 December 2024	Less than 12 months FRw'000	Over 12 months FRw'000	Total Frw'000
ASSETS	FRw'000	FRw'000	FRw'000
Cash in hand	21,663,033	-	21,663,033
Balances with the National Bank of Rwanda	226,667,796	30,821,623	257,489,419
Balances held with other financial institutions	399,117,340	-	399,117,340
Investment securities	197,764,370	72,990,173	270,754,543
Investment in corporate bond	1,272,500	22,610,706	23,883,206
Investment in specialized fund	12,890,491	-	12,890,491
Loans and advances to customers	310,446,182	1,143,537,459	1,453,983,641
Deferred tax Asset	-	7,857,130	7,857,130
Other assets	21,472,751	-	21,472,751
Right to use assets	1,050,191	1,052,535	2,102,726
Intangible assets	-	14,610,397	14,610,397
Property and equipment	-	31,734,374	31,734,374
Total assets	1,192,344,654	1,325,214,397	2,517,559,051

At 31 December 2025	Less than 12 months FRw'000	Over 12 months FRw'000	Total Frw'000
Liabilities			
Due to banks	223,300,626	-	223,300,626
Deposits and balances from customers	1,204,320,187	437,519,434	1,641,839,621
Income tax payable	8,989,032	-	8,989,032
Dividends payable	18,395,258	-	18,395,258
Other liabilities	70,484,738	-	70,484,738
Lease liabilities	2,935,409	-	2,935,409
Long-term finance	2,363,443	109,587,857	111,951,300
Total Equity and Liabilities	1,530,788,693	547,107,291	2,077,895,984

Notes To The Financial Statements

For The Year Ended 31 December 2025

36. Fair Value

The carrying amount of financial assets and liabilities not measured at fair value is considered to approximate the fair value of the assets and liabilities largely due to the short-term maturities of these instruments.

37. Contingent Liabilities And Commitments

Legal claims

Litigation is a common occurrence in the financial services industry due to the nature of the business undertaken. The Group has formal controls and policies for managing legal claims. Once professional advice has been obtained and the amount of loss reasonably estimated, the Group makes adjustments to account for any adverse effects which the claims may have on its financial standing.

At period end, BK Group is party to various legal proceedings for a total amount of FRw 18.0 Billion (2023:FRw 32.9 Billion) will not give rise to significant liabilities; however, the amount with probable loss of FRw 160 Million (2023:FRw 321 Million) has been fully provided for in these financial statements.

Commitments

As at 31 December 2024, the Group had contractual commitments of FRw 3.7 Billion (2023: FRw 2.4 Billion) that mainly relates to acquisition of servers, loan origination projects, inhouse car processing projects and other IT carried forward and.

38. Related Parties Disclosures

Government of Rwanda being the majority shareholder through Rwanda Social Security Board and Agaciro Development Fund, based on the exemption under accounting standards, limited transactions and balances with government and government related parties have not been disclosed.

i) Directors Remuneration

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Jean Philippe Prosper(Chairman)	162,267	151,363
Mrs. Sonia Masimbi Kubwimana	75,550	49,228
Mr. Darren Smith	89,398	45,355
Roselyne Uwamahoro	69,604	45,345
Francis Gatara Kabera	75,550	47,335
MAJIIA ACHUMILE	74,211	46,459
Ulrich KAYINAMURA	79,650	9,786
Mutesi Linda Rusagara	-	11,191
	626,230	406,062

Non-executive directors do not receive pension entitlements from the Group, in 2025, Directors for the Group served for the BK group Board meetings and committee meetings.

Notes To The Financial Statements For The Year Ended 31 December 2025

38. Related Parties Disclosures (Continued)

ii) Transaction with key management personnel of BK Group Plc

The BK Group holding enters into transactions, arrangements and agreements with BK Group Plc subsidiaries in the ordinary course of business at commercial interest and commission rates,

The following table provides the total amount of transactions, which have been entered into with related parties for the relevant financial year:

	31 Dec 25 Frw'000	31 Dec 24 Frw'000
Interest income on term deposit from Bank	525,000	525,000
Insurance with BKGI	106,665	197,606
Management fees on investment with BK Capital	107,381	77,538
BK Techhouse internet and software	108,297	63,141

39. Subsidiaries

Bank of Kigali Plc

The Bank was incorporated at the end of 2017 following reorganisation of the former bank into a holding company, It is a wholly owned subsidiary of the Group, Its principal place of office is in the BK Group PLC head office, It offers corporate and retail banking services.

BK General Insurance Company Limited

The Group opened a wholly owned subsidiary, BK General Insurance Company Limited on the 16 September 2015, Its principal place of office is in the BK Group PLC head office, the company offers Non-Life Insurance Services, The value of the investment at cost less impairment is FRw 5,000,000,000. Swan Group has 30% stake in BK General Insurance Ltd with BK Group owning 70%.

BK Capital Limited

The Group opened a wholly owned subsidiary, BK Securities Ltd on the 10 December 2013, In 2018, this has been incorporated into BK Capital Ltd, its principal place of office is in the BK Group PLC head office, The main activity of the Company is to hold assets for Custody clients, as well offering of brokerage and advisory services, The issued and paid up capital is FRw 1,200,000,000.

BK Tec-House Limited

The Group opened a wholly owned subsidiary, BK Tec-House Ltd on the 10 August 2015, Its principal place of office is in the BK Group PLC head office, the company offers Internet and digital Services to customers.

40. Operating Segment and Revenue Profile

The Group operates a diversified financial services platform comprising commercial banking, insurance, technology and related services, and other supporting activities. Consistent with IFRS 8 Operating Segments, the Group is managed and performance is evaluated on a consolidated basis.

The Group's Chief Operating Decision Maker (CODM) reviews consolidated financial information when assessing performance, allocating resources and making strategic decisions. The CODM does not regularly review discrete financial results by individual subsidiaries or business lines. Accordingly, the Group has determined that it operates as a single operating segment under IFRS 8, and no segment profit or loss or segment assets are presented.

Although the Group comprises multiple activities, its consolidated results are predominantly driven by the commercial banking business, which contributes the majority of consolidated revenue and earnings through interest-based income, fees and commissions, and foreign-exchange-related activities. The insurance business contributes a smaller portion of total revenue, primarily through insurance service results recognised in accordance with IFRS 17. Technology and related services, together with other smaller entities, contribute a modest share of total revenue and are currently not significant to the overall financial performance of the Group.

Notes To The Financial Statements

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Costs are primarily incurred within the commercial banking and insurance operations, with certain expenses relating to Group-wide functions, shared services, treasury activities and holding-company operations managed centrally and reflected at a consolidated level.

The quantitative information presented elsewhere in the notes provides further detail on the composition of revenue, insurance service results, interest income and expenses, and other income streams.

In line with the entity-wide disclosure requirements of IFRS 8, the table below provides a summary of the Group's revenue by major products and services, based on the nature of the Group's activities and their relative contribution to consolidated revenue. This information is intended to assist users in understanding the overall revenue profile of the Group and does not represent operating segment information.

Major products and services	Nature of revenue	Relative significance to Group revenue
Commercial banking services	Interest income, fees and commissions, foreign exchange income and other banking related income	Primary contributor to Group revenue
Insurance services	Insurance service result arising from insurance contracts issued, recognised in accordance with IFRS 17	Secondary contributor to Group revenue
Technology and related services	System services, digital platforms and related service income	Not individually material
Other activities	Income from smaller subsidiaries and ancillary services	Not individually material
Total Group revenue		Fully reconciles to consolidated statement of profit or loss

The table below summarises the contribution of the Group's principal activities to consolidated results and assets, derived from the Group's consolidation process, after elimination of intra-group transactions and balances. Only the Group total column represents consolidated amounts recognised in the financial statements.

Item	Commercial banking	Insurance	Other subsidiaries	Eliminations	Group total
Total income (RWF million)	255,402	10,038	43,932	(40,836)	268,536
Profit before tax (RWF million)	155,803	6,574	34,480	(39,445)	157,412
Profit after tax (RWF million)	110,349	4,703	34,446	(39,445)	110,053
Total assets (RWF million)	2,864,143	31,744	232,894	(209,361)	2,919,420

The above information is presented to provide quantitative context to the Group's consolidated financial performance and position and should be read together with the related notes to these financial statements.

Notes To The Financial Statements For The Year Ended 31 December 2025

41. Share-Linked Employee Bonus Arrangement

The Group operates a share-linked employee bonus arrangement under which a portion of the approved employee bonus is settled through the purchase of the Company's shares on the open market, with the remaining portion settled in cash.

Under the arrangement, the relevant portion of the approved bonus is withheld and used by the Group to acquire the Company's shares at prevailing market prices. The shares are purchased from the market, and no new shares are issued; accordingly, the arrangement does not result in any increase in the Company's share capital or share premium.

The purchased shares are subject to a one-year restriction period. During this period, the shares are held in a central securities depository (CSD) account administered by the Group on behalf of the participating employees. Upon completion of the restriction period, the shares are transferred to the individual securities accounts of the employees, after which the shares may be traded freely.

42. Prior Year Adjustments

In the year ended 31 December 2024, the revaluation gain on items of equipment and motor vehicles and the related deferred tax charge of a subsidiary was not presented in the statement of other comprehensive income.

Additionally, the insurance contract assets balance was presented under current assets instead of offsetting it with the insurance contract liabilities as required by IFRS 17 Insurance contracts.

The above have been corrected in these consolidated financial statements and the following is the impact on the corresponding financial information presented in these consolidated financial statements:

(a) Investment securities

	As previously stated 31-Dec-24 Rwf'000	Adjustments Rwf'000	Restated position 31-Dec-24 Rwf'000
Profit for the year	91,031,030		91,031,030
Other comprehensive income			
Other comprehensive income that will not be reclassified to profit or loss in subsequent periods:			
Revaluation gain	-	279,159	279,159
Deferred tax on revaluation surplus	-	(78,165)	(78,165)
Total other comprehensive income	-	78,351,703	200,994
Total comprehensive income for the year	91,031,030		91,232,024

Notes To The Financial Statements

For The Year Ended 31 December 2025

(a) Investment securities

	As previously stated 31-Dec-24 Rwf'000	Adjustments Rwf'000	Restated position 31-Dec-24 Rwf'000
Assets			
Insurance contract assets	467,903	(467,903)	-
Total Assets	2,521,576,541		
Liabilities			2,521,108,638
Insurance contract liabilities	3,496,113	(467,903)	3,028,210
Total Liabilities	2,083,048,907	-	2,082,581,004
Equity			
Total Equity	438,527,634		438,527,634
Total Equity and Liabilities	2,521,576,541	-	2,521,108,638

43. Post Period End Events.

Except as disclosed in the notes to the financial statements, there are no events after the reporting date that require disclosure in or adjustments to the financials as at the date of this report.

